

ANNUAL REPORT  
**2024/25**



**Browns**  
Investments

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# Financial Highlights

|  |  | Group          |                | Company        |                |
|--|--|----------------|----------------|----------------|----------------|
|  |  | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |

## EARNINGS HIGHLIGHTS

|                                       |        |            |            |            |            |
|---------------------------------------|--------|------------|------------|------------|------------|
| Turnover                              | Rs.000 | 64,790,500 | 47,429,333 | 114,298    | 66,289     |
| EBIT                                  | Rs.000 | 95,283,933 | 49,144,297 | 77,484,431 | 24,428,997 |
| Profit before tax                     | Rs.000 | 60,860,313 | 10,039,003 | 66,985,912 | 10,148,118 |
| Profit after tax                      | Rs.000 | 53,333,918 | 5,783,364  | 57,664,102 | 10,037,388 |
| Profit Attributable to Equity holders | Rs.000 | 57,664,102 | 10,037,388 | 57,664,102 | 10,037,388 |

## BALANCE SHEET HIGHLIGHTS

|                           |                      |             |             |             |             |
|---------------------------|----------------------|-------------|-------------|-------------|-------------|
| Total Assets              | Rs.000               | 670,137,535 | 497,332,424 | 329,050,342 | 246,248,585 |
| Total Debt                | Rs.000               | 69,921,386  | 54,946,448  | 13,503,368  | 14,817,299  |
| Total Shareholders' Funds | Rs.000               | 195,168,518 | 129,601,555 | 195,168,518 | 129,601,555 |
| Number of Shares Issued   | No. of Shares ('000) | 14,369,718  | 14,369,718  | 14,369,718  | 14,369,718  |

## SHARE INFORMATION

|                      |     |       |      |       |      |
|----------------------|-----|-------|------|-------|------|
| Earnings Per Share   | Rs. | 4.01  | 0.70 | 4.01  | 0.70 |
| Net Assets Per Share | Rs. | 13.58 | 9.02 | 13.58 | 9.02 |

## FINANCIAL RATIOS

|                            |       |       |       |       |       |
|----------------------------|-------|-------|-------|-------|-------|
| Gross Profit               | %     | 21    | 28    | 100   | 100   |
| Debt to Equity             | %     | 35.83 | 42.40 | 6.92  | 11.43 |
| Return on Capital Employed | %     | 27.91 | 20.59 | 37.13 | 16.92 |
| Interest Cover             | Times | 2.60  | 1.11  | 3.82  | 0.86  |
| Current Ratio              | Times | 0.38  | 0.31  | 0.73  | 0.56  |

# Board of Directors

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## MR. ISHARA NANAYAKKARA

### Executive Chairman

Mr. Ishara Nanayakkara is a distinguished entrepreneur who serves on the boards of numerous leading corporations and conglomerates internationally. Hailing from a strong business lineage and early involvement in his family enterprises, he strategically ventured into the financial services sector through a pivotal investment in LOLC Holdings PLC, where he was appointed to the Board in 2002.

Over the past two decades, his visionary leadership has been instrumental in transforming LOLC into Sri Lanka's most profitable and diversified conglomerate, with a formidable presence in the global financial arena. Under his guidance, LOLC pioneered a dynamic MSME financial platform on an international scale, marking a historic milestone as the first Sri Lankan enterprise to achieve such global reach and impact.

Mr. Nanayakkara's expertise in microfinance and MSME markets has been a driving force behind the success of financial institutions across Sri Lanka, Cambodia, Myanmar, Pakistan, Indonesia, the Philippines, India, Zambia, Nigeria, Egypt, Malawi, Tanzania, Zimbabwe, Kenya, Kyrgyzstan, Kazakhstan, and Tajikistan. He was pivotal in establishing the Group's Life and General Insurance ventures and pioneered the concept of Micro-Insurance in Sri Lanka and Cambodia, providing essential protection to underserved populations at the bottom of the economic pyramid.

His business acumen spans the key growth sectors of emerging economies, with strategic investments across multiple industries. In Leisure, he commands one of the largest hotel portfolios in Sri Lanka, the Maldives, and Mauritius. In Plantations, the Group has become the world's largest tea manufacturer, with operations in Sri Lanka, Kenya, Tanzania, China and Rwanda. These are complemented by significant investments in Construction, Trading, and Manufacturing, and more recently, in pioneering scientific and innovation-driven initiatives.

Ishara continues to lead the strategic direction of the LOLC Group, driving both financial and non-financial sector investments with a clear vision executed with precision, discipline, and a steadfast commitment to generating long-term value for all stakeholders.

He has held several distinguished positions, including serving as Chairman of the Sri Lanka Institute of Nanotechnology, the nation's premier institution for advanced nanotechnology solutions. Renowned for his innovative approach, he has steered the Group into pioneering biotech ventures, such as the conversion of pure graphite to graphene, leveraging cutting-edge technologies to enhance the value of the Group's diverse plantation portfolio spanning cinnamon, tea, sugarcane, rubber, and related by-products.

His strategic foresight has also extended to renewable energy initiatives in Sri Lanka and Sierra Leone, including the establishment of Africa's largest sugar-based bioethanol and power plant, enriching the Group's portfolio with multidimensional expertise across global markets.

Ishara is a recognised businessman in the international community for his invaluable contributions to microfinance, acknowledged by independent international platforms such as INSEAD Business School. His entrepreneurial excellence was further distinguished by the prestigious 'Young Entrepreneur of the Year' Award at the Asia Pacific Entrepreneurship Awards (APEA) in 2012.

Mr. I. C. Nanayakkara serves as the Executive Chairman of LOLC Holdings PLC, Browns Investments PLC, and Brown & Company PLC, and also holds directorships on several other Group company boards, both locally and internationally.

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## MR. KAPILA JAYAWARDENA

### Non-Executive Director

Mr. Kapila Jayawardena is a seasoned leader in banking and investment banking with extensive experience in both local and international financial sectors. Since joining LOLC Holdings PLC as Managing Director/ Group CEO in 2007, he has been instrumental in driving the Group's strategic diversification and growth Locally and Globally across nine verticals.

In addition to his executive role at LOLC Holdings, Mr. Jayawardena serves as Chairman and Director for several Group companies, including Eden Hotel Lanka PLC, Serendib Hotels PLC, Dolphin Hotels PLC, Hotel Sigiriya PLC, LOLC Securities Limited, Palm Garden Hotels PLC, and LOLC Life Assurance Ltd. He also holds directorships in Brown & Company PLC, Browns Investments PLC, LOLC International (Private) Limited, LOLC Advanced Technologies (Private) Limited, LOLC Asia (Private) Limited, LOLC Global (Private) Limited, Ceylon Graphene Technologies (Private) Limited and LOLC Africa Holdings (Private) Limited.

Prior to joining LOLC Group, Mr. Jayawardena was Country Head and CEO (Sri Lanka and Maldives) at Citibank NA from 1998 to 2007, where he also undertook assignments in New York and Manila. In recognition of his leadership and transformative impact at LOLC Holdings, he was awarded the CITI Distinguished Alumni Award for Leadership by Citi Group in New York in 2024.

Mr. Jayawardena's professional contributions include serving as Chairman of the Sri Lanka Banks' Association (2003/04), President of the American Chamber of Commerce in Sri Lanka (2006/07), and holding memberships in the Financial Sector Reforms Committee, National Council of Economic Development, and the United States-Sri Lanka Fulbright Commission.

He holds an MBA in Financial Management and is a Fellow of the Institute of Bankers as well as an Associate Member of the Institute of Cost and Executive Accountants, London [UK].

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**MRS. KALSHA AMARASINGHE**  
Non-Executive Director

Mrs. Kalsha Amarasinghe holds an Honours Degree in Economics and has an outstanding vision for investments.

Mrs. Amarasinghe serves on the Boards and subsidiaries of LOLC Holdings PLC and Brown & Company PLC including Palm Garden Hotels PLC, Eden Hotel Lanka PLC, Browns Investments PLC, Serendib Hotels PLC, Hotel Sigiriya PLC, Green Paradise [Pvt] Ltd, P L Resorts Ltd, Browns Holdings Ltd and Three Tips Ella [Pvt] Ltd.

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**MR. KAMANTHA AMARASEKERA**  
Non-Executive Director

Mr. Kamantha Amarasekera is a member of the Institute of Chartered Accountants of Sri Lanka and is an Attorney-at-Law of the Supreme Court of Sri Lanka. He also holds a degree in Business Administration from the University of Sri Jayawardenepura and began his career in the year 1998. Mr. Amarasekera is an eminent Tax Consultant and the Senior Tax and Legal Partner of M/s. Amarasekera & Company, a leading tax consultancy firm in the country.

Other key appointments: Director – Eden Hotel Lanka PLC, Ceylon Hotels Corporation PLC, Palm Garden Hotels PLC, AgStar PLC, Sierra Cables PLC, Serendib Hotels PLC, Dolphin Hotels PLC, Hotel Sigiriya PLC, Hapugastenne Plantations PLC, Udapussellawa Plantations PLC and several other subsidiaries of Browns Investments Group.

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**MR. CHITRAL WIJESINHA**  
Independent Non-Executive Director

Chitral has over 27 years of experience in the financial services industry, specialising in managing investments for retail and wholesale clients. He possesses extensive expertise in banking and finance, with a particular focus on Treasury Management, Investment and Retirement Planning and Superannuation. His deep understanding of industry practices, regulations, legislation and market trends, combined with his knowledge of current market dynamics, enables him to consistently perform at a high standard.

Currently, Chitral serves as the Director, Shareholder and Principal Financial Adviser at Trilogy Financial Solutions NZ Limited [TFS]. He is a licensed financial adviser in New Zealand and an active member of the Wealthpoint Financial Adviser Provider (FAP) network. Additionally, he plays a key role as a member of the Wealthpoint Investment Committee, contributing to strategic investment decisions.

Previously, Chitral was the Country Treasurer for Citibank Sri Lanka [1996–2003]. He currently serves as an Independent Director of LOLC [Cambodia] PLC, further showcasing his expertise in financial management and governance.

## Board of Directors

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### MR. KANTHIMANY SIVANESAN

#### Senior Independent Director

Mr. K. Sivanesan is the Partner – Head of Tax of Amerasekera & Co. Chartered Accountants, a well-known professional in tax advisory services. He bears a track record of more than twenty years in the field of taxation. Mr. Sivanesan is a specialist in research and technical studies in the subject of taxation. He is a Fellow member of the Institute of Chartered Accountants of Sri Lanka and the Institute of Certified Management Accountants of Sri Lanka. Mr. Sivanesan holds a Bachelor's degree in Commerce from the University of Sri Jayewardenepura. He was a lecturer for the subject of taxation for final level students of CA Sri Lanka.

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### MR. STEFAN FURKHAN

[retired with effect from 01st January 2025]

#### Independent Non-Executive Director

Mr. Stefan Furkhan had his initial Hospitality education in Australia and Post Graduate training in Germany, with over 30 years of experience in the Hospitality Industry. He is also a Graduate Diploma Holder of the Chartered Institute of Marketing, UK [CIM], and a Fellow member of the Institute of Hospitality UK.

He is a seasoned Hospitality Industry professional with a proven track record, having successfully managed multiple hotels, and the launching of Green Field Hotel Projects. During his career he has been instrumental in identifying and introducing several new concepts to the Tourism Industry in Sri Lanka. His experience spans across Europe, South Asia, Australia and the South Pacific.

Mr. Furkhan currently holds Board positions on several Company Boards and is engaged in providing specialised Consultancy Services to Hotel Companies, focusing on Asset Management, Hotel Acquisition and Investment, new developments, and Management Company selection.

Mr. Furkhan is currently the Chairman of the Confifi Group of Companies and a Director of Eden Hotel Lanka PLC., Dolphin Hotels PLC., and Hotel Sigiriya PLC. He is also a Promoter, Shareholder, and Director of the Radisson Colombo, Radisson Kandy, and Radisson Blue Resort in Galle.

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### DR. JAYANTA SWAMINATHAN

[retired with effect from 01st January 2025]

#### Senior Independent Non-Executive Director

Attorney-at-Law, LLB [Ceylon], LL.M, M. Phil. [Colombo] and LLD [Honoris Causa]

Dr. J. M. Swaminathan is an Attorney-at-Law with over 60 years in practice and has been appointed a Senior Instructing Attorney-at-Law by His Excellency the President. He was the former Senior Partner of Messrs. Julius & Creasy. He was a Member of the Office for Reparations Sri Lanka. He has served as a Member of the Law Commission of Sri Lanka and Member of the Council of Legal Education and the Council of the University of Colombo. He is also a Member of the Company Law Advisory Commission and The Intellectual Property Law Advisory Commission and a Member of the Board of Management of the Superior Court Complex. He is the Chairman of the Board of Studies of the Council of Legal Education and was also a Consultant at the Institute of Advanced Legal Studies of the Council of Legal Education. He is a Member of the Visiting Faculty of the LL.M Course of the University of Colombo. He also serves on the Boards of several public and private companies including C M Holdings PLC, Colombo Fort Investments PLC, Colombo Investments Trust PLC, Eden Hotel Lanka PLC, Palm Garden Hotels PLC, Renuka Holdings PLC, Serendib Land PLC, Serendib Hotels PLC, Dolphin Hotels PLC, and Hotel Sigiriya PLC.

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**BROWNS  
PLANTATIONS HAS  
EMERGED AS THE  
WORLD'S LARGEST  
TEA PRODUCER,  
ACHIEVING AN  
ANNUAL OUTPUT OF  
APPROXIMATELY 100  
MILLION KILOGRAMS**

# Management Discussion and Analysis

**“BROWNS INVESTMENTS PLC (BI), A SUBSIDIARY OF THE RENOWNED BROWNS GROUP AND A PART OF SRI LANKA’S MOST DIVERSIFIED CONGLOMERATE, LOLC HOLDINGS PLC, SERVES AS THE GROUP’S STRATEGIC INVESTMENT ARM. THE COMPANY HAS BUILT A ROBUST AND BALANCED PORTFOLIO ACROSS HIGH-GROWTH SECTORS INCLUDING LEISURE AND HOSPITALITY, AGRICULTURE AND PLANTATIONS, AND CONSTRUCTION AND REAL ESTATE.”**

Browns Investments PLC (BI), a subsidiary of the renowned Browns Group and a part of Sri Lanka’s most diversified conglomerate, LOLC Holdings PLC, serves as the Group’s strategic investment arm. The Company has built a robust and balanced portfolio across high-growth sectors including leisure and hospitality, agriculture and plantations, and construction and real estate.

Guided by a long-term investment philosophy, BI focuses on sectors with strong growth potential while maintaining a prudent balance between risk, profitability, and liquidity. The Company’s diversified holdings not only ensure resilience in dynamic market conditions but also support sustainable value creation for all stakeholders.

During the year under review, BI continued to strengthen its position in core sectors through strategic acquisitions and operational enhancements, reaffirming its role as a key driver of growth within the LOLC Group and the broader national economy.

## LOCAL

### Browns Plantations

Browns Plantations marked a significant milestone during the year under review – emerging as the world’s largest tea exporter following its landmark acquisition of Lipton Teas and Infusions’ estates across Kenya, Rwanda and Tanzania. This historic transaction elevated the company’s estimated annual export volume to approximately 100 million kilograms, consolidating its dominance on the global tea stage and reflects the strategic foresight of Browns Investments, under whose umbrella Browns Plantations operates. The acquisition underscores the Group’s unwavering commitment to sustainable growth, sectoral leadership and global value creation in the fields of cultivation, production and export of tea.

With origins dating back to 1875, Browns evolved from a pioneering manufacturer of plantation machinery into one of Sri Lanka’s most respected players in the plantation sector. The company’s transformation accelerated in 2011 following its acquisition by LOLC Holdings PLC, marking the beginning of a new era of innovation, synergy and scale.

Today, Browns Investments Group is a diversified conglomerate with operations spanning agriculture, manufacturing and construction, Real Estates, leisure and strategic investments. In line with its broader growth trajectory, Browns Plantations acquired Udapussellawa Plantations PLC and Hapugastenne Plantations PLC from Finlays in December 2021. Together with Maturata Plantations Limited, these entities were brought under a unified operating structure, thereby strengthening the Group’s leadership position in Sri Lanka’s plantation industry.

Spanning a total extent of 32,725 hectares, including 11,072 hectares under tea cultivation, the three regional plantation companies have demonstrated consistent operational excellence. The plantation companies’ performance has been acknowledged through both local and international accolades, including the Social Dialogue Award, the Responsible Care Award, top recognition at the Grand Charity Auction, and the Gold Award at the Ceylon Tea Specialty Estate of the Year Competition. These honours affirm the company’s commitment to industry leadership, community engagement and sustainable value creation. Recognising the company’s digital drive, its website was adjudged as the Most Popular Corporate Website Award at the BestWeb Awards 2024, organised by the LK Domain Registry.

With the recent acquisition of Pussellawa Plantations Limited and Tea Smallholder Factories PLC, the total extent of Browns Plantations exceeded 88,000 hectares globally. Moreover, Browns Plantations continues to uphold rigorous compliance with international benchmarks. Its operations are certified under Rainforest Alliance, ISO 22000 and HACCP standards, affirming adherence to global protocols on environmental sustainability, food safety and hazard control across the production cycle. These certifications serve as a testament to the Group’s responsible practices and its ability to meet the expectations of discerning international markets.

During the year under review, Browns Plantations delivered exceptional results, with tea production volumes reaching approximately 100 million kilograms, significantly contributing to the Group’s overall financial performance. This success is attributed to the Browns Plantations’ strategic

direction, commitment to quality, and alignment with evolving global consumer preferences. Innovation continues to play a central role in driving efficiency and productivity across the plantations. Latest technological advancements have enabled Browns Plantations to modernise traditional processes, optimise performance and strengthen its position as a globally competitive plantation operation.

Looking ahead, Browns Plantations remains focused on long-term sustainable growth, continued technological advancement and global excellence. The company is committed to diversifying its operations, embedding sustainability across the value chain and investing in R&D-led solutions that future-proof its business. Its strategic priorities are centred on innovation and industry transformation, aimed at delivering not only shareholder value but also broader socioeconomic impact.

### Maturata, Udapussellawa & Hapugastenne Plantations

Maturata Plantations Limited is a leading player in Sri Lanka’s plantation sector, recognised for its scale, diversity and operational strength. The company is one of the country’s foremost producers of tea and boasts the largest cinnamon plantation in Sri Lanka. With a total of 19 estates and a land bank spanning nearly 17,000 hectares, Maturata’s processing capacity is supported by seven functioning factories, enabling it to maintain high-quality production standards while preserving the integrity of its agricultural heritage.

In addition, Udapussellawa and Hapugastenne Plantations have also cultivated a rich agricultural legacy in Sri Lanka’s upcountry regions. Udapussellawa’s diversified portfolio includes tea, coffee, commercial forestry, cardamom, coconut and cocoa, while Hapugastenne focuses on tea, rubber, commercial forestry, pepper, cinnamon and cocoa. Both companies steward significant land holdings, which include vital water catchment areas and high conservation value zones.

Understanding the environmental importance of these ecosystems, the companies have adopted a proactive approach to conservation. Initiatives have been launched to engage the younger generation in protecting these sensitive landscapes. Educational

programmes and community-based environmental events are organised to foster awareness, encourage local stewardship and promote long-term sustainability.

### Tropical Island Commodities

Although Tropical Island Commodities recorded another year of financial losses in 2024/25, the magnitude of the loss declined compared to the previous year, with operational metrics showing signs of recovery. While market conditions continued to suppress profitability across the sector, there was a gradual improvement in sentiment towards the end of the year. The company took several decisive steps to diversify its income streams and reduce dependency on traditional operations. Strategic partnerships were formed with two leading Sri Lankan export companies, positioning Tropical Island Commodities as a key back-end manufacturer for cinnamon-based products. These ventures are expected to deliver stable order volumes and improved financial performance in the coming year. The company is also playing a lead role in establishing the supply network for SunYield BioIngredients Pvt Ltd, a high-value extraction venture under LOLC Advanced Technologies. This initiative will enable Tropical Island Commodities to broaden its reach within the agri-export value chain, expanding its commercial footprint and enhancing operational synergies. With these partnerships and new ventures underway, the company is confident of returning to profitability in the 2025/26 financial year.

## GLOBAL

### Browns Plantations Kenya

Browns Plantations Kenya (BPK), Browns East Africa Plantations (BEAP), Browns Plantations Tanzania (BPT), Browns Plantations Rwanda (BPR) and Browns Plantations (Guizhou) Tea (BPG) together form the foundation of a globally integrated tea enterprise. Their expansive presence across Africa and Asia allows Browns Plantations to leverage scale, operational synergies and product diversity. Driven by a commitment to ESG, innovation and value creation, the global plantations strategy is aligned with the Group's long-term ambition of leading the global tea industry in quality, sustainability and reach.

Browns Investments' strategic acquisition of Finlay's Kenya has firmly established the Group as a major force in the global tea industry. Finlay's, one of the oldest plantation operations managed by the Swire Group of Scotland, comprises about 10,000 hectares and employs over 5,000 individuals. Now operating under the name 'Browns Plantations Kenya (BPK)',

the estate represents a pivotal component of the Group's global expansion in tea. Highly mechanised in nature, BPK conducts over 90% of its tea harvesting using machines, significantly enhancing productivity across its operations. The company houses four black tea factories with a combined capacity to produce 26 million kilograms of made tea annually, primarily serving established markets such as Pakistan, Egypt and the United Kingdom.

In addition to its core tea operations, BPK manages 3,000 hectares of forestry – primarily Eucalyptus and Cypress – ensuring self-sufficiency in biomass for energy needs, while also exploring further value-added opportunities such as timber. The company has also dedicated 600 hectares to organic tea cultivation, capitalising on growing demand from markets in Europe. In line with its strategic vision, BPK is actively working to expand orthodox tea processing, which is expected to enhance sale averages by targeting premium price segments.

Certifications including Rainforest Alliance, ISO 22000 and Food & Drug Administration (FDA) endorse BPK's adherence to global benchmarks for food safety, environmental sustainability, and ethical sourcing. The operation is supported by five hydropower plants and two solar farms, enabling a high degree of energy self-sufficiency. Complementing its environmental efforts, BPK also undertakes numerous sustainability initiatives and corporate social responsibility programmes, including those under the Finlays Community Trust, which is set to be renamed 'Browns Community Trust'. These initiatives include scholarships and continued educational support for school and university students within the plantation communities.

Additionally, the company is introducing more efficient heat transfer systems in tea processing to reduce firewood consumption. This initiative aims to channel a greater portion of timber plantations toward high-value outputs and reduce carbon monoxide emissions.

In a parallel development during the year under review that reflects its eastward expansion, Browns Investments made its entry into China's tea sector through Browns Plantations (Guizhou) Tea Co., Ltd. (BPG). Browns Investments rebranded James Finlay Guizhou, forming BPG, thereby marking LOLC's official entry into the Chinese tea industry. Located in Guizhou [China's largest tea-producing province], BPG serves as a key tea refining and packing hub. Its location in proximity to premium tea-growing regions gives the company the ability to scale production in response to global demand efficiently and effectively.

In the year under review, BPG became the largest tea exporter in Guizhou Province. The Company delivered robust growth, with revenue rising by 93% and sales volumes increasing by 83% compared to the previous year. This growth was driven by a combination of operational excellence and rising global demand for value-added tea products. With Guizhou holding immense potential to produce teas that are compliant with European Union standards, BPG is collaborating closely with local authorities to promote sustainable cultivation practices and support smallholder farmer development.

In the context of rising domestic tea demand, China's tea imports reached 54,200 metric tons in 2024 – a 38.5% increase year-on-year (YoY). Within this dynamic environment, BPG has positioned itself as a critical link between origin production and downstream markets, providing customised tea solutions across the food service, tea extract and ready-to-drink (RTD) segments.

### Browns East Africa Plantations, Browns Plantations Tanzania and Browns Plantations Rwanda [Formerly the Lipton Portfolio]

Further strengthening its international presence, Browns East Africa Plantations (BEAP), Browns Plantations Tanzania (BPT) and Browns Plantations Rwanda (BPR) were established following the 2024 acquisition of a significant portfolio of estates formerly owned by Lipton. This acquisition elevated Browns Plantations to the status of the world's largest tea exporter. With estates located in Kenya, Tanzania and Rwanda, this portfolio is strategically positioned to optimise synergies, manage operational costs and enhance productivity across its diversified tea operations. Collectively, the holdings encompass a land mass of 35,127 hectares, including 13,167 hectares under tea, 4,007 hectares of timber and fuelwood, and 8,836 hectares designated for forest conservation and other uses.

The combined operation is expected to produce approximately 37 million kilograms of made tea per annum. The use of high-output, motorised harvesters with tracks is being scaled across the estates, increasing mechanised harvesting beyond the current 75% and significantly lowering per-unit harvesting costs. Meanwhile, BEAP is upgrading its hydropower infrastructure, with the current generation capacity of 2.9 megawatts from four hydro stations targeted to be doubled to 5.8 megawatts through the utilisation of high-elevation water sources and natural river gravity flow.

## Management Discussion and Analysis

Committed to responsible growth, BEAP is embedding transparency across its supply chain and aligning with global environmental, social, and governance (ESG) standards. This approach ensures the Company continues to meet the rigorous expectations of international buyers and positions BEAP as a trusted supplier in key global markets.

### Sunbird Sierra Leone

Sunbird Sierra Leone demonstrated significant operational progress during the year under review, increasing sugarcane crushing volumes by over 60% year-on-year (YoY) to reach 150,000 metric tonnes. This marked improvement reflected well on the Company's operational efficiency, although the business continued to operate at a negative EBITDA. The shortfall against expectations was largely due to severe and unforeseen weather conditions which affected approximately 1,200 hectares of plantation area (among the most severe incidents in over a decade), thereby curtailing expected yields and output. Despite the setback, average selling prices of ethanol saw notable improvement, rising from USD 0.85 to USD 1.10 – 1.15 per litre.

Recognising the limitations of relying solely on ethanol, particularly in seasonal markets with periodic demand fluctuations, the Company initiated a major expansion strategy to diversify into sugar production. Agreements were signed in March 2025 to establish a sugar processing facility, with commissioning expected in November 2026. This move will enable the Company to produce both sugar and ethanol, shifting the product mix toward essential commodities with strong domestic and regional demand. With 100 percent of sugar in Sierra Leone being imported, this new facility will unlock significant revenue potential and reduce reliance on seasonal ethanol sales. The Company expects that this transformation will drive strong profitability in the years ahead and position Sunbird Sierra Leone as a key player in West Africa's sugar economy.

### LEISURE

The global travel and tourism industry made a significant recovery in 2024, driven by pent-up demand, easing of travel restrictions and increased consumer confidence. With most international routes operating at near-full capacity, many destinations reported a return to pre-pandemic activity levels. Sri Lanka too reaped the benefits of this global resurgence, welcoming 2 million tourist arrivals in 2024, up from 1.5 million in the previous year. This figure is approaching the island's historic high of 2.3 million visitors recorded in 2018.

### LOCAL

#### BROWNS HOTELS AND RESORTS

Against this favourable backdrop, BIPLC's leisure segment delivered its most profitable year to date, despite tourist arrivals still trailing 2018 figures. Every operating property – except for the newly-launched Ayugiri – recorded strong financial and operational performance. Contributing to this success were several strategic initiatives, including a lean and optimised workforce, targeted refurbishments and consistent service enhancements. Across the portfolio, guest satisfaction scores were at an all-time high, reflecting a strategy focused on efficiency without compromising on the guest experience. While the staffing structure was rationalised – by not replenishing overstaffed positions – this did not impact operations. Instead, it allowed for enhanced productivity, with the introduction of technology and equipment upgrades where necessary. A clear outcome of this leaner, more efficient model was the substantial improvement in service charge payouts. In parallel, staff engagement initiatives such as overnight stays at sister hotels, family getaways and welfare activities contributed to high team morale and retention. Sustainability and CSR were also embedded into operations, with each property contributing to community upliftment and environmental conservation in meaningful ways.

#### Eden Resort & Spa

Eden posted positive earnings before interest and tax (EBIT), Rs 171.2Mn for 2024/25 financial year, compared to Rs 78.4Mn EBIT reported in the previous year, reflecting its operational strength. A major addition in 2024 was the launch of 'Sippy', a modern 24-hour café offering an à la carte menu that spans global cuisines. With Eden hosting guests from over 60 nationalities, Sippy was designed to cater to diverse palates and extended-stay visitors. Complementing this was a new beverage menu featuring eight signature cocktails crafted with Sri Lankan ingredients – exclusive to Eden.

#### Club Hotel Dolphin

Dolphin had a standout year, reporting a PBT of Rs 230.1Mn, crowned 'South Asia's Top All-Inclusive Resort' at the SATA Awards 2024 in Nepal. Enhancements included the refurbishment of villas and the introduction of a revamped à la carte restaurant, 'Waves', offering a curated international menu. The hotel also hosted a popular 'Indian Food Festival', featuring two guest chefs flown in from India. Dolphin maintained strong guest satisfaction with improvements to both the buffet and à la carte offerings.

#### Thaala Bentota Resort

The financial year 2024/25 was a defining period for Thaala Bentota, which recorded a strong and sustained operational performance following its full transition into a standalone Sri Lankan hospitality brand. The Company reported an EBIT of Rs 159.7 Mn for 2024/25 financial year. This was the resort's first complete year operating under the Thaala identity, after moving away from its previous international branding. The rebranding allowed the resort to craft a more personalised and culturally authentic guest experience – positioning it as a distinctive player in the competitive coastal leisure market. Throughout the year, Thaala Bentota maintained high occupancy levels and a consistently healthy bottom line. The hotel experienced heightened demand, driven by its refined service delivery, attention to individual guest preferences, and the architectural appeal of the property itself. As one of the first hotels developed by the Group, Thaala Bentota combines heritage with modern luxury, contributing to its enduring popularity among both local and international guests. The rebranding initiative emerged as a key milestone for the business during the year. The transition not only allowed the hotel to reflect a more homegrown identity but also contributed to improved guest satisfaction scores and enhanced brand recognition. Focused efforts on delivering elevated service standards and improving the average room rate led to strong revenue growth and profitability.

#### Dickwella Resort & Spa

Dickwella experienced year-round high occupancy, moving beyond its traditional seasonal peak. Renovations continued in phases to upgrade rooms and improve guest comfort. The launch of a new Instagram-worthy à la carte menu included creative fusion dishes such as Buffalo curd cheesecake and Ambul thiyai tacos. Sustainability was a key focus, with turtle-shaped plastic disposal units installed along the beach to raise awareness and protect the nearby turtle nesting sites. The Company is having a standout year in terms of profitability, while recording an EBIT of Rs 163.1Mn for 2024/25 financial year.

#### Hotel Sigiriya

Hotel Sigiriya posted excellent occupancy levels, with the Ayurveda spa performing exceptionally well. F&B revenues rose with the reintroduction of Duma, a jungle-themed BBQ experience featuring oil lamps and bonfires, alongside a tree-hut dining concept facing Sigiriya Rock. The hotel also launched a community-based bee honey project, where beehives were distributed to nearby households. The harvested honey is purchased by the hotel and offered to guests – supporting livelihoods while enhancing the guest experience with local produce. The Company concluded the financial year with a PBT of Rs 101.3 Mn for the year under review.

### The Calm Resort & Spa Passikudah

Calm Resort & Spa delivered one of its strongest financial performances in 2024/25, achieving notable improvements in profitability across the board, while reporting an EBIT of Rs 30.6Mn. As one of the top-performing properties within the Group's leisure portfolio, Calm recorded a healthy bottom line, underpinned by disciplined cost management and steady operational efficiency. The positive performance allowed the resort to distribute a significantly high service charge to its staff during the year, a testament to its strong financial footing and commitment to employee well-being. Operational consistency and effective resource utilisation contributed to this result, positioning Calm Resort & Spa as a standout performer among the Group's coastal properties.

### The Occidental Paradise Dambulla

Occidental Paradise continued to demonstrate stability as a key contributor to the leisure cluster, recording a significant recovery in performance compared to the previous year. Operational efficiency and consistent occupancy levels, driven by steady demand from both local and international guests, supported this marked improvement.

### Reveal the Collection – Mirissa

Reveal Collection properties in Mirissa – Beach House and Ubuntu – recorded a healthy bottomline. The hotels introduced new à la carte menus available from 10 a.m. to 10 p.m., enhancing culinary choice for guests. At Beach House, major public area renovations improved ambience and guest experience. Reveal the Collection, reported a EBIT of Rs 88.4Mn for 2024/25 financial year

### Sheraton Kosgoda Turtle Beach Resort

Sheraton Kosgoda Turtle Beach Resort, located along Sri Lanka's picturesque South Coast, continued to offer guests an unparalleled 5-star beach getaway, complemented by its proximity to the renowned Kosgoda Turtle Conservation Project and the region's scenic attractions.

During the financial year under review, Sheraton Kosgoda Turtle Beach Resort navigated a challenging operating environment, balancing the impacts of rising operational costs with strategic efforts to streamline processes and enhance service delivery. Despite these headwinds, the property achieved a commendable growth in Gross Profit, increasing from Rs. 1.26 billion to Rs. 1.39 billion, reflecting a 10.32% year-on-year (YoY) rise. This growth underscores the resilience of the resort's topline performance, driven by targeted marketing initiatives, curated guest experiences and a renewed focus on service excellence.

The management has initiated a series of measures aimed at optimising cost structures, improving operational efficiencies, and further elevating the guest experience. By leveraging its distinctive location and premium brand positioning, the resort is poised to strengthen its market presence and achieve a positive performance turnaround in the coming financial year.

### Sustainability Initiatives

During the financial year 2024/25, Browns Hotels & Resorts demonstrated a deepened commitment to environmental stewardship, biodiversity protection and community engagement. Across its diverse portfolio of properties, the Group implemented wide-ranging Corporate Social Responsibility (CSR) and sustainability projects aligned with global conservation goals and local development priorities. These initiatives were grounded in long-term ecological vision, active collaboration with academic and conservation institutions, and inclusive participation of hotel guests, staff, students, and community stakeholders.

Club Hotel Dolphin emerged as a leader in ecosystem conservation through the launch of the Nipa Palm Conservation Project in collaboration with Wayamba University and the Wildlife & Nature Protection Society (WNPS). Initiated in July 2024, the project aims to restore the fragile riverbank habitats along the Gin Oya by nurturing over 500 Nipa Palm seeds in an in-house nursery. These seedlings were planted along the riverbanks following biodiversity surveys conducted by Horizon Campus and WNPS experts. The first transplanting event was held on 4th February 2025, coinciding with World Wetlands Day and Sri Lanka's Independence Day, underscoring the symbolic and ecological importance of the initiative.

To commemorate Earth Day, Club Hotel Dolphin hosted an awareness session on mangrove restoration led by WNPS marine specialists. Students from Bolawatta Gonsalvez school, together with hotel guests, participated in planting activities, fostering early environmental education and hands-on conservation experience. The hotel also marked Earth Hour with symbolic actions to promote energy awareness and climate consciousness.

Thaala Bentota Resort spearheaded an ambitious reforestation initiative titled the '500 Jack Trees Project'. Launched in July 2024 and led by General Manager Rohan Gamage, the project was rolled out in partnership with school nature societies such as the Parisara Kawayana network. As of March 2025, the project successfully planted 502 jackfruit trees across multiple schools, including Dharmapala Kanishta Vidyalaya, Elakaka Maha Vidyalaya,

Warapitiya Kanishta Vidyalaya and D.S. Senanayake National School in Beruwala. This initiative promoted biodiversity, food security and youth environmental leadership. Tree growth is being actively monitored, ensuring long-term ecological impact. Thaala Bentota also celebrated Earth Hour, reinforcing its conservation credentials. The highlight of Thaala Bentota's sustainability initiatives is the Rathamilla Endangered Mangrove Conservation Project, which encompasses community engagement sessions, signage installations and guest education through visits to the mangrove estuary. This impactful conservation effort was internationally recognised with the International Gold Winner title in the Hospitality and Travel: Conservation and Wildlife category at the Green Apple Environment Awards 2024 in the UK.

The Dickwella Resort & Spa partnered with the Marine Environment Protection Authority (MEPA) to host a Coral and Beach Cleanup programme under the Clean Sri Lanka National Programme. Conducted on 2nd January 2025, this activity involved staff, guests and local volunteers uniting the community in safeguarding coastal ecosystems and promoting marine biodiversity.

On 28th January 2025, the resort inaugurated the Sea Turtle Conservation Hub, an educational space dedicated to raising awareness about sea turtle protection. This initiative, supported by the Department of Wildlife Conservation, brought together schoolchildren from Batheegama Maha Vidyalaya and NVTI Thalalla, as well as hotel guests to engage in conservation learning and artistic expression. The programme culminated in a symbolic baby turtle release. The Hub aims to evolve into a long-term platform for marine education and youth engagement.

Hotel Sigiriya marked World Wildlife Day 2025 with an art competition on the theme of human-elephant conflict for students of Sigiriya Central College. The event began with an educational session led by the Department of Wildlife Conservation and encouraged students to translate their community-based experiences into creative artwork. The initiative aimed to deepen understanding of wildlife-human interactions and promote coexistence through dialogue and awareness.

Complementing this, Ayugiri Ayurveda Wellness Resort conducted a panel discussion on the causes and mitigation of human-elephant conflict, attended by students, local community members and conservation experts. The discussions underscored the impact of habitat loss and deforestation and highlighted strategies such as sustainable land-use planning and community engagement.

## Management Discussion and Analysis

Furthering its commitment to biodiversity, Browns Hotels & Resorts launched the second season of its Naturalist training programme at Hotel Sigiriya on Endangered Species Day 2025. The program engaged team members from Hotel Sigiriya, Occidental Paradise Dambulla and Ayugiri Ayurveda Wellness Resort in immersive training, supported by the Department of Wildlife Conservation. The initiative seeks to cultivate in-house conservation champions capable of delivering enriched guest experiences and driving ecological awareness.

The Green Initiative for Waste Reduction and Pollution Control at The Calm Resort & Spa in Pasikuda focuses on minimising pollution and managing waste through structured, sustainable strategies. These include recycling, composting, staff training and guest awareness programmes. The initiative also involves site assessments, infrastructure enhancements and collaborations with certified waste collectors to ensure responsible and effective waste management across the property.

Reveal Mirissa, part of the Reveal Collection, continued to operate the only turtle hatchery in Kamburugamuwa. Over the past two-and-a-half years, the hatchery has nurtured more than 40,000 eggs, with the 80th batch of hatchlings released in early 2025. This conservation initiative is supported by the Department of Wildlife Conservation and Beach House by Reveal and contributes significantly to the protection of sea turtles.

The team at Lantern Boutique Hotel also conducted a beach cleanup in Mirissa, engaging staff and guests in efforts to maintain the natural integrity of one of Sri Lanka's most iconic beaches. These ongoing programmes reflect a strong marine conservation ethic embedded within the Reveal brand.

All properties under Browns Hotels & Resorts marked Earth Day on 22nd April 2025, with dedicated programmes, ranging from tree planting and awareness sessions to coastal cleanups and educational workshops. Similarly, Earth Hour was commemorated on 22nd March, with symbolic energy conservation activities aimed at reinforcing the Group's commitment to climate action.

The 2024/25 financial year saw Browns Hotels & Resorts deepen its integration of sustainability into its business ethos. From mangrove restoration and reforestation to marine biodiversity protection and human-wildlife conflict education, each initiative was crafted to deliver tangible ecological value and inspire behavioural change. With strong partnerships, grassroots participation, and a vision for long-term environmental impact, Browns Hotels & Resorts continues to set the benchmark for responsible tourism in Sri Lanka.

### Marina Hotel Holdings

Marina Hotel, strategically located within the Colombo Port City adjacent to the Colombo Marina, is envisioned to be developed as a landmark luxury hospitality offering. Designed to cater to high-end leisure and business travellers, the hotel will be positioned as a premier destination in Sri Lanka's emerging urban waterfront.

With its commanding views of both the ocean and the city skyline, the property will feature a refined classical-contemporary design, aimed at delivering a distinctive and sophisticated guest experience. The development is expected to contribute significantly to the growth of Colombo's luxury tourism sector, supporting the broader vision of positioning Sri Lanka as a world-class travel and business hub.

### GLOBAL

#### Radisson Blu Poste Lafayette - Mauritius

The Group's Radisson Blu Poste Lafayette hotel in Mauritius continued to demonstrate resilience and operational excellence in 2024/25. Despite macroeconomic pressures and the competitive nature of the regional hospitality industry, the property maintained a stable financial and operational performance.

Margin optimisation and cost discipline to sustain profitability amidst external challenges were the two main focus areas during the year. Meanwhile, revenue streams remained steady, supported by robust occupancy rates, effective pricing strategies and optimised operational costs. In addition, diligent efforts were made to maximise RevPAR and contain non-essential expenses, allowing the property to safeguard profitability and maintain positive EBITDA margins.

The property continued to uphold high service standards and operational excellence throughout the year. Guest satisfaction was a key priority, with ongoing investments in staff training, facility maintenance and culinary innovation. The hotel operated at healthy occupancy levels through the period under review, supported by a favourable mix of international leisure and business travellers. Service quality, sustainability integration and team morale were prioritised, ensuring a seamless guest experience across all operational touchpoints.

The Group's commitment to talent development and excellence in service was reinforced through significant recognitions during the year. Two employees of the hotel secured 1st and 2nd place at the National Bread Competition held in April and May 2024, an achievement that reflects the Group's investment in promoting skills enhancement and culinary excellence within the hospitality team.

During the year under review, Radisson Blu Poste Lafayette undertook several impactful activities to advance sustainability and community engagement goals. Key environmental actions included strengthening adherence to Green Key International standards, partnering with Green Impact Collection for recycling, and maintaining a zero food-waste policy in staff canteens. The property also sourced eco-labelled products, such as BE.Eau water bottles and recyclable coffee capsules, to reduce their operational carbon footprint.

Additionally, the hotel actively participated in a beach clean-up at Poste Lafayette Public Beach, reinforcing its commitment to marine conservation. On the social front, all female staff were given a day's leave to celebrate International Women's Day, promoting gender inclusivity and work-life balance. The property also supported community upliftment through the donation of linen to Caritas in the Flacq District, and also extended both in-kind and CSR financial contributions to the SOS Children's Village of Beau Bassin.

Looking ahead, Radisson Blu Poste Lafayette will continue to build brand equity, enhance operational efficiencies and deliver memorable experiences for guests, supported by a foundation built on service excellence, sustainability and community partnerships.

### MALDIVES HOTELS

The Barcelo Whale Lagoon, featuring 100 rooms, successfully completed its second year of operations, marking a strong entry into the Maldivian hospitality market with impressive occupancy rates. In December 2024, Barcelo Nasandhura Male', formerly known as Nasandhura Hotel, opened its doors to the public. This iconic establishment in the capital of Maldives boasts 136 rooms and 118 serviced apartments, making it the largest hotel currently operating on the island. Plans are also underway to develop a sprawling 470-room resort across three islands in the North Male' Atoll.

Barcelo Whale Lagoon Maldives experienced a transformative year in 2024/25, marked by a strategic transition in its operational model, a strong rebound in performance, and international recognition for service excellence. Despite a challenging start to the financial year, the resort demonstrated resilience and adaptability, positioning itself as a standout hospitality destination in the Maldives.

Operationally, the most significant development during the year was the resort's successful transition to a fully 'All-Inclusive' model on 15th November 2024. This strategic move aligned with regional trends and elevated the value proposition for

guests, leading to improved satisfaction and more streamlined operational processes. Enhancements to the guest experience included a range of premium, revenue-generating offerings. These included seafood barbecues at Aqua Restaurant, romantic ‘Glamping Dinners’ on the beach, and Sundowners Private Dinners, all of which enhanced the resort’s positioning as a luxury destination.

In order to increase guest engagement and optimise F&B operations, the resort introduced thematic daytime events such as the Paella Pool Party and Burger Madness, which added vibrancy while helping to manage buffet-related costs. The Breeze Bar menu was refreshed with a variety of creative snacks, while the Magical Restaurant expanded its offerings to include healthy, wellness-focused options, reflecting evolving guest preferences. Several infrastructure improvements were also completed.

The property earned significant recognition during the year, winning the Best Emerging Resort in the Maldives at the Travel Trade Maldives Awards 2024. In addition, three members of the team received nominations at the Hotelier Maldives Awards, which celebrate excellence in hospitality across the country. These nominations included Sales Personality of the Year, Young Hotelier of the Year and Housekeeper of the Year. At the Haute Grandeur Global Hotel Awards 2024, Barceló Whale Lagoon Maldives secured six accolades, including Best New Resort (Global), Best Beach Resort, Best Beach Villa, Destination Wedding Retreat, Honeymoon Hideaway and Best Newly Appointed General Manager in the Indian Ocean region.

The resort also reached several notable milestones during the year. In July 2024, it was officially nominated for the Best Emerging Resort title at the Travel Trade Maldives Awards, while in August it won the six awards listed above. In February 2025, the resort became a featured sponsor of Visit Maldives’ ‘World’s Biggest Giveaway’, reinforcing its growing brand visibility and strategic market positioning.

Sustainability continued to play a vital role in the resort’s agenda. In June 2024, the Global Wellness Day and World Oceans Day were jointly celebrated through a lagoon clean-up and educational marine awareness session led by expert Koamas. The Mandara Spa organised a bottle upcycling workshop and natural skincare product-making sessions using locally sourced ingredients, encouraging guests to engage in eco-conscious practices. Culinary initiatives focused on reducing food miles by incorporating more local ingredients into Maldivian cooking classes, while outdoor cocktail events showcased sustainable spirits and opened discussions on environmental

responsibility. To enhance awareness, the resort launched an Environmental Cinema series featuring documentaries such as ‘Chasing Coral’, which helped guests better understand the importance of coral reef conservation.

Looking ahead, the leisure sector is poised for a new phase of growth, driven by strategic investments and continued emphasis on guest-centric innovation. With a strong pipeline of upgrades, partnerships and property enhancements across Sri Lanka and key regional markets, the Group remains focused on delivering exceptional value to guests while strengthening its position as a leader in the hospitality and leisure space.

## ENTERTAINMENT

### Excel World

Excel World continues to serve as a vibrant family entertainment and leisure destination in the heart of Colombo. Offering a wide range of attractions including game arcades, a bowling alley, a popular food court and various rides, it has established itself as a multi-faceted urban entertainment hub. In 2024/25, Excel World maintained its upward trajectory despite rising competition from newer, upscale mall developments. The property recorded revenues of Rs. 404 million, building on the previous year’s figure of Rs. 405 million, reflecting sustained public interest and operational resilience. As part of its long-term growth strategy, preparations are underway for the launch of a new international-standard theme park, scheduled to open by December 2025. This major upgrade is expected to redefine the entertainment offering at Excel World and position it as a top-tier leisure attraction in the region.

### Colombo Marina Development

The Colombo Marina Project represents a landmark initiative by Browns Investments PLC, the Group’s strategic investment arm, reinforcing the Group’s long-term vision of participating in transformative, globally competitive developments.

Strategically located adjacent to the planned hotel development, the Colombo Marina is poised to serve as a catalyst for marine tourism and waterfront leisure in South Asia. Officially inaugurated on 10th January 2025, this development marks the inception of Sri Lanka’s first integrated luxury marina complex. Spanning a land extent of 30,776 square metres, the Marina will offer a premium mix of lifestyle amenities, including sunset bars, fine-dining seaside restaurants, curated retail experiences, and vibrant entertainment venues.

Designed to accommodate up to 200 mid-to-large-sized vessels, the Marina is being developed with a dedicated investment of USD 120 million. Upon commissioning, the Colombo Marina is expected to significantly elevate Sri Lanka’s positioning in regional nautical tourism, while establishing Port City as a key hub for luxury maritime experiences in the Indian Ocean region.

## ENGINEERING & CONSTRUCTION

During the year under review, Browns Investments continued to strengthen its footprint across multiple sectors including engineering and construction, manufacturing and trading, and mining. The strategic diversification of its portfolio enabled the Group to weather sectoral challenges while pursuing operational efficiencies and long-term value creation.

### Browns Engineering and Construction

During the financial year, Browns Engineering and Construction recorded a revenue of LKR 5.6 billion, representing a 25% decline compared to the previous year’s LKR 7.5 billion. The reduction was largely due to the completion of the Sri Lanka Telecom fibre optic infrastructure project, which had been a major revenue driver in prior periods. Additionally, the slowdown and the delayed recovery of Sri Lanka’s wider construction sector further impacted new project inflows.

Despite these challenges, the Company maintained operational stability and demonstrated strong resilience through proactive cost management, strategic resource allocation, and a continued focus on delivering value across ongoing projects. Browns Engineering and Construction remains committed to navigating the evolving market landscape while positioning itself for growth as industry conditions improve.

A notable milestone during the year was the soft opening of the Nasandhura Palace Hotel in Malé, Maldives, on 29th January 2025. As the largest hotel in the capital island with 118 apartments and 136 rooms across two towers, the property represents a flagship investment for the Group. Operated by the Barcelo Group, the hotel is already receiving positive guest feedback and is expected to make a strong contribution to revenue in the years ahead.

### Browns Metal & Sands

Browns Metal and Sands has not yet commenced commercial production due to prevailing industry conditions and a slow revival in the local construction market. Nevertheless, the Company remained proactive by renewing necessary licenses and progressing groundwork for future growth. Plans are underway to manufacture engineering sand

## Management Discussion and Analysis

and aggregates as a sustainable alternative to river sand, aligning with environmental commitments. In addition, the business is exploring new opportunities in cooperative export and is evaluating the commercial potential of a unique dark green granite deposit identified in its quarry site. Preliminary discussions with international buyers have been encouraging, positioning this as a potential high-value export stream in the future.

### Sierra Cables

Sierra Cables delivered its highest-ever turnover since inception, recording LKR 9.2 billion in revenue – a 14% increase year-on-year (YoY). This exceptional performance came despite a challenging construction environment, with growth driven by a robust expansion in export volumes and a 100% surge in the local retail market. The Company's export contribution now exceeds 20% of total turnover, a remarkable improvement from under 2% at the time of acquisition.

Sierra Cables maintained its A+ [Stable] rating for the fourth consecutive year and secured the prestigious UL44 certification, enabling it to meet high international standards for commercial and residential power distribution in the USA. Notably, it is now the leading exporter of cables to USA from Sri Lanka. The Company also embarked on backward integration by initiating in-house raw material production through energy-efficient technologies, enhancing both sustainability outcomes and profitability. These steps align with the Group's overarching Environmental, Social & Governance (ESG) agenda and strengthen its circular economy model.

### Ajax

Ajax recorded a loss of Rs. 1.36 billion in 2024/25. Despite this challenging financial outcome, the Company successfully completed the Brandix office complex building in Colombo 03, a significant project valued at approximately Rs. 662.8 million. The Company secured two major new contracts expected to be completed in the 2025/26 financial year. These include the Maritime Facilitation Center in Colombo 02, valued at USD 785,770 and the Sasakawa Memorial Sri Lanka Japan Cultural Center in Colombo 08, valued at Rs. 351 million. These wins reflect the Company's ongoing commitment to growth and its ability to secure strategic projects within the construction sector.

With the completion of key projects and acquisition of new contracts, Ajax is well-positioned to improve its financial performance and operational footprint in the coming year.

### Gurind

During the financial year 2024/25 ending 31st March 2025, Gurind maintained its operational focus amid a challenging business environment. The Company sustained steady financial performance, supported by disciplined cost management and operational efficiency initiatives. Despite the absence of major awards or special milestones during the year, Gurind continued to deliver consistent value to its stakeholders. The Company concentrated on strengthening its core activities, ensuring uninterrupted service delivery and client satisfaction throughout the year. Sustainability initiatives remained limited in this period, with no new programmes launched. Looking ahead, Gurind aims to build on its existing strengths and explore opportunities for growth and sustainability in the coming financial years.

### B. I. Commodities & Logistics

Within the manufacturing sector, B.I. Commodities and Logistics stood out as Sri Lanka's leading timber treatment provider to the construction industry and other timber users in providing a solution for durability.

BICL business comprises several revenue segments apart from timber treatment, kiln drying as a value-added service for timber treatment, manufacturing and supplying treated wooden pallets to the export industry in line with the international ISPM 15 regulation and for logistics operations, wooden flooring, and as the new addition where door and window frames and sashes are manufactured according to customers specifications.

The Company's pallets meet stringent export requirements and also have the certification in heat treating wooden packaging material according to ISPM standard. needs. During the period under review, B.I. Commodities recorded a 36% increase in operating profit, supported by improved operational efficiencies and over 80% reduction in finance costs through prudent financial management.

With the economic situation improving we expect an improvement in the construction and hospitality industry. This would increase the demand for timber treatment, Kiln seasoning and wooden flooring.

### Conclusion

In conclusion, Browns Plantations has emerged as the world's largest tea exporter, driven by strategic global acquisitions, operational excellence, and a strong commitment to sustainability and innovation.

With a diversified agricultural footprint and a presence across Sri Lanka, Africa, and China, the Company is well-positioned for long-term growth. Focused on value creation, ESG compliance, and technological advancement, Browns Plantations continues to set new benchmarks in the global plantation industry.

In 2024/25, Browns Hotels & Resorts delivered its most profitable year to date, driven by strong operational performance, strategic cost optimisation, and a surge in global tourism. Despite tourist arrivals in Sri Lanka still below 2018 levels, nearly all properties recorded significant earnings, with high guest satisfaction and staff engagement.

Key success factors included a lean workforce model, targeted refurbishments, tech integration, and consistent service upgrades. Sustainability was deeply embedded, with impactful conservation and community initiatives across the portfolio.

International operations in Mauritius and the Maldives also performed strongly, enhancing the Group's regional presence. With new developments like the Marina Hotel in Colombo Port City underway, Browns Hotels & Resorts is well-positioned for continued growth and leadership in the South Asian hospitality sector.

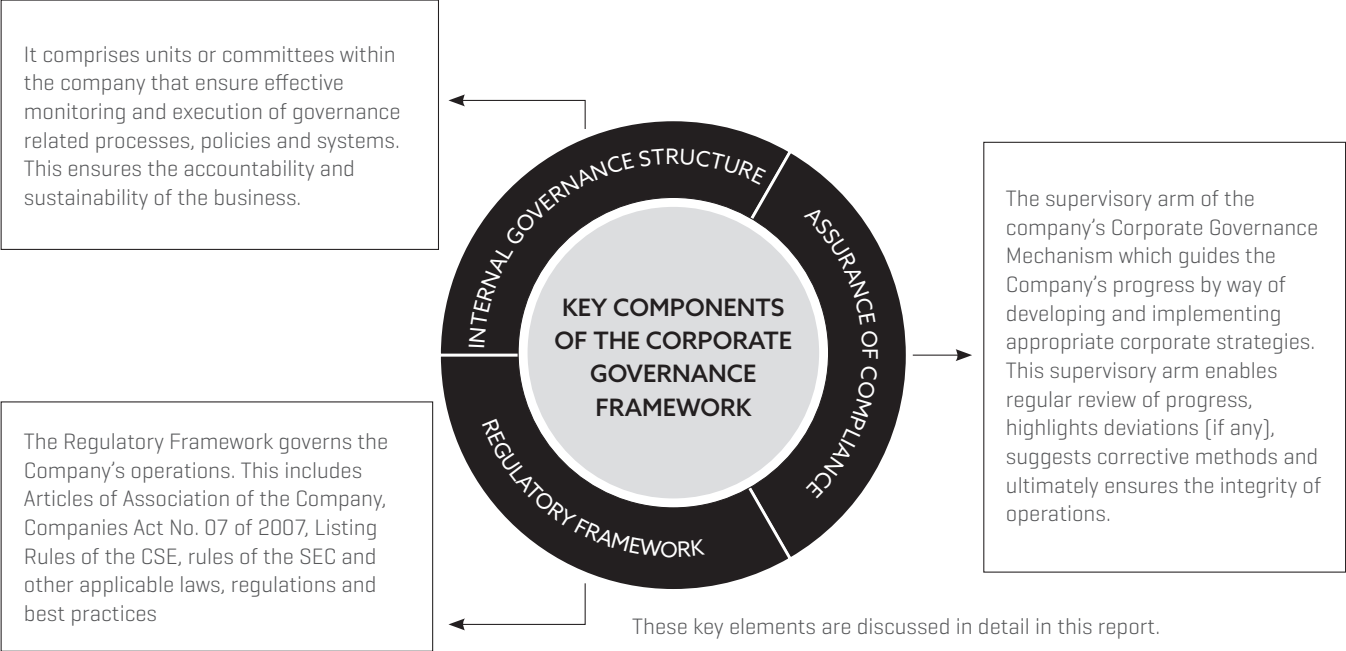
The Entertainment sector maintained steady performance, reflecting strong public engagement and operational resilience, while laying the foundation for future growth with the upcoming international-standard theme park.

Meanwhile, the Engineering & Construction sector navigated a challenging environment with disciplined cost management and project execution, and Sierra Cables delivered record revenues through robust export growth and a strengthened local retail presence.

Together, these diverse businesses underscore the Group's resilience and adaptability, reinforcing its ability to create sustainable value across sectors and geographies.

# Corporate Governance Report

## Key components of the Corporate Governance Framework



### CORPORATE GOVERNANCE FRAMEWORK

The key components of the Corporate Governance framework of the Company is based on the following key elements:

#### INTERNAL GOVERNANCE STRUCTURE

The main three pillars of the internal governance structure of the Company are as follows;

Executive Chairman and the Chief Executive Officer

Senior Independent Director and the Board of Directors

Board Committees.

Internal Controls

#### The Board

Responsible for the overall conduct of the Group's business including our long-term success; setting our purpose; monitoring culture; values; standards and strategic objectives; reviewing our performance; and ensuring a positive dialogue with our stakeholders is maintained.

#### Audit Committee

Reviews the adequacy of the Group's system of internal control, including the risk management framework and related compliance activities. Monitors the integrity of financial statements, reviews significant financial reporting judgements, advises the Board on fair, balanced and understandable reporting and the long-term viability statement.

#### Remuneration Committee

Reviews and recommends the policy on remuneration of the Senior Management team. Monitors the implementation of the Remuneration Policy. Oversees general pay practices across the Group.

#### Related Party Transactions Review Committee

Reviews and recommends the policy on all Related Party Transactions practices across the Group.

#### Nominations and Governance Committee

Reviews process for selecting Board Members; review structure, size, composition and assess skills required, identify suitable persons to be appointed and ensure induction; and succession planning of the Board of Directors.

# Corporate Governance Report

## THE EXECUTIVE CHAIRMAN, SID AND THE BOARD OF DIRECTORS

The structure of the Board is designed to ensure that it focuses on strategy together with the monitoring of performance, control and risk. The Board considers that the Company's governance structure facilitates the operation of an open culture, and is not burdened by complex hierarchies and over-delegation of responsibilities.

As the highest decision-making body within the Company, the Board keeps pace with the responsibility of overseeing strategic objectives in adherence to evolving regulatory reforms.

Accordingly, the Board has established a governance structure aimed at ensuring transparency, accountability, equity and ethical conduct amidst a dynamic business environment, in the management of the organisation with the allocation of resources and responsibilities among various stakeholders including the board of directors, shareholders and employees, safeguarding the interests of the shareholders, while promoting sustainability, integrity and trust.

The Company is committed to full compliance with all statutory obligations mandated by regulators and abides by its Code of Conduct applicable to all directors and employees.

### Mandatory Regulatory Frameworks – fully compliant

- The Companies Act No. 7 of 2007
- Listing Rules of the Colombo Stock Exchange
- Securities and Exchange Commission of Sri Lanka (SEC) Act No. 19 of 2021, including rules, regulations, directives and circulars

### Voluntary Frameworks and Standards

- Code of Best Practice on Corporate Governance jointly advocated by the Securities and Exchange Commission of Sri Lanka (SEC) and the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka)

The rest of the Corporate Governance Report, provides information to aid understanding of how the Company has applied the principles in the Code of Best Practice on Corporate Governance and the Corporate Governance Rules of the Colombo Stock Exchange.

The Board has a formal schedule of matters reserved for it and holds quarterly meetings where such matters are discussed and approved, including investments, significant items of capital expenditure, funding, IT security and compliance. It is also responsible for:

- The long term success of the Company, setting and executing the business strategy and overseeing delivery in a way that enables sustainable long term growth;
- Providing effective leadership whilst delegating more detailed matters to its Committees and officers; including the Chief Executive Officer and Group Chief Financial Officer;
- Setting and monitoring the Group's risk appetite and the system of risk management and internal control and for monitoring;
- Implementation of its policies by the Executive Team;
- Approving annual group budget and subsequent regular review of performance against budget including explanation of significant variances. Forecasts for each year are revised and reviewed in periodical manner.

## THE ROLE OF THE EXECUTIVE CHAIRMAN

The Chair is responsible for leading the Board, setting the agenda and ensuring its effectiveness. This position is responsible for promoting a culture of openness and robust debate within the Board and setting the tone of the Group as a whole. The Chair ensures there is effective communication with shareholders and other stakeholders and that the Board has a clear understanding of their views.

Key responsibilities of the Executive Chairman are as follows;

- Leads the Board, sets each meeting agenda and ensures the Board receives accurate, timely and clear information in order to monitor, challenge, guide and take sound decisions;
- Regularly meets Chief Executive Officer and other senior management to stay informed;

- Ensures effective communication with shareholders and other stakeholders;
- Promotes high standards of corporate governance and ensures Directors understand the views of the Company's shareholders and other key stakeholders so they can consider them in Board discussions and decision-making;
- Promotes and safeguards the interests and reputation of the Company; and
- Represents the Company to customers, suppliers, governments, shareholders, financial institutions, the media, the community and the public.

The Chief Executive Officer (CEO) of the Company is responsible for leading and managing the Company's business within a set of authorities delegated by the Board and for the implementation of Board strategy and policy.

Other responsibilities of the CEO are as follows:

- Day-to-day management of the Company;
- Responsible for all commercial, operational, risk and financial elements of the Company
- Developing the Company's strategic direction and implementing the agreed strategy;
- Ensuring effective communication and information flows to the Board and the Chairman.
- Representing the Company to external stakeholders;
- Responsible for the oversight of key functions of the Company ;

## SENIOR INDEPENDENT DIRECTOR

In terms of the Section 9 of the Listing Rules, the Company has appointed a Senior Independent Director (SID), as the Chairman of the Board holds an Executive position, to ensure that no individual has unfettered powers of decision making within the Board. The Executive Chairman is responsible to provide leadership to the Board whilst the SID is responsible to review the effectiveness of the Board's activities. Therefore, the presence of the SID add value to the performance of the Board and support the Chairman performing his duties and responsibilities.

The report of the SID for the year under review and Terms of Reference of the SID are set out on page 43

## BOARD OF DIRECTORS

The Board of Directors is collectively responsible to the Company's shareholders for the long-term success of Browns Investments. It provides entrepreneurial leadership within a transparent governance framework, setting the Group's purpose, values, and strategy, and ensuring they align with the Company's culture. Board activities are structured to develop the Group's strategy and to enable the Board to support executive management on the delivery of it within a transparent governance framework.

The Board ensures appropriate resources are in place, monitors performance, and oversees internal controls, governance, and risk management, including the Group's risk appetite. Through regular meetings, the Board reviews reports from the CEO and Group CFO on operational and financial performance, investor relations, communications, and corporate developments.

Specific responsibilities are delegated to Board Committees with clearly defined terms of reference. Day-to-day operational management is delegated to the Chief Executive Officer, with Business Unit Heads reporting directly to him.

## BOARD MEETINGS AND ATTENDANCE

The Board and its Committees have a scheduled forward programme of meetings to ensure that sufficient time is allocated to each key area and the Board's time is used effectively. There is sufficient flexibility for items to be added to the agenda which enables us to focus on key matters relating to the business at the right time. Directors may also propose the inclusion of items on the agenda. The Board meets on scheduled four quarterly meetings and ad-hoc meetings as and when required.

The Board of Directors held five meetings during the year under review.

All Directors bring independent judgement on matters relating to the Board. The Chief Executive Officer and the Group Chief Financial Officer are invited to attend Board meetings. The Heads of Divisions and any other senior officers of the Company including the Auditors are invited, when appropriate. The presentation on the results and strategies of the business units are presented by the Group Chief Financial Officer. Papers for Board and Committee meetings are provided to Directors in advance of the meetings. Where a Director is unable to participate in a meeting, his/her views on key items of business could be expressed and shared in advance of the relevant meeting enabling him/her to contribute to the debate.

The attendance details of the Directors at Board meetings during the year under review are shown in the table below.

| Name of Director                            | Dates of Board Meeting |            |            |            |            | Total |
|---------------------------------------------|------------------------|------------|------------|------------|------------|-------|
|                                             | 31.05.2024             | 15.08.2024 | 13.11.2024 | 24.01.2025 | 14.02.2025 |       |
| Mr.I.C.Nanayakkara                          | ✓                      | ✓          | ✓          | ✓          | ✓          | 5/5   |
| Mr.W.D.K.Jayawardena                        | ✓                      | ✓          | ✓          | ✓          | ✓          | 5/5   |
| Mrs.K.U.Amarasinghe                         | ✓                      | ✓          | -          | -          | ✓          | 3/5   |
| Mr.D.S.K.Amarasekera                        | -                      | ✓          | ✓          | ✓          | ✓          | 4/5   |
| Mr.J.M.Swaminathan<br>[retired on 01.01.25] | ✓                      | ✓          | ✓          | n/a        | n/a        | 3/3   |
| Mr. S.Furkhan<br>[retired on 01.01.25]      | ✓                      | ✓          | -          | n/a        | n/a        | 2/3   |
| Mr.K.Sivanesan<br>[appointed on 01.10.24]   | n/a                    | n/a        | ✓          | ✓          | ✓          | 3/3   |
| Mr.C.N.Wijesinha<br>[appointed on 01.01.25] | n/a                    | n/a        | n/a        | ✓          | ✓          | 2/2   |

## Professional Advice

Should Directors judge it necessary to seek independent advice about the performance of their duties with the Company, they are entitled to do so at the Company's expense. There is a regular flow of written and verbal information between all Directors irrespective of the timing of Board meetings. The Company has an open culture and its Non-Executive Directors meet on a formal and informal basis with the management and have unrestricted access to the business and its employees.

## Company Secretaries

The Company Secretaries, LOLC Corporate Services (Private) Limited is responsible for inducting new Directors, assisting the Chairperson and the Board of Directors in determining the annual Board plan, guiding the Board and the individual Directors in the proper discharge of their responsibilities and act as a central source of guidance on matters of ethics and governance. In addition to the many duties, the Company Secretary is responsible for making necessary disclosures required by law and regulations and also acts as a channel of communication with shareholders to ensure good shareholder relations. The shareholders can contact LOLC Corporate Services (Private) Limited, the Company Secretaries, on 011-7248128, 0117248512 or 0117248522 for any Company related information requirement.

# Corporate Governance Report

## Board Responsibilities and Decision Rights

As the interests of key stakeholder groups continue to evolve, the Board will maintain its engagement to ensure their interests continue to be well understood in order to be appropriately considered and balanced in Board decision-making. Principal decisions are assessed as material to the Group's strategy.

Given the Board's commitment to continuous improvement, an ongoing training programme for Directors at appropriate times is in place. All Directors are well informed of the changes in any statutory and regulatory rules and regulations. Transactions which have a material bearing on the Company are disclosed by way of announcements to the Colombo Stock Exchange.

## Induction and professional development

We believe good decision-making is enabled by a deep understanding of our operations and people. All our Directors commit their time to complete an induction and training programmes.

We have a comprehensive induction programme in place for our newly appointed Directors and each new Director is provided with a tailored induction programme to suit their individual needs. This involves meetings with other members of the Board, Executive Committee members and senior management, it also covers technical briefings and site visits. During the induction each Director is encouraged to identify areas which they would like additional information on, or further meetings. On completion of the induction programme, all new Directors have sufficient knowledge and understanding of the business to enable them to effectively contribute to strategic discussions and oversight of the Group.

## Board training and development

To assist the Board in undertaking its responsibilities, ongoing training is provided for all Directors and training needs are assessed as part of the Board evaluation procedure. The Board programme includes regular presentations from management, site visits if necessary, and informal meetings, to build their understanding of the business and sector. During the past year, Directors received briefings on regulatory reforms and governance developments impacting Browns Investments.

## Financial Acumen

The Board recognises that its responsibility to present a fair, balanced and understandable assessment extends to interim and other price-sensitive public reports to regulators, and information required to be presented by statutory requirements. In relation to this requirement, reference is made to the Statement of Directors' Responsibility for preparing the Financial Statements set out in this Annual Report and Accounts. The Board consists of senior Accountants who possess the necessary knowledge to offer the Board guidance on matters of finance.

## Board balance

The structure of the Board is designed to ensure that it focuses on strategy together with the monitoring of performance, control and risk. Through delivery of our succession plan we have in place a smaller, cohesive Board that will provide the informed insight and constructive support.

The Board is committed to ensuring that its membership reflects diversity in the broadest sense and while all Board appointments are made on the basis of individual competence and merit, recruitment of Board members considers diversity of skills, background and personal strengths to provide the range of perspectives, insights and challenge needed to have a positive impact on the quality of decision making.

The composition of the Board changed during the year due to regulatory reforms. Of the six members currently sitting on the Board, five directors are non executive of whom two are independent.

| No | Name of Director         | Executive /Non-Executive | Independent/Non-independent | Gender representation |
|----|--------------------------|--------------------------|-----------------------------|-----------------------|
| 1  | Mr. Ishara Nanayakkara   | Executive                | Non-Independent             | Male                  |
| 2  | Mr. Kapila Jayawardena   | Non-Executive            | Non-Independent             | Male                  |
| 3  | Mrs. Kalsha Amarasinghe  | Non-Executive            | Non-Independent             | Female                |
| 4  | Mr. Kamantha Amarasekera | Non-Executive            | Non-Independent             | Male                  |
| 5  | Mr. K. Sivanesan         | Non-Executive            | Independent                 | Male                  |
| 6  | Mr. C.N. Wijesinha       | Non-Executive            | Independent                 | Male                  |

The Board considers that the two Independent Non-Executive Directors are independent in character and judgement and that they are each free from any business or other relationships which would materially interfere with the exercise of their independent judgement. The Independent Non-Executive Directors have submitted signed confirmations of their independence.

The Directors have a range of experience and can bring independent judgement to bear on issues of strategy, performance, resources and standards of conduct. This experience and judgement are considered vital to our success. It is the balance of skills, experience, independence and knowledge of our Directors which ensures the duties and responsibilities of the Board and its Committees are discharged effectively. The Board has considered the Chairman's role and determined that he has appropriate time and resources to devote to his role as the Chairman of Browns Investments PLC. All Directors are subject to election or re-election by shareholders at each Annual General Meeting.

The majority of the Board members are Non-Executives. The Non-Executive Directors provide independent oversight and constructive challenge to the Executive Management Team, helping to develop proposals on strategy, scrutinising performance in meeting agreed goals and objectives. They play a primary role in succession planning.

### Appointment and Re-election of Directors

If any new appointments are made to the Board they are communicated to the shareholders via a market disclosure to the Colombo Stock Exchange. The profiles of the current Directors are given on pages

The Company's Articles of Association require 1/3 of the Directors in office to retire at each Annual General Meeting. The Director who retires will be the one who has been longest in office since his/her appointment/ re-appointment. Retiring Directors are generally eligible for re-election by the shareholders.

### Board evaluation

The Board recognises that it needs to continually monitor and improve its performance. This is achieved through the annual performance evaluation, full induction of new Board members and ongoing Board development. The conclusions of this year's review have been positive and confirmed that the Board remains effective. The Chairman and Company Secretaries worked together to devise a structure for the internal evaluation process to enable a rigorous review of the Board as a whole, its Committees and individual Directors' contributions to Board discussions and decision-making. More time devoted to discussion around strategic matters and succession planning was positively received. All Directors demonstrated commitment to their roles and contributed effectively.

### HIGHLIGHTS OF THE BOARD EVALUATION

- Input for Policy formulation;
- Contribution to strategic sector development;
- Succession planning: Board and senior management;
- Contribution and input to strategic planning;
- Overseeing management in line with Board policy;
- Commitment to accountability and governance
- Strategic risk identification and input to management;
- Instilling a sustainability mindset and sustainability oversight.

### The four key areas for the future development of the Board's effectiveness were:

- Board oversight – Increase the opportunities for engaging the full Board in evolving the Group's strategy including developing the knowledge and insight of the whole Board and encouraging Directors to bring external insights;

- Board development and engagement – As the Board evolves it continues to focus on the development of the Board itself as a cohesive unit able to continue to challenge consistently and effectively while maximising the diversity of contribution, expertise and knowledge on the Board;
- Leadership role of the Board – Provide for greater engagement of the Board with broader stakeholder communities in a more proactive and consistent way; and
- Board planning – Continue to develop an efficient, effective and balanced governance support process including creating capacity for the Board to undertake reflective challenge and debate on strategic performance.

### Subsidiary Companies' Monitoring Framework

All subsidiary companies of Browns Investments PLC are managed by their respective Boards according to the respective companies' Articles of Associations and in the best interest of their stakeholders. Browns Investments PLC monitors the performance of subsidiary companies through periodic reporting.

### BOARD COMMITTEES

The Board discharges some of its responsibilities through, and is supported by its Committees which provide oversight and make recommendations on the matters delegated to them by the Board. The Board has established four principal Board Committees as shown on page 46 from time to time, the Board establishes special purpose Committees to assist it in overseeing specific areas that may require additional attention.

Board Committee membership and attendance at meetings is set out on pages 18 and 19. Each Committee is led by an experienced Chair. The matters being recommended by a Committee are forwarded for Board approval. A calendar is prepared and agreed upon at the beginning of each year.

## Corporate Governance Report

The compositions of the Board Committees as at date are as follows:

| Audit Committee                          | Talent Development & Remuneration Committee | Related Party Transaction Review Committee | Nomination & Governance Committee       |
|------------------------------------------|---------------------------------------------|--------------------------------------------|-----------------------------------------|
| Two Independent Non -Executive Directors | Two Independent Non-Executive Directors     | Two Independent Non-Executive Directors    | Two Independent Non-Executive Directors |
| One Non-Executive Director               | One Non-Executive Director                  | One Non-Executive Director                 | One Non-Executive Director              |

### AUDIT COMMITTEE

The Audit Committee plays a vital role in the strong governance framework in place at Browns Investments PLC by providing independent challenge and oversight to significant matters including external disclosures and the Group's internal control environment.

The Company Secretaries serve as the Secretary to the Committee. The Directors who are non-members of the Committee are invited to the meetings. The Chief Executive Officer/Chief Financial Officer of the Group and the Group Chief Risk Officer are requested to be present at the Meetings. The External Auditors are invited, when appropriate. The Audit Committee reviews the scope and results of the audit and its effectiveness, and the independence and objectivity of the Auditors. They also review the nature and extent of non-audit services provided by the Auditors to ensure that Auditors maintain objectivity and independence. The Committee operates within its written Terms of Reference and the Audit Charter. The purpose of the Committee, its duties and responsibilities including the scope and functions of the Committee are summarised in the Audit Committee Report on pages 18 to 39.

The attendance details during the year under review are as follows:

| Name of Director                            | Dates of Meeting |            |            |            |       |
|---------------------------------------------|------------------|------------|------------|------------|-------|
|                                             | 31.05.2024 *     | 15.08.2024 | 13.11.2024 | 14.02.2025 | Total |
| Mr.D.S.K.Amarasekera                        | -                | ✓          | n/a        | ✓          | 2/3   |
| Mr.J.M.Swaminathan<br>[retired on 01.01.25] | ✓                | ✓          | ✓          | n/a        | 3/3   |
| Mr. S.Furkhan<br>[retired on 01.01.25]      | ✓                | ✓          | -          | n/a        | 2/3   |
| Mr.K.Sivanesan<br>[appointed on 01.01.25]   | n/a              | n/a        | ✓          | ✓          | 2/2   |
| Mr.C.N.Wijesinha<br>[appointed on 01.01.25] | n/a              | n/a        | n/a        | ✓          | 1/1   |

\* Meetings with External Auditors participation

### TALENT DEVELOPMENT AND REMUNERATION COMMITTEE

The Committee's primary purpose is to incentivise Executive Directors and Senior Management by aligning their interests with the strategic priorities of the Group and the creation of long-term value for the shareholders and other stakeholders. The Remuneration Committee is also made up exclusively of Non-Executive Directors. The Committee currently comprises three Non- Executive Directors, two of whom are independent. The Committee met in order to review the remuneration policy of the Group. The detailed Talent Development & Remuneration Committee Report is given on page 41 of this Annual Report.

The attendance details during the year under review are as follows:

| Name of Director                         | 28.03.2025 |
|------------------------------------------|------------|
| Mr.K.Sivanesan [appointed on 01.01.25]   | ✓          |
| Mr.C.N.Wijesinha [appointed on 01.01.25] | ✓          |
| Mrs.K.U.Amarasinghe                      | -          |

## RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

The Related Party Transactions Committee was established to enhance corporate transparency and promote fair transactions. The Committee is responsible for reviewing related party transactions as per the guidelines given in the Listing Rules of the CSE.

The Related Party Transactions Review Committee meets at least once every quarter. The meeting schedule for the year is provided to the Committee by the Company Secretaries at the beginning of each year. The presence of a majority of the Committee members constitute a quorum and resolutions are adopted by a majority of the votes of members attending the meeting.

The Company recognises that Related Party Transactions may raise questions as to whether those transactions are consistent with the best interests of the Company and its shareholders. It is the Company's policy to enter into or ratify Related Party Transactions only when the Related Party Transactions Review Committee determines that the Related Party Transaction in question is in, or is not inconsistent with, the best interests of the Company and its shareholders. The Company's Board of Directors review the Policy annually and may update the Policy from time to time in connection with such review.

framework considering applicable laws, rules and regulations.

The attendance details during the year under review are as follows

| Name of Director                                | 28.03.2025 |
|-------------------------------------------------|------------|
| Mr.C.N.Wijesinha<br>[appointed on 01.01.25]     | ✓          |
| Mr.K.Sivanesan<br>[appointed on 01.01.25]       | ✓          |
| Mr.W.D.K.Jayawardena<br>[appointed on 01.10.24] | ✓          |

The detailed Committee Report is given on page 42 of this Annual Report

The attendance details during the year under review are as follows

| Name of Director                            | Dates of Meeting |            |            |            |       |
|---------------------------------------------|------------------|------------|------------|------------|-------|
|                                             | 31.05.2024       | 15.08.2024 | 13.11.2024 | 14.02.2025 | Total |
| Mr.C.N.Wijesinha<br>[appointed on 01.01.25] | n/a              | n/a        | n/a        | ✓          | 1/1   |
| Mr.K.Sivanesan<br>[appointed on 01.01.25]   | n/a              | n/a        | n/a        | ✓          | 1/1   |
| Mr.D.S.K.Amarasekera                        | -                | ✓          | ✓          | ✓          | 3/4   |
| Mr.J.M.Swaminathan<br>[retired on 01.01.25] | ✓                | ✓          | ✓          | n/a        | 3/3   |
| Mr. S.Furkhan<br>[retired on 01.01.25]      | ✓                | ✓          | -          | n/a        | 2/3   |

The detailed Related Party Transactions Review Committee Report is given on page 40 of this Annual Report

The required market announcement was done on the change of the composition in the Related party Transaction Review Committee effective from 01st January 2025 where Dr. J.M. Swaminathan and Mr.Stefan Furkshan retired from the Board of Directors and Mr. K. Sivanesan and Mr. C.N. Wijesinghe were appointed as Members.

## NOMINATIONS AND GOVERNANCE COMMITTEE

Browns Investments established the Nominations and Governance Committee of Browns Investments with effect from 1st October 2024 as a key component of its Governance framework in compliance with the revised rules on Corporate Governance. Consequently, the Committee is mandated to adopt best practices in corporate ethics to strengthen governance practices. The Committee leads the process of all board nominations, board and subcommittee appointments; board induction, evaluation and discussion of outcomes at Board level; periodic succession planning for Board members in consultation with the Chairman; and review the CG

## RISK MANAGEMENT AND INTERNAL CONTROLS

The Board is responsible for the Group's systems of internal control. The internal control framework is designed to facilitate effective and efficient operations, ensure a high quality of internal and external reporting, and ensure compliance with applicable laws and regulations. The Directors and Management are committed to maintaining a robust control framework as the foundation for the delivery of effective risk management. Owing to the limitations inherent in any internal control framework, the controls have been designed to manage and mitigate, rather than eliminate, the risks. The Directors acknowledge their responsibilities in relation to the Group's internal control framework and for reviewing its effectiveness.

The Board confirms that throughout the year and up to the date of approval of this Annual Report & Accounts, there have been rigorous processes in place to identify, evaluate and manage the principal risk faced by the Group, including those that would threaten its business model, future performance, solvency or liquidity, the likelihood of a risk occurring and the costs of control in accordance with the Code of Best Practices on Corporate Governance.

## Corporate Governance Report

The Audit Committee assists the Board in discharging its responsibilities with regard to external and internal audit activities and controls including reviewing audit reports, internal controls and risk management systems. The Audit Committee is satisfied that the Group's risk management and internal control framework in relation to the Group's risk profile and strategy was effective and adequate. The Board therefore remained satisfied that the system of internal control continued to be effective in identifying and assessing the various risks to the Group and in monitoring and reporting progress on their potential impact.

Some of the policies which play a key role in this respect are:

### Code of Business Conduct and Ethics

This applies to all the directors and employees of the Company. The code ensures that there is no conflict of interest where individuals' interest conflicts with the interests of the Company, and makes timely disclosure of such situations; maintains confidentiality of information, ensures fair dealing with the Company's customers and suppliers and refrains from any unfair dealing and manipulations, thereby promoting ethical behaviour within the Company.

### IT Governance

The Company believes that IT environment and the controls over this are the fundamental building block upon which our internal control environment is built.

The strong IT governance structure in place at Browns Investments PLC ensures that the effective and efficient use of IT enables the Company to create innovations to increase our digital saviness across the business.

A thorough review was undertaken of our cyber environment to ensure that we have appropriate data and information governance processes and controls, e-commerce defences, proactive security and strong incident management processes across the business.

### INTERNET OF THINGS AND CYBERSECURITY

As technology rapidly evolves and the Company's operations become increasingly intertwined with technological advancements, processes and controls are enhanced, creating efficiencies and new opportunities. However, this also exposes the Company to greater digital vulnerabilities. Consequently, the Board prioritises ensuring that the Company's soft and hard infrastructure is robust enough to address potential breaches. Data protection, information management, and cybersecurity are recurring topics in risk management and audit committee meetings, and are periodically reviewed at the Board level.

LOLC Technology Services Limited (LOITS), a subsidiary of the Parent Company, and LOLC Holdings PLC provides the IT related services to the Company.

### Internal Audit

The Internal Auditors monitor and report on the adequacy of the Financial and Operational systems of the divisions, in order to strengthen internal controls. The Internal Audit team comprises the necessary skills and experience relevant to the operation of each business. All of the internal audit activities are coordinated centrally by the LOLC-Enterprise Risk Management Team.

All Group businesses are required to comply with the Group's financial control framework that sets out minimum control standards. A key function of the Group's internal audit resources is to undertake audits to ensure compliance with the financial control framework and make recommendations for improvement in controls where appropriate. Internal Audit also conducts regular reviews to ensure that risk management procedures and controls are observed. The Audit Committee receives regular reports on the results of Internal Audit's work and monitors the status of recommendations arising. The Committee reviews the nature and scope of the internal audit activity in the overall context of the Group's risk management system.

### ASSURANCE OF COMPLIANCE

The Board, through the Group Legal and Secretarial Division, the Group Finance Division and its other operating structures, monitors and assesses the level of compliance of the Company with laws and regulations. It also reviews the changes in regulations and strives to ensure that the Company is in compliance with the regulatory requirements of the country. The Board receives updated reports on compliance at each Board meeting held after a Financial Quarter with regard to the significant legal and regulatory frameworks that are applicable to its operations. When carrying out the function of compliance, the Internal and External audit as well as Board Committees also play a vital role in the governance structure of the Company.

### Accountability and Audit

The Board recognises its responsibility to present a fair, balanced and understandable assessment of the Company's position, performance, business model and strategy.

This extends to interim and other price-sensitive public reports to regulators, and information required to be presented by statutory regulations. In relation to this, reference is made to the Statement of Directors' Responsibility for preparing the Financial Statements set out on page 50 of this Annual Report and Accounts. A description of the Company's business model for sustainable growth is set out in the Management Discussion & Analysis on pages 06 to 12. This section provides an explanation of the basis on which the Group generates value and preserves it over the long term and its strategy for delivering its objectives.

The External Audit Report enables the Board to determine the adequacy and effectiveness of the Company's internal controls. Deloitte Partners, Chartered Accountants acted as the External Auditors of the Company for the reporting year. The Company has the necessary mechanisms in place to ensure the independence of the External Auditors and the Audit Committee verifies that the services provided by the Auditors comply with applicable legislation.

### **Going Concern**

The Board of Directors, after reviewing the financial position and the cash flow of the Company are of the belief that the Company has adequate resources to continue operations well into the foreseeable future. Therefore, the Board has adopted the going concern basis in preparing financial statements.

### **Ethical Standards**

The Board is committed to maintaining high ethical standards in conducting its business and to communicate its values to its employees and agents and ensure their conduct is based on such values.

### **Stakeholder Engagement**

Our Board is committed to engaging with stakeholders directly wherever possible. Decisions are made by the Board which can impact one or more of our key stakeholder groups in quite different ways. This requires a considered and balanced approach to decision-making, ensuring high-quality information is provided to the Board in a timely manner and diversity of thought and open discussions during meetings. Our internal effectiveness review concluded that high-quality information was received by the Board and appropriate time was allowed for Board discussion. Our key stakeholder groups are identified as most likely to be affected by the principal decisions of the Board and include our customers, staff, suppliers, local communities and non-governmental organisations, regulators and governments and our investors.

### **Shareholder Value**

The Board continues to be committed to increasing shareholder value through sound commercial responsibility and sustainable business decisions that deliver steady growth in earnings.

### **Shareholder Relations**

The Company reports formally to shareholders in a number of ways. Significant matters relating to trading or development of the business and routine reporting obligations are disseminated by way of Stock Exchange announcements and by press releases. The Board considers the Annual General Meeting as a prime opportunity to communicate with shareholders. Shareholders are given the opportunity of exercising their rights at the Annual General Meeting. Each resolution brought before the shareholders at the Annual General Meeting is voted on

separately by them. The notice of the Annual General Meeting and the relevant documents required are published in the CSE website within the statutory period. The Annual General Meeting provides an opportunity for shareholders to seek and obtain clarifications and information on the performance of the Company and to formally meet the Directors. The External Auditors are also present at the Annual General Meeting to render any professional assistance that may be required. Shareholders who are not in a position to attend the Annual General Meeting in person are entitled to have their voting rights exercised by a proxy of their choice.

The Company publishes Interim Financial Statements in a timely manner. This enables the stakeholders to make a rational judgement of the Company.

Shareholders can also contact the Company directly via a dedicated email address or via dedicated telephone numbers, provided on the inside back cover of this report. The Company's website also contains information for institutional and retail shareholders alike. The Company's Registrars provides access facility for registered shareholders, providing details of their shareholdings. Facilities are also provided for shareholders to lodge proxy appointments electronically.

### **Corporate Social Responsibility**

The Board actively takes part in defining and overseeing the corporate culture and values, particularly in the corporate social responsibility policy. The Board continuously reviews the policies for sustainability, corporate culture and values and on relations with stakeholders, especially employees, customers and consumers

## Corporate Governance Report

in countries where the Group operates. The corporate social responsibility policy is structured in line with the business strategy and risk appetite and putting into place mechanisms to ensure that all Group entities know how they fit into these strategies and that their processes and mechanisms are consistent with those of the policy of the Ultimate Parent.

### REGULATORY FRAMEWORK

This refers to the regulatory structure within which the Group operates in conforming to established governance related laws, regulations and best practice. This comprises, among others, the Companies Act No 07 of 2007, Listing Rules of the CSE, rules of the SEC and the benchmarks set for the Group in working towards local and global best practices.

The Company maintains policies relating to its governance and matters relating to Board of Directors in line with the Listing Rules of the CSE and the Code, the extracts of which are set out in pages 193 to 194.

### Self-Governance Practices by the Company

Our Group has grown and evolved considerably since its formation and a great deal has changed, but the essence of what we do has remained a constant. Operating ethically is a core value at the heart of our Group and our intention has always been to do the right thing for our people and the wider community. Our approach to ensuring that this is sustained is described in the Management Discussion & Analysis section of this Report.

As provided by the Companies Act No.7 of 2007, the Company has in place appropriate Directors' and Officers' liability insurance cover in respect of legal action against its Executive and Non-Executive Directors, amongst others.

The rules of Corporate Governance and disclosure requirements for listed companies as mandated by the Securities & Exchange Commission of Sri Lanka and also in the requirements of the listing rules of the Colombo Stock Exchange are complied with, as this helps to build an ethical environment in the Company.

**CODE OF BEST PRACTICES OF CORPORATE GOVERNANCE JOINTLY ISSUED BY THE SECURITIES AND EXCHANGE COMMISSION OF SRI LANKA [SEC] AND THE INSTITUTE OF CHARTERED ACCOUNTANTS OF SRI LANKA [CA SRI LANKA]**

[Issued on 1st July 2008 and includes amendments to date]

| Section              |                                                                                                                                                                                                                                                                                                                                                                                                                | Compliance status | Company's Action                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|----------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>A. DIRECTORS</b>  |                                                                                                                                                                                                                                                                                                                                                                                                                |                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>A.1 The Board</b> |                                                                                                                                                                                                                                                                                                                                                                                                                |                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| A.1                  | The Company to be headed by an effective Board to direct, lead and control the Company                                                                                                                                                                                                                                                                                                                         | ✓                 | The Company is headed by an effective Board of Directors who are responsible and accountable for the stewardship function of the Company.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| A.1.1.               | Regular Board meetings                                                                                                                                                                                                                                                                                                                                                                                         | ✓                 | The Board meets quarterly and as and when required                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| A.1.2                | The Board should be responsible for matters including implementation of business strategy, skills and succession of the management team, integrity of information, internal controls and risk management, compliance with laws and ethical standards, stakeholder interests, adopting appropriate accounting policies and fostering compliance with financial regulations and fulfilling other Board functions | ✓                 | <p>Powers specifically vested in the Board to execute their responsibility include:</p> <ul style="list-style-type: none"> <li>• Providing direction and guidance to the Company in the formulation of its strategies, with emphasis on the medium and long term, in the pursuance of its operational and financial goals.</li> <li>• Reviewing and approving annual budget plans.</li> <li>• Reviewing HR processes with emphasis on top management succession planning.</li> <li>• Monitoring systems of governance and compliance</li> <li>• Overseeing systems of internal control and risk management.</li> <li>• Determining any changes to the discretions/ authorities delegated from Board to executive levels.</li> <li>• Reviewing and approving major acquisitions, disposals and capital expenditure.</li> <li>• Approving any amendments to constitutional documents.</li> </ul>                                                                                                               |
| A.1.3                | Act in accordance with the laws of the country and obtain professional advice as and when required.                                                                                                                                                                                                                                                                                                            | ✓                 | <p>The Board seeks independent professional advice when deemed necessary. During the year under review, professional advice was sought on various matters, including the following:</p> <ul style="list-style-type: none"> <li>• Impacts on the Company's business operations as a result of the current and future economic and geo-political shifts.</li> <li>• An employee satisfaction survey and participation in employee compensation and benefit surveys done to ensure that the Company is more than just a workplace of the highest standards.</li> <li>• Legal, tax and accounting aspects, particularly where independent external advice was deemed necessary in ensuring the integrity of the subject decision.</li> <li>• Market surveys, as necessary for business operations.</li> <li>• Valuation of property including that of investment property.</li> <li>• Specific technical know-how and domain knowledge required for identified project feasibilities and evaluations.</li> </ul> |

## Corporate Governance Report

| Section                        |                                                                                                                                                                       | Compliance status | Company's Action                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|--------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| A.1.4                          | Access to advice and services of the Company Secretary.<br>Appropriate insurance cover as recommended by the Nominations Committee for the Board, Directors and KMPs. | ✓                 | To ensure robust deliberation and optimum decision making, the Directors have access to the services of the Company Secretaries whose appointment and/or removal is the responsibility of the Board.<br><br>The Company has appropriate insurance cover for KMPs according to the Group policy.                                                                                                                                                                               |
| A.1.5                          | Bring independent judgment on various business issues and standard of business conduct                                                                                | ✓                 | Collectively, the Non-Executive Directors bring a wealth of value adding knowledge, ranging from domestic and international experience to functional know-how, thus ensuring adequate Board diversity in accordance with principles of Corporate Governance. Furthermore, every member of the Board brings independent judgment on various business issues                                                                                                                    |
| A.1.6                          | Dedication of adequate time and effort                                                                                                                                | ✓                 | Allowing for Non-Executive Director's involvement in various Board Committees and time spent by them in considering various matters that require discussion and decision in between the formal Board meetings, the Company estimates that Non-Executive Directors devoted sufficient time for the Group during the year, with more than 15 per cent of the time devoted to strategy formulation.                                                                              |
| A.1.7                          | One third of Directors can call for a resolution to be presented to the Board in the best interests of the Company.                                                   | ✓                 | All Directors are encouraged to submit any items/proposals to the agendas of the Board meetings.                                                                                                                                                                                                                                                                                                                                                                              |
| A.1.8                          | Board induction and training                                                                                                                                          | ✓                 | In instances where Non-Executive Directors are newly appointed to the Board, they are apprised of the: <ul style="list-style-type: none"> <li>• Values and culture</li> <li>• Operations of the Group and its strategies</li> <li>• Operating model</li> <li>• Policies, governance framework and processes</li> <li>• Responsibilities as a Director in terms of prevailing legislation</li> <li>• Important developments in the business activities of the Group</li> </ul> |
| <b>A.2 The Chairman</b>        |                                                                                                                                                                       |                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| A.2.1                          | Maintain a clear division between Chairman and the Chief Executive Officer                                                                                            | ✓                 | The role of the Chairman is separated from that of the CEO which is in line with the best practices on Corporate Governance, ensuring that no Director has unfettered power or authority. This ensures the balance of power and authority.                                                                                                                                                                                                                                    |
| <b>A.3 The Chairman's role</b> |                                                                                                                                                                       |                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| A.3.1                          | The Chairman should ensure Board proceedings are conducted in a proper manner                                                                                         | ✓                 | Refer Chairman's role in Corporate Governance section in the Annual Report                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>A.4. Financial acumen</b>   |                                                                                                                                                                       |                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| A.4                            | The Board should ensure the availability within it of those with sufficient financial acumen and knowledge to offer guidance on matters of finance                    | ✓                 | Refer Board Member Profiles for more information.                                                                                                                                                                                                                                                                                                                                                                                                                             |

| Section                          |                                                                                                                                                                                  | Compliance status           | Company's Action                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|----------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>A.5 Board balance</b>         |                                                                                                                                                                                  |                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| A.5.1                            | The Board should include Non-Executive Directors of sufficient calibre.                                                                                                          | ✓                           | Refer Board Member Profiles section.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| A.5.2                            | Three or two third of Non-Executive Directors appointed to the Board of Directors whichever is higher should be "independent"                                                    | Complied with Listing Rules | Two out of the five Non-Executive Directors are independent                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| A.5.3                            | Definition of Independent Directors                                                                                                                                              | ✓                           | Both the Independent Directors of the Company are independent of management and free of any business or other relationship that could materially interfere with or could reasonably be perceived to materially interfere with the exercise of their unfettered and independent judgement.                                                                                                                                                                                                                                                 |
| A.5.4                            | Declaration of Independent Directors                                                                                                                                             | ✓                           | Each Non-Executive Director has submitted a signed and dated declaration of his independence.                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| A.5.5                            | Board determinations on independence or non-independence of Non-Executive Directors on annual basis                                                                              | ✓                           | Both of the Independent Directors of the Company meet the criteria for independence specified in this rule.                                                                                                                                                                                                                                                                                                                                                                                                                               |
| A.5.6                            | Alternate Director                                                                                                                                                               | Not Applicable              | Not appointed                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| A.5.7                            | In the event the Chairman and the CEO are the same person, the Board should appoint one of the Independent Non-Executive Directors to be the 'Senior Independent Director' [SID] | Not Applicable              | The Chairman and the CEO are not the same person.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| A.5.8                            | The Senior Independent Director should make himself available for confidential discussions with other Directors who may have concerns                                            | ✓                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| A.5.9                            | The Chairman should hold meetings with the Non-Executive Directors only, without the Executive Directors being present, at least once each year.                                 | Not Applicable              | All the Directors other than the Chairman are Non-Executive Directors.                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| A.5.10                           | Where Directors have concerns about the matters of the Company which cannot be unanimously resolved, they should ensure their concerns are recorded in the Board Minutes         | ✓                           | All the Board meeting proceedings are comprehensively recorded in the Board minutes.                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>A.6 Supply of information</b> |                                                                                                                                                                                  |                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| A.6.1                            | Board should be provided with timely information to enable it to discharge its duties                                                                                            | ✓                           | <p>The Board is provided with:</p> <ul style="list-style-type: none"> <li>Information as is necessary to carry out their duties and responsibilities effectively and efficiently.</li> <li>Information updates from management on topical matters, new regulations and best practices as relevant to the Group's business</li> <li>External and Internal auditors' opinions</li> <li>Experts and other external professional services</li> <li>The services of the Company Secretaries.</li> <li>Periodic performance reports.</li> </ul> |

## Corporate Governance Report

| Section                                   |                                                                                                           | Compliance status | Company's Action                                                                                                                                                                                                                                                                                                                                                                                                |
|-------------------------------------------|-----------------------------------------------------------------------------------------------------------|-------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| A.6.2                                     | Timely submission of the minutes, agenda and papers required for the Board meeting                        | ✓                 | Board agendas and necessary Board Papers and minutes are dispatched in advance of the Board meetings                                                                                                                                                                                                                                                                                                            |
| <b>A.7 Appointment to the Board</b>       |                                                                                                           |                   |                                                                                                                                                                                                                                                                                                                                                                                                                 |
| A.7.1                                     | Formal and transparent procedure for Board appointments                                                   | ✓                 | Board appointments follow a transparent and formal process.                                                                                                                                                                                                                                                                                                                                                     |
| A.7.2                                     | Assessment of the capability of Board to meet strategic demands of the Company                            | ✓                 | <p>The Board as a whole assesses its own composition to ascertain whether the experience and exposure of the Board members are adequate to meet the strategic demands faced by the Company.</p> <p>Currently, the Board members have varying qualifications in economic, environmental and social topics and are involved in many committees and associations that serve the business community as a whole.</p> |
| A.7.3                                     | Disclosure of new Board member profile and interests.                                                     | ✓                 | All appointments of new Directors are informed to the shareholders via the Colombo Stock Exchange.                                                                                                                                                                                                                                                                                                              |
| <b>A.8 Re-election</b>                    |                                                                                                           |                   |                                                                                                                                                                                                                                                                                                                                                                                                                 |
| A.8.1/ A.8.2                              | Re-election at regular intervals and should be subject to election and re-election by Shareholders.       | ✓                 | <p>The Directors are subject to re-election on the basis of 'longest in the office' as provided in the Articles of Association.</p> <p>One third of the Directors shall retire by rotation on the basis prescribed in the Articles of the Company. The Directors retiring by rotation or a Director who is subject to appointment is eligible for re-election by a shareholder resolution at the AGM.</p>       |
| A.8.3                                     | In the event of a Director resigns prior to his appointed term, shall give reasons for resignation        | ✓                 | Retirement of Dr. J. M. Swaminathan, Independent Non-Executive Director who is currently over 70 years old and has completed over 9 years service period and S. Furkan Independent Non-Executive Director who has completed over 9 years service WEF 01.01.2025 has been disclosed.                                                                                                                             |
| <b>A.9 Appraisal of Board performance</b> |                                                                                                           |                   |                                                                                                                                                                                                                                                                                                                                                                                                                 |
| A.9.1                                     | The Board should annually appraise itself on its performance in the discharge of its key responsibilities | ✓                 | The Board continued with its annual Board performance appraisal. This is a formalised process of self-appraisal, whereby each member assesses, on an anonymous basis, the performance of the Board                                                                                                                                                                                                              |
| A.9.2                                     | The Board should also undertake an annual self-evaluation of its performance and that of its Committees.  | ✓                 | <p>Evaluations were carried out under the areas of:</p> <ul style="list-style-type: none"> <li>• Role clarity and effective discharge of responsibilities</li> <li>• People mix and structures</li> <li>• Systems and procedures</li> <li>• Quality of participation</li> <li>• Board image</li> </ul>                                                                                                          |
| A.9.3                                     | The Board should review the performance of each Director at the time of re-election                       | ✓                 | Reviews are conducted annually according to the Constitution of the Company.                                                                                                                                                                                                                                                                                                                                    |

| Section                                                       |                                                                                                                                                                                                   | Compliance status | Company's Action                                                                                                                                                                                                                                                                                                                                                            |
|---------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| A.9.4                                                         | The Board should state how such performance evaluations have been conducted                                                                                                                       | ✓                 | The performance evaluation is analysed to give the Board an indication of its effectiveness as well as areas that required addressing and/or strengthening. Despite the original anonymity of the remarks, the open and frank discussions that follow, including some Directors identifying themselves as the person making the remark, reflects the keenness of the Board. |
| <b>A.10 Disclosure of information in respect of Directors</b> |                                                                                                                                                                                                   |                   |                                                                                                                                                                                                                                                                                                                                                                             |
| A.10.1                                                        | <ul style="list-style-type: none"> <li>• Profiles of the Board of Directors</li> <li>• Directors' interests</li> <li>• Board meeting attendance</li> <li>• Board Committee memberships</li> </ul> | ✓                 | Refer Board profiles and Corporate Governance sections                                                                                                                                                                                                                                                                                                                      |
| A.11                                                          | Appraisal of CEO                                                                                                                                                                                  | Not adopted       | Appraisal of the CEO is carried out in accordance with the Group policies.                                                                                                                                                                                                                                                                                                  |
| <b>B. DIRECTORS REMUNERATION</b>                              |                                                                                                                                                                                                   |                   |                                                                                                                                                                                                                                                                                                                                                                             |
| <b>B.1 Remuneration procedure</b>                             |                                                                                                                                                                                                   |                   |                                                                                                                                                                                                                                                                                                                                                                             |
| B.1.1                                                         | The Board of Directors should set up a Remuneration Committee                                                                                                                                     | ✓                 | Refer Corporate Governance Section                                                                                                                                                                                                                                                                                                                                          |
| B.1.2                                                         | Remuneration Committee should consist exclusively of Non-Executive Directors                                                                                                                      | ✓                 | All members of the Remuneration Committee are Non-Executive Directors                                                                                                                                                                                                                                                                                                       |
| B.1.3                                                         | The Chairman and members of the Remuneration Committee should be listed in the Annual Report each year                                                                                            | ✓                 | Refer Board Committees                                                                                                                                                                                                                                                                                                                                                      |
| B.1.4                                                         | Determination of the remuneration of Non-Executive Directors                                                                                                                                      | ✓                 | Compensation is determined in reference to fees paid to other NEDs of comparable companies. NEDs receive a fee for devoting time and expertise for the benefit of the Group in their capacity as Directors and additional fees for either chairing or being a member of a Committee.                                                                                        |
| B.1.5                                                         | The Remuneration Committee should consult the Chairman about its proposals relating to the remuneration of other Executive Directors                                                              | Not applicable    | There are no other Executive Directors other than the Chairman.                                                                                                                                                                                                                                                                                                             |
| <b>B.2 The level and make up of remuneration</b>              |                                                                                                                                                                                                   |                   |                                                                                                                                                                                                                                                                                                                                                                             |
| B.2.1/ B.2.2                                                  | The Remuneration Committee should provide the packages needed to attract, retain and motivate Executive Directors and designed to promote the long term success of the Company                    | ✓                 | The Remuneration Committee as a whole is aware that the reward structure should be designed to attract and motivate high calibre people in a highly competitive environment.                                                                                                                                                                                                |
| B.2.3                                                         | The Remuneration Committee should judge where to position levels of remuneration of the Company, relative to other companies                                                                      | ✓                 |                                                                                                                                                                                                                                                                                                                                                                             |
| B.2.4 / B.2.5                                                 | Comparison of remuneration with other Companies in the Group                                                                                                                                      | ✓                 | Having taken into account the complexities associated with the Group, it was established that the compensation is in line with the market. Benchmarking exercises of this nature will continue to take place in the future at regular intervals.                                                                                                                            |
| B.2.6                                                         | Executive share options not to be offered at a discount                                                                                                                                           | Not applicable    | No share options were given during the year under review.                                                                                                                                                                                                                                                                                                                   |

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| Section                                    |                                                                                                                                                                         | Compliance status | Company's Action                                                                                                                                                                                                                                                                         |
|--------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| B.2.7                                      | Remuneration Committee should follow schedule E in designing schemes of performance-related remuneration                                                                | Not adopted       | The remuneration scheme is in line with the Group policies.                                                                                                                                                                                                                              |
| B.2.8/B.2.9                                | Compensation for termination of contracts of Directors                                                                                                                  | Not adopted       | The compensation scheme is in line with the Group policies.                                                                                                                                                                                                                              |
| B.2.10                                     | Level of remuneration of NEDs                                                                                                                                           | ✓                 | The fees received by NEDs are determined by the Board and reviewed annually.                                                                                                                                                                                                             |
| <b>B.3 Disclosure of remuneration</b>      |                                                                                                                                                                         |                   |                                                                                                                                                                                                                                                                                          |
| B.3                                        | Disclosure of remuneration policy and aggregate remuneration                                                                                                            | ✓                 | Please refer Annual Report of the Directors & the Remuneration Committee Report                                                                                                                                                                                                          |
| <b>C. RELATIONS WITH SHAREHOLDERS</b>      |                                                                                                                                                                         |                   |                                                                                                                                                                                                                                                                                          |
| C.1                                        | Constructive use of the Annual General Meeting (AGM) and conduct of General Meetings                                                                                    |                   |                                                                                                                                                                                                                                                                                          |
| C.1.1                                      | The Notice of AGM and related papers to be sent to shareholders as determined by the Statute, before the meeting.                                                       | ✓                 | Notice of the AGM and related documents are uploaded in CSE website along with the Annual Report within the specified period. The contents of this Annual Report will enable existing and prospective stakeholders to make better informed decisions in their dealings with the Company. |
| C.1.2                                      | Separate resolution to be proposed for each item and the proxy appointment forms to have options to vote for or against each of the item                                | ✓                 | Two-way proxy forms are provided                                                                                                                                                                                                                                                         |
| C.1.3                                      | Counting of proxy votes                                                                                                                                                 | ✓                 | As a matter of practice, proxy votes together with the votes of the shareholders present at the AGM are considered for each resolution.                                                                                                                                                  |
| C.1.4                                      | Heads of Board Committees to be available to answer queries                                                                                                             | ✓                 | All the NEDs who are the Heads of Board Committees are available at the Meeting to answer queries.                                                                                                                                                                                       |
| C.1.5                                      | Summary of procedures governing voting at General meetings to be informed                                                                                               | ✓                 | Refer Form of Proxy                                                                                                                                                                                                                                                                      |
| <b>C.2 Communication with Shareholders</b> |                                                                                                                                                                         |                   |                                                                                                                                                                                                                                                                                          |
| C.2.1 – C.2.7                              | Effective communication with shareholders                                                                                                                               | ✓                 | Refer Shareholder Relations section in the Corporate Governance Section.                                                                                                                                                                                                                 |
| <b>C.3 Major and Material Transactions</b> |                                                                                                                                                                         |                   |                                                                                                                                                                                                                                                                                          |
| C.3.1                                      | Disclosure of all material facts involving any proposed acquisition, sale or disposition of assets                                                                      | ✓                 | All material and price sensitive information about the Company is promptly communicated to the Colombo Stock Exchange where the shares of the Company are listed, and released to the employees, press and shareholders.                                                                 |
| C.3.2                                      | Compliance with the disclosure requirements and shareholder approval by special resolution as required by the rules and regulations of the SEC/CSE for listed companies | ✓                 |                                                                                                                                                                                                                                                                                          |

| Section                                         |                                                                                                                                                                                                                                                                                              | Compliance status | Company's Action                                                                                                                                                                                                                                                                                                                       |
|-------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>D. ACCOUNTABILITY AND AUDIT</b>              |                                                                                                                                                                                                                                                                                              |                   |                                                                                                                                                                                                                                                                                                                                        |
| <b>D.1 Financial reporting</b>                  |                                                                                                                                                                                                                                                                                              |                   |                                                                                                                                                                                                                                                                                                                                        |
| D.1.1                                           | The Board should present an annual report including financial statements that is true and fair, balanced and understandable and prepared in accordance with the relevant laws and regulations and any deviation being clearly explained.                                                     | ✓                 | Refer Management Discussion & Analysis, Corporate Governance Report and Statement of Directors' Responsibility sections.                                                                                                                                                                                                               |
| D.1.2                                           | Disclosure of interim and other price sensitive and statutorily mandated reports to regulators                                                                                                                                                                                               | ✓                 | The Audit Committee together with the Board of Directors have taken all reasonable steps to ensure accuracy and timeliness of published information with a view of presenting the true and fair view of the interim and annual financial statements.                                                                                   |
| D.1.3                                           | The Board should obtain compliance statements and declarations from the CEO and the CFO before approving the financial statements                                                                                                                                                            | ✓                 | Declarations are obtained from the CFO that in his opinion the financial statements comply with the appropriate accounting standards and give a true and fair view of the financial position and performance of the Company.                                                                                                           |
| D.1.4                                           | Declaration by the Directors that the Company has not engaged in any activities, which contravene laws and regulations, declaration of all material interests in contracts, equitable treatment of shareholders and going concern with supporting assumptions or qualifications as necessary | ✓                 | Refer Corporate Governance and Annual Report of the Board of Directors                                                                                                                                                                                                                                                                 |
| D.1.5                                           | Statement of Directors' Responsibility                                                                                                                                                                                                                                                       | ✓                 | Refer Statement of Directors' Responsibility                                                                                                                                                                                                                                                                                           |
| D.1.6                                           | Management Discussion and Analysis                                                                                                                                                                                                                                                           | ✓                 | Refer Management Discussion and Analysis.                                                                                                                                                                                                                                                                                              |
| D.1.7                                           | Remedial action at Extraordinary General Meeting (EGM) if net assets fall below half of value of Shareholders funds                                                                                                                                                                          | ✓                 | In the unlikely event that the net assets of the Company fall below a half of Shareholders funds, shareholders would be notified and the requisite resolution would be passed on the proposed way forward.                                                                                                                             |
| D.1.8                                           | Disclosure of Related party Transactions                                                                                                                                                                                                                                                     | ✓                 | Refer Notes to the Financial Statements                                                                                                                                                                                                                                                                                                |
| <b>D.2 Risk Management and Internal Control</b> |                                                                                                                                                                                                                                                                                              |                   |                                                                                                                                                                                                                                                                                                                                        |
| D.2.1                                           | Annual review of effectiveness of system of risk management and internal control and report to shareholders as required                                                                                                                                                                      | ✓                 | The Board has taken the necessary steps to ensure the integrity of the Group's accounting and financial reporting systems and internal control systems that remain effective via the review and monitoring of such systems on a periodic basis.                                                                                        |
| D.2.2                                           | Robust assessment of the principal risks faced by the Company                                                                                                                                                                                                                                | ✓                 | Refer Management Discussion & Analysis Section                                                                                                                                                                                                                                                                                         |
| D.2.3                                           | Internal Audit Function                                                                                                                                                                                                                                                                      | ✓                 | The Internal Audit function of the Company is not outsourced to the External Auditors of the Company to ensure the independence of the External Auditors of the Company. The Auditors' report on the Financial Statements of the Company for the year under review is found in the financial information section of the Annual Report. |
| D.2.3/ D.2.4                                    | Maintaining sound system of internal control                                                                                                                                                                                                                                                 | ✓                 | Refer Corporate Governance Report.                                                                                                                                                                                                                                                                                                     |

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| Section                                                                 |                                                                                                                                                                                                                                                                                                              | Compliance status | Company's Action                                                                                                                                                                                                                                                                                                                                                                   |
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| <b>D.3 Audit Committee</b>                                              |                                                                                                                                                                                                                                                                                                              |                   |                                                                                                                                                                                                                                                                                                                                                                                    |
| D.3.1                                                                   | The Audit Committee should comprise a minimum of three non-executive directors of whom at least two should be Independent. The Chairman of the Committee should be an Independent Non-Executive Director. At least one member should have recent and relevant experience in financial reporting and control. | ✓                 | Executive Directors and one Non-Executive Director. The Committee is chaired by an Independent Non-Executive Director who is a member of a professional accounting body.                                                                                                                                                                                                           |
| D.3.2                                                                   | The Audit Committee to have written terms of reference covering the salient aspects as stipulated in the section                                                                                                                                                                                             | ✓                 | The Audit Committee has written terms of reference outlining the Scope.                                                                                                                                                                                                                                                                                                            |
| D.3.3                                                                   | Duties and responsibilities of the Committee                                                                                                                                                                                                                                                                 | ✓                 | The Audit Committee has the overall responsibility for overseeing the preparation of Financial Statements in accordance with the laws and regulations of the country and also recommending to the Board, on the adoption of best accounting policies. The Committee is also responsible for maintaining the relationship with the External Auditors. Refer Audit Committee Report. |
| <b>D.4 Related Party Transactions Review Committee (RPTR Committee)</b> |                                                                                                                                                                                                                                                                                                              |                   |                                                                                                                                                                                                                                                                                                                                                                                    |
| D.4.1                                                                   | Definition of a Related Party and Related Party Transactions                                                                                                                                                                                                                                                 | ✓                 | Refer Notes to the Financial Statements                                                                                                                                                                                                                                                                                                                                            |
| D.4.2                                                                   | The RPTR Committee should comprise exclusively of non-executive directors with a minimum of three. Majority should be independent. The Chairman of the Committee should be an Independent Non-Executive Director.                                                                                            | ✓                 | The Committee comprises of three Non-Executive Directors out of which Two are independent. Independent Non-Executive Director acts as the Chairman of the Committee.                                                                                                                                                                                                               |
| D.4.3                                                                   | The RPTR Committee to have written terms of reference covering the salient aspects as stipulated in the section                                                                                                                                                                                              | ✓                 | The RPTR Committee has written terms of reference outlining the Scope.                                                                                                                                                                                                                                                                                                             |
| <b>D.5 Code of Business Conduct and Ethics</b>                          |                                                                                                                                                                                                                                                                                                              | ✓                 | Business ethics at the Company ensure the business is carried out in an ethical manner.                                                                                                                                                                                                                                                                                            |
| <b>D.6 Corporate Governance disclosure</b>                              |                                                                                                                                                                                                                                                                                                              |                   |                                                                                                                                                                                                                                                                                                                                                                                    |
| D.6.1                                                                   | The Directors should include in the Company's Annual Report a Corporate Governance Report                                                                                                                                                                                                                    | ✓                 | Refer the Corporate Governance Section                                                                                                                                                                                                                                                                                                                                             |
| <b>E. INSTITUTIONAL INVESTORS</b>                                       |                                                                                                                                                                                                                                                                                                              |                   |                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>E.1 Shareholder voting</b>                                           |                                                                                                                                                                                                                                                                                                              |                   |                                                                                                                                                                                                                                                                                                                                                                                    |
| E.1.1                                                                   | A listed Company should conduct a regular and structured dialogue with shareholders based on a mutual understanding of objectives.                                                                                                                                                                           | ✓                 | The Company has a well-developed investor relations programme to address the information needs of investment institutions and analysts regarding the Company, its strategy, performance and competitive position                                                                                                                                                                   |

| Section                                         |                                                                                                                                                                                                                                                     | Compliance status | Company's Action                                                                                                                                                                                                                                                                                   |
|-------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>E.2 Evaluation of governance disclosures</b> |                                                                                                                                                                                                                                                     |                   |                                                                                                                                                                                                                                                                                                    |
| E.2.1                                           | When evaluating the company's governance arrangements, particularly those relating to the Board structure and composition, institutional investors should be encouraged to give due weight to all relevant factors drawn to their attention         | ✓                 | Institutional investors are informed of any changes to the governance structure.                                                                                                                                                                                                                   |
| <b>F. OTHER INVESTORS</b>                       |                                                                                                                                                                                                                                                     |                   |                                                                                                                                                                                                                                                                                                    |
| <b>F.1 Investing/divesting decisions</b>        |                                                                                                                                                                                                                                                     |                   |                                                                                                                                                                                                                                                                                                    |
| F.1.1                                           | Individual shareholders, investing directly in shares of companies should be encouraged to carry out adequate analysis or seek independent advice in investing or divesting decisions                                                               | ✓                 | The Company maintains an active dialogue with shareholders, potential investors, investment banks, stock brokers and other interested parties. Any concerns raised by a Shareholder are addressed promptly and forwarded, when necessary, to the Company Secretaries for consideration and advice. |
| <b>F.2 Shareholder voting</b>                   |                                                                                                                                                                                                                                                     |                   |                                                                                                                                                                                                                                                                                                    |
| F.2.1                                           | Individual shareholders should be encouraged to participate in General Meetings of Companies and exercise their voting rights.                                                                                                                      | ✓                 | All steps are taken to facilitate the exercise of shareholder rights at AGMs, including the receipt of Notice of the AGM and related documents within the specified period. Shareholders exercise their voting rights for each resolution passed at the AGM.                                       |
| <b>G. Internet of things and Cyber security</b> |                                                                                                                                                                                                                                                     |                   |                                                                                                                                                                                                                                                                                                    |
| G.1 – G.5                                       | A review with regard to the cyber environment to ensure that appropriate data and information governance processes and controls, e-commerce defences, proactive security and strong incident management processes across the business are in place. | ✓                 | LOIT, a subsidiary of the Parent Company, LOLC Holdings PLC manages the cyber security of the Company and the Parent Company reviews and monitors the cyber environment of the Group.                                                                                                              |
| <b>H Environment, Society and Governance</b>    |                                                                                                                                                                                                                                                     |                   |                                                                                                                                                                                                                                                                                                    |
| H.1 – H.5                                       | Adherence to the ESG principles                                                                                                                                                                                                                     | Not adopted       |                                                                                                                                                                                                                                                                                                    |

## Corporate Governance Report

### COMPLIANCE WITH SECTION 9 OF THE LISTING RULES ISSUED BY THE COLOMBO STOCK EXCHANGE

| Section | Principle, compliance and implementation                                                                                                                                                                                                                                                                                                                                                                                   | Effective date    | Complied |
|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|----------|
| 9.1.3   | Disclosure in the Annual report with regard to the extent of compliance with the Rule                                                                                                                                                                                                                                                                                                                                      | 01st October 2023 | ✓        |
|         | As detailed below, with effect from 31st March 2025, the Company is in compliance with the Listing Rules of the Colombo Stock Exchange.                                                                                                                                                                                                                                                                                    |                   |          |
| 9.2.1   | The Company shall disclose the fact of existence of the list of following policies as set out in the rule together with the details relating to the implementation of such policies in the Annual report and make available on its website                                                                                                                                                                                 |                   |          |
|         | [a] Policy on the matters relating to the Board of Directors                                                                                                                                                                                                                                                                                                                                                               |                   |          |
|         | [b] Policy on Board Committees                                                                                                                                                                                                                                                                                                                                                                                             |                   |          |
|         | [c] Policy on Corporate Governance, Nominations and Re-election                                                                                                                                                                                                                                                                                                                                                            |                   |          |
|         | [d] Policy on Remuneration                                                                                                                                                                                                                                                                                                                                                                                                 |                   |          |
|         | [e] Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities                                                                                                                                                                                                                                                                |                   |          |
|         | [f] Policy on Risk management and Internal controls                                                                                                                                                                                                                                                                                                                                                                        | 01st October 2024 | ✓        |
|         | [g] Policy on Relations with Shareholders and Investors                                                                                                                                                                                                                                                                                                                                                                    |                   |          |
|         | [h] Policy on Environmental, Social and Governance Sustainability                                                                                                                                                                                                                                                                                                                                                          |                   |          |
|         | [i] Policy on Control and Management of Company Assets and Shareholder Investments                                                                                                                                                                                                                                                                                                                                         |                   |          |
|         | [j] Policy on Corporate Disclosures                                                                                                                                                                                                                                                                                                                                                                                        |                   |          |
|         | [k] Policy on Whistleblowing                                                                                                                                                                                                                                                                                                                                                                                               |                   |          |
|         | [l] Policy on Anti-Bribery and Corruption                                                                                                                                                                                                                                                                                                                                                                                  |                   |          |
|         | The Company's governance framework is regularly reviewed and updated to reflect stakeholder needs and regulatory/statutory requirements to enhance oversight, accountability, and operational effectiveness. Accordingly, the Company revised its existing policies to align with the requirements of the Exchange and are available on the Company's website. Extracts of these policies are set out on pages 193 to 194. |                   |          |
| 9.2.2   | Any waivers from compliance with the Internal Code of business conduct and ethics or exemptions granted.                                                                                                                                                                                                                                                                                                                   | 01st October 2024 | ✓        |
|         | None                                                                                                                                                                                                                                                                                                                                                                                                                       |                   |          |
| 9.2.3   | (i) List of policies in place as per Rule 9.2.1, with reference to website                                                                                                                                                                                                                                                                                                                                                 | 01st October 2024 | ✓        |
|         | (ii) Any changes to policies adopted                                                                                                                                                                                                                                                                                                                                                                                       |                   |          |
|         | There has not been any material changes made to the policies during the year under review.                                                                                                                                                                                                                                                                                                                                 |                   |          |
| 9.2.4   | The Company shall make available all such policies as set out in 9.2.1 to shareholders upon a written request being sent for such policy                                                                                                                                                                                                                                                                                   | 01st October 2024 | ✓        |

| Section       | Principle, compliance and implementation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Effective date                                    | Complied                            |
|---------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------|-------------------------------------|
| 9.3.1/9.3.2   | <p>The following Board subcommittees should be established and maintained at a minimum and shall function effectively : -</p> <p>a) Nomination &amp; Governance Committee *</p> <p>b) Remuneration Committee</p> <p>c) Audit Committee</p> <p>d) Related Party Transactions Review Committee</p> <p>are functioning effectively.</p>                                                                                                                                                                                                                                                                                                                    | <p>01st October 2023<br/>[*01st October 2024]</p> | <p>✓</p> <p>✓</p> <p>✓</p> <p>✓</p> |
| 9.3.3         | <p>The Chairperson of the Board cannot be a Chairperson in any of the aforesaid subcommittees</p> <p>The Chairperson of the board does not serve as the chair of any of the board subcommittees</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 01st October 2024                                 | ✓                                   |
| 9.4.1         | <p>Maintenance of records of all resolutions and other information stipulated in section 9.4.1 of the listing rules and shall provide copies of the same at the request of the Exchange and or SEC</p> <p>All records of resolutions and information relating to General Meetings; i.e. upon a resolution being considered valid proxy votes, votes in favour, against and abstained for the resolutions, etc. are maintained by the Company Secretary.</p>                                                                                                                                                                                             | 01st October 2024                                 | ✓                                   |
| 9.4.2         | <p>Communication and relations with shareholders and investors</p> <p>A policy regarding the communication with shareholders and investors has been established by the Company 01st October 2024. The Company Secretary and Investor Relations Officer have been designated as the contact person for such corporate communication by the Company. Any significant/material issues raised by the shareholders/investors are communicated to all directors and addressed where necessary in a transparent manner. The company conducted its shareholder meetings through virtual or hybrid means by complying with the guidelines issued by the CSE.</p> | 01st October 2024                                 | ✓                                   |
| 9.5.1 & 9.5.2 | <p>A Policy on governing matters relating to the Board of Directors should be established with specific requirements prescribed by the Exchange [a] to [j] and to disclose the level of compliance or non-compliance with reasons/remedial actions</p> <p>The Company has revised its Board Charter to align with the requirements prescribed by the Rules.</p> <p>Requirements set out in the Policy have been complied with, by the members of the Board.</p>                                                                                                                                                                                         | 01st October 2024                                 | ✓                                   |

## Corporate Governance Report

| Section       | Principle, compliance and implementation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Effective date    | Complied |
|---------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|----------|
| 9.6.1         | Chairperson should be a Non-executive Director and the positions of Chairperson and CEO cannot be held by one person; unless a Senior Independent Director [SID] is appointed by the Listed entity<br><br>The Chairman of the Board is Mr.I.C.Nanayakkara, who is an Executive Director and Mr. Panduka Weerasingha performs as the Chief Executive Officer of the Company.                                                                                                                                                                                                  | 01st October 2023 | ✓        |
| 9.6.2 & 9.6.3 | Market announcement with regard to the non-compliance with Rule 9.6.1 and the rationale for appointing the SID<br><br>Since the Chairmanship is held by Mr. I C Nanayakkara, an Executive Director, the Board intends to retain him in the capacity of an Executive Director considering his business acumen which navigated the Group to become one of the most profitable institutions in Sri Lanka, decided to appoint Mr. Kanthimany Sivanesan as the Senior Independent Director w.e.f.01.01.2025 .The required market announcement was made to Colombo Stock Exchange. | 01st October 2023 | ✓        |
| 9.7.5         | (a) Statement on Directors and CEO satisfying Fit and Proper Assessment Criteria<br>(b) Any non-compliance/s and remedial action taken<br><br>Annual declarations were obtained as per the requirement of Rule 9.7.4. the board members have complied with the relevant criteria. The said criteria was considered when recommending the re-election of directors retiring by rotation before the AGM Refer Board profiles and Directors report on pages from 02 to 04                                                                                                       | 01st October 2023 | ✓        |
| 9.8.1 & 9.8.2 | Minimum number of Directors on the Board should be 5 and the total minimum number of Independent Directors should be 2 or 1/3 of the Board, whichever is higher<br><br>The Board comprised of 6 Directors including 2 Independent Non-Executive Directors                                                                                                                                                                                                                                                                                                                    | 01st October 2024 | ✓        |
| 9.8.3         | A director shall not be considered independent if he/she does not fulfil the criteria defining independence under sections 9.8.3 and 9.8.4 of the Rules.<br><br>Annual declarations were obtained as per the requirement and the Board has determined that Mr. Kanthimany Sivanesan and Mr. Chitral N.Wijesinha are independent, subject to the transitional provisions.                                                                                                                                                                                                     | 01st October 2023 | ✓        |
| 9.8.5         | The listed entity shall ensure;<br><br>a) Each independent director submits a declaration with criteria specified by the Exchange<br><br>b) The Board shall make an annual determination as to independence / non independence and set out the names of directors determined to be independent in the Annual Report<br><br>c) If the Board determines that the independence of and independent director has been impaired against any criteria set out in 9.8.3 it shall make an immediate market announcement thereof                                                       | 01st October 2023 | ✓        |

| Section | Principle, compliance and implementation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Effective date    | Complied       |
|---------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|----------------|
|         | The Company has established a process for determination of independence based on the requirements of this Rule.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                   |                |
| 9.9     | Alternate Director can be only appointed for a minimum period of one year under special circumstances and he/she should be of the same nature of Directorship<br><br>Due Notice has been given seeking shareholder approval to replace the related clause in the Articles of Association of the Company as set out in the Notice of Meeting.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 01st January 2024 | Not applicable |
| 9.10.1  | Policy on the maximum number of directorships its board members shall be permitted to hold<br><br>A director shall hold office as director in any number of companies/societies/bodies including subsidiaries and associates of the Company, subject to however, in the case of listed entities, such appointments being limited to 20.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 01st October 2023 | ✓              |
| 9.10.2  | Immediate market announcement upon appointment of new director setting out resume, capacity of directorship, statement indicating if such appointment has been reviewed by the Nominations & Governance Committee<br><br>Announcements were made to the CSE on new appointments covering the criteria set out herein.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 01st October 2023 | ✓              |
| 9.10.3  | Immediate market announcement regarding any changes to the composition of the Board /subcommittees specified in Rule 9.3<br><br>The market announcements with regard to the change of Board and sub committees were made during the year in a timely manner.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 01st October 2023 | ✓              |
| 9.10.4  | Listed entities shall disclose the following in relation to Directors in the Annual Report:<br><br>a) name qualifications, brief profile,<br><br>b) nature of expertise in relevant functional area<br><br>c) whether either the director or close family member/s has any material business relationship with the directors of the listed entity,<br><br>d) whether executive, non executive and or independent.<br><br>e) Total number of names of companies in which the director concerned serves as a director/KMP indicating if these are listed<br><br>f) Capacity of the position held whether executive or non executive<br><br>g) Number of board meetings of the listed entity attended during the year<br><br>h) Names of board committees in which the director serves as chairperson or member<br><br>i) Details of attendance of committee<br><br>j) Terms of reference and powers of the SID<br><br>Please refer Board profiles, SID report, Board of Directors and subcommittee reports for details. | 01st October 2023 | ✓              |

## Corporate Governance Report

| Section | Principle, compliance and implementation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Effective date    | Complied |
|---------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|----------|
| 9.11.6  | Disclosure requirements regarding the Nomination and Governance Committee under Rule 9.11.6<br><br>Refer the Nominations & and Governance Committee Report on page 42.                                                                                                                                                                                                                                                                                                                                                         | 01st October 2024 | ✓        |
| 9.12.8  | Disclosure requirements regarding the Remuneration Committee under Rule 9.12.8<br><br>The Remuneration Committee is comprised of two Independent Non-Executive Directors and one Non Executive Director. Mr. K. Sivanesan is the Chairperson of the Committee who is a Non Executive Director. The aggregate remuneration paid to executive and non executive directors is disclosed on page 148 of the report                                                                                                                 | 01st October 2023 | ✓        |
| 9.13    | Disclosure requirements regarding the Audit Committee under Rule 9.13                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 01st October 2024 | ✓        |
| 9.13.1  | The listed entity shall have an Audit Committee conforming with the requirements set out in Rule 9.13                                                                                                                                                                                                                                                                                                                                                                                                                          |                   |          |
| 9.13.2  | The Committee shall have written Terms of Reference clearing defining scope, authority and duties                                                                                                                                                                                                                                                                                                                                                                                                                              |                   |          |
| 9.13.3  | 1) Should comprise minimum of 3 directors of the listed entity of whom a minimum of 2 or a majority which ever is higher shall be independent directors; and shall not comprise of any executive directors of the listed entity;<br><br>2) The quorum for a meeting of the Audit Committee shall require the majority in attendance to be independent                                                                                                                                                                          |                   |          |
|         | 3) The Committee may meet as often as required provided that it compulsorily meets on a quarterly basis prior to recommending the financials to be released to the market                                                                                                                                                                                                                                                                                                                                                      |                   |          |
|         | 4) If both parent company and subsidiary are listed entities the Audit Committee of the Parent may function as the Audit Committee of the Subsidiary                                                                                                                                                                                                                                                                                                                                                                           |                   |          |
|         | 5) An independent director shall be appointed as chairperson of the committee                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                   |          |
|         | 6) Unless otherwise determined by the Audit Committee, the CEO and the CFO of the listed entity shall attend meetings by invitation.                                                                                                                                                                                                                                                                                                                                                                                           |                   |          |
|         | 7) The Chairperson of the Audit Committee shall be a member of a recognised professional accounting body                                                                                                                                                                                                                                                                                                                                                                                                                       |                   |          |
| 9.13.4  | Functions of the Audit Committee                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                   |          |
| 9.13.5  | Disclosures in the Annual Report<br><br>The Audit Committee is comprised of two Independent Non-Executive Directors and one Non Executive Director. Mr. K. Sivanesan , Independent Non-Executive Director is the Chairperson of the Committee who is a Fellow member of the Institute of Chartered Accountants of Sri Lanka.<br><br>The Committee does not include any Executive Directors. GCEO, GCFO and the Head of Finance attend the meetings by invitation.<br><br>Please refer Report of the Audit Committee on page 38 |                   |          |

| Section         | Principle, compliance and implementation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Effective date    | Complied |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|----------|
| 9.14.1 - 9.14.2 | Composition of the Related Party Transactions Review Committee<br><br>The RPTR Committee is comprised of two Independent Non-Executive Directors and one Non Executive Directors. Mr.C.N.Wijesinha, an Independent Non- Executive Director is the Chairperson of the Committee. Please refer Report of the RPTR on page 40                                                                                                                                                                                                                                                                                                   | 01st April 2024   | ✓        |
| 9.14.3-9.14.4   | Functions and general requirements<br><br>Refer Report of the Related Party Transactions Review Committee for details                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 01st October 2023 | ✓        |
| 9.14.8[1]       | Disclosure of non-recurrent Related Party Transactions exceeding 10% of the Equity or 5% of the Total Assets, whichever is lower.<br><br>Refer Note 44 to the Financial Statements on page 152.                                                                                                                                                                                                                                                                                                                                                                                                                              | 01st October 2023 | ✓        |
| 9.14.8[2]       | Disclosure of recurrent Related Party Transactions exceeding 10% of the gross revenue/income.<br><br>Refer Note no 44 to the Financial Statements on page 152                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 01st October 2023 | ✓        |
| 9.14.8[3]       | Disclosure requirements regarding the Related Party Transaction Review Committee under Rule 9.14<br><br>Please refer Report of the RPTR Committee on page 40                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 01st October 2023 | ✓        |
| 9.14.8[4]       | Affirmative declaration by the Board of Directors on compliance with RPT Rules or negative statement to that effect.<br><br>Refer Report of the Board of Directors on page 46<br><br>There were no RPTs during the year which required Shareholder approval as set out in Rule 9.14.6.<br><br>There were no RPTs during the year which required immediate market announcement as set out in Rule 9.14.7.<br><br>During the year there were no acquisition or disposal of substantial assets from / to Related Parties.<br><br>Please refer Report of the RPTR Committee on page 40 and Board of Directors report on page 46. | 01st October 2023 | ✓        |
| 9.16            | Additional disclosures by Board of Directors under Rule 9.16<br><br>The relevant declarations by the Board of Directors are included in their report on pages 46 to 49.                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 01st October 2023 | ✓        |

# Audit Committee Report

We are pleased to present the report of the Audit Committee for the year ended 31st March 2025. The report that follows details the role of the Committee, the significant matters considered during the year and how the Committee has carried out its responsibilities.

## COMMITTEE MEMBERSHIP, INDEPENDENCE AND EXPERIENCE

The composition of the Committee is as follows;

- Mr. K. Sivanesan. / Senior Independent Director – Chairman
- Mr. C. N Wijesinha /Independent Non-Executive Director – Member
- Mr. D.S.K. Amarasekara / Non- Executive Director – Member
- Mr. S .Furkhan - Member/ Independent Non-Executive Director [resigned on 01.01.2025]
- Dr. J. M. Swaminathan -Member / Senior Independent Director [resigned on 01.01.2025]

## MEETINGS

See page 19 for number of meetings and details of attendance during the year.

All Directors of the Board have access to Committee papers and an open invitation to attend Committee meetings. All Directors are particularly encouraged to attend those meetings at which the full-year and quarterly results are considered. Members of Senior Management, including the Chief Executive Officer and Chief Finance Officer of the Group, Chief Risk Officer are invited to attend each meeting. During the year under review the External Auditors attended one meeting to facilitate information-sharing and discussion.

Regular discussions are held with the Group Chief Finance Officer to obtain a good understanding of issues affecting the Group and to identify matters which require meaningful discussion at Committee meetings. No member of management was present during these discussions.

## ROLE OF THE COMMITTEE

The principal responsibilities of the Committee are:

- Financial reporting: to monitor the integrity of the Company and the Group's financial statements, review significant financial reporting judgements, issues and estimates, and confirm whether, taken as a whole, the Annual Report and financial statements is fair, balanced and understandable.
- Risk management and internal controls: on behalf of the Board, to review and monitor the effectiveness of the Group's internal financial controls and risk management systems and procedures.
- External audit: to assess the effectiveness of the External Audit process, review and monitor the External Auditor's independence and objectivity, develop and implement a policy on the supply of non-audit services by the External Auditors and make recommendations to the Board about the appointment, re-appointment and removal of the External Auditors and the remuneration and terms of engagement.
- Internal audit: to monitor and review the effectiveness of the Internal Audit function and the annual Internal Audit Plan.

The Committee's main areas of activity during the year under review are set out below:

## FINANCIAL REPORTING

The Board of Directors of the Company has delegated authority to the Committee to review the Annual and quarterly financial statements. Drafts of these financial statements were reviewed by the Committee, prior to formal consideration and approval by the Board.

## FAIR, BALANCED AND UNDERSTANDABLE REPORTING

The Committee considered whether the overall reporting was consistent with the quarterly financial statements, the industry as a whole and the wider economic environment.

In addition, the Committee assessed whether suitable accounting policies had been adopted by the Group and reviewed papers prepared by

the Senior Management on the main financial reporting judgements as well as the External Auditor's reports on the yearly results.

## RISK MANAGEMENT AND INTERNAL CONTROLS

The Board has delegated responsibility for overseeing the effectiveness of the Group's risk management and internal control systems to the Committee. Internal control and financial risk management systems and procedures include:

- Business planning: each Division produces and agrees an annual business plan against which the performance of the business is regularly monitored;
- Financial analysis: each Division's operating profitability and capital expenditure are closely monitored;
- Management incentives are tied to annual and longer-term financial results. These results include explanations of variance between forecast and budgeted performance and are reviewed periodically. Key financial information is regularly reported to the Board;
- Group Authority Framework: the framework provides clear guidelines on approval limits for capital and operating expenditure and other key business decisions for all Divisions;
- Risk assessment: risk assessment is embedded into the operations of the Group and reports are provided to the Audit Committee and the Board;
- Compliance: compliance policies address the wide variety of legislature and other requirements with which the Group has to comply. Regular reports are provided to the Board, and the Committee.

The Board recognises that risks must be taken to achieve the Group's business objectives and is responsible for ensuring that a sound system of internal controls is maintained and that regular reviews are undertaken to ensure their effectiveness. This includes consideration of financial, operational and compliance controls, risk management and the Group's high level internal control arrangements.

The system of internal controls is designed to manage material risks, by addressing their cause and mitigating their potential impact, and can only provide reasonable, rather than absolute, assurance against material misstatement or loss, recognising that expected benefits should not exceed the cost of the control procedures. The Senior Management led by Group Chief Executive Officer, meets regularly to consider and review the Group's overall operational and financial performance and material risks and mitigating actions, with each Division given operational autonomy within a robust internal control framework.

The Board has adopted a risk management framework to identify, evaluate and manage the Group's significant risks which is overseen by the Enterprise Risk Management. They provide guidance to the Board and the Committee regarding the Group's overall risk appetite, tolerance and strategy:

- Ensuring that a regular robust assessment of the principal risks facing the Group is undertaken, including those risks that would threaten its business model, future performance, solvency or liquidity
- Reviewing the Group's overall risk assessment processes, the parameters of the qualitative and quantitative metrics used to review the Group's risks, and monitoring mitigating actions
- Reviewing the effectiveness of the Group's internal control and risk management systems, including all material operational and compliance controls
- Reviewing the Group's instances of fraud, if any, and fraud reporting to the Committee

Following a quarterly examination of internal audit reports provided by the Enterprise Risk Management Division (ERM), the Committee approved the Internal Audit Plan for the Company and the Group given by the DGM Enterprise Risk Management at the start of the financial year. These studies address controls, procedures, and operational difficulties, including IT systems. The relevant officials are invited at the meetings in order to facilitate meaningful discussion and implementation of the identified risk or control weakness and its mitigation.

## EXTERNAL AUDITORS

M/s. Deloitte Partners continues as the Group's External Auditors. Deloitte was first appointed in 2018 and re-appointed each year at the AGM. The Committee reviews the re-appointment of the External Auditors annually. The Committee takes its responsibility for monitoring independence, objectivity and compliance with ethical and regulatory requirements to the Committee. The External Auditors are jointly responsible to the Board and the Committee, with the Committee as the primary contact. The Group policy sets out which categories of non-audit services the External Auditors will and will not be allowed to provide to the Group, within permissible materiality levels.

Details of all fees charged by the External Auditors during the year ended 31st March 2025 are set out in Note 10 to the Consolidated Financial Statements.

The performance of the External Auditors continue to be reviewed annually, in accordance with best practice, to assess the delivery of the External Audit service. The review takes into account the quality of planning, delivery and execution of the audit, the technical competence and strategic knowledge of the audit team and the effectiveness of reporting and communication between the audit team and management.

Having considered the matters detailed above, the Committee recommended to the Board the re-appointment of M/s Deloitte Partners as the Auditors of the Company for the financial year ending 31st March 2026 subject to the approval of the shareholders, at a remuneration to be agreed by the Board.

The effectiveness of the Committee was evaluated at the conclusion of the period under consideration by each member of the Committee and the results communicated to the Board.



**K. Sivanesan**

Chairman  
Audit Committee

26th August 2025

# The Related Party Transactions Review Committee Report

The Board has established Related Party Transactions Review Committee (RPTR Committee) in order to review the related party transactions of Browns Investments PLC and its subsidiaries.

## COMPOSITION

The composition of the Committee is as follows;

- Mr. C. N Wijesinha - Chairman/ Independent Non-Executive Director [appointed on 01.01.2025]
- Mr. K. Sivanesan - Member/Senior Independent Director [appointed on 01.01.2025]
- Mr. D.S.K. Amarasekara - Member/ Non- Executive Director
- Mr. S .Furkhan - Member/ Independent Non-Executive Director [resigned on 01.01.2025]
- Dr. J. M. Swaminathan /Chairman Senior Independent Director [resigned on 01.01.2025]

The Chief Executive Officer and Group Chief Financial Officer attend the meetings by invitation.

The Company Secretaries provide assistance to the members of the Committee, including but not limited to assisting the Committee Chair in planning the work of the Committee, formulating meeting agendas, maintenance of committee minutes, collation and distribution of information required by the Committee and providing practical support, as and when needed.

## COMMITTEE MEETINGS

The Committee met four times during the year under review. The minutes of all meetings were properly documented and communicated to the Board of Directors.

See page 19 for details of attendance during the year.

Any member of the Committee who has a potential interest in any Related Party

Transaction will disclose his/her interests therein and excuse and abstain from discussions leading to the eventual voting and approval of the Related Party Transaction/s. The RPTR Committee considers all relevant facts and circumstances respecting such transaction/s.

## ROLE OF THE COMMITTEE

The RPTR Committee is tasked with reviewing all Related Party Transactions of the Company and ensuring that they comply with the Listing Rules of the Colombo Stock Exchange (CSE).

The Committee reviews and pre-approves all proposed non-recurrent Related Party Transactions of the Company. Further, the

Committee reviews all recurrent Related Party Transactions on a quarterly basis and annually to ensure compliance with the limits and reporting guidelines specified by the Listing Rules of CSE.

## REVIEW OF THE YEAR

- The Committee reviewed all related party transactions, and ensured there were neither any non-recurrent transactions nor transactions that require the approval of shareholders of the Company (except for the exempted transactions under Rule 9.14.10 of the CSE Listing Rules).
- Obtained required information from the management, employees or external parties with regard to any transaction entered into with a related party.
- After each meeting, the Committee updated the Board on any disclosures that need to be made in Quarterly Financial Statements or the Annual Report, any other market disclosures with regard to any particular

related party transaction and any other observations or comments that may require the attention of the Board.

- Ensured that no Director of the Company participated in any discussion of a proposed Related Party Transaction for which he or she is a related party, unless such Director was requested to do so by the Committee for the express purpose of providing information concerning the Related Party Transaction to the Committee;
- Established guidelines and policies for the management and reporting of related party transactions. The Committee also considered the necessary market disclosures in a timely and detailed manner and disclosures in the Annual Report as required by the applicable rules/regulations;
- Assessed the adequacy of related party reporting systems along with the advice of the External Auditors;
- Ensured that all reporting requirements of the CSE Listing Rules and other relevant statutes and regulations are met;
- The Committee was satisfied that all related party transactions of the entity were transacted on normal commercial terms and were not prejudicial to the interests of the entity and its minority shareholders.

## DECLARATION

The Committee has reviewed all related party transactions during the period which were communicated to the Board of Directors by the Committee and has established that they are in the best interest of the Company and comply with all standards of best practice and reporting. The recurrent and non-recurrent related party transactions of the Company under Rule 9.14.8 are given in detail on page 150.



**C. N. Wijesinha**

Chairman  
Related Party Transactions Review Committee

26th August 2025

# Remuneration Committee Report

The Committee has taken account of the Code in its approach to the Group's remuneration practices. The Committee's approach

is to adhere to best practice reporting standards, disclosure and transparency and for consistent treatment of executive remuneration when compared with the treatment of the wider workforce.

## COMPOSITION

The members of the Remuneration Committee are:

- Mr. K Sivanesan – Chairman/Senior Independent Director [appointed on 01.01.2025]
- Mr. C. N Wijesinha Member/Independent Non-Executive Director [appointed on 01.01.2025]
- Mrs. K U Amarasinghe – Member / Non-Executive Director
- Mr. S. Furkhan – Member/Independent Non-Executive Director [retired on 01.01.2025]
- Dr. J. Swaminathan – Member/ Senior Independent Non-Executive Director [retired on 01.01.2025]

The Head of Human Resources and other senior officers of the Company are invited as and when required, with the Company Secretaries functioning as its Secretary.

## ROLE AND WORK OF REMUNERATION COMMITTEE

The Committee forms a key part of the governance framework and oversees policies with regard to overall compensation, benefits and performance-related pay schemes.

The Committee members have no conflicts of interest arising from cross-directorships and no director is permitted to be involved in any decisions as to his or her own remuneration. The remuneration of non-executive directors is decided by the Board of Parent Company.

The Committee's objective is to ensure that the remuneration paid to its executive directors and CEO is appropriate in both amount and structure, is directly linked to the Company's performance and is aligned with the interests of shareholders. Careful consideration is given to ensuring there is an appropriate balance in the remuneration structure between annual and long term rewards, as well as between cash and other payments. Variable pay is linked to measures which are aligned with the Company's long term strategy and objectives.

## ACTIVITIES FOR THE YEAR UNDER REVIEW

The Committee met once during the year primarily to review the policies with regard to the remuneration of the Group's employees and Senior Management.

Pay structures and employment conditions for Group employees were driven by market and role comparatives.

The Committee was satisfied that the existing Policies are aligned to the business strategy and current best market practice and therefore no material changes were proposed. The committee will continue to maintain the link between pay and performance and remains committed to doing so in the future.

The effectiveness of the Committee was evaluated at the conclusion of the period under review by each member of the Committee and the results were communicated to the Board.



**K. Sivanesan**  
Chairman  
Remuneration Committee

26th August 2025

# Nominations and Governance Committee Report

The Nominations and Governance Committee of Browns Investments was established with effect from 1st October 2024 as a key component of its Governance framework in compliance with the revised rules on Corporate Governance comprising the following Directors.

## COMPOSITION

- Mr. C. N. Wijesinha – Committee Chairman / Independent Non-Executive Director [appointed on 01.01.2025]
- Mr. K. Sivanesan – Member / Senior Independent Non-Executive Director [appointed on 01.01.2025]
- Mr. W. D. K. Jayawardena – Member / Non-Executive Director
- Mr. S. Furkhan – Member / Independent Non-Executive Director [retired on 01.01.2025]
- Dr. J. M. Swaminathan. – Member / Senior Independent Non-Executive Director [retired on 01.01.2025]

## ROLE OF THE COMMITTEE

The Committee has adopted Section 9.11 of the Listing Rules of the Colombo Stock Exchange as its Terms of Reference. The Policy in place mandates the Committee to adopt best practices in ensuring that the Company maintains the highest standard of ethics while building value for all stakeholders. The Committee lead the process of all board nominations, board and subcommittee appointments taking into consideration their experience, skills, age, gender and independence/relationships; re-election and re-appointment; board induction, evaluation and discussion of outcomes at Board level; periodic succession planning for Board members in consultation with the Chairman; and review the CG framework considering applicable laws, rules and regulations, and continue to strengthen the Company's governance practices to promote transparency, accountability and shareholder confidence.

## ACTIVITIES DURING THE YEAR

During the year under review, the Committee met once during the year to review the governance requirements of the Colombo Stock Exchange, timelines applicable for compliance; reviewed governance policies and procedures for adoption; and established improvements for monitoring governance in terms of the rapid expansion undertaken by the Company, while detailed discussion and implementation of necessary strategies were taken up during the Audit Committee meetings.

At each Annual General Meeting, one-third of the Directors, or if their number is not a multiple of three the number nearest to (but not greater than) one-third must retire by rotation from office; apart from the Directors appointed to fill casual vacancies or as additional directors who will hold office only until the next Annual General Meeting and be subject to re-election.

The Committee has reviewed the fitness and propriety of the following board members' re-election presented for shareholder approval:

- Mrs K U Amarasinghe who retires by rotation in accordance with Article 23(6) of the Articles of Association of the Company.
- Mr. K. Sivanesan\*\* who retires in accordance with Article 23(2) of the Articles of Association of the Company
- Mr. C. N. Wijesinha\* who retires in accordance with Article 23(2) of the Articles of Association of the Company

Having reviewed the independence/non-independence, collective skills and expertise that add value to the strategic needs of the Board and or its subcommittees, other principal obligations/positions held at present and over the last three years in listed entities, the Nominations & Governance Committee has recommended their re-election. The Committee Chair\* and its Committee Member\*\* abstained from their own review which was carried out by the remaining members.

Evaluation of the Board Members including the CEO on performance, is undertaken annually. Responses are evaluated by the Chairman and recommendations or concerns discussed with the Board at a meeting and appropriate actions taken. Led by the SID, the performance of the Chairman is also assessed separately by the non-executive directors and addressed by the SID.

The Executive Directors as a practice, discuss key issues relating to the Company/Group and obtain feedback from the independent directors prior to implementation of decisions.

The Company Secretaries and the Management ensure that the Board of Directors are kept updated of changes to laws, rules, regulations including the Listing Rules and applicable capital market provisions. Furthermore, the directors participate in related regulatory forums when necessary.

Subject to the transitional provisions provided for the age limit and years of service till 1st January 2025, all criteria specified by the Listing Rules of the Colombo Stock Exchange have been met by the independent directors.

Key concerns of the Committee are escalated to the executive board members immediately for necessary action. Minutes of this meeting were tabled at the next Board Meeting, thereby enabling the Board as a whole to be kept informed. The effectiveness of the Committee was evaluated at year end by each member and results reviewed and gaps communicated to the Board.

The Committee has reviewed the management report confirming compliance with the Corporate Governance Framework and confirms that all applicable requirements under Section 9 of the Listing Rules have been met as described in the Corporate Governance Report on pages 13 to 37.



**C N Wijesinha**  
Chairman  
Nominations and Governance Committee

26th August 2025

# Report of The Senior Independent Director (SID)

Considering the executive role performed by the Chairman the Company formalised the appointment of the SID on 31.10.2023.

In terms of criteria prescribed by the Exchange and based on the declarations submitted, the Board has concluded that the following directors are independent:

Mr. K Sivanesan

Mr. C. N. Wijesinha

The independent directors as a practice met periodically when necessary, although informally, to discuss matters of importance in relation to the Company and its Group operations and advised the executive directors on emerging issues on governance and regulatory requirements. Any matter of concern which comes to the notice during functioning of other committees are brought to the attention of and discussed with the Chairman and the CEO promptly without waiting for formal meetings.

Furthermore, key business decisions of the Company intended by the top management were discussed with the independent directors and responses provided, for any concerns raised by the independent directors. The independent directors had access to reach out to the Company's key management personnel to obtain clarifications for matters raised. On such occasions, consensus was reached between the executive Board members and the independent directors, and the advice provided has been implemented in its decision making/businesses. The independent directors periodically met on three (03) occasions without the presence of the other Board members at their Committee Meetings in Remuneration and Nominations & Governance. Chaired by the SID, the performance of the Chairman was appraised by the non executive directors.

With regard to governance related matters, as the SID, I am consulted by the Chairman and I make myself available to any Director to have confidential discussions on affairs of the Company, as and when required. In order to create long-term value for our stakeholders, I firmly believe that responsible leadership, an engaged and capable Board, an extensive policy framework, efficient controls, and an organisational culture are essential.

The independent directors wish to thank the Chairman and members of the management for their cooperation in promptly addressing matters raised by the independent directors.



**K Sivanesan**  
Senior Independent Director

26th August 2025

## Terms of Reference of the Senior Independent Director

### Purpose

The Board of Directors shall appoint one of the Independent Non-Executive Directors to be the Senior Independent Director in the following circumstances:

- In the event the Chairperson is not a non-executive director,
- The Chairperson and the CEO are the same person
- The Chairperson and CEO are close family members\* or related parties

*\*shall mean the spouse, parents, grandparents, children, brothers, sisters and grandchildren of director / CEO of a listed entity and any person who is financially dependent on and or acting in concert with such director / CEO, as defined by the CSE.*

### Key Responsibilities

The Senior Independent Director should [in addition to the responsibilities of a Non-Executive Director, and the general responsibilities of a Director]:

### To Shareholders

- 1 Be available to shareholders if they have concerns which contact through the normal channels of Chair, Group Chief Executive Officer or Chief Financial Officer has failed to resolve or for which such contact is inappropriate.
- 2 Attend meetings with major shareholders and financial analysts to obtain an understanding of shareholders' views on governance and performance against strategy and support the Chair in ensuring the Board is aware of the views of stakeholders.

### To the Chair

- 1 Together with the Chair, act as a sounding board for the Chair and Group Chief Executive Officer on Board and shareholder matters.
- 2 Chair the Nominations and Governance when it is considering succession to the role of Chair of the Board.

# Report of The Senior Independent Director (SID)

- 3    Lead an annual session of the Non-Executive Directors (excluding the Chair), to agree the Chair’s objectives and appraise the Chair’s performance and conduct the Chair’s annual performance appraisal.

## To the Board/Directors

- 1    Act as a trusted intermediary for Non-Executive Directors where this is needed to help them to challenge and contribute effectively.
- 2    Take the initiative in discussion with the Chair or other Board members if it seems that the Board is not functioning effectively.
- 3    Be the focal point for Board members for any concerns and intervene where appropriate to maintain Board and Company stability.
- 4    Lead an annual session of the Independent Directors, or as deemed necessary to exclusively discuss entity-related matters.

\*The Senior Independent Director shall be entitled to a casting vote at the meetings specified above in 3\* and 4\*.

## For the Group

Liaise and collaborate with the Senior Independent Director wherever appropriate.

## ADDITIONAL REQUIREMENTS

### Conflicts of interest

In the event of any conflict of interest on the part of the Senior Independent Director in relation to any particular aspect of their role, another Independent Director will be required to perform that aspect of the Senior Independent Director’s role.

### Time commitment

The Senior Independent Director will be expected to commit sufficient time as required to the role, which will include committing significantly more time to the role in exceptional circumstances.

### Tenure

The Senior Independent Director should stand for election at the first AGM following their appointment and, absent any objection from the Board or the Senior Independent Director’s desire to retire, should stand for re-election as per Section 23 [2] of the Articles of Association.

### Independence

The Senior Independent Director should be independent on appointment and throughout their tenure.

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# BROWNS INVESTMENTS CONTINUED TO STRENGTHEN ITS POSITION IN CORE SECTORS THROUGH STRATEGIC ACQUISITIONS AND OPERATIONAL ENHANCEMENTS.

# Annual Report of the Board of Directors

The Directors of Browns Investments PLC have pleasure in presenting to members their Report and the Audited Consolidated Financial Statements for the year ended 31st March 2025.

## PRINCIPAL ACTIVITIES

The principal activities of the Company are investments in listed and non-listed companies and investments in subsidiaries and jointly controlled entities which are mainly engaged in the plantation management, agriculture, leisure and construction sectors. The Principal activities and future strategic developments are described in detail in the "Management Discussion and Analysis" report on pages 06 to 12 of this report.

## TURNOVER

The Turnover of the Group was Rs 64,790 Mn as compared with Rs. 47,429 Mn in the previous year. A detailed analysis of the Company's Turnover is given in Note 4 of the Financial Statements.

## GROSS PROFIT

The Group's Gross Profit for the year was Rs 13,859 Mn compared with the Group's Gross Profit of Rs. 13,260 Mn for the previous year. A detailed analysis of the Group's gross profit is given in note 6 of the financial statements.

## GROUP/ COMPANY'S INVESTMENTS

A detailed description of the subsidiaries, associates, joint ventures, long term and short term investments are fully described in Note 20 & 21.

## PROPERTY, PLANT AND EQUIPMENT

Information relating to the movement in Property, Plant and Equipment is given in Note 14 of this Financial Statements.

## CAPITAL STRUCTURE

The Stated Capital of the Company as at the date of this Report is Rs. 31,004,439,269/- which consists 14,369,717,460 ordinary voting shares.

The shareholding structure is given on page 185 together with the 20 largest shareholders.

The market value of an ordinary share of the Company as at 31st March 2025 was Rs 7.30 [31st March 2024 was Rs. 5.40] . The number of shareholders as at 31st March 2025 was 36,232 [31st March 2024 - 38,100].

The information in respect of earnings, net assets per share is given on page 182

## RESERVES

The total Reserves as at 31st March 2025 amounts to Rs.164,164 Mn as compared with Rs. 98,597 Mn in the previous year.

## TAXATION

A sum of Rs. 352.6Mn has been provided for Group Taxation as compared to Rs. 327.6 Mn in the previous year.

## PROFIT AND APPROPRIATIONS

| For the year ended 31st March                      | Group          |                |
|----------------------------------------------------|----------------|----------------|
|                                                    | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Profit or loss attributable to equity holders      | 57,664,102     | 10,037,388     |
| Other comprehensive income                         | [992,856]      | [306,131]      |
| Retained profit brought forward from previous year | 48,142,254     | 36,394,949     |
| Other comprehensive income reclassified to P&L     | 2,358,837      | -              |
| Adjustments due to changes in group holdings       | [3,285,570]    | 2,016,048      |
| Retained profit carried forward                    | 103,886,766    | 48,142,254     |

| For the year ended 31st March                      | Company        |                |
|----------------------------------------------------|----------------|----------------|
|                                                    | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Profit or loss attributable to equity holders      | 57,664,102     | 10,037,388     |
| Other comprehensive income                         | [992,856]      | 306,131]       |
| Retained profit brought forward from previous year | 48,142,254     | 6,394,949      |
| Other comprehensive income reclassified to P&L     | 2,358,837      | -              |
| Adjustments due to changes in group holdings       | [3,285,570]    | 2,016,048      |
| Retained profit carried forward                    | 103,886,766    | 48,142,254     |

## EVENTS AFTER THE BALANCE SHEET DATE

Udapussellawa Plantations PLC, a subsidiary of the Group, acquired a 75.27% equity stake in Tea Smallholder Factories PLC for Rs. 793.27 after the year under review.

Browns Power Holdings [Pvt] Ltd, a subsidiary of the group, acquired 100% equity in FLMC Plantations [Pvt] Ltd, the holding company and managing agent of Pussellawa Plantations Ltd and Melfort Green Teas [Pvt] Ltd for Rs. 4.8 billion on 5 May 2025.

The Company's investment in Hatton National Bank PLC (HNB), which was classified as a non-current asset held for sale as at the reporting date in accordance with SLFRS 5 Non-current Assets Held for Sale and Discontinued Operations, was disposed of subsequent to the reporting period. The entire holding of voting shares amounting to 9.99% was sold in the price range of Rs. 305 to Rs. 313 per share. In addition, the non-voting shares, representing 44% of HNB's non-voting shares, were also disposed of at prices ranging from Rs. 280 to Rs. 318 per share after the end of the financial year.

## EMPLOYMENT POLICIES

The Group employment policies are based on respected HR practices to attract and retain the right people. The number of persons employed in the Company as at 31st March 2025 was 16 [31st March 2024 – 11].

Disciplinary matters are dealt according to the board approved policies in compliance with labour regulations. There was no occurrence of any issue detrimental to the harmonious industrial relations of the Company during the year under review which required disclosure under Rule 7.6 (vii) of the Listing Rules.

## STATUTORY PAYMENTS

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company and its Group Companies, all contributions, levies and taxes payable on behalf of, and in respect of the employees of the Company and its Group Companies and all other known statutory dues as were due and payable by the Company and Group Companies as at the Statement of Financial Position date have been paid or, where relevant provided for.

## ENVIRONMENTAL PROTECTION

It is the Group policy to keep the adverse effect on the environment to a minimum and to promote co-operation and compliance with the relevant authorities and regulations.

## COMPLIANCE WITH LAWS AND REGULATIONS

Through participation in various workshops/ forums and updates from the Company Secretaries and the Management, the Board of Directors keeps abreast of laws, rules, regulations and changes thereto, particularly to Listing Rules and applicable capital market provisions .

To the best of the knowledge of the Directors, the Company has not engaged in any activity that contravenes any applicable law or regulation, and has been in compliance with all prudential requirements, regulations and laws. Furthermore, the Directors confirm that there were no fines which are material imposed on the Company by any Governmental or regulatory authority in the country.

## CORPORATE GOVERNANCE

Your Board of Directors is committed to maintaining an effective corporate governance framework by effectively implementing systems required to ensure best practices in corporate governance and confirms that the Company is fully compliant with the Listing Rules of the Colombo Stock Exchange.

CA Sri Lanka issued its updated Code of Best Practice on Corporate Governance in December 2023. The updated Code has been reviewed and will be adopted to the extent of business exigency and as required by the Group.

Pages 13 to 37 details the manner in which the Company has complied with its governance framework.

## ENTERPRISE RISK MANAGEMENT & INTERNAL CONTROL

The Board through the Audit Committee conducts a review of internal controls covering financial , operational and compliance controls.

The Enterprise Risk Management Division (ERM) regularly reviews practices against laid down policies/procedures on internal controls and risk management. ERM findings are submitted to the Audit Committee. Any deficiencies or weaknesses detected are discussed with the relevant operational staff to ensure that the gravity of the position is understood by all and to expedite remedial action. Decisions made are followed up at subsequent Committee or Board meetings. The Directors declare that a reasonable assurance of their effectiveness and successful adherence has been obtained for the year under review.

The Risk Management Report is on page 20.

## CODE OF ETHICS

The Board sets the tone from the top to instil the right behaviours across all levels, from directors to staff, based on the Company's Code of Business Conduct and Ethics, which provides guidance to ensure duties are carried out with the highest standards of integrity. This also enable the Company to manage any potential impact with fair treatment. The Board confirms that there has not been any material breach of the Code during the year under review.

## FAIR TREATMENT FOR STAKEHOLDERS

The Company has taken necessary measures to ensure fair and equitable treatment for all its stakeholders.

## GOING CONCERN

During the year, the Directors reviewed the interim financials and the year-end financials. They have also regularly reviewed operations, and the environment within which the Company and the Group operated, including the macro environment, potential risks and resource allocation.

Having reviewed the outlook for each sector and after due consideration of the range and likelihood of outcomes, the Directors are satisfied that the Company, its subsidiaries and associates have adequate resources to continue in operational existence for the foreseeable future and continue to adopt the going concern basis in preparing and presenting these Financial Statements.

## DIRECTORATE

The Directors of the Company during the year under review are as follows:

Ishara Nanayakkara – Executive Chairman

Kapila Jayawardena – Non-Executive Director

Mrs. Kalsha Amarasinghe – Non-Executive Director

Kamantha Amarasekera – Non-Executive Director

Kanthimany Sivanesan – Senior Independent Non-Executive Director [Appointed on 01.10.2024]

Chitral Wijesinha – Independent Non-Executive Director [Appointed on 01.01.2025]]

Stefan Furkhan – Independent Non-Executive Director [Resigned on 01.01.2025]

Dr. Jayanta Swaminathan – Senior Independent Non-Executive Director [Retired on 01.01.2025]

The Directors' profiles can be found on pages 02 to 04

The Board places on record its sincere gratitude and appreciation for the invaluable support and guidance provided by Messrs. Jayanta Swaminathan and Stefan Furkhan

## Annual Report of the Board of Directors

during their tenure at Browns Investments PLC, which has been marked by a series of significant developments and achievements.

The Board warmly welcomes Messrs Chitral Wijesinha and Kanthimany Sivanesan who were appointed as directors.

### RE-ELECTION OF DIRECTORS

In accordance with Article No. 23(6) of the Articles of Association of the Company Mrs. Kalsha Amarasinghe, Non-Executive Director retires by rotation and being eligible offers herself for re-election.

In accordance with Article 23(2) of the Articles of Association of the Company, Mr. Kanthimany Sivanesan, Senior Independent Director retires and being eligible offers himself for re-election.

In accordance with Article 23(2) of the Articles of Association of the Company, Mr. Chitral Wijesinha, Independent Non-Executive Director retires and being eligible offers himself for re-election.

With the advice of the Nominations & Governance Committee, the Board recommend their re-election.

### DIRECTORS' MEETINGS

The Directors conduct Board Meetings on a quarterly basis. Board decisions are resolved at meetings, and by way of resolutions which are circulated among the Directors, approved and signed by all the Directors and tabled at the Board Meetings. The Minutes of the Board Meetings and the Agenda for the next meeting are circulated to all the Directors in advance.

### BOARD COMMITTEES

The Board has appointed the following sub committees:

- The Audit Committee
- The Talent Development and Remuneration Committee
- The Related Party Transactions Review Committee
- The Nominations & Governance Committee

The mandate of each of these sub committees is provided by their regulatory

guideline and Board approved Terms of Reference. The composition of these committees is as prescribed by the relevant regulation for effective functioning of the Committee. The reports of the respective Committees are included in this Report on pages 38 to 42.

### TRANSACTIONS WITH RELATED PARTIES

The Directors declare that the Company is in compliance with the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions during the financial year ended 31st March 2025 and that such transactions with the Company if any, have been disclosed while abstaining from voting on any matters of material interest.

In terms of LKAS 24, the Directors have disclosed transactions which are classified as related party transactions under Note 44 on pages 147 to 154 of the Financial Statements.

### DIRECTORS' INTEREST IN CONTRACTS

The Company maintains an Interests Register in terms of the Companies Act No. 7 of 2007 and is available for inspection upon request. The disclosures made by Directors have been noted by the Board, recorded in the minutes and entered into the Interest Register.

### DIRECTORS' SHAREHOLDINGS

The Directors' shareholdings were as follows :-

|                                              | As at 31st March<br>2025 | As at 31st March<br>2024 |
|----------------------------------------------|--------------------------|--------------------------|
| Sampath Bank PLC/Ishara Nanayakkara          | 40,000,000               | 40,000,000               |
| Kapila Jayawardena                           | Nil                      | Nil                      |
| Kalsha Amarasinghe                           | Nil                      | Nil                      |
| Kamantha Amarasekera                         | 722,000,000              | 730,000,000              |
| Stefan Furkhan [Resigned on 01.01.2025]      | -                        | 522,400                  |
| Dr. J.M. Swaminathan [Retired on 01.01.2025] | -                        | Nil                      |
| K. Sivanesan                                 | Nil                      | -                        |
| C.N. Wijesinha                               | Nil                      | -                        |

The Directors confirm that all material interests in contracts involving the Company if any have been disclosed to the Board and wherever any Director is materially interested in a contract or proposed contract with the Company, they would refrain from voting on such contracts.

The Directors did not have any material interest in any contract of significance in Group's business except those disclosed in Note 44 to the Financial Statements.

The declarations made by the directors confirm that there are no financial, business, family or other material/relevant relationship[s] between Chairman and CEO and/or amongst the other members of the Board apart from a family relationship between the Chairman and Nonexecutive Director, Mrs K U Amarasinghe.

Other directorships held by the Directors are disclosed in Board profiles on pages 02 to 04 Directors of subsidiaries are given on page 148.

### FIT AND PROPER ASSESSMENT OF DIRECTORS

In terms of Rule 9.7.4 of the Listing Rules of the Colombo Stock Exchange, declarations were obtained from the Directors who confirmed that they have continuously satisfied the fit and proper assessment criteria of the Listing Rules during the financial year under review and as at the date of such declaration.

## REMUNERATION OF DIRECTORS

The Directors' emoluments are disclosed in Note 44 to the Financial Statements.

The Company has a Board approved Remuneration Policy. This policy stipulates that remuneration should be linked to competence and contribution, while serving to incentivise and motivate. This policy has been taken into account when determining remuneration for both staff and directors.

The Remuneration Committee report is given on page 41.

## PARENT, SUBSIDIARIES, SUB-SUBSIDIARIES AND ASSOCIATE COMPANIES AND ITS DIRECTORS

The Directors of parent, subsidiaries, sub-subsidiaries and associate companies as at date are given on page 186 of the Financial Statements.

## FINANCIAL STATEMENTS

The Directors are responsible for the preparation of Financial Statements of the Company to reflect a true and fair view of the state of its affairs.

The Financial statements together with the Notes thereon, found on pages 67 to 86 are in compliance with Sri Lanka Accounting Standards and the requirements of the Companies Act No. 7 of 2007.

## AUDITORS' REPORT

The External Auditors of the Company Messrs Deloitte Partners, Chartered Accountants have carried out the audit of the Consolidated Financial Statements for the financial year ended 31st March 2025 and their Report on the Financial Statements appear on page 52 of this Annual Report.

## ACCOUNTING POLICIES

The significant accounting policies adopted when preparing these Financial Statements and any changes thereof if applicable are given on pages 67 to 86.

## ANNUAL REPORT

The Board of Directors approved the Consolidated Financial Statements on 31st March 2025. The appropriate number of copies of this report will be submitted to the Colombo Stock Exchange and to the Sri Lanka Accounting and Auditing Standards Monitoring Board within stipulated time period.

## AUDITORS

Deloitte Partners will retire, and offer themselves for re-appointment. The Board recommend their re-appointment for the year 2025/26 at a fee to be decided upon by the Board.

The fees paid to the Auditors are disclosed in the Notes to the Accounts on page 89.

As far as the Directors are aware, the Auditors do not have any other relationship [other than that of an auditor] with the Company or any of its subsidiaries nor do they have any interest in contracts with the Company or any of its subsidiaries.

## RESPONSIBILITY STATEMENTS

The Chief Executive Officer's and Chief Financial Officer's responsibility statement appears on page 51. The Directors' statement on responsibility for financial reporting appears on page 50.

## ANNUAL GENERAL MEETING

The Annual General Meeting will be held on Friday, 26th September at 10:30 am as a virtual meeting and the Notice of Meeting is on pages 201 to 202.

Immediately following the routine business, a special item has been included into the Notice of Meeting under item 7, for the purpose of considering and if thought fit to pass the Special Resolution to amend Articles 23 [1] and 34 [7] of the Articles of Association of the Company to reflect requirements pertaining to Number of Directors and Alternate Directors under Section 9 of the Listing Rules of the Colombo Stock Exchange.

For and on behalf of the Board



**Mr. Ishara Nanayakkara**  
Executive Chairman



**Mr. K. Amarasekera**  
Director



Secretaries  
**L O L C CORPORATE SERVICES (PRIVATE)  
LIMITED**

Colombo  
26th August 2025

# Statement of Directors' Responsibility

The responsibility of the Directors in relation to the Financial Statements for the year ended 31st March 2025 which have been prepared and presented in conformity with the requirements of the Sri Lanka Accounting Standards, the Listing Rules of the Colombo Stock Exchange and the Companies Act No.7 of 2007, is set out in the following statement.

The responsibility of the Auditors in relation to the Financial Statements is set out in the Report of the Auditors on pages 52 to 58 of the Report. As per the provisions of the Companies Act No. 7 of 2007, the Directors are required to prepare Financial Statements, for each financial year and place before a General Meeting which comprise of:

- 1] A statement of profit or loss which presents a true and fair view of the profit and loss of the Company and its subsidiaries for the financial year;
- 2] A statement of comprehensive income which presents a true and fair view of the comprehensive income for the company and its subsidiaries for the financial year
- 3] A Statement of Changes in Equity which presents a true and fair view of the changes in the Company's and its Subsidiaries retained earnings for the financial year;
- 4] A Statement of Cash Flow which presents a true and fair view of the flow of cash in and out of the business for the financial year and which comply with the requirements of the Act.

The Directors are of the view that, in preparing these Financial Statements:

- The appropriate accounting policies have been selected and applied in a consistent manner. Material deviations, if any have been disclosed and explained;
- All applicable Accounting Standards, as relevant, have been followed.
- Judgements and estimates have been made which are reasonable and prudent.

The Directors are also of the view that the Company has adequate resources to continue in operation and have applied the going concern basis in preparing these Financial Statements.

Further, the Directors have a responsibility to ensure that the Company maintains sufficient accounting records to disclose, with reasonable accuracy the financial position of the Company and of the Group, also to reflect the transparency of transactions and to ensure that the Financial Statements presented comply with the requirements of the Companies Act.

The Directors are also responsible for taking reasonable steps to safeguard the Assets of the Company and that of the Group and in this regard to give proper consideration to the establishment of appropriate internal control systems with a view to preventing and detecting fraud and other irregularities.

The Directors are required to prepare the Financial Statements and to provide the Auditors with every opportunity to take whatever steps and undertake whatever inspections they may consider to be appropriate to enable them to give their Audit Opinion.

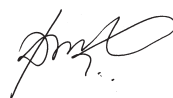
The Directors are of the view that they have discharged their responsibilities as set out in this statement.

## COMPLIANCE REPORT

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company and its subsidiaries, all contributions levies and taxes payable on behalf of and in respect of the employees of the Company and its subsidiaries, and all other known statutory dues as were due and payable by the Company and its subsidiaries as at the Balance Sheet date have been paid or, where relevant provided for.

The Board of Directors confirms that the Company, based on the information available, satisfies the Solvency test as and when required according to the Section 56[2] of the Companies Act No 07 of 2007.

By order of the Board



**Ishara Nanayakkara**  
Executive Chairman

26th August 2025

# Chief Executive Officer's and Group Chief Financial Officer Responsibility Statement

The Financial Statements of the Company are prepared in compliance with the following regulations;

- Sri Lanka Accounting Standards [SLFRS/ LKAS] issued by The Institute of Chartered Accountants of Sri Lanka
- The Companies Act No. 07 of 2007
- Sri Lanka Accounting & Auditing Standards Act No.15 of 1995
- Code of Best Practice on Corporate Governance issued by CA Sri Lanka.

The Company has used the Accounting policies appropriately to prepare its Consolidated Financial Statements in a consistent manner except unless otherwise stated in the Notes accompanying the Financial Statements. No deviations from the prescribed Accounting Standards were reported in their adoption. The Audit committee of the Company has reviewed significant accounting policies and estimates that involved a high degree of judgement and complexity. The Comparative information has been provided whenever required to comply with the current presentation.

The Board and the Management hereby confirms that they are responsible for preparation and presentation of these financial statements which give a true and fair view of the financial performance and position of the Company. The relevant estimates and judgements were made on a prudent and reasonable basis. For this purpose, proper and adequate measures have been taken to adopt a system of internal controls and accounting records, which are reviewed and updated on a regular basis.

The Company continuously update its accounting controls to ensure prudence and completeness of the financial statements

which ensures that the accounting records are free from error and omission. The existing internal controls are regularly reviewed and updated in order to ensure that it functions properly. All procedure manuals are updated whenever necessary and they are easily accessible to all the staff.

The Financial Statements of the Company and its subsidiaries for the financial year end of 31st March 2025 were audited by Messrs. Deloitte, Chartered Accountants. Periodic internal audits have been conducted by the internal auditors of the Company to provide reasonable assurance that the Company has followed its established policies and procedures consistently. However, there are inherent limitations that should be recognised in weighing the assurances provided by any system of internal controls and accounting.

The internal and external auditors of the Company are invited to join the quarterly Audit Committee meetings as and when required to review the performance or to discuss on the audit procedures adopted. Major audit observations and issues regarding any internal controls are discussed with the management during the meetings. Both auditors have free and full access to the members of the Audit committee to discuss any matters of substance.



**Panduka Weerasingha**  
Chief Executive Officer



**M.Imraz Iqbal**  
Chief Financial Officer, LOLC Group

26th August 2025

# Independent Auditors' Report



**Deloitte Partners**  
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## TO THE SHAREHOLDERS OF BROWNS INVESTMENTS PLC

### Report on the audit of the financial statements

#### Opinion

We have audited the financial statements of Browns Investments PLC (the Company) and the consolidated financial statements of the Company and its subsidiaries (the Group), which comprise the statement of financial position as at 31 March 2025, the statement of profit or loss, the statement of comprehensive income, the statement of changes in equity, the statement of cash flows for the year then ended and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements of the Company and the consolidated financial statements of the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2025, and of their financial performance and their cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

#### Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company and the Group in accordance with the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka ("CA Sri Lanka Code of Ethics") and we have fulfilled our other ethical responsibilities in accordance with the CA Sri Lanka Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

#### Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

C S Manoharan FCA, T U Jayasinghe FCA, M D B Boyagoda FCA, H A C H Gunarathne FCA, M P M T Gunasekara FCA, N R Gunasekera FCA, M S J Henry FCA, M M R Hilmy FCA, H P V Lakdeva FCA, K M D R P Manatunga ACA, M M M Manzeer FCA, L A C Tillekeratne ACA, D C A J Yapa ACA

Regd. Office: P.O. Box 918, 100 Braybrooke Place, Colombo 02, Sri Lanka. Reg. No.: w/4179

## The Group and the Company

| Key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | How our audit addressed the Key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Valuation of investment properties</b></p> <p><i>Refer to notes 3.8 and 15 of the consolidated financial statements for disclosures of related accounting policies, judgments, estimates and balances.</i></p> <p>As at 31 March 2025, the carrying value of the land and buildings, classified as investment properties of the Company and Group amounted to Rs. 2,836 Mn and Rs. 103,949 Mn respectively.</p> <p>The Company and the Group measures these investment properties at their fair values with the involvement of an independent valuer, annually.</p> <p>During the year ended 31 March 2025, the Company and the Group reported gains on changes in fair values of investment property of Rs. 198 Mn and Rs. 1,528 Mn respectively.</p> <p>The fair values of investment properties are dependent on the valuation methodology adopted by the independent valuer and the inputs into the valuation model. Factors such as prevailing market conditions, the nature, condition and location of each individual property and the expected future income from each property directly impact fair values.</p> | <p><b>Our audit procedures performed included the following:</b></p> <ul style="list-style-type: none"> <li>Evaluating the design and implementation of the controls over management's assessment in determination of fair value of investment properties;</li> <li>Through inquiries with management, and by inspecting the underlying supporting documents obtaining an understanding of the specific characteristics of selected individual properties including, amongst other things, any properties acquired during the year and changes, if any, in the use of the respective properties;</li> <li>Meeting with management's independent valuer, who performed the investment property valuations, to assess the appropriateness of the methodologies adopted, and the reasonableness of assumptions and estimates used in the valuations;</li> <li>Assessing the independence, qualifications, and experience of the management's valuation expert;</li> <li>Testing the completeness and accuracy of the information provided to the valuer by the management.</li> <li>Comparing the market value of properties assumed by the management's valuation expert to ascertain the valuation of the Group's and the Company's properties with other publicly available sales listings for similar properties in proximity;</li> </ul> |
| <p>We focused on this matter because the:</p> <ul style="list-style-type: none"> <li>Investment property balances in the Company's and Group's statements of financial position are significant;</li> <li>Quantum of fair value gains reported in the Company's and the Group's financial statements; and</li> <li>Inherently subjective nature of investment property valuations due to the use of estimates, assumptions and judgments in the valuation methodology.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | <ul style="list-style-type: none"> <li>Inspecting the final valuation reports and agreeing the fair values, including the fair value gains recognized to the accounting records and to the financial statements;</li> <li>Reviewing the procedures performed by component auditors of those subsidiaries which own investment properties; and</li> <li>Reviewing the adequacy and appropriateness of management's disclosures in the financial statements in relation to the investment properties.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |



The Group

| Key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | How our audit addressed the Key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
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| <p><b>Valuation of consumable biological assets</b></p> <p><i>Refer to notes 3.12.2 and 19 of the consolidated financial statements for disclosures of related accounting policies, judgments, estimates and movements in the balance.</i></p> <p>The Group’s consumable biological assets recognised in the consolidated financial statements amounted to Rs. 16,129 Mn as at 31 March 2025 and the gains on change in fair values of such biological assets amounted to Rs. 910 Mn for the year then ended.</p> <p>Consumable biological assets that are to be harvested as agricultural produce or sold as biological assets are stated at fair value less estimated point-of-sale cost at harvest.</p> <p>Management engaged internal and independent external valuation experts to assist them in determining the fair value of the consumable biological assets.</p> <p>We considered the valuation of consumable biological assets as a key audit matter because of the following:</p> <ul style="list-style-type: none"><li>• It requires significant levels of judgment and technical expertise in selecting appropriate valuation models and assumptions; and</li><li>• Changes in key assumptions such as discount rate, value of timber per cubic meter and available timber quantity, used for the estimation may have a material impact on the carrying value of biological assets recognised in the consolidated statement of financial position and the quantum of gain recognised in the consolidated statement of profit or loss.</li></ul> | <p><b>Our audit procedures performed included the following:</b></p> <ul style="list-style-type: none"><li>• Evaluating the design and implementation of the controls over determination of the fair value of biological assets directly owned by the subsidiary companies;</li><li>• Assessing the qualifications, independence and experience of the external valuation experts engaged by the Group and where internal experts used, assessed the experience of the valuers;</li><li>• Meeting with management and the management’s valuation expert to understand the valuation models and assumptions used in the valuation;</li><li>• Assessing the accuracy of the input data, used by the valuers and challenged the key assumptions used by the valuation experts;</li><li>• Checking the completeness and accuracy of the information provided by management to the internal and external valuation experts;</li><li>• Comparing historical valuations against current year valuations and checking whether the changes in pricing were in line with the overall movement in the market and the actual sales during the year;</li><li>• Checking the reasonableness of the quantity and growth considered for the valuation, by selecting a sample, and comparing it to the historical timber content and growth;</li><li>• Obtaining the valuation calculation and testing the mathematical accuracy;</li><li>• Testing the physical existence of the biological assets that were subject to valuation by performing physical observations on a sample basis;</li><li>• Agreeing the valuations to the value recorded in the consolidated statement of financial position and checking the resulting gain recognised in the consolidated statement of profit or loss;</li><li>• Reviewing of the procedures performed by component auditors of those subsidiaries which own biological assets; and</li><li>• Assessing the adequacy of disclosures made in the consolidated financial statements in relation to the valuation of consumable biological assets.</li></ul> |

| Key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | How our audit addressed the Key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
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| <p><b>Business Combination - Recognition of gain on bargain purchase on acquisition of subsidiaries</b></p> <p>See notes 3.1.6 and 20.4 of the consolidated financial statements for disclosures of related accounting policies, judgments, estimates and balances.</p> <p>During the year, B Commodities ME FZE, a fully owned subsidiary of Browns Investments PLC, acquired controlling interests in several companies: Lipton Teas and Infusions Kenya PLC, Limuru Tea PLC, Lipton Teas and Infusions Rwanda Ltd, James Finlay Guizhou Company Ltd, Lipton Teas and Infusions Tanzania Ltd and Sierra Cables PLC. These acquisitions resulted in the Group recognizing gains on bargain purchases amounting to Rs. 99,274 Mn.</p> <p>The gains on bargain purchases arose as the provisional fair value of the identifiable net assets acquired exceeded the consideration paid.</p> <p>We considered recognition of gain on bargain purchase as a key audit matter because of the following:</p> <ul style="list-style-type: none"> <li>• The amount recognized in profit or loss is significant, thereby having a considerable impact on the financial results; and</li> <li>• It involves significant judgment particularly in the provisional fair value assessment of identifiable assets and liabilities.</li> </ul> | <p><b>Our audit procedures performed included the following:</b></p> <ul style="list-style-type: none"> <li>• Reviewing the Sales and Purchase Agreements (“Agreements”) and management’s rationale for the transactions;</li> <li>• Verifying that identifiable assets and liabilities, including contingent liabilities, have been correctly identified for the Purchase Price Allocation with reference to subsidiary company’s financial statements and other non-financial information available;</li> <li>• Evaluating whether the effective date of the acquisition was in compliance with the requirements of SLFRSs by inspecting the terms and conditions of the Agreements;</li> <li>• Testing the management’s calculation of gain on bargain purchase amount by performing the following procedures: <ul style="list-style-type: none"> <li>• Agreeing the purchase consideration paid on the acquisition to the Agreement and payment details;</li> <li>• Verifying the arithmetical accuracy of the calculation of gain on bargain purchase as the excess of the fair value of identifiable net assets acquired over the purchase consideration;</li> <li>• Gaining an understanding of the work performed by the management’s valuation expert by examining the valuation reports;</li> <li>• Assessing the reasonableness of the key assumptions used in the valuation by the management’s valuation expert in deriving the fair values with reference to market comparables; and</li> <li>• Assessing the independence, qualifications, and experience of the external valuation expert engaged by the management.</li> </ul> </li> <li>• Assessing the disclosures in the consolidated financial statements, relating to business combinations per the requirements of SLFRSs.</li> </ul> |



| Key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | How our audit addressed the Key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
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| <p><b>Revaluation of freehold land, buildings, reclaimed land and right-of-use assets relating to leasehold land</b></p> <p><i>Refer to notes 3.7.1, 3.9, 14 and 17 of the consolidated financial statements for disclosures of related accounting policies, judgments, estimates and balances.</i></p> <p>As at 31 March 2025, the carrying value freehold land, buildings and reclaimed land classified as property, plant and equipment of the Group amounted to Rs. 25,331 Mn, Rs. 75,544 Mn and Rs. 24,048 Mn respectively. The right-of-use assets relating to leasehold land as at 31 March 2025 amounted to Rs. 158,100 Mn. The revaluation gain recognised by the Group from revaluation of freehold land, buildings, reclaimed land and right-of-use assets relating to leasehold land for the year then ended amounted to Rs. 5,576 Mn, Rs. 4,631 Mn, Rs. 3,090 Mn and Rs. 7,233 Mn respectively.</p> <p>The Group had chosen the revaluation model as its accounting policy for measurement after recognition of its freehold land, buildings, reclaimed land and right-of-use assets relating to leasehold land which are accordingly measured at fair value with sufficient regularity, to ensure that the carrying amounts do not materially differ from that which would be determined using fair values at the reporting date. The Group engaged independent valuation experts to measure the value of these properties.</p> <p>Freehold land, reclaimed land and right-of-use assets relating to leasehold land were valued at their fair value at reporting date using market approach and freehold buildings were valued using the replacement cost at the reporting date. The fair values of these properties are dependent on the valuation methodology adopted and input into the valuation models. Factors such as current market conditions, the unique characteristics, location, and condition of each property, as well as recent comparable market transactions, directly impact the fair values.</p> <p>We focused on this matter because the:</p> <ul style="list-style-type: none"> <li>Relative size and significance of the freehold land, buildings, reclaimed land and right-of-use assets relating to leasehold land in the consolidated statement of financial position;</li> <li>Quantum of revaluation gains recognized by the Group, that directly impact the consolidated statements of profit or loss and other comprehensive income; and</li> <li>Inherently subjective nature of property valuations due to use of estimates and judgment in the valuation methodology.</li> </ul> | <p>Our audit approach mainly included substantive audit procedures as follows:</p> <ul style="list-style-type: none"> <li>Obtaining the latest property market rates for freehold land, buildings, reclaimed land and right-of-use assets relating to leasehold land to understand the prevailing market for comparable properties in similar conditions and locations;</li> <li>Comparing historical valuations in relation to freehold land, buildings, reclaimed land and right-of-use assets relating to leasehold land against current year valuations, to assess whether the movements appear to be in line with overall movement in the market;</li> <li>Meeting with management's external valuation experts, who performed the property valuations for the Group, to discuss the appropriateness of the methodologies adopted and reasonability of assumptions used in the valuations;</li> <li>Assessing the qualifications and experience of the valuation experts of the Group;</li> <li>Verifying the completeness and accuracy of the information provided to the valuation experts of the Group;</li> <li>Comparing market value of freehold land, buildings, reclaimed land and right-of-use assets relating to leasehold land assumed by the valuation experts with other similar sales transaction information available in the market and sales listings;</li> <li>Comparing estimated price per perch of freehold land, reclaimed land and right-of-use assets relating to leasehold land and cost per square foot of freehold buildings to a reasonable range determined based on market data. Where the prices/costs fell outside of the anticipated ranges, discussing with the management the reasons to support the variances;</li> <li>Inspecting the final valuation reports and agreeing the fair values to the Group's accounting records and financial statements;</li> <li>Reviewing of the procedures performed by component auditors of those subsidiaries which own freehold land, buildings, reclaimed land and right-of-use assets relating to leasehold land; and</li> <li>Checking the adequacy and appropriateness of management's disclosures in the financial statements.</li> </ul> |



### Other information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

### Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Company and the consolidated financial statements of the Group, management is responsible for assessing the Company's/ Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company/ Group or to cease operations, or has no realistic alternative but to do so.

### Responsibilities of Management and Those Charged with Governance for the Financial Statements

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

### Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Company and the consolidated financial statements of the Group as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

## Independent Auditors' Report



- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's and the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements of the Company and the consolidated financial statements of the Group or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company/ Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements of the Company and the consolidated financial statements of the Group represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the Company and the consolidated financial statements of the Group of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

### Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act, No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4414.

*Deloitte Partners.*

CHARTERED ACCOUNTANTS  
COLOMBO

26 August 2025

# Statement of Profit or Loss

| For the year ended 31st March                                                       | Notes   | Group              |                   | Company           |                   |
|-------------------------------------------------------------------------------------|---------|--------------------|-------------------|-------------------|-------------------|
|                                                                                     |         | 2025<br>Rs.000     | 2024<br>Rs.000    | 2025<br>Rs.000    | 2024<br>Rs.000    |
| Continuing operations                                                               |         |                    |                   |                   |                   |
| Revenue from contracts with customers                                               | 4       | 64,790,500         | 47,429,333        | 114,298           | 66,289            |
| Cost of sales                                                                       | 5       | (50,931,832)       | (34,169,189)      | -                 | -                 |
| Gross profit                                                                        | 6       | 13,858,668         | 13,260,144        | 114,298           | 66,289            |
| Other income                                                                        | 7       | 8,877,482          | 17,495,605        | 2,518,161         | 344,942           |
| Distribution expenses                                                               |         | (2,474,677)        | (2,416,769)       | -                 | -                 |
| Administrative expenses                                                             |         | (16,502,758)       | (10,726,183)      | (221,210)         | (264,324)         |
| Provision for impairment of amounts due from related parties and other expenses     | 8       | (2,563,218)        | (906,561)         | (2,636,507)       | (534,540)         |
| Depreciation and amortisation                                                       |         | (4,880,284)        | (3,086,971)       | (11,136)          | (13,496)          |
| <b>Results from operating activities</b>                                            |         | <b>(3,684,787)</b> | <b>13,619,265</b> | <b>(236,394)</b>  | <b>(401,129)</b>  |
| Finance income                                                                      |         | 2,158,115          | 5,309,942         | 9,772,921         | 13,969,340        |
| Finance costs                                                                       | 9       | (36,581,736)       | (44,415,236)      | (20,271,440)      | (28,250,219)      |
| Results on acquisition and disposal of group investments                            | 20 .4   | 98,719,455         | 31,459,145        | -                 | 544,460           |
| Share of profit of equity accounted investees (net of tax)                          | 20 & 21 | 249,266            | 4,065,887         | 77,720,825        | 24,285,666        |
| <b>Profit before taxation from continuing operations</b>                            | 10      | <b>60,860,313</b>  | <b>10,039,003</b> | <b>66,985,912</b> | <b>10,148,118</b> |
| Income tax reversal/(expense)                                                       | 11      | 1,855,927          | (4,255,639)       | 60,512            | (110,730)         |
| <b>Profit for the year from continuing operations</b>                               |         | <b>62,716,240</b>  | <b>5,783,364</b>  | <b>67,046,424</b> | <b>10,037,388</b> |
| <b>Discontinued operations</b>                                                      |         |                    |                   |                   |                   |
| Loss after tax for the period from discontinued operations and assets held for sale | 30      | (9,382,322)        | -                 | (9,382,322)       | -                 |
| <b>Total comprehensive income for the year</b>                                      |         | <b>53,333,918</b>  | <b>5,783,364</b>  | <b>57,664,102</b> | <b>10,037,388</b> |
| <b>Profit/ (loss) attributable to; (Continuing operations)</b>                      |         |                    |                   |                   |                   |
| Equity holders of the Company                                                       |         | 67,046,424         | 10,037,388        | 67,046,424        | 10,037,388        |
| Non-controlling interests                                                           |         | (4,330,184)        | (4,254,024)       | -                 | -                 |
|                                                                                     |         | 62,716,240         | 5,783,364         | 67,046,424        | 10,037,388        |
| <b>Loss attributable to; (Discontinued operations)</b>                              |         |                    |                   |                   |                   |
| Equity holders of the Company                                                       |         | (9,382,322)        | -                 | (9,382,322)       | -                 |
| Non-controlling interests                                                           |         | -                  | -                 | -                 | -                 |
|                                                                                     |         | (9,382,322)        | -                 | (9,382,322)       | -                 |
| <b>Profit/(loss) attributable to</b>                                                |         |                    |                   |                   |                   |
| Equity holders of the Company                                                       |         | 57,664,102         | 10,037,388        | 57,664,102        | 10,037,388        |
| Non -controlling interest                                                           |         | (4,330,184)        | (4,254,024)       | -                 | -                 |
|                                                                                     |         | 53,333,918         | 5,783,364         | 57,664,102        | 10,037,388        |
| Earnings per share                                                                  |         |                    |                   |                   |                   |
| Basic/diluted earnings per share [Rs.]                                              | 12      | 4.01               | 0.70              | 4.01              | 0.70              |
| Basic/ diluted earning per share from continuing operations [Rs.]                   | 12      | 4.67               | 0.70              | 4.67              | 0.70              |

The notes on pages 67 to 181 form an integral part of these financial statements.  
Figures in brackets indicate deductions.

# Statement of Comprehensive Income

| For the year ended 31st March                                                                                   | Group          |                | Company        |                |
|-----------------------------------------------------------------------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                                                                                 | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>Profit for the year</b>                                                                                      | 53,333,918     | 5,783,364      | 57,664,102     | 10,037,388     |
| <b>Other comprehensive income</b>                                                                               |                |                |                |                |
| <b>Items that will not be reclassified to profit or loss from continuing operations</b>                         |                |                |                |                |
| <b>Net change in revaluation surplus of property, plant and equipment</b>                                       |                |                |                |                |
| Revaluation surplus on property, plant and equipment                                                            | 20,902,372     | 809,352        | 59,818         | -              |
| Deferred tax on revaluation                                                                                     | (4,203,700)    | (59,633)       | (17,945)       | -              |
| <b>Net actuarial (losses) / gains on defined benefit plans</b>                                                  |                |                |                |                |
| Actuarial gains/(losses) on defined benefit obligations                                                         | (686,775)      | (187,584)      | (758)          | 549            |
| Deferred tax on other comprehensive income                                                                      | 210,207        | 47,044         | 227            | (165)          |
| <b>Net change in fair value of investments in equity</b>                                                        |                |                |                |                |
| Net losses on equity instruments at fair value through other comprehensive income                               | (2,105)        | (106)          | (105)          | (105)          |
| <b>Share of other comprehensive income of equity accounted investees</b>                                        |                |                |                |                |
| Share of other comprehensive income of equity accounted investees (Net of tax)                                  | 85,194         | 1,141,983      | 12,653,390     | 3,934,625      |
| <b>Items that are or may be reclassified to profit or loss</b>                                                  |                |                |                |                |
| <b>Change in fair value on investments in debt instruments at fair value through other comprehensive income</b> |                |                |                |                |
| Fair value gains/(losses) that arose during the year                                                            | (19,852)       | 13,851         | -              | -              |
| Deferred tax on financial instruments at fair value through other comprehensive income                          | 12,334         | (21)           | -              | -              |
| <b>Foreign currency translation differences for foreign operations</b>                                          |                |                |                |                |
| Exchange (losses)/gains from translation of foreign operations                                                  | (2,755,781)    | 4,423          | -              | -              |
| <b>Share of other comprehensive loss of equity accounted investees</b>                                          |                |                |                |                |
| Share of other comprehensive loss of equity accounted investees (Net of tax)                                    | (3,233)        | (98,674)       | (2,314,380)    | -              |
|                                                                                                                 | 13,538,661     | 1,670,635      | 10,380,247     | 3,934,904      |
| <b>Other comprehensive income from discontinued operations</b>                                                  |                |                |                |                |
| <b>Items that will not be reclassified to profit or loss</b>                                                    |                |                |                |                |
| Share of other comprehensive income of equity accounted investees (Net of tax)                                  | 793,956        | -              | 793,956        | -              |
| <b>Items that are or may be reclassified to profit or loss</b>                                                  |                |                |                |                |
| Share of other comprehensive income of equity accounted investees (Net of tax)                                  | 549,327        | -              | 549,327        | -              |
| Total other comprehensive income from discontinuing operations                                                  | 1,343,283      | -              | 1,343,283      | -              |
| <b>Total other comprehensive income</b>                                                                         | 14,881,944     | 1,670,635      | 11,723,530     | 3,934,904      |
| <b>Total comprehensive income for the year</b>                                                                  | 68,215,862     | 7,453,999      | 69,387,632     | 13,972,292     |
| <b>Attributable to:</b>                                                                                         |                |                |                |                |
| Equity holders of the Company                                                                                   | 69,387,632     | 13,972,292     | 69,387,632     | 13,972,292     |
| Non-controlling interests                                                                                       | (1,171,770)    | (6,518,293)    | -              | -              |
|                                                                                                                 | 68,215,862     | 7,453,999      | 69,387,632     | 13,972,292     |

The notes on pages 67 to 181 form an integral part of these financial statements.  
Figures in brackets indicate deductions.

# Statement of Financial Position

| As at 31st March                                     | Notes | Group       |             | Company     |             |
|------------------------------------------------------|-------|-------------|-------------|-------------|-------------|
|                                                      |       | 2025        | 2024        | 2025        | 2024        |
|                                                      |       | Rs.000      | Rs.000      | Rs.000      | Rs.000      |
| Assets                                               |       |             |             |             |             |
| Non-Current Assets                                   |       |             |             |             |             |
| Property, plant and equipment                        | 14    | 249,015,461 | 188,636,512 | 135,776     | 86,810      |
| Investment properties                                | 15    | 103,948,645 | 102,311,438 | 2,836,200   | 2,637,715   |
| Intangible assets                                    | 16    | 2,166,574   | 2,018,848   | 233         | 2,301       |
| Right of use assets                                  | 17    | 158,749,666 | 65,226,533  | -           | -           |
| Bearer biological assets                             | 18    | 22,174,815  | 12,298,224  | -           | -           |
| Consumable biological assets                         | 19    | 16,128,681  | 10,599,662  | -           | -           |
| Investments in subsidiaries                          | 20    | -           | -           | 229,222,706 | 142,384,866 |
| Investments in associates                            | 21    | 38,021      | 39,718,864  | 5,138       | 37,510,472  |
| Other financial assets                               | 22    | 496,515     | 229,072     | 445         | 346         |
| Deferred tax assets                                  | 23    | 3,026,786   | 1,567,006   | -           | -           |
|                                                      |       | 555,745,164 | 422,606,159 | 232,200,498 | 182,622,510 |
| Current Assets                                       |       |             |             |             |             |
| Inventories                                          | 24    | 23,069,493  | 13,960,687  | -           | -           |
| Trade and other receivables                          | 25    | 47,885,549  | 50,825,932  | 31,507,759  | 23,078,044  |
| Loans to related parties                             | 26    | 2,836,542   | 507,959     | 8,338,914   | 8,125,761   |
| Amounts due from related parties                     | 27    | 1,476,237   | 866,132     | 26,449,300  | 31,067,810  |
| Income tax recoverable                               | 28    | 455,273     | 184,244     | -           | -           |
| Other financial assets                               | 29    | 4,603,026   | 2,795,441   | 3,070,753   | 1,142,805   |
| Assets held for sale                                 | 30    | 27,450,750  | -           | 27,450,750  | -           |
| Cash and cash equivalents                            | 31    | 6,615,501   | 5,585,870   | 32,368      | 211,655     |
|                                                      |       | 114,392,371 | 74,726,265  | 96,849,844  | 63,626,075  |
| Total Assets                                         |       | 670,137,535 | 497,332,424 | 329,050,342 | 246,248,585 |
| Equity and Liabilities                               |       |             |             |             |             |
| Stated capital                                       | 32    | 31,004,439  | 31,004,439  | 31,004,439  | 31,004,439  |
| Reserves                                             | 33    | 60,277,313  | 50,454,862  | 60,277,313  | 50,454,862  |
| Retained earnings                                    |       | 103,886,766 | 48,142,254  | 103,886,766 | 48,142,254  |
| Equity attributable to equity holders of the Company |       | 195,168,518 | 129,601,555 | 195,168,518 | 129,601,555 |
| Non-controlling interests                            |       | 76,333,019  | 54,077,127  | -           | -           |
| Total Equity                                         |       | 271,501,537 | 183,678,682 | 195,168,518 | 129,601,555 |

## Statement of Financial Position

| As at 31st March                      | Notes | Group       |             | Company     |             |
|---------------------------------------|-------|-------------|-------------|-------------|-------------|
|                                       |       | 2025        | 2024        | 2025        | 2024        |
|                                       |       | Rs.000      | Rs.000      | Rs.000      | Rs.000      |
| Non Current Liabilities               |       |             |             |             |             |
| Interest bearing loans and borrowings | 34    | 24,588,113  | 22,399,220  | 1,000,000   | 2,000,000   |
| Lease liability                       | 35    | 14,731,222  | 13,955,080  | -           | -           |
| Retirement benefit obligations        | 36    | 5,418,280   | 3,496,124   | 4,290       | 5,194       |
| Deferred tax liability                | 37    | 50,827,901  | 27,509,864  | 440,497     | 358,239     |
| Deferred income                       | 38    | 338,046     | 352,221     | -           | -           |
| Loans from related parties            | 40    | 685,541     | 7,660,157   | -           | -           |
|                                       |       | 96,589,103  | 75,372,666  | 1,444,787   | 2,363,433   |
| Current Liabilities                   |       |             |             |             |             |
| Trade and other payables              | 39    | 142,369,204 | 95,977,345  | 51,737,676  | 33,118,397  |
| Interest bearing loans and borrowings | 34    | 6,987,081   | 7,436,270   | 1,000,000   | 1,000,000   |
| Lease liability                       | 35    | 460,348     | 413,102     | -           | -           |
| Loans from related parties            | 40    | 3,691,449   | 3,124,263   | 12,329      | 5,012,322   |
| Amounts due to related parties        | 41    | 113,871,360 | 116,635,421 | 68,195,993  | 68,222,848  |
| Income tax payable                    | 42    | 698,251     | 368,138     | -           | 125,053     |
| Other short term borrowings           |       | 29,287,336  | 13,907,173  | 11,441,933  | 6,804,311   |
| Bank overdrafts                       | 31    | 4,681,866   | 419,364     | 49,106      | 666         |
|                                       |       | 302,046,895 | 238,281,076 | 132,437,037 | 114,283,597 |
| Total Equity and Liabilities          |       | 670,137,535 | 497,332,424 | 329,050,342 | 246,248,585 |
|                                       |       |             |             |             |             |
| Net assets per ordinary share [Rs.]   | 43    | 13.58       | 9.02        | 13.58       | 9.02        |

Figures in brackets indicate deductions.

The notes on pages 67 to 181 form an integral part of these financial statements.

These financial statements are prepared and presented in compliance with the requirements of the companies act No.7 of 2007.



**M.Imraz Iqbal**

Chief Financial Officer, LOLC Group

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.

Signed for and on behalf of the Board



**Ishara Nanayakkara**

Executive Chairman



**Kamantha Amarasekera**

Director

26th August 2025

Colombo

# Statement of Changes in Equity

| Group                                                      | Equity Attributable to the shareholders of the Company |                     |                        |                          |                   |             | Non-controlling interest | Total equity |
|------------------------------------------------------------|--------------------------------------------------------|---------------------|------------------------|--------------------------|-------------------|-------------|--------------------------|--------------|
|                                                            | Stated capital                                         | Revaluation reserve | Fair valuation reserve | Foreign exchange reserve | Retained earnings | Total       |                          |              |
|                                                            | Rs.000                                                 | Rs.000              | Rs.000                 | Rs.000                   | Rs.000            | Rs.000      | Rs.000                   | Rs.000       |
| <b>Balance as at 1st April 2023</b>                        | 31,004,439                                             | 23,110,976          | 2,430,697              | 20,672,154               | 36,394,949        | 113,613,215 | 58,297,498               | 171,910,713  |
| <b>Comprehensive income</b>                                |                                                        |                     |                        |                          |                   |             |                          |              |
| Profit/(loss) for the year                                 | -                                                      | -                   | -                      | -                        | 10,037,388        | 10,037,388  | (4,254,024)              | 5,783,364    |
| Other comprehensive income / (loss)                        | -                                                      | 742,478             | 1,095,672              | 2,402,885                | (306,131)         | 3,934,904   | (2,264,269)              | 1,670,635    |
| <b>Total comprehensive income</b>                          | -                                                      | 742,478             | 1,095,672              | 2,402,885                | 9,731,257         | 13,972,292  | (6,518,293)              | 7,453,999    |
| <b>Transactions due to changes in group holdings</b>       |                                                        |                     |                        |                          |                   |             |                          |              |
| Shares issued by subsidiaries to non-controlling interests | -                                                      | -                   | -                      | -                        | -                 | -           | 365,076                  | 365,076      |
| <b>Total Transactions with owners of the Company</b>       | -                                                      | -                   | -                      | -                        | -                 | -           | 365,076                  | 365,076      |
| <b>Transactions due to changes in group holdings</b>       |                                                        |                     |                        |                          |                   |             |                          |              |
| On disposal of subsidiaries                                | -                                                      | -                   | -                      | -                        | -                 | -           | (3,163,135)              | (3,163,135)  |
| Changes in group holdings                                  | -                                                      | -                   | -                      | -                        | -                 | -           | 7,471,776                | 7,471,776    |
| Net assets changes in common control transactions          | -                                                      | -                   | -                      | -                        | (61,251)          | (61,251)    | -                        | (61,251)     |
| <b>Change in Intra group holdings</b>                      | -                                                      | -                   | -                      | -                        | 2,077,299         | 2,077,299   | (2,375,795)              | (298,496)    |
| <b>Total Changes in ownership interests</b>                | -                                                      | -                   | -                      | -                        | 2,016,048         | 2,016,048   | 1,932,846                | 3,948,894    |
| <b>Balance as at 31st March 2024</b>                       | 31,004,439                                             | 23,853,454          | 3,526,369              | 23,075,039               | 48,142,254        | 129,601,555 | 54,077,127               | 183,678,682  |
| <b>Comprehensive income</b>                                |                                                        |                     |                        |                          |                   |             |                          |              |
| Profit for the year                                        | -                                                      | -                   | -                      | -                        | 57,664,102        | 57,664,102  | (4,330,184)              | 53,333,918   |
| Other comprehensive income / (loss)                        | -                                                      | 14,090,387          | 940,378                | (2,314,379)              | (992,856)         | 11,723,530  | 3,158,414                | 14,881,944   |
| <b>Total comprehensive income / (loss)</b>                 | -                                                      | 14,090,387          | 940,378                | (2,314,379)              | 56,671,246        | 69,387,632  | (1,171,770)              | 68,215,862   |
| Other Comprehensive income reclassified to Profit or loss  |                                                        | (962,894)           | (1,931,041)            | -                        | 2,358,837         | (535,099)   | -                        | (535,099)    |
|                                                            | -                                                      | (962,894)           | (1,931,041)            | -                        | 2,358,837         | (535,099)   | -                        | (535,099)    |
| <b>Transactions due to changes in group holdings</b>       |                                                        |                     |                        |                          |                   |             |                          |              |
| Shares issued by subsidiaries to non-controlling interests | -                                                      | -                   | -                      | -                        | -                 | -           | 209,164                  | 209,164      |
| Pending share allotment to non-controlling interests       | -                                                      | -                   | -                      | -                        | -                 | -           | 7,369,213                | 7,369,213    |
| On acquisition of subsidiaries (Note 20.4)                 | -                                                      | -                   | -                      | -                        | -                 | -           | 12,564,029               | 12,564,029   |
| Changes in group holdings                                  | -                                                      | -                   | -                      | -                        | (3,285,571)       | (3,285,571) | 3,285,257                | (314)        |
| <b>Total Changes in ownership interests</b>                | -                                                      | -                   | -                      | -                        | (3,285,571)       | (3,285,571) | 23,427,662               | 20,142,092   |
| <b>Balance as at 31st March 2025</b>                       | 31,004,439                                             | 36,980,947          | 2,535,706              | 20,760,660               | 103,886,766       | 195,168,518 | 76,333,019               | 271,501,537  |

## Statement of Changes in Equity

| Company                                                   | Stated<br>capital | Revaluation<br>reserve | Fair<br>valuation<br>reserve | Foreign<br>Currency<br>Translation<br>Reserve | Retained<br>earnings | Total<br>equity |
|-----------------------------------------------------------|-------------------|------------------------|------------------------------|-----------------------------------------------|----------------------|-----------------|
|                                                           | Rs.000            | Rs.000                 | Rs.000                       | Rs.000                                        | Rs.000               | Rs.000          |
| <b>Balance as at 1st April 2023</b>                       | 31,004,439        | 23,110,976             | 2,430,697                    | 20,672,154                                    | 36,394,949           | 113,613,215     |
| <b>Comprehensive income</b>                               |                   |                        |                              |                                               |                      |                 |
| Profit for the year                                       | -                 | -                      | -                            | -                                             | 10,037,388           | 10,037,388      |
| Other comprehensive income / (loss)                       | -                 | 742,478                | 1,095,672                    | 2,402,885                                     | [306,131]            | 3,934,904       |
| <b>Total comprehensive income</b>                         | -                 | 742,478                | 1,095,672                    | 2,402,885                                     | 9,731,257            | 13,972,292      |
| Other equity adjustment of equity accounting of investees | -                 | -                      | -                            | -                                             | 2,016,048            | 2,016,048       |
| <b>Balance as at 31st March 2024</b>                      | 31,004,439        | 23,853,454             | 3,526,369                    | 23,075,039                                    | 48,142,254           | 129,601,555     |
| <b>Comprehensive income</b>                               |                   |                        |                              |                                               |                      |                 |
| Profit for the year                                       | -                 | -                      | -                            | -                                             | 57,664,102           | 57,664,102      |
| Other comprehensive income / (loss)                       | -                 | 14,090,387             | 940,378                      | [2,314,379]                                   | [992,856]            | 11,723,530      |
| <b>Total comprehensive income</b>                         | -                 | 14,090,387             | 940,378                      | [2,314,379]                                   | 56,671,246           | 69,387,632      |
| Other equity adjustment of equity accounting of Investees | -                 | [962,894]              | [1,931,041]                  | -                                             | [926,733]            | [3,820,669]     |
| <b>Balance as at 31st March 2025</b>                      | 31,004,439        | 36,980,947             | 2,535,705                    | 20,760,660                                    | 103,886,766          | 195,168,518     |

The notes on pages 67 to 181 form an integral part of these financial statements.

Figures in brackets indicate deductions.

# Statement of Cash Flows

| For the year ended 31st March                                                       | Notes   | Group             |                   | Company          |                    |
|-------------------------------------------------------------------------------------|---------|-------------------|-------------------|------------------|--------------------|
|                                                                                     |         | 2025              | 2024              | 2025             | 2024               |
|                                                                                     |         | Rs.000            | Rs.000            | Rs.000           | Rs.000             |
| <b>Cash flows from operating activities</b>                                         |         |                   |                   |                  |                    |
| Profit before taxation from continuing operations                                   |         | 60,860,313        | 10,039,003        | 66,985,912       | 10,148,118         |
| profit/(loss) before taxation from discontinued operations                          |         | (9,382,322)       | -                 | (9,382,322)      | -                  |
|                                                                                     |         | 51,477,991        | 10,039,003        | 57,603,590       | 10,148,118         |
| <b>Adjustments for :</b>                                                            |         |                   |                   |                  |                    |
| Net change in fair value of investment properties                                   | 15      | (1,527,944)       | (11,928,293)      | (198,485)        | (306,293)          |
| Provision for retirement benefit obligations                                        | 36      | 953,697           | 338,384           | 1,743            | 1,412              |
| Change in fair value of consumable biological assets                                | 19      | (910,095)         | (1,087,485)       | -                | -                  |
| Gain on disposal of old rubber trees and other related income                       | 7       | (2,658)           | (1,713)           | -                | -                  |
| Depreciation on property, plant and equipment                                       | 14      | 6,032,926         | 4,214,119         | 11,136           | 13,496             |
| Amortisation of intangible assets                                                   | 16      | 191,679           | 78,013            | 2,068            | 2,986              |
| Amortisation of right of use assets                                                 | 17      | 1,423,428         | 863,639           | -                | -                  |
| Amortisation of bearer biological assets                                            | 18      | 1,552,982         | 706,572           | -                | -                  |
| Amortisation of deferred income                                                     | 7       | (21,057)          | (21,176)          | -                | -                  |
| Share of profit of equity accounted investees (Net of tax) continuing operations    | 21      | (249,266)         | (4,065,887)       | (77,720,825)     | (24,285,666)       |
| Share of loss of equity accounted investees (Net of tax) discontinued operations    |         | 9,382,322         | -                 | 9,382,322        | -                  |
| Allowance for impairment of inventories                                             | 24      | 54,728            | 54,552            | -                | -                  |
| Allowance for impairment of related party receivables                               | 27      | 68,848            | (19,911)          | 2,636,507        | -                  |
| Allowance for impairment of trade and other receivables                             | 8       | 260,866           | 136,541           | 9,192            | -                  |
| Allowance for impairment of property, plant and equipment/ bearer biological assets |         | (5,428)           | 3,899             | -                | -                  |
| Write back of other payables                                                        |         | -                 | (462,594)         | -                | -                  |
| Finance cost                                                                        | 9       | 36,581,736        | 44,415,236        | 20,271,440       | 28,250,219         |
| Interest income                                                                     |         | (2,158,116)       | (5,309,942)       | (9,772,921)      | (13,969,340)       |
| (Gain)/loss from change in fair value of investments                                | 7       | 71,978            | (239,775)         | (3,523)          | (32,514)           |
| Impairment in investment in subsidiaries                                            | 20      | -                 | -                 | 2,635            | 12,627             |
| (Gain)/ loss on disposal of property, plant and equipment                           | 7       | (301,255)         | (983,662)         | -                | -                  |
| Gain on Disposal of bearer Biological assets                                        | 7       | -                 | (5,089)           | -                | -                  |
| Dividend received from equity accounted investees                                   |         | 1,291,060         | -                 | -                | -                  |
| Written off Consumable/ bearer biological assets                                    | 18 & 19 | 4,270             | -                 | 1,291,060        | 339,518            |
| Impairment Losses on bearer biological assets                                       |         | -                 | 253               | -                | -                  |
| (Gain)/loss on disposal of quoted and non-quoted shares                             | 7       | -                 | (11,611)          | -                | -                  |
| Results on acquisition and disposal of group investments                            |         | 98,719,455        | (31,497,130)      | (25,480)         | -                  |
| (Gain)/loss on disposal of subsidiaries                                             |         | -                 | 37,985            | -                | (544,460)          |
| <b>Operating profit before working capital changes</b>                              |         | <b>5,453,237</b>  | <b>5,253,928</b>  | <b>3,490,459</b> | <b>(369,897)</b>   |
| <b>Working capital changes</b>                                                      |         |                   |                   |                  |                    |
| (Increase)/ decrease in inventories                                                 |         | (699,924)         | 1,123,124         | -                | -                  |
| (Increase)/decrease in trade and other receivables                                  |         | 12,944,849        | (4,483,993)       | (8,438,907)      | (538,183)          |
| (Increase)/decrease in amounts due from related parties                             |         | 1,769,848         | (87,291)          | 11,686,330       | 8,686,395          |
| Increase/(decrease) in trade and other payables                                     |         | (926,181)         | 38,967,633        | 3,340            | (844,007)          |
| Increase/(decrease) in amounts due to related parties                               |         | 4,036,266         | (14,364,930)      | (26,855)         | (11,108,010)       |
| <b>Cash generated from/(used in) operations</b>                                     |         | <b>22,578,095</b> | <b>26,408,471</b> | <b>6,714,367</b> | <b>(4,173,702)</b> |

# Statement of Cash Flows

| For the year ended 31st March                                               | Notes | Group               |                    | Company            |                    |
|-----------------------------------------------------------------------------|-------|---------------------|--------------------|--------------------|--------------------|
|                                                                             |       | 2025<br>Rs.000      | 2024<br>Rs.000     | 2025<br>Rs.000     | 2024<br>Rs.000     |
| Retiring gratuity paid                                                      | 36    | (455,936)           | (577,543)          | (3,405)            | (261)              |
| Interest paid                                                               |       | (10,459,964)        | (13,384,659)       | (1,655,499)        | (1,410,484)        |
| Income tax paid                                                             | 42    | (268,459)           | (539,443)          | -                  | (21,264)           |
| <b>Net cash generated from/(used in) operating activities</b>               |       | <b>11,393,736</b>   | <b>11,906,826</b>  | <b>5,055,463</b>   | <b>(5,605,711)</b> |
| <b>Cash flows from investing activities</b>                                 |       |                     |                    |                    |                    |
| Disposal of subsidiaries                                                    |       | -                   | 3,607,239          | -                  | 1,005,133          |
| Investment in subsidiaries                                                  | 20    | (4,341,870)         | (5,525,974)        | (1,877,029)        | (425,117)          |
| Investments in equity accounted investees                                   | 21    | (53,706)            | -                  | -                  | -                  |
| Investments in intangible assets                                            | 16    | (17,722)            | (15,541)           | -                  | -                  |
| Net receipts/(investments) in long term investments                         |       | (31,448)            | 477,402            | -                  | -                  |
| Acquisition and construction of property, plant and equipment               | 14    | (12,501,085)        | (10,732,585)       | (285)              | (26,950)           |
| Investment in bearer biological assets                                      | 18    | (1,036,042)         | (1,264,649)        | -                  | -                  |
| Proceeds from disposal of bearer biological assets                          |       | -                   | 14,480             | -                  | -                  |
| Investment in consumable biological assets                                  | 19    | (24,858)            | (45,956)           | -                  | -                  |
| Proceed from disposal of consumable biological assets                       |       | 253,660             | 317,386            | -                  | -                  |
| Interest income received                                                    |       | 2,158,116           | 5,309,942          | 68,594             | 89,824             |
| Dividend income received                                                    |       | -                   | 443,895            | -                  | -                  |
| Proceeds from sale of property, plant and equipment                         |       | 568,969             | 1,120,304          | -                  | -                  |
| Net receipts/(investments) in short term investments                        |       | (1,805,886)         | 452,940            | (1,898,946)        | (84,647)           |
| Loans granted to related parties                                            |       | -                   | -                  | (223,153)          | (6,607,243)        |
| Proceeds from/ (to) loans granted to related parties                        |       | (2,328,583)         | 91,538             | 10,000             | 7,000,071          |
| Acquisition of investment properties                                        | 15    | (56,054)            | (15,421)           | -                  | (2,422)            |
| Grant received                                                              | 38    | 6,882               | 6,637              | -                  | -                  |
| Acquisition of non- controlling interests                                   |       | -                   | (298,496)          | -                  | -                  |
| <b>Net cash generated/(used) in investment activities</b>                   |       | <b>(19,209,627)</b> | <b>(6,056,859)</b> | <b>(3,920,819)</b> | <b>948,649</b>     |
| <b>Cash flows from financing activities</b>                                 |       |                     |                    |                    |                    |
| Repayment of lease rentals                                                  | 35    | (674,059)           | (4,772,063)        | -                  | -                  |
| Repayment of interest bearing borrowings                                    | 34    | (20,007,389)        | (10,855,421)       | (1,000,000)        | (1,000,000)        |
| Proceeds from interest bearing borrowings                                   | 34    | 19,661,671          | 11,628,446         | -                  | -                  |
| Net Proceeds from issue of debentures                                       |       | (1,182,289)         | (528,300)          | -                  | -                  |
| Net proceeds/ (repayments) of other short term interest bearing liabilities |       | 12,983,357          | (6,657,472)        | 4,637,622          | 820,074            |
| Loans obtained from related parties                                         |       | -                   | 6,612,120          | -                  | 456,500            |
| Repayment of loans from related parties                                     |       | -                   | -                  | (4,999,993)        | 4,543,000          |
| Net proceeds to/from loans from related Parties                             |       | (6,407,435)         | -                  | -                  | -                  |
| Share issue by subsidiaries to non- controlling interests                   |       | 209,164             | 365,076            | -                  | -                  |
| <b>Net cash flows generated from financing activities</b>                   |       | <b>4,583,020</b>    | <b>(4,207,614)</b> | <b>(1,362,371)</b> | <b>4,819,574</b>   |
| Net increase in cash and cash equivalents                                   |       | (3,232,871)         | 1,642,353          | (227,727)          | 162,512            |
| Cash and cash equivalents at beginning of the year                          |       | 5,166,506           | 3,524,153          | 210,989            | 48,477             |
| Cash and cash equivalents at end of the year                                |       | 1,933,635           | 5,166,506          | (16,738)           | 210,989            |
| <b>Note A : Cash and cash equivalents at end of the year</b>                |       |                     |                    |                    |                    |
| Cash in hand and at banks                                                   |       | 6,615,501           | 5,585,870          | 32,368             | 211,655            |
| Bank overdrafts                                                             |       | (4,681,866)         | (419,364)          | (49,106)           | (666)              |
|                                                                             |       | 1,933,635           | 5,166,506          | (16,738)           | 210,989            |

The notes on pages 67 to 181 form an integral part of these financial statements.  
Figures in brackets indicate deductions.

# Notes to the Financial Statements

## 1. REPORTING ENTITY

### 1.1 General

Browns Investments PLC ('the Company') is a public quoted company incorporated on 10th November 2008 under the Companies Act no 07 of 2007 and domiciled in Sri Lanka.

The registered office of the company is located at 481, T.B. Jayah Mawatha, Colombo 10, Sri Lanka and the business office is situated at No. 100/1, Sri Jayawardenepura Mawatha, Rajagiriya.

The financial statements as at, and for the year ended 31st March 2025 comprise the separate financial statements of Company and consolidated financial statements of the Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities") and the Group's interest in equity-accounted investees.

Ordinary shares of the Company are listed on the Diri Savi Board of the Colombo Stock Exchange [CSE].

### 1.2 Principal activities and nature of operations

Principal activities of the Company and the Group are described in the 'Integrated Management Discussion and Analysis' in pages 06 to 12 of this report.

### 1.3 Parent entity and ultimate parent entity

In the opinion of the Board of Directors, the Group's immediate parent company is Brown & Company PLC, which holds 64.55% of issued ordinary shares of Browns Investments PLC and ultimate parent undertaking and controlling party as at the date of financial position is LOLC Holdings PLC, a Company incorporated and domiciled in Sri Lanka.

## 2. BASIS OF PREPARATION

### 2.1 Statement of compliance

The consolidated financial statements of the Group and the separate financial statements of the Company have been prepared in accordance with the Sri Lanka Accounting Standards (herein referred to as SLFRSs/LKASs), which comprise Sri Lanka Financial Reporting Standards ("SLFRS"s), Sri Lanka Accounting Standards ("LKAS"s), relevant interpretations of the Standing Interpretations Committee ("SIC") and International Financial Reporting Interpretations Committee ("IFRIC"). Sri Lanka Accounting Standards further comprises of Statements of Recommended Practices (SoRPs), Statements of Alternate Treatments (SoATs) and Financial Reporting Guidelines issued by the Institute of Chartered Accountants of Sri Lanka. and in compliance with the requirements of the Companies Act No. 07 of 2007 and the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995. These financial statements also provide appropriate disclosures as required by the listing rules of the Colombo Stock Exchange.

### 2.2 Historical cost convention

The financial statements have been prepared on a historical cost basis, except for

- certain financial assets and liabilities, certain classes of property, plant and equipment, investment properties, right-of-use assets measured at fair value.
- Biological assets are measured at fair value less costs to sell on initial recognition and at the end of each reporting period, and
- Agricultural produce harvested from biological assets are measured at its fair value less costs to sell at the point of harvest.

### 2.3 Directors' responsibility for the financial statements

The Board of Directors is responsible for the preparation and fair presentation of these financial statements in accordance with Sri Lanka Accounting Standards and as per the provisions of the Companies Act No. 07 of 2007. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

The Board of Directors acknowledges their responsibility as set out in the "Annual Report of the Board of Directors on the Affairs of the Company" and "Director's Responsibility for Financial Reporting".

These Financial Statements include the following components;

- A Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end.
- A Statement of Profit or Loss providing the information on the financial performance of the Group and the Company for the year under review.
- A Statement of Other Comprehensive Income providing the information of the other comprehensive income of the Group and the Company.
- A Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Company.
- A Statement of Cash Flows providing the information to the users, on the ability of the Group and the Company to generate cash and cash equivalents and the needs of entities to utilise those cash flows, and
- Notes to the Financial Statements comprising Accounting Policies and other explanatory information.

### 2.4 Approval of financial statements by the Board of Directors

The consolidated financial statements of the Group and the separate financial statements of the Company for the year ended 31 March 2025 were approved and authorised for issue by the Board of Directors on 26th August 2025. The directors have the power to amend and reissue the financial statements.

## Notes to the Financial Statements

### 2.5 Consolidation of subsidiaries with different accounting periods

The financial statements of all subsidiaries in the Group other than those mentioned below to the Financial Statements are prepared for a common financial year, which ends on 31 March. Most subsidiaries with 31 December and 30th June financial year end prepare for consolidation purposes, additional financial information as of the same date as the financial statements of the parent.

| Company Name                              | Financial Year Ended |
|-------------------------------------------|----------------------|
| B Commodities ME (FZE)                    | 31st December        |
| BI Leisure Holdings (FZE)                 | 30th June            |
| Browns Plantations Finlay (Kenya) Ltd     | 31st December        |
| NPH Investments (Pvt) Ltd                 | 31st December        |
| Bodufaru Beach Resorts (Pvt) Ltd          | 31st December        |
| Browns Ari Resort (Pvt) Ltd               | 31st December        |
| Browns Kafu N Resort (Pvt) Ltd            | 31st December        |
| Browns Raa Resort (Pvt) Ltd               | 31st December        |
| PL Resorts Limited                        | 30th June            |
| Sunbird Bioenergy (SL) Ltd                | 31st December        |
| Browns East Africa Plantations Ltd        | 31st December        |
| Browns Plantations Tanzania Ltd           | 31st December        |
| Browns Plantations Rwanda Ltd             | 31st December        |
| Browns Plantations [ Gaizhou] Tea Co, Ltd | 31st December        |

### 2.6 Functional currency and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The financial statements are presented in Sri Lankan Rupee (Rs.), which is Company's functional and Group's presentation currency.

Functional currency of all the Group companies is Sri Lankan Rupees, other than the following companies whose functional currency is given below.

| Company                                  | Country of Incorporation      | Functional Currency  |
|------------------------------------------|-------------------------------|----------------------|
| Bodufaru Beach Resorts (Private) Limited | Maldives                      | United States Dollar |
| NPH Investments (Private) Limited        | Maldives                      | United States Dollar |
| Browns Ari Resorts (Private) Limited     | Maldives                      | United States Dollar |
| Browns Raa Resorts (Private) Limited     | Maldives                      | United States Dollar |
| Browns Kaafu N Resorts (Private) Limited | Maldives                      | United States Dollar |
| B Commodities ME (FZE)                   | United Arab Emirates (U.A.E.) | United States Dollar |
| Sunbird Bioenergy (SL) Limited           | Sierra Leone                  | Euro                 |

| Company                                   | Country of Incorporation      | Functional Currency    |
|-------------------------------------------|-------------------------------|------------------------|
| Grey Reach Investments Limited            | British Virgin Islands        | United States Dollar   |
| BI Leisure Holdings FZE                   | United Arab Emirates (U.A.E.) | United States Dollar   |
| PL Resorts Limited                        | Mauritius                     | Rupee of Mauritius     |
| Browns Plantations (Kenya) Ltd            | Kenya                         | British sterling pound |
| Browns Plantations East Africa Ltd        | Kenya                         | Kenyan shilling        |
| Browns Plantations Tanzania Ltd           | Tanzania                      | Tanzanian shilling     |
| Browns Plantations Rwanda Ltd             | Rwanda                        | Rwanda Franc           |
| Browns Plantations (Guizhou) Tea Co., Ltd | China                         | Chinese Yuan           |

#### 2.6.1 Foreign currency translation

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates are generally recognised in profit or loss.

Foreign exchange gains and losses that relate to borrowings are presented in the statement of profit or loss, within finance costs. All other foreign exchange gains and losses are presented in the statement of profit or loss on a net basis within other income / other expenses.

Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined. Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at fair value through profit or loss are recognised in profit or loss as part of the fair value gain or loss and translation differences on non-monetary assets such as equities classified as at fair value through other comprehensive income are recognised in other comprehensive income.

#### 2.6.2 Group companies

The results and financial position of foreign operations (none of which has the currency of a hyper inflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- assets and liabilities for each statement of financial position presented are translated at the closing rate at the date of that statement of financial position;
- income and expenses for each statement of profit or loss and statement of comprehensive income are translated at average exchange rates (unless this is not a reasonable approximation of

the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions]; and

- all resulting exchange differences are recognised in statement of comprehensive income.

On consolidation, exchange differences arising from the translation of any net investment in foreign entities are recognised in other comprehensive income. When a foreign operation is sold the associated exchange differences are reclassified to profit or loss, as part of the gain or loss on sale.

Goodwill and fair value adjustments arising on the acquisition of a foreign operation are treated as assets and liabilities of the foreign operation and translated at the closing rate.

## 2.7 Comparative information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the Financial Statements in order to enhance the understanding of the current period's Financial Statements and to enhance the inter period comparability. The presentation and classification of the Financial Statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

## 2.8 Materiality and aggregation

Each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard – LKAS 1 on 'Presentation of Financial Statements'

Notes to the financial statements are presented in a systematic manner which ensures the understandability and comparability of financial statements of the Group and the Company. Understandability of the financial statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

All amounts disclosed in the financial statements and notes have been rounded off to the nearest thousand currency units unless otherwise stated.

## 2.9 Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liabilities simultaneously. Income and expenses are not offset in the statement of profit or loss, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the significant accounting policies.

## 2.10 Going concern

The Directors have made an assessment of the Company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Company. Therefore, the financial statements continue to be prepared on the going concern basis.

## 2.11 Current versus non-current classification

The Group presents assets and liabilities in the statement of financial position based on current/non-current classification.

An asset is current when it is expected to be realised or intended to be sold or consumed in the normal operating cycle and held primarily for the purpose of trading.

Or

Is cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when it is expected to be settled in the normal operating cycle and is held primarily for the purpose of trading and is due to be settled within twelve months after the reporting period

Or

There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as non-current.

## 2.12 Use of accounting estimates and judgements

The preparation of the financial statements of the Group and Company in conformity with SLFRSs/LKAS's requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

The Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results which form the basis of making the judgments about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

## Notes to the Financial Statements

Information about critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are included in the following notes to these financial statements.

| Critical accounting estimate/judgement               | Note    |
|------------------------------------------------------|---------|
| Useful lives of bearer biological assets             | 18      |
| Fair value of consumable biological assets           | 19      |
| Determination of fair value of investment properties | 15      |
| Revaluation of lands and buildings                   | 14      |
| Goodwill on acquisition                              | 16      |
| Retirement benefit obligations                       | 36      |
| Deferred Tax Assets/ Liabilities                     | 23 & 37 |
| Useful lives of property, plant and equipment        | 14      |
| Useful lives of intangible assets                    | 16      |
| Provisions and contingencies                         | 45      |
| Fair value of financial instruments                  | 3.27    |
| Leases                                               | 3.9     |

### 3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

This note provides a list of the significant accounting policies adopted in the preparation of these financial statements. These policies have been consistently applied to all the years presented, unless otherwise stated. The financial statements are for the Group consisting of Browns Investments PLC and its subsidiaries.

#### 3.1. New and amended SLFRS Accounting Standards that are effective for the first time during the current year

In the current year, the group/company has applied a number of amendments to Sri Lanka Accounting Standards issued by the CA Sri Lanka that are mandatorily effective for an accounting period that begins on or after 1 January 2024. Their adoption has not had any material impact on the disclosures or on the amounts reported in these financial statements.

Amendments to LKAS 7 Statement of Cash Flows and SLFRS 7 Financial Instruments: Disclosures on Supplier Finance Arrangements

The amendments contain specific transition provisions for the first annual reporting period in which the group applies the amendments. Under the transitional provisions an entity is not required to disclose:

- comparative information for any reporting periods presented before the beginning of the annual reporting period in which the entity first applies those amendments
- the information otherwise required by LKAS 7:44H(b)(ii)–(iii) as at the beginning of the annual reporting period in which the entity first applies those amendments.

The group/company has adopted the amendments to LKAS 7 Statement of Cash Flows and SLFRS 7 Financial Instruments: Disclosures on Supplier Finance Arrangements for the first time in the current year.

The amendments add a disclosure objective to LKAS 7 stating that an entity is required to disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows. In addition, SLFRS 7 is amended to add supplier finance arrangements as an example within the requirements to disclose information about an entity's exposure to concentration of liquidity risk.

#### Amendments to LKAS 1 Classification of Liabilities as Current or Non-current

The Group/Company has adopted the amendments to LKAS 1, published in January 2020, for the first time in the current year.

The amendments affect only the presentation of liabilities as current or non-current in the statement of financial position and not the amount or timing of recognition of any asset, liability, income or expenses, or the information disclosed about those items.

The amendments clarify that the classification of liabilities as current or non-current is based on rights that are in existence at the end of the reporting period, specify that classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability, explain that rights are in existence if covenants are complied with at the end of the reporting period, and introduce a definition of 'settlement' to make clear that settlement refers to the transfer to the counterparty of cash, equity instruments, other assets or services.

#### Amendments to LKAS 1 Presentation of Financial Statements—Non-current Liabilities with Covenants

The Group/Company has adopted the amendments to LKAS 1, published in November 2022, for the first time in the current year.

The amendments specify that only covenants that an entity is required to comply with on or before the end of the reporting period affect the entity's right to defer settlement of a liability for at least twelve months after the reporting date (and therefore must be considered in assessing the classification of the liability as current or non-current). Such covenants affect whether the right exists at the end of the reporting period, even if compliance with the covenant is assessed only after the reporting date (e.g. a covenant based on the entity's financial position at the reporting date that is assessed for compliance only after the reporting date).

It also specifies that the right to defer settlement of a liability for at least twelve months after the reporting date is not affected if an entity only has to comply with a covenant after the reporting period. However, if the entity's right to defer settlement of a liability is subject to the entity complying with covenants within twelve

months after the reporting period, an entity discloses information that enables users of financial statements to understand the risk of the liabilities becoming repayable within twelve months after the reporting period. This would include information about the covenants (including the nature of the covenants and when the entity is required to comply with them), the carrying amount of related liabilities and facts and circumstances, if any, that indicate that the entity may have difficulties complying with the covenants.

#### Amendments to SLFRS 16 Leases—Lease Liability in a Sale and Leaseback

The Group/Company has adopted the amendments to SLFRS 16 for the first time in the current year.

The amendments to SLFRS 16 add subsequent measurement requirements for sale and leaseback transactions that satisfy the requirements in SLFRS 15 Revenue from Contracts with Customers to be accounted for as a sale. The amendments require the seller-lessee to determine 'lease payments' or 'revised lease payments' such that the seller-lessee does not recognise a gain or loss that relates to the right of use retained by the seller-lessee, after the commencement date.

The amendments do not affect the gain or loss recognised by the seller-lessee relating to the partial or full termination of a lease. Without these new requirements, a seller-lessee may have recognised a gain on the right of use it retains solely because of a remeasurement of the lease liability (for example, following a lease modification or change in the lease term) applying the general requirements in SLFRS 16. This could have been particularly the case in a leaseback that includes variable lease payments that do not depend on an index or rate.

A seller-lessee applies the amendments retrospectively in accordance with LKAS 8 to sale and leaseback transactions entered into after the date of initial application, which is defined as the beginning of the annual reporting period in which the entity first applied SLFRS 16.

The directors do not expect that the adoption of the standards listed below will have a material impact on the financial statements of the group in future periods

New and revised SLFRS Accounting Standards in issue but not yet effective

The following new accounting standards and interpretations are issued by IASB but not yet adopted by CA Sri Lanka.

Amendments to LKAS 21 The Effects of Changes in Foreign Exchange Rates - Lack of Exchangeability

The amendments specify how to assess whether a currency is exchangeable, and how to determine the exchange rate when it is not.

The amendments state that a currency is exchangeable into another currency when an entity is able to obtain the other currency within a time frame that allows for a normal administrative delay and through a market or exchange mechanism in which an exchange transaction would create enforceable rights and obligations.

An entity assesses whether a currency is exchangeable into another currency at a measurement date and for a specified purpose. If an entity is able to obtain no more than an insignificant amount of the other currency at the measurement date for the specified purpose, the currency is not exchangeable into the other currency.

The assessment of whether a currency is exchangeable into another currency depends on an entity's ability to obtain the other currency and not on its intention or decision to do so.

When a currency is not exchangeable into another currency at a measurement date, an entity is required to estimate the spot exchange rate at that date. An entity's objective in estimating the spot exchange rate is to reflect the rate at which an orderly exchange transaction would take place at the measurement date between market participants under prevailing economic conditions.

When an entity estimates a spot exchange rate because a currency is not exchangeable into another currency, the entity is required to disclose information that enables users of its financial statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows

The amendments do not specify how an entity estimates the spot exchange rate to meet that objective. An entity can use an observable exchange rate without adjustment or another estimation technique.

The amendments are effective for annual reporting periods beginning on or after 1 January 2025, with earlier application permitted. An entity is not permitted to apply the amendments retrospectively. Instead, an entity is required to apply the specific transition provisions included in the amendments.

The directors of the company anticipate that the application of these amendments may have/not have an impact on the group's/company's consolidated financial statements in future periods.

Amendments to SLFRS 9 and SLFRS 7 - Classification and Measurement of Financial Instruments

## Notes to the Financial Statements

These amendments clarify the requirements for the timing of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system. These amendments further clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion.

These amendments add new disclosures for certain instruments with contractual terms that can change cash flows (such as some instruments with features linked to the achievement of environment, social and governance (ESG) targets); and make updates to the disclosures for equity instruments designated at Fair Value through Other Comprehensive Income (FVOCI).

The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted.

The directors of the company anticipate that the application of these amendments may have/not have an impact on the group's/company's consolidated financial statements in future periods.

### SLFRS 18 Presentation and Disclosures in Financial Statements

SLFRS 18 replaces LKAS 1, carrying forward many of the requirements in LKAS 1 unchanged and complementing them with new requirements. In addition, some LKAS 1 paragraphs have been moved to LKAS 8 and SLFRS 7. Furthermore, the IASB has made minor amendments to LKAS 7 and LKAS 33 Earnings per Share.

SLFRS 18 introduces new requirements to:

- present specified categories and defined subtotals in the statement of profit or loss
- provide disclosures on management-defined performance measures (MPMs) in the notes to the financial statements
- improve aggregation and disaggregation.

An entity is required to apply SLFRS 18 for annual reporting periods beginning on or after 1 January 2027, with earlier application permitted. The amendments to LKAS 7 and LKAS 33, as well as the revised LKAS 8 and SLFRS 7, become effective when an entity applies SLFRS 18. SLFRS 18 requires retrospective application with specific transition provisions.

The directors of the company anticipate that the application of this standard may have an impact on the group's/company's consolidated financial statements in future periods.

### SLFRS 19 Subsidiaries without Public Accountability: Disclosures

SLFRS 19 permits an eligible subsidiary to provide reduced disclosures when applying Sri Lanka Accounting Standards in its financial statements.

A subsidiary is eligible for the reduced disclosures if it does not have public accountability and its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with Sri Lanka Accounting Standards.

SLFRS 19 is optional for subsidiaries that are eligible and sets out the disclosure requirements for subsidiaries that elect to apply it.

An entity is only permitted to apply SLFRS 19 if, at the end of the reporting period:

- it is a subsidiary (this includes an intermediate parent)
- it does not have public accountability, and
- its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with Sri Lanka Accounting Standards.

Eligible entities can apply SLFRS 19 in their consolidated, separate or individual financial statements. An eligible intermediate parent that does not apply SLFRS 19 in its consolidated financial statement may do so in its separate financial statements.

A subsidiary has public accountability if:

- its debt or equity instruments are traded in a public market or it is in the process of issuing such instruments for trading in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local and regional markets),  
or
- it holds assets in a fiduciary capacity for a broad group of outsiders as one of its primary businesses (for example, banks, credit unions, insurance entities, securities brokers/dealers, mutual funds and investment banks often meet this second criterion).

**The new standard is effective for reporting periods beginning on or after 1 January 2027 with earlier application permitted.**

The directors of the company do not anticipate that IFRS 19 will be applied for purposes of the consolidated financial statements of the Group/ company.

### Annual improvements to SLFRS – Volume 11

Annual improvements are limited to changes that either clarify the wording in an Accounting Standard or correct relatively minor unintended consequences, oversights or conflicts between the requirements in the Accounting Standards. The 2024 amendments are to the following standards:

SLFRS 1 First-time Adoption of International Financial Reporting Standards;

SLFRS 7 Financial Instruments: Disclosures and its accompanying Guidance on implementing SLFRS 7;

SLFRS 9 Financial Instruments;

SLFRS 10 Consolidated Financial Statements; and

LKAS 7 Statement of Cash Flows.

These annual improvements are effective for annual periods beginning on or after 1 January 2026 with earlier application permitted.

The directors of the company anticipate that the application of these improvements may have/not have an impact on the group's/company's consolidated financial statements in future periods.

### 3.1.1 Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for business combinations by the Group (refer to note 3.1.6).

Intercompany transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

Non-controlling interests in the results and equity of subsidiaries are shown separately in the consolidated statement of comprehensive income, statement of changes in equity and statement of financial position respectively.

### 3.1.2 Associates

Associates are all entities over which the Group has significant influence but not control or joint control. This is generally the case where the Group holds between 20% and 50% of the voting rights. Investments in associates are accounted for using the equity method of accounting (see 3.2.4 below), after initially being recognised at cost.

### 3.1.3 Joint arrangements

Under SLFRS 11 Joint Arrangements investments in joint arrangements are classified as either joint operations or joint ventures. The classification depends on the contractual rights and obligations of each investor, rather than the legal structure of the joint arrangement. Interests in joint ventures are accounted for using the equity method (see 3.2.4 below), after initially being recognised at cost in the consolidated statement of financial position.

### 3.1.4 Equity method

Under the equity method of accounting, the investments are initially recognised at cost and adjusted thereafter to recognise the Group's share of the post-acquisition profits or losses of the investee in profit or loss, and the Group's share of movements in other comprehensive income of the investee in other comprehensive income. Dividends received or receivable from associates and joint ventures are recognised as a reduction in the carrying amount of the investment.

When the Group's share of losses in an equity-accounted investment equals or exceeds its interest in the entity, including any other unsecured long-term receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the other entity.

Unrealised gains on transactions between the Group and its associates and joint ventures are eliminated to the extent of the Group's interest in these entities. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of equity accounted investees have been changed where necessary to ensure consistency with the policies adopted by the Group.

The carrying amount of equity-accounted investments is tested for impairment in accordance with the policy described in note 3.11

### 3.1.5 Changes in ownership interests

The Group treats transactions with non-controlling interests that do not result in a loss of control as transactions with equity owners of the Group. A change in ownership interest results in an adjustment between the carrying amounts of the controlling and non-controlling interests to reflect their relative interests in the subsidiary. Any difference between the amount of the adjustment to non-controlling interests and any consideration paid or received is recognised in a separate reserve within equity attributable to owners of Company.

When the Group ceases to consolidate or equity account for an investment because of a loss of control, joint control or significant influence, any retained interest in the entity is remeasured to its fair value with the change in carrying amount recognised in statement of profit or loss. This fair value becomes the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

If the ownership interest in a joint venture or an associate is reduced but joint control or significant influence is retained, only a proportionate share of the amounts previously recognised in other comprehensive income are reclassified to profit or loss where appropriate.

## Notes to the Financial Statements

### 3.1.6 Business combinations

The acquisition method of accounting is used to account for all business combinations, regardless of whether equity instruments or other assets are acquired. The consideration transferred for the acquisition of a subsidiary comprises the:

- fair values of the assets transferred
- liabilities incurred to the former owners of the acquired business
- equity interests issued by the Group
- fair value of any asset or liability resulting from a contingent consideration arrangement, and
- fair value of any pre-existing equity interest in the subsidiary.

Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are, with limited exceptions, measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquired entity on an acquisition-by-acquisition basis either at fair value or at the non-controlling interest's proportionate share of the acquired entity's net identifiable assets.

Acquisition-related costs are expensed as incurred.

The excess of the

- consideration transferred,
- amount of any non-controlling interest in the acquired entity, and
- acquisition-date fair value of any previous equity interest in the acquired entity

over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognised directly in profit or loss as a bargain purchase.

Where settlement of any part of cash consideration is deferred, the amounts payable in the future are discounted to their present value as at the date of exchange. The discount rate used is the entity's incremental borrowing rate, being the rate at which a similar borrowing could be obtained from an independent financier under comparable terms and conditions.

Contingent consideration that is classified as equity is not remeasured at subsequent reporting dates and its subsequent settlement is accounted for within equity. Other contingent consideration is remeasured to fair value at subsequent reporting dates with changes in fair value recognised in profit or loss.

If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date. Any gains or losses arising from such remeasurement are recognised in profit or loss.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the group reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period, or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed as of the acquisition date that, if known, would have affected the amounts recognised as of that date.

### 3.2 Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker.

The Board of Directors of the Company which assesses the financial performance and position of the Group, and makes strategic decisions has been identified as being the chief operating decision maker.

The Group's reportable segments comprise of Investments, Construction & Manufacturing, Plantations, Leisure and travel & Real Estates.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period.

Expenses that cannot be directly identified to a particular segment are allocated on bases decided by the management and applied consistently throughout the year.

### 3.3 Revenue from Contracts with Customers

#### 3.3.1 Sale of goods

Revenue from the sale of goods is recognised when a Group entity sells a product to the customer.

Payment of the transaction price is due immediately when the customer purchases the products and takes delivery in store.

#### 3.3.2 Sale of goods - export

In relation to sales with foreign customers, the Group take in to account the term related to each shipment of goods. A receivable is recognised when the term related to each shipment of goods is satisfied as this is the point in time that the consideration is unconditional.

#### 3.3.3 Sale of goods - plantation produce

Black tea and Rubber produce are sold at the tea/rubber Auction and the highest bidder whose offer is accepted shall be the buyer, and a sale shall be completed at the fall of the hammer, at which point control is transferred to the customer. Revenue from sale of other crops are recognised at the point in time when the control of the goods has transferred to the customer generally upon delivery of the goods to the location specified by the customer and the acceptance of the goods by the customer.

### 3.3.4 Rendering of services

Revenue from providing services is recognised in the accounting period in which the services are rendered. All revenues are recognised on an accrual basis over the time duration of the providing of the services to the customer. Payment of the transaction price is due immediately when the customer receives the service.

### 3.3.5 Construction contracts

The Group provides aluminium fabricators, doors and windows design, manufacturing, installation and support services under fixed-price and variable price contracts. Revenue from providing services is recognised in the accounting period in which the services are rendered. For fixed-price contracts, revenue is recognised based on the actual service provided to the end of the reporting period as a proportion of the total services to be provided because the customer receives and uses the benefits simultaneously. This is determined based on the actual costs/labour hours spent relative to the total expected costs/labour hours.

Some contracts include multiple deliverables, such as the sale of products and related installation services. However, the installation is simple, does not include an integration service and could be performed by another party. It is therefore accounted for as a separate performance obligation. Where the contracts include multiple performance obligations, the transaction price will be allocated to each performance obligation based on the stand-alone selling prices. Where these are not directly observable, they are estimated based on expected cost plus margin. If contracts include the installation of products, revenue for the products is recognised at a point in time when the products is delivered, the legal title has passed and the customer has accepted the products.

Estimates of revenues, costs or extent of progress toward completion are revised if circumstances change. Any resulting increases or decreases in estimated revenues or costs are reflected in profit or loss in the period in which the circumstances that give rise to the revision become known by management.

In case of fixed-price contracts, the customer pays the fixed amount based on a payment schedule. If the services rendered by the Group exceed the payment, a contract asset is recognised. If the payments exceed the services rendered, a contract liability is recognised.

If the contract includes an hourly fee, revenue is recognised in the amount to which the Group has a right to invoice. Customers are invoiced on a monthly basis and consideration is payable when invoiced.

### 3.3.6 Hotel Operations

- Apartment revenue is recognised for the rooms occupied on a daily basis. Apartment revenue is recognised for the rooms occupied on a daily basis. All revenues are recognised on an accrual basis over the time of the duration of the stay of the customer and matched with the related expenditure where they simultaneously receive and consumes the benefits of the services rendered.

- Restaurant revenue includes the revenue recognised on the sale food and beverage. All revenue is accounted for at the time of sale.
- Bar revenue are accounted for at the time of sale.
- Spa is operated by a third party and invoices are raised together with the spa bills. Spa related revenue is recognised gross after completion of service / treatments.
- Transfers and excursions include the consideration earned from providing excursions to customers. Revenue is recognised for at the time of rendering the service.

Telephone, laundry, and diving represents the services provided to customers which are implied as business practice in the industry. All revenue is recognised for at the time of rendering the service

### 3.3.7 Sale of live timber trees and rubber trees

Revenue from the sale of live timber trees and Rubber trees is recognised at the point that the legal ownership, risk of loss and the rewards have been passed to the purchaser and the quantity sold is determinable. Revenue on harvesting of live timber trees and Rubber trees is recognised when the purchaser acquires the right to harvest specified no of trees on a tract of land, at an agreed-to price by entering into a contractual agreement at which point the risk and rewards are transferred. Those revenue are deducted from the relevant biological assets to arrive at gain/ (loss) on valuation in statement of profit or loss.

Payment of the sale of the timber trees is due at the time of entering an agreement with the customer for the sale of timber.

### 3.3.8 Energy Supplied

Revenue from energy supplied is recognised upon delivery of energy to Ceylon Electricity Board. Delivery of electrical energy shall be completed when electrical energy meets the specifications as set out in Power Purchase Agreements [PPA] is received at the metering point.

Payment for the energy supplied is due when invoiced on a monthly basis.

### 3.3.9 Commission income

When the Group acts in the capacity of an agent rather than the principal in a transaction, the revenue recognition is the net amount of commission earned by the Group.

Payment of the commission price is due when invoiced on pre-agreed terms.

### 3.3.10 Other Income

Rent income is accounted for on accrual basis.

Dividend income is recognised when the right to receive payment is established.

Interest income is recognised in profit or loss as it accrues, using the effective interest method.

## Notes to the Financial Statements

Gain on disposal of property, plant and equipment and other non-current assets, including investments held by the Group have been accounted for in the Statement of profit or loss, after deducting from the net sales proceeds on disposal of the carrying amount of such assets.

### 3.3.11 Financing components

The Group does not expect to have any contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer exceeds one year. As a consequence, the Group does not adjust any of the transaction prices for the time value of money.

### 3.4 Government grants and subsidies

Government grants are recognised where there is reasonable assurance that the grant will be received and all attached conditions will be complied with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant on a systematic basis to the costs that it is intended to compensate. Where the grant relates to an asset, it is recognised as deferred income and released to income in equal amounts over the expected useful life of the related asset.

Where the Company receives non-monetary grants, the asset and the grant are recorded gross at nominal amounts and released to the Profit or loss over the expected useful life and pattern of consumption of the benefit of the underlying asset by equal annual instalments.

Where loans or similar assistance are provided by governments or related institutions with an interest rate below the current applicable market rate, the effect of this favourable interest is regarded as additional government grant.

Grants related to property, plant and equipment and bearer biological assets are initially deferred and allocated to the Profit or loss on a systematic basis over the useful life of the related property, plant and equipment.

Revenue grants are recognised in the profit or loss in the period in which they are receivable.

### 3.5 Expenses recognition

Expenses are recognised in the statement of profit or loss on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to income in arriving at the profit for the year.

For the presentation of the statement of profit or loss the Directors are of the opinion that the function of the expenses method present fairly the elements of the Group's performance, and hence such a presentation method is adopted.

Preliminary and pre-operational expenditure is recognised in the statement of profit or loss.

Repairs and renewals are charged to the Statement of profit or loss in the year in which the expenditure is incurred.

### 3.6 Income tax

The income tax expense or credit for the period is the tax payable on the current period's taxable income based on the applicable income tax rate for each jurisdiction adjusted by changes in deferred tax assets and liabilities attributable to temporary differences and to unused tax losses.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period in the countries where the Company and its subsidiaries and associates operate and generate taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is provided in full, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill. Deferred income tax is also not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the end of the reporting period and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

The deferred tax liability in relation to investment property that is measured at fair value is determined assuming the property will be recovered entirely through sale.

Deferred tax assets are recognised only if it is probable that future taxable amounts will be available to utilise those temporary differences and losses.

Deferred tax liabilities and assets are not recognised for temporary differences between the carrying amount and tax bases of investments in foreign operations where the company is able to control the timing of the reversal of the temporary differences and it is probable that the differences will not reverse in the foreseeable future.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset where the

entity has a legally enforceable right to offset and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Current and deferred tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

### 3.7.1 Companies enjoying tax holidays

Group companies enjoying a tax exemption period shall only recognise deferred tax in their financial statements for temporary differences, where reversals of such differences extend beyond the tax exemption period.

Deferred Tax shall not be considered nor provided for assets/liabilities for which tax impacts and reversals take place within the tax exemption period. If there will be no tax implications that take place after the expiration of the tax exemption period for such assets.

Where a Company is entitled to claim the total value or any part of expenditure made during the tax holiday period, as deductions for tax purposes after the tax holiday period, such an entity will treat such amount of expenditure as part of the tax base throughout the tax holiday period in the purpose of recognising deferred tax.

## 3.7 Property, plant and equipment

### 3.7.1 Freehold property, plant and equipment

#### i) Basis of recognition

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the assets will flow to the Group and cost of the asset can be reliably measured.

#### ii) Basis of measurement

Items of property, plant and equipment other than freehold land and building, are measured at cost less accumulated depreciation and any impairment losses.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site at which they are located and capitalised borrowing costs.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property, plant and equipment.

#### iii) Cost model

The Group applies the cost model to all property, plant and equipment except freehold land and buildings which are recorded at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

#### iv) Revaluation model

The Group revalues its freehold land and buildings, motor vehicles which are measured at its fair value at the date of revaluation less any subsequent accumulated depreciation and any accumulated impairment losses. Revaluations are made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the reporting date.

On revaluation of land and buildings, motor vehicles any increase in the revaluation amount is credited to the revaluation reserve in shareholder's equity unless it offsets a previous decrease in value of the same asset that was recognised in profit or loss. A decrease in value is recognised in profit or loss where it exceeds the increase previously recognised in the revaluation reserve. Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to retained earnings and is not taken into account in arriving at the gain or loss on disposal.

#### v) Subsequent costs

The cost of replacing part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of the replaced part is de-recognised. The costs of the day-to-day servicing of property, plant and equipment are expensed as incurred.

#### vi) Depreciation

Depreciation is based on the cost/revalued amount of an asset less its residual value. Significant components of individual assets are assessed and if a component has a useful life that is different from the remainder of that asset, that component is depreciated separately.

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful life of each component of an item of property, plant and equipment. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term. Land is not depreciated.

Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale and the date that the asset is de-recognised.

## Notes to the Financial Statements

Depreciation methods, useful lives, residual values are assessed at the reporting date and adjusted if appropriate. The estimated useful lives for the current year are listed below.

| Property, Plant & Equipment             | No. of years range | Rate range    |
|-----------------------------------------|--------------------|---------------|
| Building                                | 20-50 years        | 2% to 5%      |
| Plant and Machinery                     | 5-30 years         | 3.33% to 20%  |
| Motor Vehicles                          | 1-15 Years         | 6.66% to 100% |
| Furniture and Office Equipment          | 5-20 Years         | 5% to 20%     |
| Ergonomic Equipment                     | 25 Years           | 4%            |
| Land Preparation                        | 20 Years           | 5%            |
| Sugar Cane Roots                        | 5 Years            | 20%           |
| Pivots and Pump Stations in Plantations | 5-25 Years         | 4% to 20%     |
| Water, Sanitation and Others            | 20 Years           | 5%            |
| Roads and Bridges                       | 50 Years           | 2%            |
| Penstock Pipeline                       | 20 Years           | 5%            |
| Security Fences                         | 3 Years            | 33.33%        |
| Air Conditioners                        | 5 Years            | 20%           |
| Generator                               | 8 Years            | 12.5%         |
| Cutlery, Crockery and Glassware         | 5 Years            | 20%           |
| Linen                                   | 3 Years            | 33.33%        |
| Sewage System                           | 20 Years           | 5%            |
| Solar Power Plant                       | 10 - 20 Years      | 5-10%         |
| Surge Arrestors 33 kv                   | 20 Years           | 5%            |

Improvements to Leasehold Building - Over the lease period.

The cost of areas coming into bearing are transferred to mature plantations and depreciated as follows.

No depreciation is provided for immature plantations.

| Bearer biological assets | No. of years range | Rate range   |
|--------------------------|--------------------|--------------|
| Tea                      | 30 to 33 1/3 years | 3% to 3.33%  |
| Mixed/Other Crops        | 10 to 15 years     | 6.66% to 10% |

### vii] De-recognition

An item of property, plant and equipment is de-recognised upon disposal or when no future economic benefits are expected from its use or disposal.

The gain or loss on disposal of an item of property, plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of the property, plant and equipment, and is recognised net within other income/other expenses in the Statement of profit or loss. When revalued assets are sold, the amounts included in the revaluation surplus reserve are transferred to retained earnings.

### 3.7.2 Capital work-in progress

Capital work-in-progress is stated at cost. These are expenses of a capital nature directly incurred in the construction of capital assets.

## 3.8 Investment properties

### 3.8.1 Basis of recognition

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

### 3.8.2 Basis of measurement

#### i] Fair value model

Investment properties are initially recognised at cost. Subsequent to initial recognition the investment properties are stated at fair values, which reflect market conditions at the reporting date. Gains or losses arising from changes in fair value are included in profit or loss in the year in which they arise.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant and equipment in the consolidated financial statements, and accounted for as per LKAS 16 - Property, Plant and Equipment.

#### ii] De-recognition

Investment properties are de-recognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in profit or loss in the year of retirement or disposal.

#### iii] Subsequent transfers to/from investment property

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.

For a transfer from investment property to owner occupied property or inventories, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the Group as an owner occupied property becomes an investment property, the Group, accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

#### iv) Determining Fair Value

External and independent valuers, having appropriate recognised professional qualifications and recent experience in the location and category of property being valued, values the investment property portfolio every year.

The fair values are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably.

### 3.9 Leases

Contracts may contain both lease and non-lease components. The Group allocates the consideration in the contract to the lease and non-lease components based on their relative stand-alone prices. However, for leases of real estate for which the Group is a lessee, it has elected not to separate lease and non-lease components and instead accounts for these as a single lease component.

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable variable lease payments that are based on an index or a rate, initially measured using the index or rate as at the commencement date
- amounts expected to be payable by the group under residual value guarantees
- the exercise price of a purchase option if the group is reasonably certain to exercise that option, and
- payments of penalties for terminating the lease, if the lease term reflects the group exercising that option

Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be readily determined, which is generally the case for leases in the Group, the lessee's incremental borrowing rate is used, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

To determine the incremental borrowing rate, the Group:

- where possible, uses recent third-party financing received by the individual lessee as a starting point, adjusted to reflect changes in financing conditions since third party financing was received;
- uses a build-up approach that starts with a risk-free interest rate adjusted for credit risk for leases held by the Group, which does not have recent third-party financing; and
- makes adjustments specific to the lease, e.g. term, country, currency and security.

Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability;
- any lease payments made at or before the commencement date less any lease incentives received;
- any initial direct costs; and
- restoration costs.

Right-of-use assets are generally depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. While the Group revalue its land and buildings that are presented within property, plant and equipment, it has chosen not to do so for the right-of-use buildings held by the Group.

Payments associated with short-term leases of equipment and vehicles and all leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprise IT equipment and small items of office furniture.

The Company/Group has voluntarily changed the accounting policy on Right-Of-Use Assets relating to Lands which meets the definition of a property, plant and equipment from cost model to revaluation model with effect from 1 October 2020, by carrying out a valuation by an independent valuer who holds a recognised and relevant professional qualification and has recent experience in the location and category of the right-of-use assets being valued. This is done to provide reliable and more relevant information.

#### 3.9.1 Permanent land development costs

Permanent land development costs are those costs incurred making significant infrastructure development and building new access roads on leasehold lands.

These costs have been capitalised and amortised over the remaining lease period.

## Notes to the Financial Statements

Permanent impairments to land development costs are charged to the Profit or loss in full or reduced to the net carrying amounts of such assets in the year of occurrence after ascertaining the loss.

### 3.10 Intangible assets

#### 3.10.1 Goodwill

Goodwill is measured as described in note 3.1.6. Goodwill on acquisitions of subsidiaries is included in intangible assets. Goodwill is not amortised but it is tested for impairment annually, or more frequently if events or changes in circumstances indicate that it might be impaired, and is carried at cost less accumulated impairment losses. Gains and losses on the disposal of an entity include the carrying amount of goodwill relating to the entity sold.

Goodwill is allocated to cash-generating units for the purpose of impairment testing. The allocation is made to those cash-generating units or groups of cash-generating units that are expected to benefit from the business combination in which the goodwill arose. The units or groups of units are identified at the lowest level at which goodwill is monitored for internal management purposes, being the operating segments.

#### 3.10.2 Trademarks and licenses

Separately acquired trademarks and licenses are shown at historical cost. Trademarks and licenses acquired in a business combination are recognised at fair value at the acquisition date. They have a finite useful life and are subsequently carried at cost less accumulated amortisation and impairment losses.

#### 3.10.3 Software

Costs associated with maintaining software programmes are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software so that it will be available for use
- management intends to complete the software and use or sell it
- there is an ability to use or sell the software
- it can be demonstrated how the software will generate probable future economic benefits
- adequate technical, financial and other resources to complete the development and to use or sell the software are available, and
- the expenditure attributable to the software during its development can be reliably measured.

Directly attributable costs that are capitalised as part of the software include employee costs and an appropriate portion of relevant overheads.

Capitalised development costs are recorded as intangible assets and amortised from the point at which the asset is ready for use.

#### 3.10.4 Subsequent expenditure

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied by these assets. All other expenditure is expensed when incurred.

#### 3.10.5 De-recognition

Intangible assets are de-recognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of intangible assets are measured as the difference between the net disposal proceeds and the carrying amount of the asset.

#### 3.10.6 Amortisation

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use.

The estimated useful life of each intangible asset is as follows;

|                          |             |
|--------------------------|-------------|
| Computer Software        | 3 - 8 years |
| Right to use electricity | 20 years    |

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

### 3.11 Impairment of assets

Goodwill and intangible assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

### 3.12 Biological assets

Biological assets are classified in to mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications. Tea, rubber, standing sugar cane, commercial grass, other plantations and nurseries are classified as biological assets.

Biological assets are further classified as bearer biological assets and consumable biological assets. Bearer biological asset includes tea and rubber trees, those that are not intended to be sold or harvested, however used to grow for harvesting agricultural produce from such biological assets. Consumable biological assets include managed timber trees those that are to be harvested as agricultural produce or sold as biological assets.

The entity recognise the biological assets when, and only when, the entity controls the assets as a result of past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value or cost of the assets can be measured reliably.

### 3.12.1 Bearer biological assets

The cost of land preparation, rehabilitation, new planting, replanting, crop diversification, inter-planting and fertilizing, etc., incurred between the time of planting and harvesting (when the planted area attains maturity), are classified as immature plantations. These immature plantations are shown at direct costs plus attributable overheads, including interest attributable to long-term loans used for financing immature plantations. The expenditure incurred on bearer plants (Tea, Rubber & Coconut fields), which come into bearing during the year, has been transferred to mature bearer biological assets and depreciated over their useful life in accordance with the LKAS16 – Property, Plant and Equipment.

#### i) Agricultural produce attached to bearer biological assets

The fair value of produce growing on trees prior to yearend is classified as agricultural produce attached to bearer biological assets. Such agricultural produce prior to harvest continues to be in the scope of LKAS 41 – Agriculture – and measured at fair value less cost to sell.

When deriving the estimated quantity, the Group limits to one harvesting cycle and measured based on the last day of the harvest in the immediately preceding cycle.

In order to ascertain the fair value of produce growing on trees, 50% of estimated crop in that harvesting cycle is used for the valuation as follows,

- Tea – 3 days crop (50% of 6 days cycle)
- Rubber – 1 day Crop (50% of 2 days cycle)
- Coconut – 1 months (50% of 2 months cycle)

For the valuation of the produce it was agreed to use the farm gate price of the produce adjusted for the cost of harvest. Hence market value on the crop in the bush should be based on the selling value of agricultural produce adjusted for the cost of harvesting and transport.

- Tea – Bought Leaf rate (current month) less cost of harvesting & transport
- Rubber – latex price (95% of current RSS1 price) less cost of tapping & transport

Further it was not considered the risk adjustments for weather and other factors of the plant in to biological transformation in the valuation.

#### ii) Immature and Mature Plantations

The cost of replanting and new planting are classified as immature plantations up to the time of being ready for harvesting.

Further, the general charges incurred on the plantation are apportioned based on the labour days spent on respective replanting and new planting areas and capitalised on the immature areas. The remaining portion of the general charges is expensed in the accounting period in which it is incurred.

The cost of areas coming into bearing is transferred to mature plantations at end of the financial year.

#### iii) Growing Crop Nurseries

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads.

#### iv) Infilling Costs on Bearer Biological Assets

The land development costs incurred in the form of infilling have been capitalised to the relevant mature field, only where the number of plants per hectare exceeded 3,000 plants and, also if it increases the expected future benefits from that field, beyond its pre-infilling standard of performance assessment. Infilling costs so capitalised are depreciated over the newly assessed remaining useful life of the relevant mature plantation or the unexpired lease period, whichever is lower.

Infilling cost that are not capitalised have been charged to the Profit or loss for the year in which they are incurred.

#### v) Amortisation

The cost of areas coming into bearing are transferred to mature plantations and depreciated as follows.

Bearer Biological Assets (Mature Plantations) at Cost – Replanting and New Planting.

| Category    | No. of Years  |
|-------------|---------------|
| Tea         | 30 Years      |
| Rubber      | 20 Years      |
| Coconut     | 50 Years      |
| Cinnamon    | 30 Years      |
| Other Crops | 15 – 30 Years |

No Amortisation is provided for immature plantations.

### 3.12.2 Consumable Biological Assets

Consumable biological assets include managed timber trees that are to be harvested as agricultural produce or sold as biological assets.

The managed timber trees of the Group are measured on initial recognition and at the end of each reporting period at its fair value less costs to sell in terms of LKAS 41 – 'Agriculture'. The cost of young plants which are below 4 years is treated as an approximation to the fair value as the impact on biological transformation of such plants to price during the period is immaterial. All assumptions and sensitivity analysis are given in Note 19.11.2 – Sensitivity analysis..

## Notes to the Financial Statements

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads, less provision for overgrown plants.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in the Profit or loss for the period in which it arises.

### 3.13 Investments and other financial assets and liabilities

#### 3.13.1 Investments and other financial assets

##### (i) Classification

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value (either through OCI or through profit or loss); and
- those to be measured at amortised cost.

The classification depends on the entity's business model for managing the financial assets and the contractual terms of the cash flows.

For assets measured at fair value, gains and losses will either be recorded in profit or loss or OCI. For investments in equity instruments that are not held for trading, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income (FVOCI).

The Group reclassifies debt investments when and only when its business model for managing those assets changes.

##### (ii) Recognition and derecognition

Regular way purchases and sales of financial assets are recognised on trade-date, the date on which the Group commits to purchase or sell the asset. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership.

##### (iii) Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

#### Debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the cash flow characteristics of the asset. There are three measurement categories into which the Group classifies its debt instruments:

- **Amortised cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/(losses) together with foreign exchange gains and losses. Impairment losses are presented as separate line item in the statement of profit or loss.
- **FVOCI:** Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains/(losses). Interest income from these financial assets is included in finance income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains/(losses) and impairment expenses are presented as separate line item in the statement of profit or loss.
- **FVPL:** Assets that do not meet the criteria for amortised cost or FVOCI are measured at FVPL. A gain or loss on a debt investment that is subsequently measured at FVPL is recognised in profit or loss and presented net within other gains/(losses) in the period in which it arises.

#### Equity instruments

The Group subsequently measures all equity investments at fair value. Where the Group's management has elected to present fair value gains and losses on equity investments in OCI, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment. Dividends from such investments continue to be recognised in profit or loss as other income when the Group's right to receive payments is established.

Changes in the fair value of financial assets at FVPL are recognised in other gains/(losses) in the statement of profit or loss as applicable. Impairment losses (and reversal of impairment losses) on equity investments measured at FVOCI are not reported separately from other changes in fair value.

##### (iv) Impairment

The Group assesses on a forward looking basis the expected credit losses associated with its debt instruments carried at amortised cost and FVOCI. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

For trade receivables, the Group applies the simplified approach permitted by SLFRS 9, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

### 3.13.2 Non-derivative financial liabilities

#### i) Other financial Liabilities

All financial liabilities other than those at fair value through profit and loss are classified as other financial liabilities.

All other financial liabilities are recognised initially at fair value plus directly attributable transaction costs. Subsequent to initial recognition these financial liabilities are measured at amortised cost using the effective interest rate method. The financial liabilities include trade and other payables, bank overdrafts, loans and borrowings.

Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose of the statement of cash flows.

Subsequent to initial recognition, these financial liabilities are measured at amortised cost using the effective interest method.

#### ii) Derecognition of financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged, cancelled or expired.

### 3.13.3 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

### 3.14 Inventories

Raw materials and stores, work in progress and finished goods are stated at the lower of cost and net realisable value. Cost comprises direct materials, direct labour and an appropriate proportion of variable and fixed overhead expenditure, the latter being allocated on the basis of normal operating capacity. Costs are assigned to individual items of inventory on the basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

The cost incurred in bringing inventories to its present location and condition is accounted using the following cost formula:

- **Agricultural Produce Harvested from Biological Assets**

Agricultural produce harvested from the Group's biological assets is measured at its fair value less cost to sell at the point of harvest. Such measurement is deemed to be the cost at the time of transferring the harvested crop to inventories.

- **Finished goods manufactured from agricultural produce of biological assets**

These are valued at the lower of cost and estimated net realisable value, after making due allowance for obsolete and slow moving items.

- **Input Material, Spares and Consumables**

At actual cost on weighted average basis.

- **Finished Goods**

First In First Out (FIFO) basis.

- **Food and Beverages**

Weighted average cost basis.

### 3.15 Trade receivables

Trade receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less loss allowance.

Trade receivables are amounts due from customers for goods sold or services performed in the ordinary course of business. They are generally due for settlement within 30 days and therefore are all classified as current. Trade receivables are recognised initially at the amount of consideration that is unconditional unless they contain significant financing components, when they are recognised at fair value. The Group holds the trade receivables with the objective to collect the contractual cash flows and therefore measures them subsequently at amortised cost using the effective interest method.

The Group applies the SLFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables and contract assets.

To measure the expected credit losses, trade receivables and contract assets have been grouped based on shared credit risk characteristics and the days past due. The contract assets relate to unbilled work in progress and have substantially the same risk characteristics as the trade receivables for the same types of contracts. The Group has therefore concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the contract assets.

The expected loss rates are based on the payment profiles of sales over a period of 36 months before 31 March 2025 and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables.

Trade receivables and contract assets are written off when there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Group, and a failure to make contractual payments according to an agreed repayment plan with the Group.

Impairment losses on trade receivables and contract assets are presented as net impairment losses within operating profit. Subsequent recoveries of amounts previously written off are credited against the same line item.

## Notes to the Financial Statements

### 3.16 Cash and cash equivalents

For the purpose of presentation in the statement of cash flows, cash and cash equivalents includes cash on hand, deposits held at call with financial institutions, other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities in the statement of financial position.

### 3.17 Trade and other payables

Trade and other payables represent liabilities for goods and services provided to the Group prior to the end of financial year which are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting period. They are recognised initially at their fair value and subsequently measured at amortised cost using the effective interest method.

### 3.18 Borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in profit or loss over the period of the borrowings using the effective interest method. Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalised as a prepayment for liquidity services and amortised over the period of the facility to which it relates.

Preference shares, which are mandatorily redeemable on a specific date, are classified as liabilities. The dividends on these preference shares are recognised in profit or loss as finance costs.

The fair value of the liability portion of a convertible bond is determined using a market interest rate for an equivalent non-convertible bond. This amount is recorded as a liability on an amortised cost basis until extinguished on conversion or maturity of the bonds. The remainder of the proceeds is allocated to the conversion option. This is recognised and included in shareholders' equity, net of income tax effects.

Borrowings are removed from the statement of financial position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss as other income or finance costs.

Where the terms of a financial liability are renegotiated and the entity issues equity instruments to a creditor to extinguish all or part of the liability (debt for equity swap), a gain or loss is recognised in profit or loss, which is measured as the difference between the carrying amount of the financial liability and the fair value of the equity instruments issued.

Borrowings are classified as current liabilities unless the Group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting period.

### 3.19 Borrowing costs

General and specific borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Qualifying assets are assets that necessarily take a substantial period of time to get ready for their intended use or sale.

Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

Other borrowing costs are expensed in the period in which they are incurred.

### 3.20 Provisions

Provisions for legal claims, service warranties and make good obligations are recognised when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period. The discount rate used to determine the present value is a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as interest expense.

#### 3.20.1 Warranties

A provision for warranties is recognised when the underlying products or services are sold. The provision is based on historical warranty data and a weighting of all possible outcomes against their associated probabilities.

### 3.21 Deferred income

#### 3.21.1 PHDT Lease Rentals

Premises at St.Andrew's Drive in NuwaraEliya has been leased out to Plantation Human Development Trust (PHDT) for a period of 20 years commencing from August 2005 at a total lease rental of Rs.10,734,696/-.

Lease Rentals received are deferred and amortised over the lease period commenced from August 2005.

#### 3.21.2 Rain Forest Eco Loge (Private) Limited (RFELL)

Value of 6,399,375 Ordinary Shares received by Maturata Plantations Limited, which is equivalent to 14.5% of the issued Ordinary Shares of RFELL at Rs.10/= each in lieu of releasing the company's right to use the leasehold land of 488 Hectares in Enselwatte, Deniyaya to RFELL for Eco Tourism Project is deferred and amortised as income to the statement of profit or loss over the unexpired balance lease period.

### 3.22 Employee benefits

#### 3.22.1 Defined contribution plans

A Defined Contribution Plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to Defined Contribution Plans are recognised as an employee benefit expense to profit or loss in the periods during which services are rendered by employees.

##### i) Employee provident fund and employee trust fund – Sri Lanka

For employees in Sri Lanka the Group contributes a sum not less than 12% of the gross emoluments as provident fund benefits and a sum equivalent 3% of the gross emoluments as trust fund benefits.

##### ii) Employees pension scheme – Maldives

All Maldivian employees of the Group are members of the retirement pension scheme established in the Maldives. The Group contributes 7% of the pensionable wage of such employees to this scheme

##### iii) Voluntary Pension –Sierra Leone

The Sierra Leone employees of the Group, makes a voluntary contribution towards the retirement of its employees at a rate of 5% of employees' basic salary on a monthly basis. These contributions are kept in a separate fund account and are paid to employees upon their retirement.

#### 3.22.2 Defined benefit plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Company's net obligation in respect of defined benefit pension plans is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognised past service costs are deducted.

The calculation is performed every year by a qualified actuary using the projected unit credit method. For the purpose of determining the charge for any period before the next regular actuarial valuation falls due, an approximate estimate provided by the qualified actuary is used.

The Group recognises all actuarial gains and losses arising from the defined benefit plan in Statement of Comprehensive Income and all other expenses related to defined benefit plans are recognised in profit loss. The retirement benefit obligation is not externally funded.

#### 3.22.3 Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

### 3.23 Stated capital and equity

Ordinary shares are classified as equity. Mandatorily redeemable preference shares are classified as liabilities.

Incremental costs directly attributable to the issue of new shares or options are shown in equity as a deduction, net of tax, from the proceeds.

### 3.24 Dividends

Provision is made for the amount of any dividend declared, being appropriately authorised and no longer at the discretion of the entity, on or before the end of the reporting period but not distributed at the end of the reporting period.

### 3.25 Related party transactions

The Group carries out transactions in the ordinary course of its business with parties who are defined as related parties in LKAS 24 – "Related Party Disclosures". Disclosure has been made in respect of the related party transactions in which one party has the ability to control or exercise significant influence over the financial and operating policies / decisions of the other, irrespective of whether a price is being charged or not.

#### 3.25.1 Transactions with key management personnel

According to LKAS 24 – "Related Party Disclosures", Key Management Personnel, are those having authority and responsibility for planning, directing and controlling the activities of the entity.

### 3.26 Earnings per share

#### 3.26.1 Basic earnings per share

Basic earnings per share is calculated by dividing:

- the profit attributable to owners of the company, excluding any costs of servicing equity other than ordinary shares
- by the weighted average number of ordinary shares outstanding during the financial year, adjusted for bonus elements in ordinary shares issued during the year.

## Notes to the Financial Statements

### 3.26.2 Diluted earnings per share

Diluted earnings per share adjusts the figures used in the determination of basic earnings per share to take into account:

- the after income tax effect of interest and other financing costs associated with dilutive potential ordinary shares, and
- the weighted average number of additional ordinary shares that would have been outstanding assuming the conversion of all dilutive potential ordinary shares.

### 3.27 Determination of fair values

A number of the Group's accounting policies and disclosures require the determination of fair values, for both financial and non-financial assets and liabilities. Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

#### 3.27.1 Fair value hierarchy

This section explains the judgements and estimates made in determining the fair values of the assets and liabilities that are recognised and measured at fair value in the financial statements. To provide an indication about the reliability of the inputs used in determining fair value, the Group has classified its assets and liabilities into the three levels prescribed under the accounting standards. An explanation of each level in note no 50.

There were no transfers between levels 1 and 2 for recurring fair value measurements during the year.

The Group's policy is to recognise transfers into and transfers out of fair value hierarchy levels as at the end of the reporting period.

Level 1: The fair value of financial instruments traded in active markets is based on quoted market prices at the end of the reporting period. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in level 1.

Level 2: The fair value of financial instruments that are not traded in an active market is determined using valuation techniques which maximise the use of observable market data and rely as little as possible on entity-specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

Level 3: If one or more of the significant inputs are not based on observable market data, the instrument is included in level 3. This is the case for unlisted equity securities.

#### 3.27.2 Valuation techniques used to determine fair values

Specific valuation techniques used to value assets and liabilities include:

##### i) Property, plant and equipment acquired in business combinations

The fair value of property, plant and equipment recognised as a result of a business combination is the estimated amount for which a property could be exchanged on the date of acquisition between a

willing buyer and a willing seller in an arm's length transaction. The fair value of items of plant, equipment fixtures and fittings is based on market prices for similar items when available and depreciated replacement cost when appropriate.

##### ii) Property, plant and equipment owned by the Group including the right-of-use assets on Land

External, independent qualified valuers having appropriate experience in valuing properties in locations of properties being valued, value the land and building owned by the Group based on market values, this is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

##### iii) Investment property

External, independent qualified valuers having appropriate experience in valuing properties in locations of properties being valued, value the land and building owned by the Group based on market values, this is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

##### iv) Equity securities

The fair value of the equity securities is determined by reference to their quoted share price at the reporting date if quoted; or if unquoted either using discounted cash flow analysis using expected future cash flows and a market related discounted rate, or based on the net assets of the investee company.

##### v) Financial instruments other than equity securities carried at fair value through profit or loss and fair value through other comprehensive income

Fair value of these financial instruments is estimated by discounting the difference between the contractual price of the instrument and the current price of the instrument for the residual maturity of the contract based on quoted price, or obtained from brokers if not quoted, using a credit adjusted risk free interest rate.

##### vi) Consumable Biological Assets

The fair value of timber trees is determined using a discounted cash flow model based on the expected timber content and the market prices of timber after allowing for harvesting costs and other costs yet to be incurred in getting the trees up to a harvestable size.

#### 4 Revenue from contracts with customers

| For the year ended 31st March | Group          |                | Company        |                |
|-------------------------------|----------------|----------------|----------------|----------------|
|                               | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Total revenue                 | 64,790,500     | 47,429,333     | 114,298        | 66,289         |
|                               | 64,790,500     | 47,429,333     | 114,298        | 66,289         |

#### 4.1 Revenue from contracts with customers

|                                       |            |            |         |        |
|---------------------------------------|------------|------------|---------|--------|
| Industry segment                      |            |            |         |        |
| Investments                           | 114,298    | 7,555      | 114,298 | 66,289 |
| Leisure and travel                    | 13,659,722 | 11,128,396 | -       | -      |
| Construction/ Trading & Manufacturing | 9,674,170  | 10,939,099 | -       | -      |
| Plantation and Agriculture            | 41,140,168 | 24,840,890 | -       | -      |
| Real estate                           | 563,246    | 513,474    | -       | -      |
| Adjustments and eliminations          | [361,104]  | [81]       | -       | -      |
|                                       | 64,790,500 | 47,429,333 | 114,298 | 66,289 |

#### 5 Cost of sales

| For the year ended 31st March         | Group          |                | Company        |                |
|---------------------------------------|----------------|----------------|----------------|----------------|
|                                       | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Industry segment                      |                |                |                |                |
| Leisure and travel                    | 5,074,980      | 3,789,497      | -              | -              |
| Construction/ Trading & Manufacturing | 8,331,121      | 9,540,877      | -              | -              |
| Plantation and Agriculture            | 37,748,810     | 20,704,763     | -              | -              |
| Real estate                           | 52,676         | 134,052        | -              | -              |
| Adjustments and eliminations          | [275,755]      | -              | -              | -              |
|                                       | 50,931,832     | 34,169,189     | -              | -              |

#### 6 Gross profit

| For the year ended 31st March         | Group          |                | Company        |                |
|---------------------------------------|----------------|----------------|----------------|----------------|
|                                       | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Industry segment                      |                |                |                |                |
| Investments                           | 114,298        | 7,555          | 114,298        | 66,289         |
| Leisure and travel                    | 8,584,742      | 7,338,899      | -              | -              |
| Construction/ Trading & Manufacturing | 1,343,049      | 1,398,222      | -              | -              |
| Plantation and Agriculture            | 3,391,358      | 4,136,127      | -              | -              |
| Real estate                           | 510,570        | 379,422        | -              | -              |
| Adjustments and eliminations          | [85,349]       | [81]           | -              | -              |
|                                       | 13,858,668     | 13,260,144     | 114,298        | 66,289         |

## Notes to the Financial Statements

### 7 Other income

| For the year ended 31st March                                          | Group          |                | Company        |                |
|------------------------------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                                        | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Gain on disposal of property, plant and equipment                      | 301,255        | 983,662        | -              | -              |
| Gain/(loss) on disposal of quoted and non-quoted shares                | -              | 11,611         | -              | -              |
| Gain/ (loss) on change in fair value of financial investments at FVTPL | [71,978]       | 239,775        | 3,523          | 32,514         |
| Sale of timber                                                         | 2,658          | 1,713          | -              | -              |
| Sale of refuse tea                                                     | 238,149        | 208,051        | -              | -              |
| Gain on disposal of bearer biological assets                           | -              | 5,089          | -              | -              |
| Rent income and profit share                                           | 172,407        | 261,293        | 9,459          | 6,135          |
| Amortisation of deferred income                                        | 21,057         | 21,176         | -              | -              |
| Excursion income                                                       | 739,243        | 520,480        | -              | -              |
| Gain/(loss) on translation of foreign currency                         | 1,044,095      | 383,160        | [29]           | -              |
| Change in fair value of derivatives - forward contracts                | -              | 1,179,714      | -              | -              |
| Write back of other payables                                           | -              | 462,594        | -              | -              |
| Sundry income                                                          | 3,991,377      | 201,509        | 2,306,723      | -              |
| Change in fair value of investment properties                          | 1,527,944      | 11,928,293     | 198,485        | 306,293        |
| Change in fair value of consumable biological assets                   | 910,095        | 1,087,485      | -              | -              |
| Miscellaneous income from plantation sector                            | 1,180          | -              | -              | -              |
|                                                                        | 8,877,482      | 17,495,605     | 2,518,161      | 344,942        |

### 8 Provision for impairment of amounts due to related parties and other expenses

| For the year ended 31st March             | Group          |                | Company        |                |
|-------------------------------------------|----------------|----------------|----------------|----------------|
|                                           | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Impairment of trade and other receivables | 260,866        | 136,541        | -              | -              |
| Write off of related party receivables    | -              | 534,540        | 2,636,507      | 534,540        |
| Others                                    | 2,302,352      | 235,480        | -              | -              |
|                                           | 2,563,218      | 906,561        | 2,636,507      | 534,540        |

### 9 Finance cost

| For the year ended 31st March             | Group          |                | Company        |                |
|-------------------------------------------|----------------|----------------|----------------|----------------|
|                                           | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Commercial papers and promissory notes    | 427,831        | 96,338         | 818,328        | 622,464        |
| Overdraft and other short-term borrowings | 10,558,956     | 33,074,061     | 18,203,551     | 26,839,872     |
| Long term borrowings                      | 21,440,973     | 8,038,541      | 1,249,561      | 786,904        |
| Debenture interest                        | 2,855,813      | 1,509,376      | -              | -              |
| Lease interest                            | 1,300,577      | 1,788,646      | -              | -              |
| Exchange losses on translation            | [2,414]        | [91,726]       | -              | 979            |
|                                           | 36,581,736     | 44,415,236     | 20,271,440     | 28,250,219     |

## 10 Profit/ (loss) before taxation

Profit/ (loss) before tax is stated after charging all expenses including the following:

| For the year ended 31st March                                             | Group          |                | Company        |                |
|---------------------------------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                                           | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Directors' emoluments                                                     | 109,810        | 91,830         | 13,429         | 13,429         |
| Auditors' remuneration                                                    | 109,612        | 74,153         | 3,560          | 2,943          |
| <b>Depreciation/Amortisation</b>                                          |                |                |                |                |
| Property, plant and equipment                                             | 6,032,926      | 4,214,119      | 11,136         | 13,496         |
| Amortisation of intangible assets                                         | 191,679        | 78,013         | 2,068          | 2,986          |
| Amortisation of bearer biological assets                                  | 1,552,982      | 706,572        | -              | -              |
| Amortisation of right-of-use assets                                       | 1,423,428      | 863,639        | -              | -              |
| <b>Personnel costs</b>                                                    |                |                |                |                |
| Salaries, wages and defined contribution plan costs - EPF,ETF,CPPS & ESPS | 15,335,121     | 8,997,026      | 55,405         | 54,894         |
| Defined benefit plan costs - Retirement benefits                          | 953,697        | 338,384        | 1,743          | 1,412          |

## 11 Income tax expenses

| For the year ended 31st March                       | Notes | Group          |                | Company        |                |
|-----------------------------------------------------|-------|----------------|----------------|----------------|----------------|
|                                                     |       | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>Current tax expense</b>                          |       |                |                |                |                |
| Taxation on profit for the year                     | 11.1  | 477,780        | 306,361        | -              | -              |
| (Over)/ under provision in respect of previous year |       | (125,160)      | 21,265         | (125,052)      | 21,265         |
|                                                     |       | 352,620        | 327,626        | (125,052)      | 21,265         |
| <b>Deferred tax expense</b>                         |       |                |                |                |                |
| Deferred tax expense                                | 11.2  | (2,208,547)    | 3,928,013      | 64,540         | 89,465         |
|                                                     |       | (1,855,927)    | 4,255,639      | (60,512)       | 110,730        |

The income tax provision for Browns Investments PLC, its subsidiaries and associates which are resident in Sri Lanka is calculated in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and subsequent amendments thereto.

In terms of above, except for the Companies which are enjoying income tax exemptions or subject to concessionary rates as set out below, the income tax provisions of companies have been calculated on their adjusted profits at the standard rate of 30%.

Companies exempt from income tax are given in note 11.4 [a]

Companies incorporated and operating outside Sri Lanka are given in note 11.4 [b]

## Notes to the Financial Statements

### 11.1 Reconciliation of accounting profit/ (loss) to income tax

| For the year ended 31st March    | Group              |                | Company        |                |
|----------------------------------|--------------------|----------------|----------------|----------------|
|                                  | 2025<br>Rs.000     | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Profit/(loss) before taxation    | 60,860,313         | 10,039,003     | 66,985,912     | 10,148,118     |
| Disallowable expenses            | 6,260,080          | 43,803,207     | 4,080,201      | 17,181,171     |
| Allowable expenses               | (95,966,148)       | (49,351,993)   | (76,429,763)   | (23,955,762)   |
| Tax exempt income                | (7,711,050)        | (5,537,917)    | (2,544,957)    | 4,009,850      |
| Allowable tax credits            | (119,331)          | -              | -              | -              |
| Tax losses incurred              | 11.3<br>37,135,443 | 18,317,849     | 17,759,580     | 6,592,098      |
| Tax losses utilised              | 11.3<br>(361,010)  | (16,248,945)   | (9,850,973)    | (13,975,475)   |
| Others/Consolidation adjustments | 1,521,872          | -              | -              | -              |
| Taxable income                   | 1,620,169          | 1,021,204      | -              | -              |
| Income tax @                     |                    |                |                |                |
| 25%                              | 41,351             | -              | -              | -              |
| 30%                              | 436,429            | 306,361        | -              | -              |
|                                  | 477,780            | 306,361        | -              | -              |

### 11.2 Deferred tax expense

| For the year ended 31st March           | Notes | Group       |           | Company |        |
|-----------------------------------------|-------|-------------|-----------|---------|--------|
|                                         |       | 2025        | 2024      | 2025    | 2024   |
|                                         |       | Rs.000      | Rs.000    | Rs.000  | Rs.000 |
| Deferred tax assets                     |       |             |           |         |        |
| Originations / reversal during the Year | 23    | (277,280)   | 107,158   | -       | -      |
| Deferred tax liabilities                |       |             |           |         |        |
| Originations / reversal during the Year | 37    | (1,931,267) | 3,820,855 | 64,540  | 89,465 |
|                                         |       | (2,208,547) | 3,928,013 | 64,540  | 89,465 |

### 11.3 Tax losses carried forward

| For the year ended 31st March              | Group          |                | Company        |                |
|--------------------------------------------|----------------|----------------|----------------|----------------|
|                                            | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Tax losses brought forward                 | 31,465,171     | 29,704,758     | 7,523,403      | 14,930,133     |
| Adjustments for brought forward tax losses | (2,987,296)    | (447,866)      | -              | (23,353)       |
| Tax Losses for the year                    | 37,135,443     | 18,317,849     | 17,759,580     | 6,592,098      |
| Utilisation of tax losses                  | (361,010)      | (16,109,570)   | (9,850,973)    | (13,975,475)   |
| Acquisition of subsidiaries                | 21,397,374     | -              | -              | -              |
|                                            | 86,649,682     | 31,465,171     | 15,432,010     | 7,523,403      |

#### 11.4 Following Companies exempt from income tax/ liable to tax at concessionary rates

The tax liability of resident companies are computed at the standard rate of 30% except for the following companies which enjoy full or partial exemptions and concessions.

##### a) Companies exempt from income tax

Companies exempt from income tax under the Board of Investment (BOI) Law

| Company               | Statute                              | Exemption period          |
|-----------------------|--------------------------------------|---------------------------|
| Sun & Fun Resorts Ltd | Section 17 of BOI Law no. 04 of 1978 | 15 years ending 2030/2031 |

Companies exempt from income tax under Port City Commission Act No.11 of 2021

| Company                              | Statute                                | Exemption period                                                                           |
|--------------------------------------|----------------------------------------|--------------------------------------------------------------------------------------------|
| Colombo Marina Development (Pvt) Ltd | Port City Commission Act No.11 of 2021 | 25 years exempt up to 2059 and 50% incentive from the prevailing rate for another 10 years |

##### b) Income tax concessions of off-shore subsidiaries

| Company                                    | Country                  | Rate                     |
|--------------------------------------------|--------------------------|--------------------------|
| B Commodities ME FZE                       | United Arab Emirates     | 9% if exceed AED 375,000 |
| Bodufaru Beach Resort (Pvt) Ltd            | Republic of Maldives     | 15%                      |
| Browns Ari Resort (Pvt) Ltd                | Republic of Maldives     | 15%                      |
| Browns Kaafu N Resort (Pvt) Ltd            | Republic of Maldives     | 15%                      |
| Browns Raa Resort (Pvt) Ltd                | Republic of Maldives     | 15%                      |
| Grey Reach Investments Ltd                 | British Virgin Islands   | Nil                      |
| NPH Investments (Pvt) Ltd                  | Republic of Maldives     | 15%                      |
| Sunbird Bioenergy (SL) Ltd                 | Republic of Sierra Leone | 30%                      |
| PL Resorts Ltd                             | Mauritius                | 15%                      |
| BI Leisure Holdings FZE                    | United Arab Emirates     | 9% if exceed AED 375,000 |
| Browns Plantations (Kenya) Ltd             | Kenyan shilling          | 30%                      |
| Browns Plantations East Africa Ltd         | Kenyan shilling          | 30%                      |
| Browns Plantation Tanzania Ltd             | Tanzanian shilling       | 30%                      |
| Browns Plantation Rwanda Ltd               | Rwanda Franc             | 28%                      |
| Browns Plantations (Guizhou) Tea Co., Ltd. | Chinese Yuan             | 25%                      |

##### Other miscellaneous concessions

Dividends from and gains on the realisation of shares in a non-resident company where derived by any person with respect to a substantial participation in non-resident company. (Holding 10% or more of shares together with control, either directly or indirectly, of 10% or more of the voting power in non-resident company)

Gains on realisation of shares quoted in any official list published by the stock exchange licensed by the Securities and Exchange Commission of Sri Lanka.

The interest accruing to or derived by any person on moneys lying to his credit in foreign currency in any foreign currency account opened by him or on his behalf, in any commercial bank or in any specialised bank, with the approval of the Central Bank of Sri Lanka, on or after January 1, 2020;

Any service rendered in or outside Sri Lanka to any person to be utilised outside Sri Lanka, where the payment for such services is received in foreign currency and remitted through a bank to Sri Lanka on or after January 1, 2020, but prior to 1 April 2025.

Any foreign source where such gains and profits are earned or derived in foreign currency and remitted through a bank to Sri Lanka on or after January 1, 2020, but prior to 1 April 2025.

## Notes to the Financial Statements

Any income earned by any person by way of interest or discount paid or allowed, as the case may be, on any sovereign bond denominated in foreign currency, including Sri Lanka Development Bonds, issued by or on behalf of the Government of Sri Lanka;

A gain from the realisation of Sri Lanka international sovereign bonds issued by or on behalf of the Government of Sri Lanka and received or derived by a commercial bank or authorised dealer who made an aggregate investment not less than USD 100 million in such bonds on or after April 1, 2021;

Dividends paid by a resident company utilising dividend received from another resident company

Amount derived from the sale of any gem on which tax at 2.5% under section 84(2) of the Act has been deducted by National Gem and Jewellery Authority from the sale price of a gem at an auction conducted by it.

### 12 Earnings per ordinary share

#### 12.1 Basic earnings per share

The calculation of basic earnings per share is based on the profit attributable to ordinary Shareholders and the weighted average number of ordinary shares outstanding during the year

| For the year ended 31st March                                                                    | Group      |            | Company    |            |
|--------------------------------------------------------------------------------------------------|------------|------------|------------|------------|
|                                                                                                  | 2025       | 2024       | 2025       | 2024       |
| Basic earnings per share is calculated as follows:                                               |            |            |            |            |
| Net profit attributable to ordinary shareholders of the year (Rs. 000)                           | 57,664,102 | 10,037,388 | 57,664,102 | 10,037,388 |
| Net profit attributable to ordinary shareholders of the year from continuing operations (Rs,000) | 67,046,424 | 10,037,388 | 67,046,424 | 10,037,388 |
| Weighted average number of ordinary shares in issue No. of Shares ('000)                         | 14,369,717 | 14,369,717 | 14,369,717 | 14,369,717 |
| Basic earnings per ordinary share (Rs.)                                                          | 4.01       | 0.70       | 4.01       | 0.70       |
| Basic/ diluted earning per share from continuing operations.                                     | 4.67       | 0.70       | 4.67       | 0.70       |

### 13 Dividend per share

| For the year ended 31st March             | Group      |            | Company    |            |
|-------------------------------------------|------------|------------|------------|------------|
|                                           | 2025       | 2024       | 2025       | 2024       |
| Interim                                   | -          | -          | -          | -          |
| Final                                     | -          | -          | -          | -          |
| Total Dividends Paid                      | -          | -          | -          | -          |
| Number of ordinary shares in issue ('000) | 14,369,717 | 14,369,717 | 14,369,717 | 14,369,717 |
| Dividend per ordinary share (Rs.)         | -          | -          | -          | -          |

**14 Property, plant and equipment**  
**14.1 Group**

|                                                       | Freehold Lands | Reclaimed Land | Freehold Buildings | Freehold Motor Vehicles | Furniture & Fittings | Office Equipment | Computers | Freehold Plant & Machinery | Other Tangible Assets | Immovable (JEDB/SLSPC) Assets on Finance Lease | Capital work-in-progress | 2025 Total  | 2024 Total   |
|-------------------------------------------------------|----------------|----------------|--------------------|-------------------------|----------------------|------------------|-----------|----------------------------|-----------------------|------------------------------------------------|--------------------------|-------------|--------------|
|                                                       | Rs.000         | Rs.000         | Rs.000             | Rs.000                  | Rs.000               | Rs.000           | Rs.000    | Rs.000                     | Rs.000                | Rs.000                                         | Rs.000                   | Rs.000      | Rs.000       |
| <b>Cost / Valuation</b>                               |                |                |                    |                         |                      |                  |           |                            |                       |                                                |                          |             |              |
| Balance at the beginning of the year                  | 14,702,303     | 23,719,095     | 56,133,334         | 9,011,581               | 2,653,527            | 469,607          | 1,586,655 | 70,659,385                 | 54,264,341            | 875,474                                        | 32,640,396               | 266,717,697 | 233,480,270  |
| On acquisition of subsidiaries                        | 5,061,387      | -              | 29,452,339         | 2,726,941               | 97,649               | 54,865           | 780,257   | 18,785,344                 | 488,336               | -                                              | 7103,530                 | 58,550,648  | 37,311,466   |
| Additions                                             | -              | -              | 411,906            | 199,814                 | 121,825              | 95,131           | 50,749    | 378,797                    | 408,682               | -                                              | 10,834,171               | 12,501,085  | 10,732,585   |
| Revaluations                                          | 5,576,282      | 864,844        | 3,087,590          | 158,233                 | -                    | -                | -         | 19                         | 51,664                | -                                              | -                        | 9,748,681   | 809,352      |
| Disposals                                             | -              | -              | (415,345)          | (678,482)               | (17,328)             | (224)            | (14,777)  | (976,368)                  | (360)                 | -                                              | -                        | (2,102,887) | (193,843)    |
| Impairment losses                                     | -              | -              | -                  | -                       | -                    | -                | -         | -                          | (5,023)               | -                                              | (405)                    | (5,428)     | (1,705)      |
| Transfers from/(to) PPE / WIP / ROU                   | -              | -              | 207,189            | (39,584)                | (3,892)              | 9,045            | 13,281    | 2,302,593                  | 76,314                | (18,949)                                       | (2,486,597)              | -           | (169,521)    |
| Transfers from/(to) investment properties             | -              | -              | -                  | -                       | -                    | -                | -         | -                          | -                     | -                                              | -                        | -           | (233,200)    |
| Transfer from/(to) right of use assets                | -              | -              | -                  | -                       | -                    | -                | -         | -                          | 7,624                 | -                                              | -                        | 7,624       | -            |
| Disposal of subsidiaries                              | -              | -              | -                  | -                       | -                    | -                | -         | -                          | -                     | -                                              | -                        | -           | (4,446,958)  |
| Exchange translation difference                       | (8,555)        | (385,413)      | (21,975)           | 102,911                 | (9,311)              | (253)            | 15,759    | (579,601)                  | (1,018,605)           | -                                              | (514,514)                | (2,419,555) | (10,570,749) |
| Balance at the end of the year                        | 25,331,417     | 24,198,526     | 82,865,038         | 11,421,474              | 2,842,469            | 628,171          | 2,433,924 | 90,570,168                 | 54,272,983            | 857,124                                        | 47,576,581               | 342,997,876 | 266,717,697  |
| <b>Accumulated depreciation and impairment losses</b> |                |                |                    |                         |                      |                  |           |                            |                       |                                                |                          |             |              |
| Balance at the beginning of the year                  | -              | 1,851,726      | 5,745,514          | 6,725,511               | 1,467,680            | 286,650          | 1,164,570 | 26,509,859                 | 33,470,837            | 858,837                                        | -                        | 78,081,185  | 63,435,663   |
| On acquisition of subsidiaries                        | -              | -              | 2,138,850          | 2,247,950               | 16,129               | 41,229           | 506,073   | 11,405,815                 | 11,634                | -                                              | -                        | 16,387,680  | 14,008,983   |
| Charge for the year                                   | -              | 545,765        | 1,368,867          | 287,944                 | 256,123              | 54,358           | 202,749   | 2,257,568                  | 1,059,552             | -                                              | -                        | 6,032,926   | 4,214,119    |
| Impairment Losses                                     | -              | -              | -                  | -                       | -                    | -                | -         | -                          | -                     | -                                              | -                        | -           | (1,170)      |
| Revaluations                                          | -              | (2,225,653)    | (1,593,795)        | (84,211)                | -                    | -                | -         | 19                         | (76,599)              | -                                              | -                        | (3,920,240) | -            |
| Disposals                                             | -              | -              | (351,507)          | (626,611)               | (8,304)              | (224)            | (14,656)  | (833,872)                  | -                     | -                                              | -                        | (1,895,174) | (128,217)    |
| Disposal of subsidiaries                              | -              | -              | -                  | -                       | -                    | -                | -         | -                          | -                     | -                                              | -                        | -           | (667,040)    |
| Transfers /WIP transfers                              | -              | -              | -                  | -                       | (352)                | 352              | -         | -                          | -                     | -                                              | -                        | -           | -            |
| Exchange translation difference                       | -              | (20,947)       | (47,271)           | (77,351)                | (119)                | (103)            | 17,301    | (61,945)                   | (544,252)             | (9,274)                                        | -                        | (743,961)   | (2,841,293)  |
| Balance at the end of the year                        | -              | 150,890        | 7,320,657          | 8,473,232               | 1,731,157            | 382,261          | 1,876,038 | 39,277,444                 | 33,921,172            | 849,563                                        | -                        | 99,982,414  | 78,081,185   |
| <b>Carrying amounts</b>                               |                |                |                    |                         |                      |                  |           |                            |                       |                                                |                          |             |              |
| As at 31st March 2025                                 | 25,331,417     | 24,047,636     | 75,544,381         | 2,948,242               | 1,111,312            | 245,910          | 557,886   | 51,292,724                 | 20,351,811            | 7,561                                          | 47,576,581               | 249,015,461 |              |
| As at 31st March 2024                                 | 14,702,303     | 21,867,369     | 50,387,820         | 2,286,070               | 1,185,847            | 182,957          | 424,085   | 44,149,526                 | 20,793,504            | 16,637                                         | 32,620,441               |             | 188,636,512  |

## Notes to the Financial Statements

**14.1.1.** These immovable/movable assets vested in the Company's sub-subsidiaries by Gazette Notification on the date of formation of the Company's subsidiaries and all the investments made in the tangible assets by the Company's sub-subsidiaries since their formation have been classified as above.

### 14.1.2 Carrying value of fully depreciated assets

The following Property, plant and equipment have been fully depreciated and continue to be in use by the Group.

| For the year ended 31st March        | Group          |                |
|--------------------------------------|----------------|----------------|
|                                      | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Cost of the fully depreciated assets | 36,702,265     | 32,323,360     |

### 14.1.3 Temporarily idle property, plant and equipment

There were no idle property, plant and equipment as at the reporting date.

### 14.1.4 Property, plant and equipment retired from active use

There were no property, plant and equipment retired from active use as at the reporting date.

### 14.1.5 Title restriction on property, plant and equipment

There were no restriction on the title of property, plant and equipment as at 31st March 2025.

### 14.1.6 Property, plant and equipment pledged as security for liabilities

There were no items of property, plant and equipment pledged as securities for those disclosed in Note 46 – Assets pledged as collaterals to these Financial Statements.

### 14.1.7 Compensation from third parties for items of property, plant and equipment

There were no compensation received during the year from third parties for items of property, plant and equipment that were impaired, lost or given up.

### 14.1.8 Borrowing cost capitalisation

Borrowing costs incurred on borrowings obtained to finance the acquisition, construction or production of qualifying asset, which takes substantial period of time to get ready for its intended use or sale, have been capitalised during the year. The borrowing cost capitalisation will be ceased when the respective asset is ready for use.

| For the year ended 31st March   | Group  |           |           |
|---------------------------------|--------|-----------|-----------|
|                                 | 2025   | 2024      |           |
|                                 | Rs.    | Rs.       |           |
| Capitalised borrowing costs     | Rs.000 | 5,605,019 | 1,104,829 |
| Borrowing cost capitalised rate | %      | 9%-12%    | 9%-18%    |

## 14.2 Property, Plant and Equipment - Group

### 14.2.1 Revaluation of Land and Buildings

The Company uses the revaluation model of measurement to account for land and buildings. In this regard, the Company engaged Mr. C.U.Suwandarathna an independent, Chartered Valuer and Surveyor to determine the fair value of its land and buildings.

Valuation is done as defined in the Sri Lanka Accounting Standards [SLFRS 13] on Fair Value Measurement. The valuation is based on the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal market or in the most advantageous market at the measurement date under current market conditions.

#### 14.2.2 Details of Group's land and building carried at revalued amounts as follows;

| Company                             | Property                                                | Effective Date of Valuation | Total Land Extent  | Number of Buildings | Main Building Sq.Ft. | Land and Building Rs.000 |
|-------------------------------------|---------------------------------------------------------|-----------------------------|--------------------|---------------------|----------------------|--------------------------|
| Browns Investments PLC              | Land<br>At Hiddaruwa, Kosgoda                           | 31st March 2025             | A0-R1-P36.7        | -                   | -                    | 61,000                   |
| Browns Investments PLC              | Land & Building<br>At Batawala Road, Meegoda            | 31st March 2025             | A2-R3-P12.9        | 02                  | 28,872               | 274,000                  |
| Dolphin Hotels PLC                  | Land & Building<br>At Waikkal                           | 31st March 2025             | A15- R3<br>-P27.00 | 55                  | 231,254              | 3,951,200                |
| Frontier Capital Lanka (Pvt) Ltd    | Land & Building<br>At Lantern Boutique Hotel Mirissa    | 31st March 2025             | A0-R1-P30.80       | 1                   | 10,069               | 378,800                  |
| Frontier Capital Lanka (Pvt) Ltd    | Land<br>At Lantern Boutique Hotel at<br>Kamburugamuwa   | 31st March 2025             | A0-R1-P5.24        | -                   | -                    | 136,000                  |
| Frontier Capital Lanka (Pvt) Ltd    | Land & Building<br>At Ubuntu 1 Beach Villa at Mirissa   | 31st March 2025             | A0-R1-P34          | 1                   | 9,283                | 402,000                  |
| Frontier Capital Lanka (Pvt) Ltd    | Land & Building<br>At Ubuntu 1 Beach Villa 2 at Mirissa | 31st March 2025             | A0-R1-P38.40       | 1                   | 9,283                | 415,000                  |
| Sansun Boutique Hotels Ltd          | Land & Building<br>At Pothana in Dambulla               | 31st March 2025             | A53-R1-P09         | 25                  | 61,546               | 1,336,540                |
| Hotel Sigiriya PLC                  | Building Sigiriya                                       | 31st March 2025             | -                  | 24                  | 68,167               | 645,671                  |
| Maturata Plantations Limited        | Building                                                | 31st March 2025             | -                  | 2584                | -                    | 156,372                  |
| Browns Properties (Private) Limited | Building<br>No.19,Dudley Senanayake Mw,Colombo 08       | 31st March 2025             | -                  | 1                   | -                    | 1,006,659                |
| Samudra Beach Resorts (Pvt) Ltd     | Land & Building<br>At Okade Road, Kosgoda               | 31st March 2025             | A5-R1-P0.5         | 1                   | 244,126              | 8,758,000                |
| Samudra Beach Resorts (Pvt) Ltd     | Land & Building<br>At Okade Road, Kosgoda               | 31st March 2025             | A0-R1-P17          | 1                   | 900                  | 29,500                   |
| Samudra Beach Resorts (Pvt) Ltd     | Land<br>At Okade Road, Kosgoda                          | 31st March 2025             | A0-R3-P6.5         | -                   | -                    | 323,000                  |
| Samudra Beach Resorts (Pvt) Ltd     | Land & Building<br>At Okade Road, Kosgoda               | 31st March 2025             | A0-R1-P32          | 1                   | 280                  | 104,000                  |
| Samudra Beach Resorts (Pvt) Ltd     | Land<br>At Okade Road, Kosgoda                          | 31st March 2025             | A0-R1-P10. 5       | -                   | -                    | 38,000                   |
| Samudra Beach Resorts (Pvt) Ltd     | Land & Building<br>At Okade Road, Kosgoda               | 31st March 2025             | A0-R0-P15. 7       | 1                   | 1,730                | 28,500                   |
| Samudra Beach Resorts (Pvt) Ltd     | Land<br>At Okade Road, Kosgoda                          | 31st March 2025             | A0-R1-P16.3        | -                   | -                    | 50,000                   |
| Samudra Beach Resorts (Pvt) Ltd     | Land<br>At Okade Road, Kosgoda                          | 31st March 2025             | A0-R0-P9.9         | -                   | -                    | 12,000                   |
| Samudra Beach Resorts (Pvt) Ltd     | Land<br>At Okade Road, Kosgoda                          | 31st March 2025             | A0-R0-P44          | -                   | -                    | 46,000                   |
| Palm Garden Hotels PLC              | Land<br>Area Fronting Galle Road                        | 31st March 2025             | A2-R1-P27          | -                   | -                    | 774,000                  |
| Palm Garden Hotels PLC              | Land<br>Middle Area Galle Road                          | 31st March 2025             | A8-R0-P5.54        | -                   | -                    | 2,389,000                |
| Palm Garden Hotels PLC              | Land<br>Area with Beach Frontage, Galle Road            | 31st March 2025             | A7-R2-P0           | -                   | -                    | 3,000,000                |
| Serendib Hotels PLC                 | Land & Building<br>at Bentota                           | 31st March 2025             | A0-R0-P20          | 2                   | 98,829               | 1,015,831                |

## Notes to the Financial Statements

| Company                                     | Property                                     | Effective Date of Valuation | Total Land Extent | Number of Buildings | Main Building Sq.Ft. | Land and Building Rs.000 |
|---------------------------------------------|----------------------------------------------|-----------------------------|-------------------|---------------------|----------------------|--------------------------|
| Browns Engineering & Construction (Pvt) Ltd | Land at Battaramulla                         | 31st March 2025             | A0-R1-P36.33      | -                   | -                    | 991,900                  |
| Browns Engineering & Construction (Pvt) Ltd | Building at Sapugaskanda                     | 31st March 2025             | -                 | 1                   | 16,216               | 1,116,000                |
| Newburgh Green Teas (Pvt) Ltd               | Building                                     | 31st March 2025             | -                 | 1                   | -                    | 5,617                    |
| Browns Metal and Sands (Pvt) Ltd            | Land & Building Neboda Village Dodangoda     | 31st March 2025             | A198-R0-P12.8     | 2                   | 2,369                | 372,000                  |
| Dikwella Resorts (Pvt) Ltd                  | Land & Building At Batheegama, Dickwella     | 31st March 2025             | A6-R2-P3.93       | 38                  | 96,648               | 3,587,050                |
| Dikwella Resorts (Pvt) Ltd                  | Land At Batheegama, Dickwella                | 31st March 2025             | A1-R3-P29.25      | -                   | -                    | 309,000                  |
| BI Commodities and Logistics (Pvt) Ltd      | Land Hendala, Wattala                        | 31st March 2025             | A3-R0-P23.03      | 2                   | 24,050               | 545,705                  |
| Green Paradise Resorts (Pvt) Ltd            | Land & Building Dambulla                     | 31st March 2025             | A11-R0-P13.27     | 32                  | 103,866              | 2,471,000                |
| Browns Ari Resort (Pvt) Ltd                 | Land South Ari Atoll in Republic of Maldives | 31st March 2025             | 69,550 sqm        | -                   | -                    | 18,886,052               |
| Bodufaru Beach Resort (Pvt) Ltd             | Land North Male Atoll in Maldives            | 31st March 2025             | 299,000 sqm       | -                   | -                    | 14,972,127               |
| Browns Raas Resort (Pvt) Ltd                | Land Raas atoll in Republic of Maldives      | 31st March 2025             | 52,500 sqm        | -                   | -                    | 1,477,295                |
| Sunbird Bioenergy (SL) Ltd                  | Land & Building Sierra Leone                 | 31st March 2025             | 23,500 ha         | 10                  | 257,110              | 1,519,990                |
| Sun & Fun Resorts Ltd.                      | Building At Pasikuda Village, Kalkuda        | 31st March 2025             | -                 | 15                  | 109,240              | 1,782,000                |
| Tropical Villas (Private) Limited           | Land At Moragalle, Beruwala                  | 31st March 2025             | A2-R1-P27         | -                   | -                    | 696,000                  |
| Eden Hotel Lanka PLC                        | Land & Building At Kaluwamodara, Aluthgama   | 31st March 2025             | A6-R1-P25.82      | 120                 | 237,571              | 6,382,700                |
| Tropical Island Commodities (Pvt) Ltd       | Land & Building At Kamburugoda, Bandaragama  | 31st March 2025             | A0-R0-P16         | 1                   | 1,200                | 98,000                   |
| Tropical Island Commodities (Pvt) Ltd       | Land At Ethkandura, Kurundugaha Hathapma     | 31st March 2025             | A0-R1-P39.5       | -                   | -                    | 12,000                   |
| Tropical Island Commodities (Pvt) Ltd       | Land At Aluthwala, Baddegama                 | 31st March 2025             | A0-R3-P14         | -                   | -                    | 33,500                   |
| Hapugastenne Plantation PLC                 | Building                                     | 31st March 2025             | -                 | 3351                | 2,049,844            | 170,945                  |
| Udapussellawa Plantations PLC               | Building                                     | 31st March 2025             | -                 | 2199                | 4,596,022            | 190,735                  |
| PL Resorts Limited                          | Building                                     | 31st March 2025             | -                 |                     | *8,556.60 Sq.m       | 2,353,433                |
| Browns Piling (Pvt) Ltd                     | Land                                         | 31st March 2025             | A3-R3-P26         | -                   | -                    | 229,000                  |
| LOLC Investment Holding Four (Pvt) Ltd      | Land Thambiliyana, Kuruwita                  | *Cost                       | A3-R0-P16         | -                   | -                    | 15,700                   |
| Sierra Cables PLC                           | Land and Buildings Galwarusa Road, Korathota | 31st March 2025             | A11-R1-P05        | 25                  | -                    | 2,353,882                |

| Company                                    | Property                                     | Effective Date of Valuation | Total Land Extent | Number of Buildings | Main Building Sq.Ft. | Land and Building Rs.000 |
|--------------------------------------------|----------------------------------------------|-----------------------------|-------------------|---------------------|----------------------|--------------------------|
| Sierra Cables PLC                          | Land and Buildings Kananvila Village, Horana | 31st March 2025             | A0-R0-P57         | 2                   | -                    | 37,610                   |
| Browns Plantations (Kenya) Ltd             | Land and Buildings Kenya                     | 31st December 2023          | -                 | 7728                | -                    | 14,987,811               |
| Browns East Africa Plantation Ltd          | Land and Buildings Kenya                     | 31st July 2024              | -                 | 8,140               | -                    | 14,256,706               |
| Browns Plantation Tanzania Ltd             | Land and Buildings Tanzania                  | 31st December 2024          | -                 | 1,820               | -                    | 3,805,879                |
| Browns Plantations Rwanda Ltd              | Buildings Rwanda                             | 31st July 2024              | -                 | 19                  | -                    | 1,715,913                |
| Browns Plantations (Guizhou) Tea Co., Ltd. | Buildings China                              | 31st July 2024              | -                 | 3                   | -                    | 383,134                  |
| Limiru PLC                                 | Land and Buildings Kenya                     | 31st July 2024              | -                 | 431                 | -                    | 3,833,676                |
|                                            |                                              |                             |                   |                     |                      | <b>124,923,434</b>       |

The above land and buildings have been revalued by qualified Independent Valuers, who hold recognised and relevant professional qualifications and have recent experience in the location and category of the revalued properties on the basis of current market value method of valuation.

In determining the fair value, the current condition of the properties, future usability and market evidence of transaction prices for similar on the basis of current market value method of valuation.

Land and buildings are considered under Level 03 of the fair value hierarchy.

**14.2.3** The following table shows the valuation techniques used in measuring the fair value of significant properties of the group, as well as the significant unobservable inputs used.

#### Local properties

| Property                                    | Method of valuation | Significant unobservable inputs  |                                            |                           |
|---------------------------------------------|---------------------|----------------------------------|--------------------------------------------|---------------------------|
|                                             |                     | Estimated price per perch [Land] | Estimated price per square foot [Building] | Correlation to fair value |
| Land and Buildings                          |                     |                                  |                                            |                           |
| Browns Investments PLC                      | DCC/CM              | Rs.800,000 - Rs.1,200,000        | Rs.2,900 - Rs.3250                         | Positive                  |
| Dolphin Hotels PLC                          | DCC/CM              | Rs.600,000-Rs.1,000,000          | Rs.3,000-Rs.18,000                         | Positive                  |
| Frontier Capital Lanka (Pvt) Ltd            | DCC/CM              | Rs.3,000,000- Rs. 5,000,000      | Rs.6,000 - Rs.25,000                       | Positive                  |
| Sunsun Boutique Hotels Ltd                  | DCC/CM              | Rs.44,000 - Rs.53,000            | Rs.3,000 - Rs.20,000                       | Positive                  |
| Hotel Sigiriya PLC                          | CM                  | -                                | Rs.500-Rs.20,000                           | Positive                  |
| Samudra Beach Resorts (Private) Limited     | DCC/CM              | Rs.250,000 - Rs.1,500,000        | Rs.3,500 - Rs.30,000                       | Positive                  |
| Palm Garden Hotels PLC                      | DCC                 | Rs.1800,000-Rs.2500,000          | -                                          | Positive                  |
| Serendib Hotels PLC                         | DCC/CM              | Rs.700,000-Rs.1000,000           | Rs.3,500-Rs.21,000                         | Positive                  |
| Browns Engineering & Construction (Pvt) Ltd | DCC/CM              | Rs.609,000-Rs.13,000,000         | Rs.4,000-Rs.8,000                          | Positive                  |
| Browns Metal and Sands Pvt Ltd              | DCC/CM              | Rs.10,000-Rs.20,000              | Rs.2,000-Rs.2,500                          | Positive                  |
| Dikwella Resort (Private) Limited           | DCC/CM              | Rs.1,000,000-Rs.2,200,000        | Rs.1,000-Rs.27,000                         | Positive                  |
| BI Commodities and Logistics (Pvt) Ltd      | DCC/CM              | Rs.850,000-Rs.900,000            | Rs.1,000 - Rs.5,000                        | Negative                  |
| Green Paradise Resorts Ltd                  | DCC/CM              | Rs.350,000-Rs.400,000            | Rs.2500-Rs.30,000                          | Positive                  |
| Sun & Fun Resorts Ltd.                      | CM                  | -                                | Rs.1600-Rs.24,000                          | Positive                  |

## Notes to the Financial Statements

| Property                              | Method of valuation | Significant unobservable inputs  |                                            |                           |
|---------------------------------------|---------------------|----------------------------------|--------------------------------------------|---------------------------|
|                                       |                     | Estimated price per perch (Land) | Estimated price per square foot (Building) | Correlation to fair value |
| Tropical Villas (Pvt) Ltd             | DCC                 | Rs.1,200,000                     | -                                          | Positive                  |
| Browns Leisure (Pvt) Ltd              | CM                  | -                                | Rs.1,500 - Rs.12,000                       | Positive                  |
| Eden Hotel Lanka PLC                  | DCC/CM              | Rs.1,000,000-Rs.2,500,000        | Rs.1,000 - Rs.27,000                       | Positive                  |
| Tropical Island Commodities (Pvt) Ltd | DCC/CM              | Rs.115,000 - Rs.500,000          | -                                          | Positive                  |
| Sierra Piling (Pvt) Ltd               | DCC                 | Rs.450,000 - Rs.500,000          | -                                          | Positive                  |

### Foreign properties

| Property                         | Method of valuation | Significant unobservable inputs          |                                              |                           |
|----------------------------------|---------------------|------------------------------------------|----------------------------------------------|---------------------------|
|                                  |                     | Estimated price per square meter (Land ) | Estimated price per square meter (Building ) | Correlation to fair value |
| Browns Ari Resort (Pvt) Ltd      | CM                  | USD 300 per square meter                 | USD 130-204                                  | Positive                  |
| Bodufaru Beach Resorts (Pvt) Ltd | CM                  | USD 170 per square meter                 | -                                            | Positive                  |
| Browns Raa Resort (Pvt) Ltd      | CM                  | USD 95 per square meter                  | -                                            | Positive                  |
| PL Resorts Ltd                   |                     |                                          |                                              |                           |

### Summary description of valuation methodologies;

#### Open Market Value method (OMV)

Open Market Value method uses prices and other relevant information generated by market transactions involving identical or comparable assets, liabilities or a group of assets and liabilities, such as a business.

#### Direct capital comparison method (DCC)

This method may be adopted when the rental value is not available from the property concerned, but there are evidences of sale price of properties as a whole. In such cases, the capitalised value of the property is fixed by direct comparison with capitalised value of similar property in the locality.

#### Contractors method (CM)

The replacement cost (Contractor's) method is used to value properties which do not generally exchange on the open market and for which comparable evidence therefore does not exist. The valuations are based on two components: the depreciated cost of the building element and the market value of the land. Current building costs and often the land price will be established by comparison.

#### Investment method (IM)

The investment method is used to value properties which are let to produce an income for the Investor. Conventionally, investment value is a product of rent and yield. Each of these elements is derived using comparison techniques.

### 14.3 Property, plant and equipment

| Company                              | Freehold land | Freehold motor vehicles | Plant and Machinery | Furniture and fittings | Computer and equipments | 2025 Total | 2024 Total |
|--------------------------------------|---------------|-------------------------|---------------------|------------------------|-------------------------|------------|------------|
|                                      | Rs.000        | Rs.000                  | Rs.000              | Rs.000                 | Rs.000                  | Rs.000     | Rs.000     |
| <b>Cost/Valuation</b>                |               |                         |                     |                        |                         |            |            |
| Balance at the beginning of the year | 50,000        | 40,093                  | 19,095              | 1,056                  | 1,391                   | 111,635    | 84,685     |
| Additions                            | -             | -                       | -                   | -                      | 285                     | 285        | 26,950     |
| Surplus of Revaluation               | 11,000        | 18,327                  | -                   | -                      | -                       | 29,327     | -          |
| Balance at the end of the year       | 61,000        | 58,420                  | 19,095              | 1,056                  | 1,676                   | 141,247    | 111,635    |
| <b>Accumulated depreciation</b>      |               |                         |                     |                        |                         |            |            |
| Balance at the beginning of the year | -             | 22,062                  | 1,551               | 773                    | 439                     | 24,825     | 11,329     |
| Charge for the year                  | -             | 8,449                   | 2,036               | 226                    | 425                     | 11,136     | 13,496     |
| Surplus of Revaluation               | -             | [30,490]                | -                   | -                      | -                       | [30,490]   | -          |
| Balance at the end of the year       | -             | 21                      | 3,587               | 999                    | 864                     | 5,471      | 24,825     |
| <b>Carrying amounts</b>              |               |                         |                     |                        |                         |            |            |
| As at 31st March 2025                | 61,000        | 58,399                  | 15,508              | 57                     | 812                     | 135,776    |            |
| As at 31st March 2024                | 50,000        | 18,031                  | 17,544              | 283                    | 952                     |            | 86,810     |

### 15 Investment properties

| As at 31st March                          | Group          |                | Company        |                |
|-------------------------------------------|----------------|----------------|----------------|----------------|
|                                           | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Balance as at the beginning of the year   | 102,311,438    | 89,066,742     | 2,637,715      | 2,329,000      |
| Additions during the year                 | 56,054         | 15,421         | -              | 2,422          |
| On acquisition of subsidiaries            | -              | 1,366,618      | -              | -              |
| On disposal of Subsidiaries               | -              | [444,131]      | -              | -              |
| Transfer to property, plant and equipment | -              | 233,200        | -              | -              |
| Change in fair value during the year      | 1,527,944      | 11,928,293     | 198,485        | 306,293        |
| Exchange translation difference           | 53,209         | 145,295        | -              | -              |
| Balance as at the end of the year         | 103,948,645    | 102,311,438    | 2,836,200      | 2,637,715      |
| <b>Summary of investment properties</b>   |                |                |                |                |
| Land                                      | 97,393,300     | 96,023,171     | 2,686,000      | 2,495,415      |
| Buildings                                 | 6,555,345      | 6,288,267      | 150,200        | 142,300        |
|                                           | 103,948,645    | 102,311,438    | 2,836,200      | 2,637,715      |

## Notes to the Financial Statements

### 15.1 Details of investment properties

| As at 31st March                       | Group          |                | Company        |                |
|----------------------------------------|----------------|----------------|----------------|----------------|
|                                        | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Owned Properties                       | 9,946,523      | 11,083,438     | 2,836,200      | 2,637,715      |
| Properties held under operating leases | 94,002,122     | 91,228,000     | -              | -              |
|                                        | 103,948,645    | 102,311,438    | 2,836,200      | 2,637,715      |

| Company                               | Property                                     | Effective date of valuation | Extent A-R-P | Group          |           | Company   |           |
|---------------------------------------|----------------------------------------------|-----------------------------|--------------|----------------|-----------|-----------|-----------|
|                                       |                                              |                             |              | Carrying value |           | Land      | Buildings |
|                                       |                                              |                             |              | Land           | Buildings |           |           |
| Millennium Development (Pvt) Ltd      | No 381,T.B Jayah Mawatha, Colombo 10         | 31st March 2025             | A5-2R-P17.17 | 5,279,000      | 367,000   | -         | -         |
| Browns Properties (Pvt) Ltd           | No.19, Dudley Senanayake Mawatha, Colombo 08 | 31st March 2025             | A0-R1-P9.5   | 1,039,000      | 894,023   | -         | -         |
| Browns Properties (Pvt) Ltd           | No.05, Sumner Place, Colombo 08              | 31st March 2025             | A0-R0-P33.75 | 439,000        | -         | -         | -         |
| Browns Investments PLC                | Kuchchaveli, Trincomalee                     | 31st March 2025             | A5-R0-P14.5  | 171,000        | -         | 171,000   | -         |
| Browns Investments PLC                | Nos. 781 & 781/2, Nalluruwa,, Panadura       | 31st March 2025             | A0-R1-P38.32 | 235,000        | -         | 235,000   | -         |
| Browns Investments PLC                | No 328, Kaduwella Road, Malabe               | 31st March 2025             | A0-R2-P5.05  | 553,000        | -         | 553,000   | -         |
| Browns Investments PLC                | Egoda Uyana, Moratuwa                        | 31st March 2025             | A1-R0-P32.78 | 347,000        | -         | 347,000   | -         |
| Browns Investments PLC                | Batawala Road, Meegoda, Homagama             | 31st March 2025             | 2A-3R-12.9P  | -              | -         | 172,000   | 102,000   |
| Browns Investments PLC                | Tuduwa Road, Dampe                           | 31st March 2025             | A3-R0-P5     | 815,000        | 39,000    | 815,000   | 39,000    |
| Browns Investments PLC                | Pahala Yagoda, Gampaha                       | 31st March 2025             | A0-R1-P4.5   | 25,000         | 9,200     | 25,000    | 9,200     |
| Browns Investments PLC                | Sunethradevi road, Kohuwala                  | 31st March 2025             | A0-R2-P1.81  | 368,000        | -         | 368,000   | -         |
| Browns Hotels & Resorts Ltd           | Duwemodara, Kosgoda                          | 31st March 2025             | A1-R0-P16.98 | 122,000        | -         | -         | -         |
| Eden Hotel Lanka PLC                  | Wattthala, Gampaha                           | 31st March 2025             | A0-R1-P25.66 | 81,300         | -         | -         | -         |
| Sierra Developments Ltd               | Havelock Road, Colombo 05                    | 31st March 2025             | A0-R1-P16.40 | 1,128,000      | 3,681,000 | -         | -         |
| Ceylon Real Estate Holdings (Pvt) Ltd | Port City, Colombo                           | 31st March 2025             | 7A-2R-11.01P | 34,497,000     | -         | -         | -         |
| Colombo Marina Development (Pvt) Ltd  | Port City, Colombo                           | 31st March 2025             | 7A-2R-16.79P | 37,231,000     | -         | -         | -         |
| Marina Hotel Holdings (Pvt) Ltd       | Port City, Colombo                           | 31st March 2025             | 3A-OR-34.21P | 15,063,000     | -         | -         | -         |
| Browns Plantations Kenya Ltd          | Kenya                                        | 31st March 2025             |              | -              | 1,565,122 | -         | -         |
|                                       |                                              |                             |              | 97,393,300     | 6,555,345 | 2,686,000 | 150,200   |

## 15.2 Income earned from investment property

| As at 31st March          | Group          |                | Company        |                |
|---------------------------|----------------|----------------|----------------|----------------|
|                           | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Rental income             | 886,329        | 349,719        | 9,459          | 6,135          |
| Direct operating expenses | (33,244)       | (133,734)      | -              | -              |
|                           | 853,085        | 215,985        | 9,459          | 6,135          |

## 15.3 Valuation technique and significant unobservable inputs

The following table shows the valuation techniques used by the Group in measuring Level 3 fair values and the significant unobservable inputs used.

Valuation Technique - Market Comparable Method/ Depreciated Replacement Costs Method/ Income Base Method.

Significant unobservable inputs - Price per perch of land on similar properties/ Value per square feet determined based on similar properties value and depreciated for the period used/Interest or discount rate/ Market rent per square feet.

Relationship between inputs and fair value measurement - increase/ (decrease) if: Depreciation rate was lesser or higher/Square feet value was higher or lesser/ Price per perch increase or decrease/ Interest rate increase or decrease/ Market rent increase or decrease.

| Property                                  | Valuation technique                                   | Significant unobservable inputs   |                                 |                                                                                                                                                                                           |
|-------------------------------------------|-------------------------------------------------------|-----------------------------------|---------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                           |                                                       | Estimated price per perch         | Estimated price per square foot | Interrelationship between key inputs and fair value measurement                                                                                                                           |
| Millennium Development (Pvt) Ltd          | Direct capital comparison method / Contractors method | Rs.5,000,000-<br>Rs.6,000,000     | Rs.18,000-<br>Rs.20,000         | The estimated fair value would increase(decrease) if rental income was higher / (lesser) and the estimated fair value would (decrease)/ increase if the discount rate was higher/(lesser) |
| Browns Properties (Pvt) Ltd               | Direct capital comparison method / Contractors method | Rs.13,000,000 -<br>Rs 25,000,000  | Rs.25,000-<br>Rs. 28,000        | The estimated fair value would increase/(decrease) if price per square feet value and price per perch was higher / (lesser).                                                              |
| Browns Investments PLC                    | Direct capital comparison method / Contractors method | Rs.200,000 -<br>Rs 6,500,000      |                                 | The estimated fair value would increase (decrease) if price per perch value was higher / (lesser                                                                                          |
| Browns Hotels & Resorts Ltd               | Direct capital comparison method / Contractors method | Rs.120,000 -<br>Rs 750,000        |                                 | The estimated fair value would increase (decrease) if price per perch value was higher / (lesser)                                                                                         |
| Eden Hotel Lanka PLC                      | Direct capital comparison method / Contractors method | Rs.950,000 -<br>Rs. 1,400,000     | -                               | do                                                                                                                                                                                        |
| Browns Developments Ltd                   | Direct capital comparison method / Contractors method | Rs.20,000,000                     | Rs.85,000 -<br>Rs.90,000        | do                                                                                                                                                                                        |
| Ceylon Real Estate Holdings (Pvt) Limited | Direct capital comparison method                      | Rs.32,500,000 -<br>Rs. 33,000,000 | Rs.110,000 -<br>Rs.120,000      | do                                                                                                                                                                                        |
| Colombo Marina Development (Pvt) Ltd      | Direct capital comparison method                      | Rs.29,500,000 -<br>Rs. 31,000,000 | Rs.110,000 -<br>Rs.120,000      | do                                                                                                                                                                                        |
| Marina Hotel Holdings (Pvt) Ltd           | Direct capital comparison method                      | Rs.30,500,000 -<br>Rs. 31,000,000 | Rs.110,000 -<br>Rs.120,000      | do                                                                                                                                                                                        |

## Notes to the Financial Statements

### Summary description of valuation methodologies;

#### Open Market Value method (OMV)

Open Market Value method uses prices and other relevant information generated by market transactions involving identical or comparable assets, liabilities or a group of assets and liabilities, such as a business.

#### Direct Capital Comparison method (DCC)

This method may be adopted when the rental value is not available from the property concerned, but there are evidences of sale price of properties as a whole. In such cases, the capitalised value of the property is fixed by direct comparison with capitalised value of similar property in the locality.

#### Contractors Method (CM)

The replacement cost (Contractor's) method is used to value properties which do not generally exchange on the open market and for which comparable evidence therefore does not exist. The valuations are based on two components: the depreciated cost of the building element and the market value of the land. Current building costs and often the land price will be established by comparison.

#### Investment Method (IM)

The Investment Method is used to value properties which are let to produce an income for the Investor. Conventionally, investment value is a product of rent and yield. Each of these elements is derived using comparison techniques.

### 15.4 Valuation details

Fair value of the above investment property has been ascertained by an independent valuation carried out by Mr.W.M.Chandrasena, Chartered Valuation Surveyor & Mr. C. .U Suwandarathna, who has experience in valuing properties of akin locations.

Effective date of valuations: 31st March 2025

Investment Property is appraised in accordance with LKAS 40 - "Investment Property" and International Valuation Standards published by the Royal Institute of Chartered Surveyors (RICS), by an Independent Valuer.

In determining the fair value, the current condition of the properties, future usability and associated re-development requirements have been considered. Also, the Valuer has made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are rounded within the range of values.

### 16 Intangible assets

| As at 31st March                      | Group            |                  | Company        |                |
|---------------------------------------|------------------|------------------|----------------|----------------|
|                                       | 2025<br>Rs.000   | 2024<br>Rs.000   | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>Gross Value</b>                    |                  |                  |                |                |
| Balance at the beginning of the year  | 3,423,980        | 2,074,006        | 15,969         | 15,969         |
| Additions during the year             | 17,722           | 15,541           | -              | -              |
| On acquisition of subsidiary          | 316,106          | 1,193,512        | -              | -              |
| Disposals of subsidiary               | -                | [56,415]         | -              | -              |
| Disposals                             | [9,019]          | -                | -              | -              |
| Transfers                             | 33,784           | -                | -              | -              |
| Exchange difference                   | 151,465          | 197,336          | -              | -              |
| <b>Balance at the end of the year</b> | <b>3,934,038</b> | <b>3,423,980</b> | <b>15,969</b>  | <b>15,969</b>  |
| <b>Amortisation and impairment</b>    |                  |                  |                |                |
| Balance at the beginning of the year  | 1,405,132        | 389,178          | 13,668         | 10,682         |
| Amortisation during the year          | 191,679          | 78,013           | 2,068          | 2,986          |
| On acquisition of subsidiary          | 25,936           | 789,859          | -              | -              |
| Disposals of subsidiary               | -                | [4,750]          | -              | -              |
| Disposals                             | [7,649]          | -                | -              | -              |
| Transfers                             | 5,074            | -                | -              | -              |
| Exchange difference                   | 147,292          | 152,832          | -              | -              |
| <b>Balance at the end of the year</b> | <b>1,767,464</b> | <b>1,405,132</b> | <b>15,736</b>  | <b>13,668</b>  |
| <b>Carrying Value</b>                 | <b>2,166,574</b> | <b>2,018,848</b> | <b>233</b>     | <b>2,301</b>   |

### 16.1 Summary of intangible assets - Group

| As at 31st March                      | 2025               |                    |                 |                  | 2024             |
|---------------------------------------|--------------------|--------------------|-----------------|------------------|------------------|
|                                       | Goodwill<br>Rs.000 | Software<br>Rs.000 | Other<br>Rs.000 | Total<br>Rs.000  | Total<br>Rs.000  |
| <b>Gross value</b>                    |                    |                    |                 |                  |                  |
| Balance at the beginning of the year  | 1,594,557          | 1,828,287          | 1,136           | 3,423,980        | 2,074,006        |
| Additions during the year             | -                  | 17,722             | -               | 17,722           | 15,541           |
| On acquisition of subsidiary          | 285,620            | 30,486             | -               | 316,106          | 1,193,512        |
| Disposals of subsidiary               | -                  | -                  | -               | -                | (56,415)         |
| Transfers                             | -                  | 33,784             | -               | 33,784           | -                |
| Disposals                             | -                  | [9,019]            | -               | [9,019]          | -                |
| Exchange difference                   | -                  | 151,465            | -               | 151,465          | 197,336          |
| <b>Balance at the end of the year</b> | <b>1,880,177</b>   | <b>2,052,725</b>   | <b>1,136</b>    | <b>3,934,038</b> | <b>3,423,980</b> |
| <b>Amortisation and impairment</b>    |                    |                    |                 |                  |                  |
| Balance at the beginning of the year  | 57,641             | 1,346,426          | 1,065           | 1,405,132        | 389,179          |
| Amortisation during the year          | -                  | 191,608            | 71              | 191,679          | 78,013           |
| On acquisition of subsidiary          | -                  | 25,936             | -               | 25,936           | 789,859          |
| Disposals                             | -                  | [7,649]            | -               | [7,649]          | [4,750]          |
| Transfers                             | -                  | 5,074              | -               | 5,074            | -                |
| Exchange difference                   | -                  | 147,292            | -               | 147,292          | 152,830          |
| <b>Balance at the end of the year</b> | <b>57,641</b>      | <b>1,708,687</b>   | <b>1,136</b>    | <b>1,767,464</b> | <b>1,405,131</b> |
| <b>Carrying Value</b>                 | <b>1,822,536</b>   | <b>344,038</b>     | <b>-</b>        | <b>2,166,574</b> | <b>2,018,849</b> |

### 16.2 Summary of Goodwill - Group

| As at 31st March                      | Carrying value   |                  |
|---------------------------------------|------------------|------------------|
|                                       | 2025<br>Rs.000   | 2024<br>Rs.000   |
| <b>Summary of Goodwill</b>            |                  |                  |
| Ajax Engineers [Pvt] Ltd              | 25,057           | 25,057           |
| Excel Restaurants [Pvt] Ltd           | 20,524           | 20,524           |
| Browns Hotels & Resorts Ltd           | 1,205,258        | 1,205,258        |
| NPH Investments [Pvt] Ltd             | 95,552           | 95,552           |
| BG Air Services [Pvt] Ltd             | 124              | 124              |
| Gurind Accor [Pvt] Ltd                | 18,011           | 18,011           |
| Tropical Island Commodities [Pvt] Ltd | 172,390          | 172,390          |
| Sierra Cables PLC                     | 285,620          | -                |
|                                       | <b>1,822,536</b> | <b>1,536,916</b> |

## Notes to the Financial Statements

### 16.2.1 Significant estimate: key assumptions used for value in use calculations

The Group tests whether goodwill has suffered any impairment on an annual basis. For the 2025 and 2024 reporting periods, the recoverable amount of was determined based on value in use calculations which require the use of assumptions. The calculations use cash flow projections based on financial budgets approved by management covering a five-year period.

Cash flows beyond the five-year period are extrapolated using the estimated growth rates stated below. These growth rates are consistent with forecasts included in industry reports specific to the industry in which each entity operates.

The following table sets out the key assumptions that have significant goodwill allocated to them:

| As at 31st March                | 2025    | 2024    |
|---------------------------------|---------|---------|
| Sales growth rate               | 10%-15% | 10%-15% |
| Increase in net working capital | 4%-6%   | 4%-6%   |
| Equity risk premium             | 3%-4%   | 3%-4%   |
| Pre-tax discount rate           | 12%-18% | 12%-18% |

Management has determined the values assigned to each of the above key assumptions as follows:

|                                 |                                                                                                  |
|---------------------------------|--------------------------------------------------------------------------------------------------|
| Sales growth rate               | Based on the long term average growth rate for each business unit.                               |
| Increase in net working capital | Based on the long term average growth rate for each business unit.                               |
| Equity risk premium             | Based on the market risk factors                                                                 |
| Inflation rate                  | Based on current inflation rate.                                                                 |
| Pre-tax discount rate           | Reflect specific risks relating to the relevant segments and the industry in which they operate. |

### 16.3 Summary of intangible assets - Company

| As at 31st March                      | Company Software |                |
|---------------------------------------|------------------|----------------|
|                                       | 2025<br>Rs.000   | 2024<br>Rs.000 |
| <b>Gross value</b>                    |                  |                |
| Balance at the beginning of the year  | 15,969           | 15,969         |
| Additions during the year             | -                | -              |
| <b>Balance at the end of the year</b> | <b>15,969</b>    | <b>15,969</b>  |
| <b>Amortisation and impairment</b>    |                  |                |
| Balance at the beginning of the year  | 13,668           | 10,682         |
| Amortisation during the year          | 2,068            | 2,986          |
| <b>Balance at the end of the year</b> | <b>15,736</b>    | <b>13,668</b>  |
| <b>Carrying Value</b>                 | <b>233</b>       | <b>2,301</b>   |

## 17 Right of use assets

### 17.1 Right of use assets movement

| As at 31st March                                               | Group          |                | Company        |                |
|----------------------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                                | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>Cost</b>                                                    |                |                |                |                |
| Balance at the beginning of the period                         | 69,759,407     | 36,518,227     | -              | -              |
| Additions during the period                                    | 232,136        | 396,413        | -              | -              |
| Transferred to Property, Plant and Equipment                   | [7,624]        | 246,213        | -              | -              |
| Transfers and other movements                                  | [1,940,585]    | [4,141]        | -              | -              |
| Reversal on early termination                                  | [136,128]      | -              | -              | -              |
| Adjustment on changes in the estimation                        | -              | 312,551        | -              | -              |
| On Disposal of subsidiary                                      | -              | [192,651]      | -              | -              |
| On acquisition of subsidiary                                   | 89,007,247     | 31,531,430     | -              | -              |
| Revaluations                                                   | 5,917,904      | -              | -              | -              |
| Exchange Differences                                           | [1,100,409]    | 1,029,278      | -              | -              |
| Reversal on disposal                                           | [5,013]        | [77,913]       | -              | -              |
| Balance at the end of the Year                                 | 161,726,935    | 69,759,407     | -              | -              |
| <b>Accumulated amortisation</b>                                |                |                |                |                |
| Balance at the beginning of the Year                           | 4,532,874      | 3,795,013      | -              | -              |
| Amortisation for the period                                    | 1,423,428      | 863,639        | -              | -              |
| Transferred to Property, Plant and Equipment                   | -              | 15,813         | -              | -              |
| Impairment                                                     | -              | -              | -              | -              |
| Transfers and other movements                                  | [1,940,585]    | 394            | -              | -              |
| Reversal on early termination                                  | [55,511]       | 151,374        | -              | -              |
| On acquisition of subsidiary                                   | 340,466        | 1,960          | -              | -              |
| Revaluations                                                   | [1,315,538]    | -              | -              | -              |
| On disposal of subsidiary                                      | -              | [89,066]       | -              | -              |
| Reversal on disposal                                           | -              | [7,291]        | -              | -              |
| Exchange Differences                                           | [7,865]        | [198,962]      | -              | -              |
| Balance at the end of the year                                 | 2,977,269      | 4,532,874      | -              | -              |
| <b>Carrying amount</b>                                         | 158,749,666    | 65,226,533     | -              | -              |
| <b>Maturity analysis – Contractual undiscounted cash flows</b> |                |                |                |                |
| Less than one year                                             | 1,496,236      | 1,430,780      | -              | -              |
| Between one and five years                                     | 5,948,826      | 7,600,529      | -              | -              |
| More than five years                                           | 32,264,368     | 30,500,531     | -              | -              |
|                                                                | 39,709,430     | 39,531,839     | -              | -              |
| <b>Amount recognised in income statement</b>                   |                |                |                |                |
| <b>As per SLFRS 16 – Leases</b>                                |                |                |                |                |
| Interest on lease liabilities                                  | 1,300,577      | 2,599,744      | -              | -              |
| <b>Recognised in interest expenses</b>                         | 1,300,577      | 2,599,744      | -              | -              |
| Depreciation – right-of-use assets                             | 1,423,428      | 863,639        | -              | -              |
| <b>Recognised in other expenses</b>                            | 1,423,428      | 863,639        | -              | -              |
| <b>As per LKAS 17 – Leases</b>                                 |                |                |                |                |
| Lease expense                                                  | [674,059]      | [4,272,063]    | -              | -              |
| <b>Recognised in other expenses</b>                            | [674,059]      | [4,272,063]    | -              | -              |
| <b>Total amount recognised in income statement</b>             | 2,049,945      | [1,308,680]    | -              | -              |
| <b>Amounts recognised in cash flow statement</b>               |                |                |                |                |
| Payment for lease liabilities                                  | [674,059]      | [4,272,063]    | -              | -              |
|                                                                | 1,375,886      | [6,080,743]    | -              | -              |

## Notes to the Financial Statements

### 17.2 Right of use assets of the Group include the following categories

| Asset     | Carrying amount |                |
|-----------|-----------------|----------------|
|           | 2025<br>Rs.000  | 2024<br>Rs.000 |
| Land      | 158,100,741     | 64,936,501     |
| Buildings | 366,543         | 163,258        |
| Machinery | 205,234         | 49,136         |
| Vehicles  | 77,148          | 77,638         |
|           | 158,749,666     | 65,226,533     |

### 18 Bearer biological assets

| As at 31st March                                        | Note | Group      |            | Company |        |
|---------------------------------------------------------|------|------------|------------|---------|--------|
|                                                         |      | 2025       | 2024       | 2025    | 2024   |
|                                                         |      | Rs.000     | Rs.000     | Rs.000  | Rs.000 |
| <b>At cost</b>                                          |      |            |            |         |        |
| On finance lease                                        | 18.2 | 15,629,662 | 6,352,352  | -       | -      |
| Investments after formation of the plantation companies | 18.3 | 6,373,821  | 5,937,201  | -       | -      |
| Growing crop nurseries                                  | 18.4 | 171,332    | 8,671      | -       | -      |
|                                                         |      | 22,174,815 | 12,298,224 | -       | -      |

#### 18.1 Carrying amount of bearer biological assets

| As at 31st March         | 2025                       |                                                      |                                  |                 | 2024                       |                                                      |                                  |                 |
|--------------------------|----------------------------|------------------------------------------------------|----------------------------------|-----------------|----------------------------|------------------------------------------------------|----------------------------------|-----------------|
|                          | On Finance Lease<br>Rs.000 | Investments after formation of the Company<br>Rs.000 | Growing Crop Nurseries<br>Rs.000 | Total<br>Rs.000 | On Finance Lease<br>Rs.000 | Investments after formation of the Company<br>Rs.000 | Growing Crop Nurseries<br>Rs.000 | Total<br>Rs.000 |
| Cost                     | 23,185,450                 | 17,187,097                                           | 171,332                          | 40,543,880      | 9,792,186                  | 15,732,255                                           | 8,671                            | 25,533,112      |
| Accumulated Amortisation | [7,555,788]                | [10,813,276]                                         | -                                | [18,369,065]    | [3,439,834]                | [9,795,054]                                          | -                                | [13,234,888]    |
|                          | 15,629,662                 | 6,373,821                                            | 171,332                          | 22,174,815      | 6,352,352                  | 5,937,201                                            | 8,671                            | 12,298,224      |

## 18.2 On finance lease

| As at 31st March                        | Mature Plantations Tea |                | Mature Plantations Rubber |                | Mature Plantations Coconut |                | Total          | Total          |
|-----------------------------------------|------------------------|----------------|---------------------------|----------------|----------------------------|----------------|----------------|----------------|
|                                         | 2025<br>Rs.000         | 2024<br>Rs.000 | 2025<br>Rs.000            | 2024<br>Rs.000 | 2025<br>Rs.000             | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>Cost</b>                             |                        |                |                           |                |                            |                |                |                |
| Balance as at the beginning of the year | 9,783,686              | 203,273        | 231                       | 231            | 8,269                      | 8,269          | 9,792,186      | 211,773        |
| On acquisition of subsidiary            | 13,428,237             | 8,594,472      | -                         | -              | -                          | -              | 13,428,238     | 8,594,472      |
| Disposals                               | (280,279)              | (28,853)       | (231)                     | -              | -                          | -              | (280,510)      | (28,853)       |
| Exchange Differences                    | 245,536                | 1,014,794      | -                         | -              | -                          | -              | 245,535        | 1,014,794      |
| Balance as at the end of the year       | 23,177,180             | 9,783,686      | -                         | 231            | 8,269                      | 8,269          | 23,185,449     | 9,792,186      |
| <b>Accumulated Amortisation</b>         |                        |                |                           |                |                            |                |                |                |
| Balance as at the beginning of the year | 3,431,576              | 197,935        | 231                       | 229            | 8,027                      | 8,031          | 3,439,834      | 206,195        |
| On acquisition of subsidiary            | 3,763,287              | 2,782,328      | -                         | -              | -                          | -              | 3,763,287      | 2,782,328      |
| Charge for the year                     | 382,598                | 86,094         | -                         | 2              | 242                        | (4)            | 382,840        | 86,092         |
| Disposals                               | (161,919)              | (27,914)       | (231)                     | -              | -                          | -              | (162,150)      | (27,914)       |
| Exchange difference                     | 131,976                | 393,133        | -                         | -              | -                          | -              | 131,976        | 393,133        |
| Balance as at the end of the year       | 7,547,518              | 3,431,576      | -                         | 231            | 8,269                      | 8,027          | 7,555,787      | 3,439,834      |
| <b>Carrying amount</b>                  |                        |                |                           |                |                            |                |                |                |
| As at 31st March                        | 15,629,662             | 6,352,110      | -                         | -              | -                          | 241            | 15,629,662     | 6,352,352      |

## Notes to the Financial Statements

### 18.3 Investments after formation of the plantation companies

| As at 31st March                        | Immature plantations |                  |                    |                       |                 | Mature plantations |                  |                    |                   |                      | Total 2025            | Total 2024      |                 |
|-----------------------------------------|----------------------|------------------|--------------------|-----------------------|-----------------|--------------------|------------------|--------------------|-------------------|----------------------|-----------------------|-----------------|-----------------|
|                                         | Tea<br>Rs.000        | Rubber<br>Rs.000 | Cinnamon<br>Rs.000 | Mixed Crops<br>Rs.000 | Total<br>Rs.000 | Tea<br>Rs.000      | Rubber<br>Rs.000 | Cinnamon<br>Rs.000 | Coconut<br>Rs.000 | Sugar cane<br>Rs.000 | Mixed Crops<br>Rs.000 | Total<br>Rs.000 | Total<br>Rs.000 |
| <b>Cost/Valuation</b>                   |                      |                  |                    |                       |                 |                    |                  |                    |                   |                      |                       |                 |                 |
| Balance as at the beginning of the year | 344,045              | 195,704          | 310,951            | 28,874                | 879,573         | 2,346,612          | 1,328,213        | 879,296            | 72,728            | 10,216,253           | 9,581                 | 14,852,682      | 15,732,255      |
| Additions                               | 232,684              | 49,591           | 38,990             | 3,785                 | 325,050         | -                  | -                | -                  | -                 | 710,197              | -                     | 710,197         | 1,035,247       |
| Transfers to mature plantations         | (96,117)             | (34,118)         | (182,587)          | (7,234)               | (320,056)       | 96,117             | 34,118           | 182,587            | 5,421             | -                    | 1,813                 | 320,056         | -               |
| Disposals                               | (736)                | -                | -                  | -                     | (736)           | -                  | -                | -                  | -                 | -                    | -                     | -               | (736)           |
| Written off                             | (45,980)             | (18,625)         | -                  | (4,609)               | (69,214)        | -                  | -                | -                  | -                 | -                    | -                     | -               | (69,214)        |
| On acquisition of subsidiary            | 720,500              | -                | -                  | -                     | 720,500         | 1                  | -                | (2)                | -                 | -                    | -                     | (1)             | 720,499         |
| Exchange Differences                    | (37,402)             | -                | -                  | -                     | (37,402)        | -                  | -                | -                  | -                 | (193,551)            | -                     | (193,551)       | (230,954)       |
| Balance as at the end of the year       | 1,116,994            | 192,552          | 167,354            | 20,816                | 1,497,714       | 2,442,730          | 1,362,331        | 1,061,881          | 78,149            | 10,732,899           | 11,394                | 15,689,383      | 17,187,097      |
| <b>Accumulated Depreciation</b>         |                      |                  |                    |                       |                 |                    |                  |                    |                   |                      |                       |                 |                 |
| Balance as at the beginning of the year | -                    | -                | -                  | -                     | -               | 1,113,893          | 504,598          | 139,442            | 24,179            | 8,010,562            | 2,381                 | 9,795,054       | 9,930,051       |
| Charge for the year                     | -                    | -                | -                  | -                     | -               | 71,433             | 62,779           | 35,388             | 1,662             | 998,359              | 520                   | 1,170,142       | 1,170,142       |
| Disposals/ Written off                  | -                    | -                | -                  | -                     | -               | -                  | -                | -                  | -                 | -                    | -                     | -               | -               |
| On acquisition of subsidiary            | -                    | -                | -                  | -                     | -               | -                  | -                | -                  | -                 | -                    | -                     | -               | -               |
| Exchange Differences                    | -                    | -                | -                  | -                     | -               | (2)                | -                | -                  | -                 | (151,917)            | -                     | (151,919)       | (747,247)       |
| Balance as at the end of the year       | -                    | -                | -                  | -                     | -               | 1,185,324          | 567,377          | 174,830            | 25,841            | 8,857,004            | 2,901                 | 10,813,277      | 10,813,277      |
| <b>Carrying amount</b>                  |                      |                  |                    |                       |                 |                    |                  |                    |                   |                      |                       |                 |                 |
| As at 31st March 2025                   | 1,116,994            | 192,552          | 167,354            | 20,816                | 1,497,714       | 1,257,406          | 794,954          | 887,051            | 52,308            | 1,875,894            | 8,493                 | 4,876,106       | 6,373,821       |
| As at 31st March 2024                   | 344,045              | 195,704          | 310,951            | 28,875                | 879,573         | 1,232,719          | 823,615          | 739,854            | 48,549            | 2,205,691            | 7,200                 | 5,057,628       | 5,937,201       |

These are investments in bearer biological assets carried at cost [Tea, Rubber, Coconut, Cinnamon and Mixed Crop] which comprise of immature/mature plantations since the formation of the Company. The assets have been [including plantations assets] taken over by way of estate leases. Further, investment in immature plantations taken over by way of leases are shown in this note. When such plantations become mature, the additional investments since, have been taken over to bring them to maturity will be moved from Immature to mature. A corresponding movement from Immature to mature of the investment undertaken by JEDB/SLSPC on the same plantation prior to the lease will also be carried out under this note.

#### 18.4 Growing crop nurseries

| As at 31st March | 2025   |             |        | 2024   |             |        |
|------------------|--------|-------------|--------|--------|-------------|--------|
|                  | Tea    | Mixed crops | Total  | Tea    | Mixed crops | Total  |
|                  | Rs.000 | Rs.000      | Rs.000 | Rs.000 | Rs.000      | Rs.000 |

##### Cost/Valuation

|                                         |         |   |         |       |      |       |
|-----------------------------------------|---------|---|---------|-------|------|-------|
| Balance as at the beginning of the Year | 8,671   | - | 8,671   | 1,856 | 91   | 1,947 |
| Additions                               | 795     | - | 795     | 6,815 | -    | 6,815 |
| On acquisition of subsidiary            | 170,744 | - | 170,744 | -     | -    | -     |
| Exchange Differences                    | [8,878] | - | [8,878] | -     | -    | -     |
| Transfers/ Written off                  | -       | - | -       | -     | [91] | [91]  |
| Balance as at the end of the year       | 171,332 | - | 171,332 | 8,671 | -    | 8,671 |

##### Amortisation/ Depreciation for the period recognised for bearer biological assets

| For the year ended 31 March         | 2025<br>Rs.000 | 2024<br>Rs.000 |
|-------------------------------------|----------------|----------------|
| Bearer biological assets -Leasehold | 382,840        | 86,092         |
| Bearer biological assets -freehold  | 1,170,142      | 620,480        |
|                                     | 1,552,982      | 706,572        |

#### 19 Consumable biological assets

| As at 31st March                                           | Group      |            | Company |        |
|------------------------------------------------------------|------------|------------|---------|--------|
|                                                            | 2025       | 2024       | 2025    | 2024   |
|                                                            | Rs.000     | Rs.000     | Rs.000  | Rs.000 |
| Balance at beginning of the year                           | 10,599,662 | 7,847,593  | -       | -      |
| On acquisition of subsidiary                               | 4,971,146  | 1,755,068  | -       | -      |
| Increase due to new planting                               | 24,858     | 45,956     | -       | -      |
| Decrease due to harvesting of timber trees                 | [251,002]  | [315,673]  | -       | -      |
| Net increase due to births/deaths (Growing Crop Nurseries) | -          | [120]      | -       | -      |
| Change in fair value less estimated costs to sell          | 910,095    | 1,087,485  | -       | -      |
| Transfers                                                  | [218]      | [133]      | -       | -      |
| Written off (Immature Plants)                              | [4,270]    | -          | -       | -      |
| Exchange Differences                                       | [121,590]  | 179,486    | -       | -      |
| Balance at the end of the year                             | 16,128,681 | 10,599,662 | -       | -      |

##### 19.1 The carrying value of timber as at the year has been computed as follows;

|                                                                             |            |            |   |   |
|-----------------------------------------------------------------------------|------------|------------|---|---|
| Valuation of consumer biological assets                                     | 15,811,646 | 10,363,100 | - | - |
| Cost of timber plant below three years of age, not considered for valuation | 318,161    | 233,006    | - | - |
| Growing crop nurseries                                                      | 3,336      | 3,555      | - | - |
| Allowance for impairment - Consumable Biological assets                     | [4,462]    | -          | - | - |
|                                                                             | 16,128,681 | 10,599,662 | - | - |

## Notes to the Financial Statements

### Plantation Companies In Sri Lanka

- 19.2** The consumable biological assets as at 31st March 2025 of were valued by Mr.W.M.Chandrasena, an independent Chartered Valuation Surveyor.The Valuation report was prepared based on the physically verified timber statistics provided by the Group on a tree by tree basis.
- 19.3** Timber trees namely Eucalyptus Torariyana, Albezzia, Graveelia, Eucalyptus Grandis, Astonia, Pinus, Toona, Mahogany,Teak, Jak, Turpentine, Rubber, Nadun, Mango, Pellen, Hora, Domba, Lunumidella, Wal Del and Mara on the plantations have been taken into consideration in this valuation of timber trees.
- 19.4 In valuing the timber plantations, the below-mentioned factors have been taken into consideration;**
- 1 The present age of trees
  - 2 Maturity age of the tree - Maturity of the tree is based on the variety of the species of the tree.
  - 3 Annual marginal increase in timber content
  - 4 Number of years to harvest
  - 5 Timber content of harvestable trees on maturity
  - 6 Timber plants aged below three years of age have not been taken into the valuation
  - 7 The timber content of immature trees at an estimated future harvestable year
  - 8 The current price of species of timber per cubic foot at the relevant year
- 19.5** Trees have been valued as per the current timber prices in the domestic market based on the price list of the State Timber Corporation and prices of timber trees sold by estates and prices of logs and sawn timber in the popular timber traders in Sri Lanka.
- 19.6** The valuation, as presented in the external valuation models based on net present values, takes into account the long-term exploitation of the timber plantation. Because of the inherent uncertainty associated with the valuation at fair value of the biological assets due to the volatility of the variables, their carrying value may differ from their realisable value. The Board of Directors of the respective subsidiaries retains their view that commodity markets are inherently volatile and that long-term price projections are highly unpredictable. Hence, the sensitivity analysis regarding selling price and discount rate variations as included in this note allows every investor to reasonably challenge the financial impact of the assumptions used in LKAS 41 against his own assumptions.
- 19.7** The biological assets of the Group are cultivated in leased lands. When measuring the fair value of the biological assets it was assumed that these concessions can and will be renewed at normal circumstances. Timber content is expected to be realised in future and is included in the calculation of the fair value that takes into account the age of the timber plants and not the expiration date of the lease.
- 19.8** The fair value is determined on the basis of net present value of expected future cash flows using a discount rate of 16.5% per annum. The significant assumptions used in the valuation of Consumable Biological Assets are as follows:
- 1 Future cash flows are determined by references to current timber prices without considering the inflationary effect
  - 2 The ongoing cost of growing trees which are deducted in determining the net cash flows are constant in real terms
  - 3 Timber trees that have not come upto a harvestable size are valued working out the period that would take for those trees to grow up to a harvestable size
  - 4 The present value of the trees is worked out based on the projected size and the estimated number of years it would take to reach the size. This is worked out on the basis of an annual marginal increase of timber content which normally ranges from 0.50 to 1.50 cm per year for trees of diameter girth over 10 cm
  - 5 The value of each matured species of timber is worked out on the price of a cubic foot of timber in the market of the species and the available cubic content of timber in the tree
  - 6 Due consideration has been given for cost of felling, transport, sawing, cost to sell including obtaining of approval for felling
  - 7 Managed trees include commercial timber plantations cultivated in estates. The cost of immature trees is treated at approximate fair value particularly on the ground of little biological transformation has taken place and impact of the biological transformation on price is not material. When such Plantations become mature, the additional investments since taken over to bring them to maturity are transferred from immature to mature.
  - 8 The fair value of managed trees was ascertained since LKAS 41 is only applicable for managed agricultural activity in terms of the ruling issued by the Institute of Chartered Accountants of Sri Lanka. The valuation was carried but by using Discounted Cash Flow (DCF) methods. In ascertaining the fair value of timber a physical verification was carried out covering all the estates.

**19.9** Managed timber trees include commercial timber plantations cultivated on estates. The above carrying amount as at 31st March 2025 includes a sum of Rs.316.53 Mn /- [As at 31st March 2024 - Rs.233.01 Mn/-] which is the cost of immature trees up to the age of 4 years which is treated as approximate fair value particularly on the ground of little biological transformation taking place and impact of such transformation on price is expected to be immaterial.

**19.10** There are no Borrowing Cost [Previous year - Rs. 12.31 Mn/-] capitalised during the year in to immature fields.

#### **19.11 Measurement of Fair value**

The valuation of consumable biological assets was carried by Mr.W.M.Chandrasena, an independent Chartered Valuation Surveyor, using Discounted Cash Flow [DCF] methods. In ascertaining the fair value of timber, a physical verification was carried covering all the estates.

a) **Fair value hierarchy**

The fair value measurement for the bearer biological assets has been categorised as Level 3 fair value based on the inputs to the valuation technique used.

b) **Level 3 fair value**

| For the year ended 31 March                    | 2025<br>Rs.000 | 2024<br>Rs.000 |
|------------------------------------------------|----------------|----------------|
| <b>Gain/ (loss) included in Profit or Loss</b> |                |                |
| Due to change in the discount rate and price   | <b>585,321</b> | 546,008        |
| Due to change in the physical condition        | <b>324,774</b> | 541,477        |
| <b>Total Gain/ (loss) for the year</b>         | <b>910,095</b> | 1,087,485      |

##### **19.11.1 Valuation techniques and significant unobservable inputs**

Following table shows the valuation techniques in measuring Level 3 fair value of consumable biological assets as well as the significant unobservable inputs used.

| Type                       | Valuation technique used                                                                                                                                                                                                 | Significant unobservable inputs                                                                                                                                                                                                                                                                                                                                                                                         | Interrelationship between key inputs and fair value measurement                                                                                                                                                                                        |
|----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Timber older than 4 years. | Discounted cash flows.<br>The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per-tree basis. | <b>Determination of timber content</b><br>Timber trees in inter-crop areas and pure crop areas have been identified field-wise and spices were identified and harvestable trees were separated, according to their average girth and estimated age.<br><br>Timber trees that have not come up to a harvestable size are valued working out the period that would take for those trees to grow up to a harvestable size. | The estimated fair value would increase/[decrease] if;<br><br>the estimated timber content were higher/[lower].<br><br>the estimated timber prices per cubic meter were higher/[lower]<br><br>the estimated selling related costs were lower/[higher]. |

## Notes to the Financial Statements

| Type                                                                                                          | Valuation technique used                                                                                                                                                                                                                                                                   | Significant unobservable inputs                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Interrelationship between key inputs and fair value measurement                                                                                                                                                                                                                                                              |
|---------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                               | Expected cash flows are discounted using a risk-adjusted discount rate of 15% comprising a risk premium of 4%.                                                                                                                                                                             | <p><b>Determination of price of timber</b></p> <p>Trees have been valued as per the current timber prices per cubic meter based on the price list of the State Timber Corporation and prices of timber trees sold by the estates and prices of logs sawn timber at popular timber traders in Sri Lanka.</p> <p>In this exercise, following factors have been taken into consideration.</p> <ul style="list-style-type: none"> <li>a) Cost of obtaining approval of felling.</li> <li>b) Cost of felling and cutting into logs.</li> <li>c) Cost of transportation.</li> <li>d) Sawing cost</li> </ul> <p>Risk-adjusted discount rate</p> <p>2023/2024 16.5% [risk premium - 4%].</p> <p>2024/2025 15% [risk premium - 4%].</p> | <p>the risk-adjusted discount rate were lower/[higher].</p> <p>the estimated maturity age were higher/[lower].</p>                                                                                                                                                                                                           |
| <b>Plantations in Kenya</b>                                                                                   |                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                              |
| Timber trees namely Eucalyptus, Cypress have been taken into consideration in this valuation of timber trees. |                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                              |
| Trees [Standing timber for firewood]                                                                          | Discounted cash flows: The valuation model considers the present value of the net cash flows expected to be generated by the plantation. The cash flow projections include specific estimates for 10 years. The expected net cash flows are discounted using a risk-adjusted discount rate | <ul style="list-style-type: none"> <li>• Estimated future timber market prices per cubic meter (5% of current prices of KShs 3,163/M3) [2023: (6% of current prices of KShs 3067/M3) Estimated future costs (5% inflation of current cost of KShs 2520/M3) [2023:(6% of current prices of KShs 2467/M3]</li> <li>• Estimated yields per hectare (690M3) [2023: 690M3]</li> <li>• Risk-adjusted annual discount rate [18.49%] [2023: 17.35%]</li> </ul>                                                                                                                                                                                                                                                                         | The estimated fair value would increase [decrease] if: The estimated timber prices per cubic meter were higher[lower]; The estimated yields per hectare were higher[lower]; The estimated harvest, replanting, weeding and transportation costs were lower [higher]; or The risk-adjusted discount rates were lower [higher] |
| Trees [Standing timber for timber]                                                                            | Discounted cash flows: The valuation model considers the present value of the net cash flows expected to be generated by the plantation. The cash flow projections include specific estimates for 25 years. The expected net cash flows are discounted using a risk-adjusted discount rate |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                              |

### 19.11.2 Sensitivity Analysis for biological assets- Group

#### Sensitivity variation on sales price

Values as appearing in the Statement of Financial Position are very sensitive to price changes with regard to the average sales prices applied. Simulations made for rubber, coconut and timber show that a rise or decrease by 10% of the estimated future selling price has the following effect on the net present value of biological assets:

| As at 31st March | 2025             |                  | 2024             |                  |
|------------------|------------------|------------------|------------------|------------------|
|                  | +10%<br>Variance | -10%<br>Variance | +10%<br>Variance | -10%<br>Variance |
|                  | Rs.000           | Rs.000           | Rs.000           | Rs.000           |
| Managed timber   | 933,603          | [933,603]        | 862,887          | [862,887]        |

#### Sensitivity variation on discount rate

Values as appearing in the Statement of Financial Position are very sensitive to changes of the discount rate applied. Simulations made for rubber, coconut and timber show that a rise or decrease by 1% of the estimated future discount rate has the following effect on the net present value of biological assets;

| As at 31st March | 2025            |                 | 2024            |                 |
|------------------|-----------------|-----------------|-----------------|-----------------|
|                  | +1%<br>Variance | -1%<br>Variance | +1%<br>Variance | -1%<br>Variance |
|                  | Rs.000          | Rs.000          | Rs.000          | Rs.000          |
| Managed timber   | [424,156]       | 709,975         | [527,087]       | 541,678         |

### 19.11.3 Risk factors

The Group is exposed to a number of risks related to its timber plantations;

#### a) Regulatory and environmental risks

The Group is subject to laws and regulations imposed by the environmental authorities of Sri Lanka. The Group has established environmental policies and procedures aimed at compliance with local environmental and other laws. Management performs regular reviews to identify environmental risks and to ensure that the systems in place are adequate to manage those risks.

#### b) Supply and demand risk

The Group is exposed to risks arising from fluctuations in the price and sales volume of timber. When possible the Group manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analyses to ensure that the Group's pricing structure is in line with the market and to ensure that projected harvest volumes are consistent with the expected demand.

#### c) Climate and other risks

The Group's timber plantations are exposed to the risk of damage from climatic changes, diseases, forest fires and other natural forces. The Group has extensive processes in place aimed at monitoring and mitigating those risks, including regular forest health inspections and industry pest and disease surveys.

## Notes to the Financial Statements

### 20 Investments in subsidiaries

#### 20.1 Company

| As at 31st March                               | No. of Shares | Group Holding % |      | Company Holding % |      | Cost       |  |
|------------------------------------------------|---------------|-----------------|------|-------------------|------|------------|--|
|                                                |               | 2025            | 2024 | 2025              | 2024 | Rs.000     |  |
| Ajax Engineers (Pvt) Ltd                       | 469,988       | 100             | 100  | 100               | 100  | 200,000    |  |
| Browns Hotels & Resorts Limited                | 5,060,427,545 | 100             | 100  | 100               | 100  | 9,346,700  |  |
| Bodufaru Beach Resort (Pvt) Ltd                | 235,800       | 98              | 98   | 23                | 23   | 804,374    |  |
| Browns Global Farm (Pvt) Ltd                   | 46,457,720    | 80              | 80   | 80                | 80   | 222,792    |  |
| BI Zhongtian Holdings (Pvt) Ltd                | 100           | 51              | 51   | 51                | 51   | 1          |  |
| BI Commodities and Logistics (Pvt) Ltd         | 73,000,250    | 100             | 100  | 100               | 100  | 5,473,935  |  |
| Browns Engineering & Construction (Pvt) Ltd    | 175,000,001   | 50              | 50   | 50                | 50   | 1,750,000  |  |
| Browns Teas (Pvt) Ltd                          | 1             | 100             | 100  | 100               | 100  | -          |  |
| Browns Power Holdings (Pvt) Ltd                | 100,000,000   | 100             | 100  | 100               | 100  | -          |  |
| Browns Properties (Pvt) Ltd                    | 82,500,000    | 100             | 100  | 100               | 100  | 970,000    |  |
| Ceylon Roots Lanka (Pvt) Ltd                   | 2,000,000     | 60              | 60   | 60                | 60   | 12,000     |  |
| Ceylon Real Estate (Pvt) Ltd                   | 1             | 100             | 100  | 100               | 100  | 9,138,003  |  |
| Colombo Marina Development (Pvt) Ltd           | 1             | 100             | 100  | 100               | 100  | 11,365,741 |  |
| Excel Global Holdings (Pvt) Ltd                | 53,448,329    | 100             | 100  | 100               | 100  | 888,387    |  |
| Enselwatte Power (Pvt) Ltd                     | 10,000,000    | 100             | 100  | 100               | 100  | 10,000     |  |
| FLC Estate Bungalows (Pvt) Ltd                 | 100,000       | 100             | 100  | 100               | 100  | 1,000      |  |
| ICONIC Trust (Pvt) Ltd                         | 1             | 100             | 100  | 100               | 100  | 4,686,427  |  |
| LOLC Investment Holdings Four (Pvt) Ltd        | 1             | 100             | 100  | 100               | 100  | -          |  |
| Maturata Plantations Limited                   | 35,000,001    | 72              | 72   | 72                | 72   | 4,000      |  |
| Marina Hotel Holdings (Pvt) Ltd                | 1             | 100             | 100  | 100               | 100  | 3,817,561  |  |
| Samudra Beach Resorts (Pvt) Ltd                | 219,027,500   | 100             | 100  | 100               | 100  | 2,190,275  |  |
| Browns Plantation Holdings (Pvt) Ltd           | 1,000         | 100             | -    | 100               | -    | 457,660    |  |
| The Tea Leaf Resort Holding (Pvt) Ltd          | 250,000       | 50              | 50   | 50                | 50   | 2,500      |  |
| Sierra Cables PLC                              | 140,623,654   | 57              | -    | 26                | -    | 1,740,773  |  |
| BG Air Services (Pvt) Ltd                      | 50,000        | 100             | 100  | 1000              | 100  | 12,628     |  |
| Equity Account Adjustment of Indirect Holdings |               |                 |      |                   |      | -          |  |
|                                                |               |                 |      |                   |      | 53,094,757 |  |
| Share of Equity Accounted Investees            |               |                 |      |                   |      | 11,576,105 |  |
|                                                |               |                 |      |                   |      | 64,670,862 |  |

|  | Balance as<br>1st April<br>2024 | New<br>Investments | Transfer<br>out from<br>Associates<br>Note 21.1 | Share of<br>Profit/(loss)<br>net of Tax | Equity<br>accounting<br>adjustment | Balance as<br>31st March<br>2025 |
|--|---------------------------------|--------------------|-------------------------------------------------|-----------------------------------------|------------------------------------|----------------------------------|
|  | -                               | -                  | -                                               | -                                       | -                                  | -                                |
|  | 2,785,162                       | -                  | -                                               | (5,195,378)                             | 12,281,101                         | 9,870,885                        |
|  | 13,335,011                      | -                  | -                                               | (806,280)                               | 2,337,369                          | 14,866,100                       |
|  | -                               | -                  | -                                               | -                                       | -                                  | -                                |
|  | 923                             | -                  | -                                               | (43)                                    | -                                  | 880                              |
|  | 5,861,187                       | -                  | -                                               | 3,089                                   | 53,482                             | 5,917,758                        |
|  | 2,517,931                       | -                  | -                                               | (595,291)                               | 220,283                            | 2,142,923                        |
|  | -                               | -                  | -                                               | -                                       | -                                  | -                                |
|  | -                               | -                  | -                                               | -                                       | -                                  | -                                |
|  | 3,353,934                       | -                  | -                                               | 307,457                                 | -                                  | 3,661,391                        |
|  | 19,708                          | -                  | -                                               | (4,101)                                 | -                                  | 15,607                           |
|  | 32,816,978                      | 446                | -                                               | 200,132                                 | -                                  | 33,017,556                       |
|  | 34,008,412                      | 133,070            | -                                               | 516,587                                 | -                                  | 34,658,069                       |
|  | 192,097                         | -                  | -                                               | (188)                                   | -                                  | 191,909                          |
|  | -                               | -                  | -                                               | -                                       | -                                  | -                                |
|  | -                               | -                  | -                                               | -                                       | -                                  | -                                |
|  | 6,975,154                       | -                  | -                                               | 271,798                                 | -                                  | 7,246,952                        |
|  | -                               | -                  | -                                               | -                                       | -                                  | -                                |
|  | 338,057                         | -                  | -                                               | (338,057)                               | -                                  | -                                |
|  | 7,135,425                       | 2,740              | -                                               | 471,269                                 | -                                  | 7,609,434                        |
|  | -                               | -                  | -                                               | -                                       | -                                  | -                                |
|  | 457,660                         | -                  | -                                               | (97)                                    | -                                  | 457,563                          |
|  | -                               | -                  | -                                               | -                                       | -                                  | -                                |
|  | -                               | 1,740,773          | -                                               | -                                       | 2,012,043                          | 3,752,816                        |
|  | -                               | -                  | -                                               | -                                       | -                                  | -                                |
|  | 32,587,226                      | -                  | -                                               | 64,098,372                              | 9,127,264                          | 105,812,862                      |
|  | 142,384,866                     | 1,877,029          | -                                               | 58,929,269                              | 26,031,543                         | 229,222,706                      |
|  | 37,510,472                      | -                  | (45,485,326)                                    | 8,117,155                               | (137,163)                          | 5,138                            |
|  | 179,895,338                     | 1,877,029          | (45,485,326)                                    | 67,046,424                              | 25,894,380                         | 229,227,844                      |

## Notes to the Financial Statements

### 20.2 Group holdings in subsidiaries

Details of the Group's subsidiaries at the end of the reporting period are as follows;

| Subsidiary              |                                             | Principal place of business | Principal activities             | 2025          |                   |
|-------------------------|---------------------------------------------|-----------------------------|----------------------------------|---------------|-------------------|
|                         |                                             |                             |                                  | No. of shares | Control holding % |
| Listed subsidiaries     |                                             |                             |                                  |               |                   |
| 1                       | Dolphin Hotels PLC                          | Sri Lanka                   | Hotelier                         | 43,849,317    | 69%               |
| 2                       | Eden Hotel Lanka PLC                        | Sri Lanka                   | Hotelier                         | 486,545,375   | 95%               |
| 3                       | Hapugastenne Plantations PLC                | Sri Lanka                   | Plantation                       | 46,315,790    | 90%               |
| 4                       | Hotel Sigiriya PLC                          | Sri Lanka                   | Hotelier                         | 11,300,770    | 64%               |
| 5                       | Palm Garden Hotels PLC                      | Sri Lanka                   | Investments holding              | 38,671,013    | 99%               |
| 6                       | Serendib Hotels PLC                         | Sri Lanka                   | Hotelier                         | 259,773,140   | 58%               |
| 7                       | Udapussellawa Plantations PLC               | Sri Lanka                   | Plantation                       | 17,458,966    | 90%               |
| 8                       | Sierra Cables PLC                           | Sri Lanka                   | Manufacturing                    | 140,623,654   | 57%               |
| Non-listed subsidiaries |                                             |                             |                                  |               |                   |
| 1                       | Ajax Engineers (Pvt) Ltd                    | Sri Lanka                   | Aluminium Fabrication            | 469,988       | 100%              |
| 2                       | B Commodities ME (FZE)                      | United Arab Emirates        | Investments holding              | 150,000       | 100%              |
| 3                       | B G Air Services (Pvt) Ltd                  | Sri Lanka                   | Air ticketing and outbound tours | 50,000        | 100%              |
| 4                       | BI Leisure Holdings (FZE)                   | United Arab Emirates        | Investments holding              | 300           | 100%              |
| 5                       | BI Commodities and Logistics (Pvt) Ltd      | Sri Lanka                   | Manufacturing                    | 73,000,250    | 100%              |
| 6                       | BI Zhongtian Holdings (Pvt) Ltd             | Sri Lanka                   | Pre-operational                  | 100           | 51%               |
| 7                       | Browns Global Farm (Pvt) Ltd                | Sri Lanka                   | Plantation                       | 58,295,328    | 80%               |
| 8                       | Browns Hotels and Resorts Ltd               | Sri Lanka                   | Investments holding              | 5,060,427,545 | 100%              |
| 9                       | Browns Power Holding (Pvt) Ltd              | Sri Lanka                   | Investing in ventures            | 100,000,000   | 100%              |
| 10                      | Browns Properties (Pvt) Ltd                 | Sri Lanka                   | Real estate business             | 82,500,000    | 100%              |
| 11                      | Browns Engineering & Construction (Pvt) Ltd | Sri Lanka                   | Fibre installation               | 175,000,001   | 100%              |
| 12                      | Bodufaru Beach Resort (Pvt) Ltd             | Maldives                    | Pre-operational                  | 235,800       | 100%              |
| 13                      | Browns Metal and Sands (Pvt) Ltd            | Sri Lanka                   | Metal crushing                   | 1             | 100%              |
| 14                      | Browns Teas (Pvt) Ltd                       | Sri Lanka                   | Pre-operational                  | 1             | 100%              |
| 15                      | Browns Raa Resort (Pvt) Ltd                 | Maldives                    | Pre-operational                  | 100           | 100%              |
| 16                      | Browns Kaafu N Resort (Pvt) Ltd             | Maldives                    | Pre-operational                  | 100           | 100%              |
| 17                      | Browns Ari Resort (Pvt) Ltd                 | Maldives                    | Pre-operational                  | 40,100        | 100%              |
| 18                      | Ceylon Real Estate Holdings (Pvt) Ltd       | Sri Lanka                   | Real Estate Development          | 1             | 100%              |
| 19                      | Colombo Marina Development (Pvt) Ltd        | Sri Lanka                   | Real Estate Development          | 1             | 100%              |
| 20                      | Ceylon Roots Lanka (Pvt) Ltd                | Sri Lanka                   | Pre-operational                  | 2,000,000     | 60%               |
| 21                      | Dikwella Resort (Pvt) Ltd                   | Sri Lanka                   | Hotelier                         | 481,314       | 100%              |
| 22                      | Enselwatte Power (Pvt) Ltd                  | Sri Lanka                   | Liquidation                      | 10,000,000    | 100%              |
| 23                      | Excel Global Holding (Pvt) Ltd              | Sri Lanka                   | Investments holding              | 53,448,329    | 100%              |
| 24                      | Excel Restaurant (Pvt) Ltd                  | Sri Lanka                   | Operating restaurant             | 10,004        | 100%              |
| 25                      | F L C Estates Bungalows (Pvt) Ltd           | Sri Lanka                   | Liquidation                      | 1,000,000     | 100%              |
| 26                      | F L P C Management (Pvt) Ltd                | Sri Lanka                   | Plantation management            | 92,052,842    | 95%               |
| 27                      | Frontier Capital Lanka (Pvt) Ltd            | Sri Lanka                   | Hotelier                         | 3,216,295     | 100%              |
| 28                      | Green Paradise Resorts (Pvt) Ltd            | Sri Lanka                   | Hotelier                         | 5,000,012     | 100%              |
| 29                      | Gurind Accor (Pvt) Ltd                      | Sri Lanka                   | Manufacturing                    | 10,761,000    | 85%               |
| 30                      | General Accessories and Coating (Pvt) Ltd   | Sri Lanka                   | Manufacturing                    | 1,000,000     | 100%              |
| 31                      | Grey Reach Investments Ltd                  | British Virgin Islands      | Investments holding              | 20,000        | 67%               |
| 32                      | ICONIC Trust (Pvt) Ltd                      | Sri Lanka                   | Investments holding              | 1             | 100%              |

| Subsidiary                                                                                             | Principal place of business | Principal activities       | 2025          |                   |
|--------------------------------------------------------------------------------------------------------|-----------------------------|----------------------------|---------------|-------------------|
|                                                                                                        |                             |                            | No. of shares | Control holding % |
| 33 LOLC Investment Holdings Four (Pvt) Ltd                                                             | Sri Lanka                   | Trading                    | 1             | 100%              |
| 34 Marina Hotel Holdings (Pvt) Ltd                                                                     | Sri Lanka                   | Pre-operational            | 1             | 100%              |
| 35 Maturata Plantation Ltd                                                                             | Sri Lanka                   | Plantation                 | 35,000,001    | 72%               |
| 36 Millennium Development Ltd                                                                          | Sri Lanka                   | Recreational activities    | 44,390,823    | 100%              |
| 37 Newburgh Green Teas (Pvt) Ltd                                                                       | Sri Lanka                   | Plantation                 | 6,500,000     | 54%               |
| 38 NPH Investments (Pvt) Ltd                                                                           | Maldives                    | Pre-operational            | 141,555,600   | 51%               |
| 39 PL Resorts Ltd                                                                                      | Mauritius                   | Hotelier                   | 100           | 100%              |
| 40 Riverina Resort (Pvt) Ltd                                                                           | Sri Lanka                   | Hotelier - pre-operational | 35,050,000    | 100%              |
| 41 Samudra Beach Resorts (Pvt) Ltd                                                                     | Sri Lanka                   | Hotelier                   | 219,027,500   | 100%              |
| 42 Sun & Fun Resorts Ltd                                                                               | Sri Lanka                   | Hotelier                   | 16,287,848    | 51%               |
| 43 Sunbird Bioenergy (SL) Ltd                                                                          | Siera Leone                 | Plantation                 | 2,816         | 50%               |
| 44 Serendib Leisure Management Ltd                                                                     | Sri Lanka                   | Investments holding        | 6,050,000     | 100%              |
| 45 Sanctuary Resorts Lanka (Pvt) Ltd                                                                   | Sri Lanka                   | Hotelier                   | 2             | 100%              |
| 46 Browns Development Ltd                                                                              | Sri Lanka                   | Construction               | 27,804,304    | 100%              |
| 47 Sierra Piling (Pvt) Ltd                                                                             | Sri Lanka                   | Construction               | 4,310,005     | 100%              |
| 48 Sunsun Boutique Hotels Ltd                                                                          | Sri Lanka                   | Hotelier                   | 56,637,118    | 100%              |
| 49 Sri Spice (Pvt) Ltd                                                                                 | Sri Lanka                   | Plantation                 | 65,000        | 65%               |
| 50 Tropical Island Commodities (Pvt) Ltd                                                               | Sri Lanka                   | Cinnamon export            | 65,000        | 65%               |
| 51 The Tea Leaf Resort (Pvt) Ltd                                                                       | Sri Lanka                   | Hotelier                   | 250,000       | 50%               |
| 52 Tropical Villas (Pvt) Ltd                                                                           | Sri Lanka                   | Non-operating              | 14,959,232    | 100%              |
| 53 Browns Plantations Holdings (Pvt) Ltd                                                               | Sri Lanka                   | Investments holding        | 1,000         | 100%              |
| 54 Browns Plantations Kenya Ltd                                                                        | Kenya                       | Plantation                 | 6,375,000     | 85%               |
| 55 Colombo Marina International (Private) Limited                                                      | Sri Lanka                   | Pre-operational            | 1             | 100%              |
| 56 Marina Hotel (Private) Limited                                                                      | Sri Lanka                   | Pre-operational            | 1             | 100%              |
| 57 Browns Plantation's East Africa Ltd<br>[Previously known as Lipton Teas and Infusion Kenya PLC]     | Kenya                       | Plantation                 | 65,644,010    | 99%               |
| 58 Browns Plantation's Tanzania Ltd<br>[Previously known as Lipton Teas and Infusions Tanzania Ltd]    | Tanzania                    | Plantation                 | 20,745,293    | 100%              |
| 59 Browns Plantation's Rwanda Ltd<br>[Previously known as Lipton Teas and Infusions Rwanda Ltd]        | Rwanda                      | Plantation                 | 8,014,373,342 | 100%              |
| 60 Browns Plantations (Guizhou) Tea Co., Ltd<br>[Previously known as James Finlay Guizhou Company Ltd] | China                       | Plantation                 | 1             | 100%              |
| 61 Browns Tea Trading FZCO                                                                             | United Arab Emirates        | Tea Trading                | 12,500        | 60%               |
| 62 Limuru Tea PLC                                                                                      | Kenya                       | Plantation                 | 2,500,000     | 52%               |

### 20.3 Maturata Plantations Ltd.

Debentures issued on 19th June, 1997 to the value of Rs.150 Mn have been converted to ordinary shares on 22nd June 2002 as stipulated in the agreement. The basis and/or ratio of conversion has been contested by the Golden shareholder in year 2008. The details of conversion are as follows:

#### i. Basis of conversion

Nos.4.575000732 ordinary shares at par value of Rs.10/= each per debenture of par value of Rs.10/- each.

#### ii. Number of shares resulting from the above conversion

Nos.15,000,000 ordinary shares [i.e. 21% incremental shareholding to the subsidiary of the group, FLPC Management Company (Pvt) Ltd.(from 51% to 72%)].

#### iii. Possible impact on group shareholding of Maturata Plantations Ltd.,

The number of shares resulting from the above conversion would be reduced from Nos.15,000,000 to 3,278,688 ordinary shares in the event the conversion is made as suggested by the Golden shareholder. [i.e. incremental shareholding to the group would be reduced from 72% to 57.90%].

## Notes to the Financial Statements

### 20.4 Results on acquisition and disposal of group investments

| As at 31st March                                    | 2025<br>Rs.000 | 2024<br>Rs.000 |
|-----------------------------------------------------|----------------|----------------|
| Gain on bargain purchase                            | 99,273,608     | 31,497,130     |
| Reclassification of Sierra Cables PLC to subsidiary | (579,633)      | -              |
| Gain/(loss) on other disposals                      | 25,480         | (37,985)       |
|                                                     | 98,719,455     | 31,459,145     |

B Commodities ME FZE, incorporated in United Arab Emirates, a subsidiary of Browns Investments PLC acquired below mentioned companies during the year.

|                                        | Note   | Country of Incorporation | Percentage of acquired | Date of Acquisition |
|----------------------------------------|--------|--------------------------|------------------------|---------------------|
| Lipton Teas and Infusions Kenya PLC    | 20.5.1 | Kenya                    | 98.94%                 | 30th July 2024      |
| Limuru Tea PLC *                       | 20.5.2 | Kenya                    | 51.99%                 | 30th July 2024      |
| Lipton Teas and Infusions Rwanda Ltd   | 20.5.3 | Rwanda                   | 100.00%                | 30th July 2024      |
| James Finaly Guizhou Company Ltd       | 20.5.4 | China                    | 100.00%                | 31st July 2024      |
| Lipton Teas and Infusions Tanzania Ltd | 20.5.5 | Tanzania                 | 100.00%                | 20th December 2024  |
| Sierra Cables PLC                      | 20.5.6 | Sri Lanka                | 56.59%                 | 20th March 2025     |

\* The 51.99% of Limuru Tea PLC is held by Lipton Teas and Infusions Kenya PLC.

The provisional fair values of the identifiable assets and liabilities of the acquiree as at the date of acquisitions were;

|                                 | Note 20.5.1<br>Lipton Teas and Infusions Kenya PLC<br>Rs.000 | Note 20.5.2<br>Limuru Tea PLC<br>Rs.000 | Note 20.5.3<br>Lipton Teas and Infusions Rwanda Ltd<br>Rs.000 | Note 20.5.4<br>James Finlay Guizhou Company Ltd<br>Rs.000 | Note 20.5.5<br>Lipton Teas and Infusions Tanzania Ltd<br>Rs. 000 | Note 20.5.6<br>Sierra Cables PLC<br>Rs. 000 | Total<br>Rs. 000 |
|---------------------------------|--------------------------------------------------------------|-----------------------------------------|---------------------------------------------------------------|-----------------------------------------------------------|------------------------------------------------------------------|---------------------------------------------|------------------|
| <b>Assets</b>                   |                                                              |                                         |                                                               |                                                           |                                                                  |                                             |                  |
| Property, plant and equipment   | 21,108,285                                                   | 3,882,936                               | 4,128,342                                                     | 632,393                                                   | 8,729,430                                                        | 3,701,582                                   | 42,182,968       |
| Right-of-use assets ( Land)     | 66,982,251                                                   | 17,532,169                              | 2,034,747                                                     | -                                                         | 2,117,614                                                        | -                                           | 88,666,781       |
| Intangible assets               | -                                                            | -                                       | -                                                             | -                                                         | -                                                                | 4,550                                       | 4,550            |
| Investment in Subsidiaries      | 56,497                                                       | -                                       | -                                                             | -                                                         | -                                                                | -                                           | 56,497           |
| Investment in Associates        | -                                                            | -                                       | -                                                             | -                                                         | -                                                                | 31,610                                      | 31,610           |
| Bearer biological assets        | 6,757,342                                                    | 184,552                                 | 1,215,475                                                     | -                                                         | 2,228,080                                                        | -                                           | 10,385,449       |
| Consumable biological assets    | 3,427,617                                                    | 34,723                                  | -                                                             | -                                                         | 1,508,806                                                        | -                                           | 4,971,146        |
| Other non current assets        | 260,056                                                      | -                                       | -                                                             | -                                                         | -                                                                | -                                           | 260,056          |
| Other current assets            | -                                                            | -                                       | -                                                             | -                                                         | -                                                                | 73,677                                      | 73,677           |
| Deferred tax assets             | -                                                            | -                                       | -                                                             | -                                                         | 1,238,663                                                        | -                                           | 1,238,663        |
| Inventories                     | 2,556,101                                                    | -                                       | 306,743                                                       | 446,666                                                   | 1,401,110                                                        | 3,752,990                                   | 8,463,610        |
| Trade and other receivables     | 5,003,558                                                    | 254,555                                 | 856,259                                                       | 247,507                                                   | 1,877,292                                                        | 2,026,161                                   | 10,265,332       |
| Amount due from related parties | -                                                            | -                                       | -                                                             | -                                                         | -                                                                | 2,448,801                                   | 2,448,801        |
| Current Tax Assets              | 514,743                                                      | -                                       | -                                                             | -                                                         | -                                                                | -                                           | 514,743          |
| Cash and cash equivalents       | 647,139                                                      | 16,340                                  | 84,547                                                        | 80,274                                                    | 457,733                                                          | 769,478                                     | 2,055,511        |
|                                 | 107,313,589                                                  | 21,905,275                              | 8,626,113                                                     | 1,406,840                                                 | 19,558,728                                                       | 12,808,849                                  | 171,619,394      |

|                                                              | Note 20.5.1                               | Note 20.5.2       | Note 20.5.3                                | Note 20.5.4                            | Note 20.5.5                                  | Note 20.5.6          |             |
|--------------------------------------------------------------|-------------------------------------------|-------------------|--------------------------------------------|----------------------------------------|----------------------------------------------|----------------------|-------------|
|                                                              | Lipton Teas<br>and Infusions<br>Kenya PLC | Limuru Tea<br>PLC | Lipton Teas<br>and Infusions<br>Rwanda Ltd | James Finlay<br>Guizhou<br>Company Ltd | Lipton Teas<br>and Infusions<br>Tanzania Ltd | Sierra Cables<br>PLC | Total       |
|                                                              | Rs.000                                    | Rs.000            | Rs.000                                     | Rs.000                                 | Rs. 000                                      | Rs. 000              | Rs. 000     |
| <b>Liabilities</b>                                           |                                           |                   |                                            |                                        |                                              |                      |             |
| Retirement benefit obligations                               | 165,308                                   | 48,844            | 5,859                                      | -                                      | 363,953                                      | 106,206              | 690,170     |
| Deferred tax liabilities                                     | 16,567,797                                | 3,258,135         | 57,078                                     | -                                      | 1,238,663                                    | 676,809              | 21,798,482  |
| Amounts due to related parties                               | -                                         | -                 | -                                          | -                                      | -                                            | 568,887              | 568,887     |
| Income tax payable                                           | -                                         | -                 | -                                          | -                                      | -                                            | 280,330              | 280,330     |
| Other short term borrowings                                  | -                                         | -                 | -                                          | -                                      | 7                                            | 2,396,807            | 2,396,814   |
| Loan and Borrowings                                          | -                                         | -                 | -                                          | 104,529                                | 5,440                                        | 2,168,506            | 2,278,475   |
| Trade and other Payables                                     | 5,842,755                                 | 49,672            | 746,106                                    | 513,458                                | 2,515,567                                    | 484,740              | 10,152,298  |
|                                                              | 22,575,860                                | 3,356,651         | 809,043                                    | 617,987                                | 4,123,630                                    | 6,682,285            | 38,156,456  |
| <b>Fair value of identifiable net assets acquired</b>        | 84,737,729                                | 18,548,624        | 7,817,070                                  | 788,853                                | 15,435,098                                   | 6,126,564            | 133,453,938 |
| <b>Results of the above acquisition is as follows;</b>       |                                           |                   |                                            |                                        |                                              |                      |             |
| Fair value of identifiable net assets acquired               | 84,737,729                                | 18,548,624        | 7,817,070                                  | 788,853                                | 15,435,098                                   | 6,126,564            | 133,453,938 |
| Fair value of consideration                                  | 18,046,438                                | -                 | 2,256,739                                  | -                                      | 91,783                                       | 3,752,816            | 24,147,776  |
| Less- Transaction cost                                       | 2,279,302                                 | -                 | 23,051                                     | -                                      | -                                            | -                    | 2,302,353   |
| Net consideration                                            | 15,767,136                                | -                 | 2,233,668                                  | -                                      | 91,783                                       | 3,752,816            | 21,845,423  |
| Less: Non-controlling interests arising from the acquisition | 899,366                                   | 9,005,295         | -                                          | -                                      | -                                            | 2,659,368            | 12,564,029  |
| Less: Intra Group Investment                                 | 56,498                                    | -                 | -                                          | -                                      | -                                            | -                    | 56,498      |
| <b>Gain on bargain purchase</b>                              | 68,014,729                                | 9,543,329         | 5,583,382                                  | 788,853                                | 15,343,315                                   | -                    | 99,273,608  |
| <b>Goodwill</b>                                              | -                                         | -                 | -                                          | -                                      | -                                            | 285,620              | 285,620     |
| <b>Net cash used in acquisition</b>                          |                                           |                   |                                            |                                        |                                              |                      |             |
| <b>Purchase consideration</b>                                | 15,767,136                                | -                 | 2,233,688                                  | -                                      | 91,783                                       | 3,752,816            | 21,845,423  |
| Consideration to be paid                                     | 11,820,806                                | -                 | 1,615,193                                  | -                                      | -                                            | -                    | 13,435,999  |
| Consideration paid                                           | 3,946,330                                 | -                 | 618,495                                    | -                                      | 91,783                                       | 1,740,773            | 6,397,381   |
| Fair value of existing Investment                            | -                                         | -                 | -                                          | -                                      | -                                            | 2,012,043            | 2,012,043   |
| <b>Consideration paid</b>                                    | 3,946,330                                 | -                 | 618,495                                    | -                                      | 91,783                                       | 1,740,773            | 6,397,381   |
| Less: Cash & cash equivalents acquired                       | (647,139)                                 | (16,340)          | (84,547)                                   | (80,274)                               | (457,733)                                    | (769,478)            | (2,055,511) |
| <b>Net cash outflow</b>                                      | 3,299,191                                 | (16,340)          | 533,948                                    | (80,274)                               | (365,950)                                    | 971,295              | 4,341,870   |

## Notes to the Financial Statements

### 21 Investments in associates

| As at 31st March                 |         | No of shares |             | Holding % |      | Carrying Value | Carrying Value |
|----------------------------------|---------|--------------|-------------|-----------|------|----------------|----------------|
|                                  |         | 2025         | 2024        | 2025      | 2024 | 2025           | 2024           |
| Rs.000                           |         |              |             |           |      |                |                |
| Group                            |         |              |             |           |      |                |                |
| Taprobane Plantation Ltd         | TPL     | 22,500       | 22,500      | 45        | 45   | -              | -              |
| Virginia International (Pvt) Ltd | VIIL    | 800,000      | 800,000     | 40        | 40   | 5,138          | 5,138          |
| NPH Developments (Pvt) Ltd       | NPHDP   | 50           | 50          | 50        | 50   | 147            | 30,561         |
| Hatton National Bank PLC         | HNB     | -            | 91,912,917  | -         | 17   | -              | 37,505,334     |
| Sierra Cables PLC                | SCABLES | -            | 156,866,167 | -         | 29   | -              | 2,177,831      |
| T & G Lanka (Private) Limited    | TGL     | 30           | -           | 22        | -    | 3,300          | -              |
| Cables PTE Limited               | CPTL    | 360,000      | -           | 30        | -    | 28,310         | -              |
| SEAMS Mule Ltd                   | SEAMS   | 51,000       | -           | 50        | -    | 1,126          | -              |
|                                  |         |              |             |           |      | 38,021         | 39,718,864     |
| Company                          |         |              |             |           |      |                |                |
| Taprobane Plantation Ltd         | TPL     | 22,500       | 22,500      | 45        | 45   | -              | -              |
| Virginia International (Pvt) Ltd | VIIL    | 800,000      | 800,000     | 40        | 40   | 5,138          | 5,138          |
| Hatton National Bank PLC         | HNB     | -            | 91,912,917  | -         | 17   | -              | 37,505,334     |
|                                  |         |              |             |           |      | 5,138          | 37,510,472     |

## 21.1 Group share of net assets of associates

|                                                                                 | TGL<br>Rs.000 | CPTÉ<br>Rs.000 | SEAMS<br>Rs.000 | NHPD<br>Rs.000 | VIII<br>Rs.000 | HNB<br>Rs.000     | SCABLES<br>Rs.000 | Total<br>Rs.000   |
|---------------------------------------------------------------------------------|---------------|----------------|-----------------|----------------|----------------|-------------------|-------------------|-------------------|
| Equity value of investment as at 1st April 2023                                 | -             | -              | -               | 173,792        | 5,138          | 32,924,835        | 1,949,798         | 35,053,563        |
| Share of profit/(loss) of associates [ Net of tax]                              | -             | -              | -               | (106,377)      | -              | 3,946,536         | 225,728           | 4,065,887         |
| Other comprehensive income of associates [ Net of tax]                          | -             | -              | -               | (36,854)       | -              | 1,077,858         | 2,305             | 1,043,309         |
| Dividend paid                                                                   | -             | -              | -               | -              | -              | (443,895)         | -                 | (443,895)         |
| <b>Equity value of investment as at 31st March 2024</b>                         | <b>-</b>      | <b>-</b>       | <b>-</b>        | <b>30,561</b>  | <b>5,138</b>   | <b>37,505,334</b> | <b>2,177,831</b>  | <b>39,718,864</b> |
| On Acquisitions of subsidiaries                                                 | 3,300         | 28,310         | 1,126           | -              | -              | -                 | -                 | 32,736            |
| Further Investments                                                             | -             | -              | -               | -              | -              | -                 | 53,706            | 53,706            |
| Transfer to subsidiary                                                          | -             | -              | -               | -              | -              | -                 | (2,012,043)       | (2,012,043)       |
| Reclassifications                                                               | -             | -              | -               | -              | -              | (45,485,326)      | -                 | (45,485,326)      |
| Share of profit/(loss) of associates [ Net of tax] continuing operations        | -             | -              | -               | (25,566)       | -              | -                 | 274,833           | 249,266           |
| Share of profit/(loss) of associates [ Net of tax] discontinuing operations     | -             | -              | -               | -              | -              | 8,117,155         | -                 | 8,117,155         |
| Other comprehensive income of associates [ Net of tax] discontinuing operations | -             | -              | -               | (3,346)        | -              | -                 | 85,307            | 81,961            |
| Loss on deemed disposal                                                         | -             | -              | -               | -              | -              | -                 | (579,633)         | (579,633)         |
| Other comprehensive income of associates [ Net of tax] continuing operations    | -             | -              | -               | -              | -              | 1,343,282         | -                 | 1,343,282         |
| Foreign Currency Translation                                                    | -             | -              | -               | (1,502)        | -              | -                 | -                 | (1,502)           |
| Dividend paid                                                                   | -             | -              | -               | -              | -              | (1,480,445)       | -                 | (1,480,445)       |
| <b>Equity value of investment as at 31st March 2025</b>                         | <b>3,300</b>  | <b>28,310</b>  | <b>1,126</b>    | <b>147</b>     | <b>5,138</b>   | <b>-</b>          | <b>-</b>          | <b>38,021</b>     |

### Company

|                                                         | TPL<br>Rs.000 | VIII<br>Rs.000 | HNB<br>Rs.000     | Total<br>Rs.000   |
|---------------------------------------------------------|---------------|----------------|-------------------|-------------------|
| Equity value of investment as at 1st April 2023         | -             | 5,138          | 32,924,835        | 32,929,973        |
| Share of profit/(loss) of associates [ Net of tax]      | -             | -              | 3,946,536         | 3,946,536         |
| Other comprehensive income of associates [ Net of tax]  | -             | -              | 1,077,858         | 1,077,858         |
| Dividend paid                                           | -             | -              | (443,895)         | (443,895)         |
| <b>Equity value of investment as at 31st March 2024</b> | <b>-</b>      | <b>5,138</b>   | <b>37,505,334</b> | <b>37,510,472</b> |
| Reclassifications as held for sale                      | -             | -              | (45,485,326)      | (45,485,326)      |
| Share of profit/(loss) of associates [ Net of tax]      | -             | -              | 8,117,155         | 8,117,155         |
| Other comprehensive income of associates [ Net of tax]  | -             | -              | 1,343,282         | 1,343,282         |
| Dividend paid                                           | -             | -              | (1,480,445)       | (1,480,445)       |
| <b>Equity value of investment as at 31st March 2025</b> | <b>-</b>      | <b>5,138</b>   | <b>-</b>          | <b>5,138</b>      |

## Notes to the Financial Statements

### 21.2 Summarised financial information of associates

| For the year ended 31st March | 2025          |                |                |               |                   |
|-------------------------------|---------------|----------------|----------------|---------------|-------------------|
|                               | TPL<br>Rs.000 | NHPD<br>Rs.000 | VIII<br>Rs.000 | HNB<br>Rs.000 | SCABLES<br>Rs.000 |

#### Statement of Comprehensive Income

|                            |   |             |   |              |           |
|----------------------------|---|-------------|---|--------------|-----------|
| Income                     | - | 7,200,950   | - | 4,959,800    | 9,392,183 |
| Expenses                   | - | [7,838,523] | - | [53,434,359] | 8,488,523 |
| Profit or loss             | - | [637,573]   | - | 48,474,559   | 903,470   |
| Other comprehensive income | - | -           | - | 6,603,390    | 280,430   |

#### Statement of Financial position

|                   |   |           |        |               |   |
|-------------------|---|-----------|--------|---------------|---|
| Total assets      | - | 1,698,445 | 12,767 | 2,356,318,016 | - |
| Total liabilities | - | 2,607,460 | 190    | 2,080,514,771 | - |
| Equity            | - | [909,015] | 12,577 | 275,803,245   | - |

| For the year ended 31st March | 2024          |                |                |               |                   |
|-------------------------------|---------------|----------------|----------------|---------------|-------------------|
|                               | TPL<br>Rs.000 | NHPD<br>Rs.000 | VIII<br>Rs.000 | HNB<br>Rs.000 | SCABLES<br>Rs.000 |

#### Statement of Comprehensive Income

|                            |           |           |   |              |             |
|----------------------------|-----------|-----------|---|--------------|-------------|
| Income                     | 195,481   | 2,757     | - | 16,368,969   | 8,150,444   |
| Expenses                   | [179,154] | [201,400] | - | [10,111,568] | [7,422,716] |
| Profit or loss             | 16,327    | [198,643] | - | 23,764,789   | 727,728     |
| Other comprehensive income | -         | -         | - | 4,119,577    | 7,898       |

#### Statement of Financial position

|                   |           |            |        |               |           |
|-------------------|-----------|------------|--------|---------------|-----------|
| Total assets      | 327,769   | 13,399,685 | 12,767 | 2,068,999,241 | 8,965,022 |
| Total liabilities | 522,905   | 13,697,732 | 190    | 1,838,049,110 | 3,934,455 |
| Equity            | [195,136] | [298,047]  | 12,577 | 225,950,131   | 5,030,567 |

### 22 Other financial assets

| As at 31st March           | Note        | Group          |                | Company        |                |
|----------------------------|-------------|----------------|----------------|----------------|----------------|
|                            |             | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Quoted equity securities   | 22.1.8 22.3 | 445            | 346            | 445            | 346            |
| Unquoted equity securities | 22.2        | 407,860        | 173,751        | -              | -              |
| Long term deposits         |             | 88,210         | 54,975         | -              | -              |
|                            |             | 496,515        | 229,072        | 445            | 346            |

## 22.1 Quoted equity securities - Group

| As at 31st March                                                           | No of Shares |             | Carrying Values |                |
|----------------------------------------------------------------------------|--------------|-------------|-----------------|----------------|
|                                                                            | 2025<br>Nos  | 2024<br>Nos | 2025<br>Rs.000  | 2024<br>Rs.000 |
| Financial assets measured at fair value through other comprehensive income |              |             |                 |                |
| LOLC Finance PLC                                                           | 75,363       | 75,363      | 445             | 346            |
|                                                                            |              |             | 445             | 346            |

## 22.2 Unquoted equity securities - Group

| As at 31st March                                                           | No of Shares |             | Carrying Values |                |
|----------------------------------------------------------------------------|--------------|-------------|-----------------|----------------|
|                                                                            | 2025<br>Nos  | 2024<br>Nos | 2025<br>Rs.000  | 2024<br>Rs.000 |
| Financial assets measured at fair value through other comprehensive income |              |             |                 |                |
| Rain Forest Eco Lodge (Pvt) Ltd                                            | 7,717,997    | 7,717,997   | 38,409          | 51,529         |
| Jada Resorts & SPA (Pvt) Ltd                                               | 24,449,480   | 24,449,480  | 122,222         | 122,222        |
| Kenya Tea Parkers Ltd                                                      | 4,215,142    | -           | 247,229         | -              |
|                                                                            |              |             | 407,860         | 173,751        |

## 22.3 Quoted equity securities - Company

| As at 31st March                                                           | No of Shares |             | Carrying Values |                |
|----------------------------------------------------------------------------|--------------|-------------|-----------------|----------------|
|                                                                            | 2025<br>Nos  | 2024<br>Nos | 2025<br>Rs.000  | 2024<br>Rs.000 |
| Financial assets measured at fair value through other comprehensive income |              |             |                 |                |
| LOLC Finance PLC                                                           | 75,363       | 75,363      | 445             | 346            |
|                                                                            |              |             | 445             | 346            |

## Notes to the Financial Statements

### 22.4 Movement in unquoted equity investments

| As at 31st March                     | Group          |                | Company        |                |
|--------------------------------------|----------------|----------------|----------------|----------------|
|                                      | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Balance at the beginning of the year | 173,751        | 163,715        | -              | -              |
| On acquisition of subsidiaries       | 260,056        | -              | -              | -              |
| Additions during the year            | -              | -              | -              | -              |
| Exchange difference                  | (6,095)        | -              | -              | -              |
| Changes in fair value of investments | (19,852)       | 13,745         | -              | -              |
| Disposals                            | -              | (3,709)        | -              | -              |
| Balance at the end of the year       | 407,860        | 173,751        | -              | -              |

### 23 Deferred tax assets

#### 23.1 Recognised deferred tax assets

Deferred tax assets are attributable to the originations of following temporary differences:

| As at 31st March                                          | Group          |                | Company        |                |
|-----------------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                           | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Accelerated depreciation for tax purposes – Own assets    | 942            | (21,483)       | -              | -              |
| Accelerated depreciation for tax purposes – Leased assets | 88,448         | (15,438)       | -              | -              |
| Unutilised tax losses                                     | 18,372,240     | 7,602,961      | -              | -              |
| Provision for inventories                                 | 27,557         | -              | -              | -              |
| Employee benefits                                         | 2,398,059      | 434,385        | -              | -              |
| General provisions                                        | 111,002        | 90,375         | -              | -              |
| Other                                                     | -              | (532,594)      | -              | -              |
|                                                           | 20,998,248     | 7,558,206      | -              | -              |
| Total recognised deferred tax assets                      | 3,026,786      | 1,567,006      | -              | -              |

#### 23.2 Movement in recognised deferred tax assets

|                                                         |           |           |   |   |
|---------------------------------------------------------|-----------|-----------|---|---|
| Balance at beginning of the year                        | 1,567,006 | 1,908,054 | - | - |
| Originations / (reversal) to the income statement       | 277,280   | (107,158) | - | - |
| On acquisition of subsidiary                            | 1,238,663 | -         | - | - |
| Disposal of subsidiary                                  | -         | (7,613)   | - | - |
| Originations / (reversal) to other comprehensive income | -         | 3,111     | - | - |
| Exchange translation difference                         | (56,163)  | (229,387) | - | - |
| Balance at the end of the year                          | 3,026,786 | 1,567,006 | - | - |

## 24 Inventories

| As at 31st March                        | Note | Group          |                | Company        |                |
|-----------------------------------------|------|----------------|----------------|----------------|----------------|
|                                         |      | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Raw material                            |      | 6,168,735      | 2,941,083      | -              | -              |
| Work-in-progress                        |      | 2,369,478      | 1,429,382      | -              | -              |
| Finished goods and trading stocks       |      | 6,846,313      | 4,139,951      | -              | -              |
| Input material                          |      | 205,681        | 231,276        | -              | -              |
| Growing crop nurseries                  |      | 48,983         | 41,857         | -              | -              |
| Harvested crop                          |      |                |                |                |                |
| Tea                                     |      | 955,500        | 801,511        | -              | -              |
| Rubber                                  |      | 4,411          | 10,372         | -              | -              |
| Coconut                                 |      | 3,144          | 513            | -              | -              |
| Cinnamon                                |      | 3,880          | 3,550          | -              | -              |
| Commercial cane                         |      | 554,415        | 106,243        | -              | -              |
| Ethanol                                 |      | 1,111,858      | 535,695        | -              | -              |
| Others                                  |      | 1,144,413      | 447,864        | -              | -              |
| Consumables and spares                  |      | 4,114,643      | 3,494,088      | -              | -              |
|                                         |      | 23,531,454     | 14,183,385     | -              | -              |
| Allowance for impairment of inventories | 24.1 | [461,961]      | [222,698]      | -              | -              |
|                                         |      | 23,069,493     | 13,960,687     | -              | -              |

### 24.1 Allowance for slow moving inventories

| As at 31st March                 | Group          |                | Company        |                |
|----------------------------------|----------------|----------------|----------------|----------------|
|                                  | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Balance at beginning of the year | 222,698        | 175,487        | -              | -              |
| Provision for the Year           | 54,728         | 54,552         | -              | -              |
| Write offs / [write backs]       | [55,387]       | 4,612          | -              | -              |
| On disposal of Subsidiaries      | -              | [41,472]       | -              | -              |
| On acquisition of subsidiaries   | 244,539        | -              | -              | -              |
| Foreign currency translations    | [4,617]        | 29,518         | -              | -              |
| Balance at the end of the year   | 461,961        | 222,698        | -              | -              |

## 25 Trade and other receivables

| As at 31st March                              | Note | Group          |                | Company        |                |
|-----------------------------------------------|------|----------------|----------------|----------------|----------------|
|                                               |      | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Trade receivables                             |      | 16,093,238     | 22,310,374     | 120,225        | 184,487        |
| Allowance for impairment of trade receivables | 25.1 | [1,569,945]    | [608,216]      | -              | -              |
|                                               |      | 14,523,293     | 21,702,158     | 120,225        | 184,487        |
| Other receivables                             | 25.2 | 33,362,256     | 29,123,774     | 31,387,534     | 22,893,557     |
|                                               |      | 47,885,549     | 50,825,932     | 31,507,759     | 23,078,044     |

## Notes to the Financial Statements

### 25.1 Allowance of impairment of trade receivables

| As at 31st March                                  |  | Group      |            | Company    |            |
|---------------------------------------------------|--|------------|------------|------------|------------|
|                                                   |  | 2025       | 2024       | 2025       | 2024       |
|                                                   |  | Rs.000     | Rs.000     | Rs.000     | Rs.000     |
|                                                   |  |            |            |            |            |
| Specific allowances for impairment                |  |            |            |            |            |
| Balance at the beginning of the year              |  | 273,631    | 202,615    | -          | -          |
| Impairment loss for the year                      |  |            |            |            |            |
| Charge/(write-back) to the Income Statement       |  | 244,144    | 110,671    | -          |            |
| Effect of foreign currency movements              |  | [12,982]   | -          | -          |            |
| Transfer from Collective allowance for impairment |  | [6,662]    | 1,015      | -          | -          |
|                                                   |  | 498,131    | 314,301    | -          | -          |
| Reversal for Write-offs                           |  | [204,158]  | [40,670]   | -          | -          |
| Acquisition of Subsidiaries                       |  | 728,617    | -          | -          | -          |
| Balance at the end of the year                    |  | 1,022,590  | 273,631    | -          | -          |
|                                                   |  |            |            |            |            |
| Collective allowance for impairment               |  |            |            |            |            |
| Balance at the beginning of the year              |  | 334,584    | 206,071    | -          | -          |
| Transfer to specific allowance for impairment     |  | -          | [1,015]    | -          | -          |
| Charge/(write-back) to the Income Statement       |  | 140,726    | 134,430    | -          | -          |
| Effect of foreign currency movements              |  | [39,372]   | -          | -          | -          |
| Recoveries                                        |  | -          | [33]       | -          | -          |
|                                                   |  | 435,938    | 339,453    | -          | -          |
|                                                   |  |            |            |            |            |
| Reversal for Write-offs                           |  | [11,612]   | [4,869]    | -          |            |
| Acquisition of Subsidiaries                       |  | 123,029    | -          | -          | -          |
| Balance at the end of the year                    |  | 547,355    | 334,584    | -          | -          |
| Total allowances for impairment                   |  | 1,569,945  | 608,216    | -          | -          |
|                                                   |  |            |            |            |            |
| Other tax assets                                  |  |            |            |            |            |
| Withholding tax recoverable                       |  | 187,621    | 157,910    | 64,774     | 56,159     |
| Economic Service Charge recoverable               |  | 3,192      | 2,936      | -          | -          |
| VAT recoverable                                   |  | 7,142,346  | 2,357,667  | 17,674     | 7,704      |
| Other tax recoverable                             |  | 5,315      | 620,424    | -          | -          |
|                                                   |  | 7,338,474  | 3,138,937  | 82,448     | 63,863     |
|                                                   |  |            |            |            |            |
| Other financial assets                            |  |            |            |            |            |
| Loans given to employees                          |  | 8,340      | 7,311      | -          | -          |
| Refundable deposits                               |  | 129,860    | 148,875    | 1,352      | 1,352      |
| Non controlling shareholder receivables           |  | 12,701,440 | 12,909,567 | -          | -          |
| Other financial assets                            |  | 4,320,748  | 4,722,543  | 27,158,225 | 17,555,767 |
|                                                   |  | 17,160,388 | 17,788,295 | 27,159,577 | 17,557,119 |
|                                                   |  |            |            |            |            |
| Other non-financial assets                        |  |            |            |            |            |
| Deposits, advance and prepayments                 |  | 6,362,634  | 6,657,326  | 2,632,731  | 4,668,393  |
| Non refundable deposits                           |  | -          | 1,555      | -          | -          |
| Dividend receivable                               |  | 1,292,075  | 380,927    | 1,291,060  | 379,913    |
| Others                                            |  | 1,208,685  | 1,277,928  | 257,246    | 250,605    |
| Allowance for impairment of other receivables     |  | -          | [121,194]  | [35,528]   | [26,336]   |
|                                                   |  | 8,863,394  | 8,196,541  | 4,145,509  | 5,272,575  |
|                                                   |  | 33,362,256 | 29,123,774 | 31,387,534 | 22,893,557 |

## 26 Loans to related parties

| As at 31st March                 | Group          |                | Company        |                |
|----------------------------------|----------------|----------------|----------------|----------------|
|                                  | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Ajax Engineers (Pvt) Ltd         | -              | -              | 2,840,406      | 2,807,287      |
| Riverina Resorts (Pvt) Ltd       | -              | -              | 647,791        | 647,791        |
| Sun & Fun Resorts (Pvt) Ltd      | -              | -              | 909,741        | 909,741        |
| Maturata Plantation Ltd          | -              | -              | 45,088         | 45,088         |
| Browns Hotels & Resorts Ltd      | -              | -              | 781,536        | 781,536        |
| Palm Garden Hotels PLC           | -              | -              | -              | -              |
| Millennium Development (Pvt) Ltd | -              | -              | 529,187        | 529,187        |
| Gurind Accor (Pvt) Ltd           | -              | -              | 182,616        | 122,615        |
| B Commodities ME (FZE)           | -              | -              | 1,979,224      | 1,916,584      |
| Browns Properties (Pvt) Ltd      | -              | -              | 138,728        | 100,628        |
| Sierra Cables PLC                | -              | 260,148        | 284,597        | 260,148        |
| NPH Development Pvt Ltd          | 175,453        | 242,656        | -              | -              |
| Brown & Co, PLC                  | -              | 5,155          | -              | 5,155          |
| LOLC Holdings PLC                | 2,009,384      | -              | -              | -              |
| Chain Holding Ltd                | 540,537        | -              | -              | -              |
| Fusion x FZE                     | 111,168        | -              | -              | -              |
|                                  | 2,836,542      | 507,959        | 8,338,914      | 8,125,761      |

### 26.1 Security and repayment terms of related party loans

| As at 31st March                 | Repayment  | Security         | 2025            |                   |
|----------------------------------|------------|------------------|-----------------|-------------------|
|                                  |            |                  | Group<br>Rs.000 | Company<br>Rs.000 |
| Chain Holding Ltd                | On demand  | Unsecured        | 540,537         | -                 |
| Ajax Engineers (Pvt) Ltd         | On demand  | Unsecured        | -               | 2,840,406         |
| Riverina Resorts (Pvt) Ltd       | On demand  | Unsecured        | -               | 647,791           |
| Sun & Fun Resorts (Pvt) Ltd      | On demand  | Unsecured        | -               | 909,741           |
| Maturata Plantation Ltd          | On demand  | Unsecured        | -               | 45,088            |
| Browns Hotels & Resorts Ltd      | On demand  | Unsecured        | -               | 781,536           |
| Millennium Development (Pvt) Ltd | On demand  | Unsecured        | -               | 529,187           |
| Brown & Co, PLC                  | On demand  | Unsecured        | 2,009,384       | -                 |
| Gurind Accor (Pvt) Ltd           | On demand  | Unsecured        | -               | 182,616           |
| B Commodities ME (FZE)           | On demand  | Unsecured        | -               | 1,979,224         |
| Browns Properties (Pvt) Ltd      | On demand  | Unsecured        | -               | 138,728           |
| NPH Development Pvt Ltd          | On demand  | Unsecured        | 175,453         | -                 |
| Sierra Cables PLC                | In 2025/26 | Trade receivable | -               | 284,597           |
| Fusion x FZE                     | On demand  | Unsecured        | 111,168         | -                 |
|                                  |            |                  | 2,836,542       | 8,338,914         |

## Notes to the Financial Statements

### 27 Amounts due from related parties

| As at 31st March                            | Group          |                | Company        |                |
|---------------------------------------------|----------------|----------------|----------------|----------------|
|                                             | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>Amounts due from subsidiaries</b>        |                |                |                |                |
| BG Air Services (Pvt) Ltd                   | -              | -              | 1,054,797      | 933,697        |
| BI Commodities & Logistics (Pvt) Ltd        | -              | -              | 884,786        | 882,108        |
| BI Leisure Holdings FZE                     | -              | -              | 17,554         | 17,554         |
| BI Zhongtian Holdings (Pvt) Ltd             | -              | -              | 977            | 870            |
| Bodufaru Resorts (Pvt) Ltd                  | -              | -              | 10,923         | 10,923         |
| Browns Ari Resort (Pvt) Ltd                 | -              | -              | 1,087,711      | 20,221         |
| Browns Engineering & Construction (Pvt) Ltd | -              | -              | 8,294,608      | 11,813,900     |
| Browns Global Farm (Pvt) Ltd                | -              | -              | 13,468         | 16,468         |
| Browns Metal & Sand (Pvt) Ltd               | -              | -              | 581,527        | 552,354        |
| Browns Power Holdings (Pvt) Ltd             | -              | -              | 1,063,401      | 1,519,311      |
| Browns Raa Resort (Pvt) Ltd                 | -              | -              | 2,955          | 2,955          |
| Browns Teas (Pvt) Ltd                       | -              | -              | 684            | 577            |
| Colombo Marina Hotels (Pvt) Ltd             | -              | -              | 78             | -              |
| Colombo Marina International (Pvt) Ltd      | -              | -              | 78             | -              |
| Enselwatte Power (Pvt) Ltd                  | -              | -              | 4,463          | 4,463          |
| Excel Global Holdings (Pvt) Ltd             | -              | -              | 4,024          | 5,792          |
| Excel Restaurants (Pvt) Ltd                 | -              | -              | 3,636          | 3,636          |
| FLC Estate Bungalows (Pvt) Ltd              | -              | -              | 150            | 150            |
| Hapugatenna Plantation PLC                  | -              | -              | -              | 167,710        |
| LOLC Investment Holdings Four (Pvt) Ltd     | -              | -              | 1,899,072      | 1,823,631      |
| Maturata Plantation Ltd                     | -              | -              | 3,373,210      | 3,372,173      |
| NPH Investments (Pvt) Ltd                   | -              | -              | 570,030        | 570,030        |
| Samudra Beach Resorts (Pvt) Ltd             | -              | -              | 7,406,243      | 7,064,543      |
| Serendib Leisure Management Ltd             | -              | -              | -              | 4,886          |
| Sierra Piling (Pvt) Ltd                     | -              | -              | 628,806        | 620,401        |
| Sun & Fun Resorts (Pvt) Ltd                 | -              | -              | 2,492          | 2,492          |
| Sunbird Bioenergy (SL) Ltd                  | -              | -              | 954,726        | 682,675        |
| The Tea Leaf Resort Holdings (Pvt) Ltd      | -              | -              | 3,596          | 3,596          |
| Tropical Island Commodities (Pvt) Ltd       | -              | -              | 393,566        | 284,218        |
| Udapussellawa Plantations PLC               | -              | -              | 30,000         | 87             |
| Hotel Sigiriya PLC                          | -              | -              | 17,700         | -              |
| Dolphin Hotels PLC                          | -              | -              | 17,700         | -              |
| Browns Plantations Holdings (Pvt) Ltd       | -              | -              | 70             | -              |

## 27 Amounts due from related parties

| As at 31st March                                             | Group          |                | Company        |                |
|--------------------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                              | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>Amounts due from other related companies</b>              |                |                |                |                |
| Brown & Company PLC                                          | 67,119         | -              | 37,193         | -              |
| Browns Tours (Pvt) Ltd                                       | 118,166        | 69,943         | 69,943         | 69,943         |
| Browns Industrial Park Ltd                                   | -              | -              | -              | -              |
| Browns Leisure (Pvt) Ltd                                     | 6,109          | 20,857         | 500            | 500            |
| Browns Holdings Ltd                                          | 100            | 100            | -              | -              |
| Gal Oya Plantations Ltd                                      | 30             | -              | -              | -              |
| Gal Oya Holdings (Pvt) Ltd                                   | -              | 30             | -              | -              |
| Ishara Traders (Pvt) Ltd                                     | 678,505        | 653,392        | 678,255        | 653,267        |
| LOLC Finance PLC                                             | -              | 321            | -              | -              |
| LOLC Holdings PLC                                            | 55,451         | 18,828         | -              | -              |
| LOLC GEO Technologies (Pvt) Ltd                              | 104            | -              | 104            | -              |
| LOLC Ventures FZE                                            | 127,429        | 39,154         | -              | -              |
| LOLC Securities Ltd                                          | 158            | -              | -              | -              |
| LOLC Advanced Technologies (Pvt) Ltd                         | 1,903          | 2,148          | -              | -              |
| Patronus Holdings (Pvt) Ltd                                  | 25,015         | -              | -              | -              |
| Agstar PLC                                                   | 8,731          | 4,916          | -              | -              |
| Sun Yield Bio Ingredients (Pvt) Ltd                          | 25,461         | 461            | -              | -              |
| Sierra Cables PLC                                            | -              | 1,331          | -              | -              |
| Taprobane Plantations Ltd                                    | 112,500        | 128,447        | -              | -              |
| Fusion X Global FZC (UAE)                                    | 1,812          | -              | -              | -              |
| East Coast Land Holdings (Private) Limited                   | 3,984          | 984            | -              | -              |
| Three Tips Ella (Pvt) Limited                                | 53,850         | -              | -              | -              |
| NPH Developments (Pvt) Ltd                                   | 181,640        | -              | -              | -              |
| Lanka ORIX Information Technology Services Limited           | 14,102         | -              | 14,102         | -              |
|                                                              | 1,482,169      | 940,912        | 29,123,128     | 31,105,131     |
| Allowance for impairment of amounts due from related parties | (5,932)        | (74,780)       | (2,673,828)    | (37,321)       |
|                                                              | 1,476,237      | 866,132        | 26,449,300     | 31,067,810     |

### 27.1 Allowance for impairment of amounts due from related parties

| As at 31st March                       | Group          |                | Company        |                |
|----------------------------------------|----------------|----------------|----------------|----------------|
|                                        | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Enselwatte Power (Pvt) Ltd             | -              | -              | 4,463          | 4,463          |
| FLC Estate Bungalows (Pvt) Ltd         | -              | -              | 150            | 150            |
| The Tea Leaf Resort Holdings (Pvt) Ltd | -              | -              | 3,596          | 3,596          |
| Browns Tours (Pvt) Ltd                 | -              | -              | 15,644         | 15,644         |
| Browns Global Farm (Pvt) Ltd           | -              | -              | 13,468         | 13,468         |
| Ajax Engineers (Private) Limited       | -              | -              | 2,636,507      | -              |
| Other related parties                  | 5,932          | 74,780         | -              | -              |
|                                        | 5,932          | 74,780         | 2,673,828      | 37,321         |

## Notes to the Financial Statements

### 27.2 Movement of impairment of amounts due from related parties

| As at 31st March                              | Group          |                | Company        |                |
|-----------------------------------------------|----------------|----------------|----------------|----------------|
|                                               | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Balance at the beginning of the year          | 74,780         | 98,692         | 37,321         | 37,321         |
| Impairment loss for the year                  | -              | -              | -              | -              |
| Charge /(write- back) to the income statement | (68,848)       | (23,912)       | 2,636,507      | -              |
|                                               | 5,932          | 74,780         | 2,673,828      | 37,321         |

### 28 Income tax recoverable

| As at 31st March                         | Group          |                | Company        |                |
|------------------------------------------|----------------|----------------|----------------|----------------|
|                                          | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Balance at the beginning of the year     | 184,244        | 51,485         | -              | -              |
| Current income tax expense               | (37,907)       | (209)          | -              | -              |
| Transfer from income tax payable         | 8,948          | 6,282          | -              | -              |
| Payment made/(recovered) during the year | (252,818)      | -              | -              | -              |
| On disposal of Subsidiaries              | -              | (11,899)       | -              | -              |
| On acquisition of Subsidiaries           | 560,267        | 122,671        | -              | -              |
| Exchange Differences                     | (7,461)        | 15,914         | -              | -              |
| Balance at the end of the year           | 455,273        | 184,244        | -              | -              |

### 29 Other financial assets

| As at 31st March                      | Note        | Group          |                | Company        |                |
|---------------------------------------|-------------|----------------|----------------|----------------|----------------|
|                                       |             | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Investments in equity securities      | 29.1 & 29.2 | 637,133        | 963,240        | 73,403         | 324,009        |
| Investment in fixed and call deposits |             | 3,965,893      | 1,832,201      | 2,997,350      | 818,796        |
|                                       |             | 4,603,026      | 2,795,441      | 3,070,753      | 1,142,805      |

#### 29.1 Investments in equity securities- Group

| As at 31st March                  | 2025          |                              |                                      | 2024          |                              |                                      |
|-----------------------------------|---------------|------------------------------|--------------------------------------|---------------|------------------------------|--------------------------------------|
|                                   | No. of shares | Cost of investment<br>Rs.000 | Market value of investment<br>Rs.000 | No. of shares | Cost of investment<br>Rs.000 | Market value of investment<br>Rs.000 |
| Hayleys PLC                       | 1,050         | 40                           | 144                                  | 1,050         | 40                           | 86                                   |
| CT Land Development PLC           | 19,500        | 470                          | 663                                  | 19,500        | 470                          | 448                                  |
| Overseas Reality (Ceylon) PLC     | -             | -                            | -                                    | 18,862,530    | 359,820                      | 317,603                              |
| Raigam Wayamba Salters PLC        | 26,200        | 66                           | 223                                  | 26,200        | 66                           | 178                                  |
| DFCC Bank PLC                     | 84,530        | 10,368                       | 9,080                                | 4,530         | 267                          | 345                                  |
| Hapugastenna Plantation PLC       | 100           | 1                            | 3                                    | 100           | 1                            | 4                                    |
| Sierra Cables PLC                 | 7,400         | 22                           | 116                                  | 7,400         | 22                           | 88                                   |
| Vallibel Finance PLC              | 90,400        | 249                          | 4,891                                | 90,400        | 249                          | 3,526                                |
| Pan Asia Banking Corporation PLC  | 298,698       | 4,500                        | 10,533                               | 296,698       | 4,500                        | 6,320                                |
| Commercial Bank PLC               | 350,000       | 52,969                       | 51,625                               | -             | -                            | -                                    |
| Agstar PLC                        | 330,091       | 2,509                        | 2,509                                | -             | -                            | -                                    |
| Wealth Trust Securities (Pvt) Ltd | 3,156,480     | 250,000                      | 557,346                              | 3,156,480     | 250,000                      | 634,642                              |
|                                   |               | 321,194                      | 637,133                              |               | 615,435                      | 963,240                              |

## 29.2 Quoted securities -Company

| As at 31st March                 | 2025         |                              |                                      | 2024         |                              |                                      |
|----------------------------------|--------------|------------------------------|--------------------------------------|--------------|------------------------------|--------------------------------------|
|                                  | No.of shares | Cost of investment<br>Rs.000 | Market value of investment<br>Rs.000 | No.of shares | Cost of investment<br>Rs.000 | Market value of investment<br>Rs.000 |
| Hayleys PLC                      | 1,050        | 35                           | 144                                  | 1,050        | 35                           | 86                                   |
| Overseas Reality (Ceylon) PLC    | -            | -                            | -                                    | -            | 271,816                      | 317,603                              |
| Pan Asia Banking Corporation PLC | 298,698      | 4,500                        | 10,532                               | 296,698      | 4,500                        | 6,320                                |
| DFCC Bank PLC                    | 81,062       | 10,368                       | 8,593                                | -            | -                            | -                                    |
| Commercial Bank PLC              | 350,000      | 52,969                       | 51,625                               | -            | -                            | -                                    |
| Agstar PLC                       | 330,091      | 2,509                        | 2,509                                | -            | -                            | -                                    |
|                                  |              | 70,381                       | 73,403                               |              | 276,351                      | 324,009                              |

## 30 Assets held for sale

The Group's investment in Hatton National Bank PLC [HNB], previously classified as an equity-accounted investee in accordance with LKAS 28 – Investments in Associates and Joint Ventures, has been reclassified as a non-current asset held for sale in line with the requirements of SLFRS 5 – Non-Current Assets Held for Sale and Discontinued Operations.

Following a strategic review, the Group's Investment Committee resolved to divest certain non-core long-term listed equity investments. As of the balance sheet date, the Group had initiated an active plan to sell the investment, including engagement with potential buyers. Subsequently, on 27th May 2025, the Group disposed of 45,529,624 listed ordinary voting shares of HNB, representing 9.99% of HNB's issued voting share capital.

Accordingly, the Group has assessed the investment under SLFRS 5 and determined that the criteria for classification as a non-current asset held for sale have been met. As required, the investment was remeasured at the lower of its carrying amount and fair value less costs to sell, resulting in a fair value loss of LKR 17.5 billion, which has been recognised in the income statement under "Fair value Gain/(Loss) on Non-Current Assets Held for Sale.

In accordance with SLFRS 5, both the current year and prior comparative period results relating to the investment in HNB (including the share of profit from the equity-accounted investee, net of tax) have been separately presented as part of discontinued operations in the Income Statement, Statement of Financial Position and Statement of Cash Flows of both the Separate and Consolidated Financial Statements of Browns Investments PLC.

|                                                                                                     | Group/ Company<br>Rs.000 |
|-----------------------------------------------------------------------------------------------------|--------------------------|
| Carrying value of equity-accounted investees immediately before classifying to assets held for sale | 45,485,325               |
| Fair value Gain/(Loss) recognised to income statement                                               | (17,499,477)             |
| Fair value Gain/(Loss) recognised to Other comprehensive income                                     | (535,098)                |
| Carrying value non-current asset held for sale                                                      | 27,450,750               |
| Profit/(loss) after tax for the period from discontinued operations and assets held for sale        |                          |
| Share of profits of equity accounted investees [ Net of Tax] (Note 21)                              | 8,117,155                |
| Fair value Gain/(Loss) recognised to income statement                                               | (17,499,477)             |
|                                                                                                     | (9,382,322)              |

## Notes to the Financial Statements

### 31 Cash and cash equivalents

| As at 31st March                                                     | Group          |                | Company        |                |
|----------------------------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                                      | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Cash in hand                                                         | 245,696        | 124,156        | 30             | 30             |
| Cash at banks                                                        | 5,047,333      | 4,745,851      | 32,338         | 211,625        |
| Other instruments which are less than 3 months maturity              | 1,322,472      | 715,863        | -              | -              |
|                                                                      | 6,615,501      | 5,585,870      | 32,368         | 211,655        |
| Bank overdrafts                                                      | (4,681,866)    | (419,364)      | (49,106)       | (666)          |
| Cash and cash equivalents for the purpose of statement of cash flows | 1,933,635      | 5,166,506      | (16,738)       | 210,989        |

### 32 Stated capital

| As at 31st March                                    | Group                   |                         | Company                 |                         |
|-----------------------------------------------------|-------------------------|-------------------------|-------------------------|-------------------------|
|                                                     | 2025                    | 2024                    | 2025                    | 2024                    |
|                                                     | No. of Shares<br>['000] | No. of Shares<br>['000] | No. of Shares<br>['000] | No. of Shares<br>['000] |
| <b>Issued and fully paid ordinary share capital</b> |                         |                         |                         |                         |
| Balance at the beginning of Year                    | 14,369,718              | 14,369,718              | 14,369,718              | 14,369,718              |
| Balance at the end of Year                          | 14,369,718              | 14,369,718              | 14,369,718              | 14,369,718              |
|                                                     | Rs.000                  | Rs.000                  | Rs.000                  | Rs.000                  |
| <b>Value of shares</b>                              |                         |                         |                         |                         |
| Balance at the beginning of Year                    | 31,004,439              | 31,004,439              | 31,004,439              | 31,004,439              |
| Balance at the end of Year                          | 31,004,439              | 31,004,439              | 31,004,439              | 31,004,439              |

The shares of Browns Investments PLC are quoted in the Colombo Stock Exchange under Diri Savi Board.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

### 33 Reserves

| As at 31st March | Group  |        | Company |                    |
|------------------|--------|--------|---------|--------------------|
|                  | 2025   | 2024   | 2025    | 2024               |
|                  | Rs.000 | Rs.000 | Rs.000  | Rs.000<br>Restated |

#### 33.1 Capital Reserves

|                          |            |            |            |            |
|--------------------------|------------|------------|------------|------------|
| Revaluation reserve      | 36,980,947 | 23,853,454 | 36,980,947 | 23,853,454 |
| Fair value reserve       | 2,535,706  | 3,526,369  | 2,535,706  | 3,526,369  |
| Foreign exchange reserve | 20,760,660 | 23,075,039 | 20,760,660 | 23,075,039 |
|                          | 60,277,313 | 50,454,862 | 60,277,313 | 50,454,862 |

#### 33.2 Revenue Reserves

|                   |             |            |             |            |
|-------------------|-------------|------------|-------------|------------|
| Retained earnings | 103,886,766 | 48,142,254 | 103,886,766 | 48,142,254 |
|                   | 103,886,766 | 48,142,254 | 103,886,766 | 48,142,254 |

#### Revaluation reserve

The Revaluation reserve relates to the revaluation surplus of property, plant & equipment. Once the respective revalued items have been disposed, the relevant portion of the revaluation surplus is transfer to retained earnings.

#### Fair valuation reserve

The fair value reserve comprises the cumulative net change in the fair value of financial assets at FVOCI includes changes in fair value of financial instruments designated as financial assets at FVOCI until the assets are derecognised or impaired.

#### Foreign exchange reserve

The translation reserve comprises all foreign currency differences arising from the translation of the financial statements of foreign operations.

#### Revenue Reserves

The carrying amount of the retained earnings represents the undistributed earnings held by the Group and the Company. This could be used to absorb future losses and dividend declaration.

## Notes to the Financial Statements

### 34 Interest bearing loans and borrowings

| As at 31st March                 | Note | Group          |                | Company        |                |
|----------------------------------|------|----------------|----------------|----------------|----------------|
|                                  |      | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Long term borrowings             | 34.1 | 26,117,330     | 23,195,338     | 2,000,000      | 3,000,000      |
| Debentures and Commercial Papers |      | 5,457,864      | 6,640,152      | -              | -              |
|                                  |      | 31,575,194     | 29,835,490     | 2,000,000      | 3,000,000      |
| Amount payable after one year    |      | 24,588,113     | 22,399,220     | 1,000,000      | 2,000,000      |
| Amount payable within one year   |      | 6,987,081      | 7,436,270      | 1,000,000      | 1,000,000      |
|                                  |      | 31,575,194     | 29,835,490     | 2,000,000      | 3,000,000      |

#### 34.1 Movements of interest bearing loans and borrowings

|                                         |  |              |              |             |             |
|-----------------------------------------|--|--------------|--------------|-------------|-------------|
| Balance at the beginning of the year    |  | 23,195,338   | 28,833,012   | 3,000,000   | 4,000,000   |
| Loans obtained during the year          |  | 19,661,671   | 11,628,446   | -           | -           |
| Amortised interest                      |  | 1,140,058    | 2,362,710    | 302,198     | 672,676     |
| Repayments during the year              |  | (20,007,389) | (10,855,421) | (1,302,198) | (1,672,676) |
| Acquisition of Subsidiaries             |  | 2,278,475    | -            | -           | -           |
| Disposal of Subsidiaries                |  | -            | (65,950)     | -           | -           |
| Transfer to Debenture                   |  | -            | (6,388,452)  | -           | -           |
| Foreign currency translations           |  | (150,823)    | (2,319,007)  | -           | -           |
| Gross borrowings at the end of the year |  | 26,117,330   | 23,195,338   | 2,000,000   | 3,000,000   |
| Balance at the end of the year          |  | 26,117,330   | 23,195,338   | 2,000,000   | 3,000,000   |

#### 34.2 Analysis by lending institutions

| As at 31st March                                  | Group          |                | Company        |                |
|---------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                   | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Bank of Ceylon                                    | 2,320,576      | 6,847,267      | -              | -              |
| National Development Bank PLC                     | 362,500        | 540,000        | -              | -              |
| Sampath Bank PLC                                  | 2,000,000      | 4,059,905      | 2,000,000      | 3,000,000      |
| Seylan Bank PLC                                   | -              | 2,454,169      | -              | -              |
| Commercial Bank of Ceylon PLC                     | 2,486,896      | 301,251        | -              | -              |
| Hongkong and Shanghai Banking Corporation Limited | -              | 573,676        | -              | -              |
| People's Bank                                     | 3,275,720      | 4,835,631      | -              | -              |
| Mauritius Commercial Bank Ltd                     | 867,363        | 635,192        | -              | -              |
| Bank of Maldives                                  | 1,293,625      | 1,442,489      | -              | -              |
| Barcelo Hotel Group Gulf DMCC                     | 2,963,472      | 1,505,758      | -              | -              |
| Bank of South Pacific                             | 62,414         | -              | -              | -              |
| Diamond Trust Bank                                | 4,612,155      | -              | -              | -              |
| James Finlay LTD                                  | 5,872,609      | -              | -              | -              |
|                                                   | 26,117,330     | 23,195,338     | 2,000,000      | 3,000,000      |

### 34.3 Security and Repayment Terms - Group

| Name of the Lending Institution                             | Nature of facility | Repayment Terms                                                                                                                                                                                                                                                    | Security                                                                                                                                                                  | Outstanding Balance as at 31 st March 2025<br>Rs.000 |
|-------------------------------------------------------------|--------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------|
| <b>Maturata Plantation Limited</b>                          |                    |                                                                                                                                                                                                                                                                    |                                                                                                                                                                           |                                                      |
| Commercial Bank OF Ceylon PLC                               | Term Loan          | To be repaid in 59 equal monthly instalment of Rs.16,700,0000 and a final instalment of Rs.14,700,000 payable on 26th of each month commencing one month from the date of disbursement.                                                                            | Floating Primary Registered mortgage bond totalling to Rs.1,500Mn Over Land 4 Building owned by Browns Properties [Pvt] Ltd                                               | 799,600                                              |
|                                                             |                    |                                                                                                                                                                                                                                                                    |                                                                                                                                                                           | 799,600                                              |
| <b>Browns Ari Resort [Pvt] Ltd - Maldives</b>               |                    |                                                                                                                                                                                                                                                                    |                                                                                                                                                                           |                                                      |
| People's Bank                                               | Term Loan          | 1) The term loan is to repaid within seven years including one year grace period from the date drawdown.<br>2) The tenor of the loan facility is 72 months from the first drawdown date under the agreement comprising of a grace period of 12 months + interest." | The facility was secured by a mortgage over head lease right of Browns Ari Resort Private Limited, situated in Bodufinolhu Island, South Ari Atoll, Republic of Maldives. | 1,378,015                                            |
| Bank of Maldives                                            | Term Loan          | The term loan is to repaid within 10 years including one year grace period from the date drawdown.                                                                                                                                                                 | Mortgage over head lease rights of Browns Ari Resort Pvt Ltd, situated in Bodufinolhu island , South Ari Atoll, Republic of Maldives                                      | 1,293,625                                            |
|                                                             |                    |                                                                                                                                                                                                                                                                    |                                                                                                                                                                           | 2,671,640                                            |
| <b>Samudra Beach Resorts (Private) Limited</b>              |                    |                                                                                                                                                                                                                                                                    |                                                                                                                                                                           |                                                      |
| Bank of Ceylon PLC                                          | Term Loan          | 60 monthly instalments + interest                                                                                                                                                                                                                                  | Primary mortgage over property and project assets at Hiddaruwa, Kosgoda                                                                                                   | 127,430                                              |
|                                                             | Term Loan          | 60 monthly instalments + interest                                                                                                                                                                                                                                  |                                                                                                                                                                           | 127,430                                              |
| <b>Browns Engineering &amp; Construction (FIJI) Pte Ltd</b> |                    |                                                                                                                                                                                                                                                                    |                                                                                                                                                                           |                                                      |
| Bank of South Pacific                                       | Term Loan          |                                                                                                                                                                                                                                                                    |                                                                                                                                                                           | 62,414                                               |
|                                                             |                    |                                                                                                                                                                                                                                                                    |                                                                                                                                                                           | 62,414                                               |

## Notes to the Financial Statements

| Name of the Lending Institution | Nature of facility | Repayment Terms                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Security                                                                                                                                                                                                                                                                                                                                                                                                         | Outstanding Balance as at 31 st March 2025<br>Rs.000 |
|---------------------------------|--------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------|
| <b>Browns Development Ltd</b>   |                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                      |
| National Development Bank PLC   | Term Loan          | 01] 12 monthly instalments X Rs 150,000,000.00 + interest<br>02] 24 monthly instalments X Rs 15,000,000.00 + interest<br>03] 27 monthly instalments X Rs 45,000,000.00 + interest<br>04] 30 monthly instalments X Rs 45,000,000.00 + interest<br>05] 33 monthly instalments X Rs 45,000,000.00 + interest<br>06] 36 monthly instalments X Rs 45,000,000.00 + interest<br>07] 39 monthly instalments X Rs 45,000,000.00 + interest<br>08] 42 monthly instalments X Rs 45,000,000.00 + interest<br>09] 45 monthly instalments X Rs 45,000,000.00 + interest<br>10] 48 monthly instalments X Rs 45,000,000.00 + interest<br>11] 51 monthly instalments X Rs 45,000,000.00 + interest<br>12] 54 monthly instalments X Rs 45,000,000.00 + interest<br>13] 57 monthly instalments X Rs 45,000,000.00 + interest<br>14] 60 monthly instalments X Rs 45,000,000.00 + interest<br>15] 63 monthly instalments X Rs 45,000,000.00 + interest<br>16] 66 monthly instalments X Rs 45,000,000.00 + interest<br>17] 69 monthly instalments X Rs 42,500,000.00 + interest<br>18] 72 monthly instalments X Rs 42,500,000.00 + interest<br>19] 75 monthly instalments X Rs 40,000,000.00 + interest<br>20] 78 monthly instalments X Rs 40,000,000.00 + interest<br>21] 81 monthly instalments X Rs 40,000,000.00 + interest<br>22] 84 monthly instalments X Rs 40,000,000.00 + interest<br>23] 87 monthly instalments X Rs 40,000,000.00 + interest<br>24] 90 monthly instalments X Rs 40,000,000.00 + interest<br>25] 93 monthly instalments X Rs 40,000,000.00 + interest<br>26] 96 monthly instalments X Rs 40,000,000.00 + interest | In year 2019 the company has fully settled Commercial Bank loan and obtained a Finance facility from National Development Bank. The amount of the loan facility is Rs. 1,200 Mn. The agreement to mortgage for Rs. 1,200 Mn to be executed over the land at No. 112, Havelock Road, Colombo 05, owned by the subsidiary. Repayment terms of the loan facility is in 26 tranches after grace period of 11 months. | 362,500                                              |
|                                 |                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                  | 362,500                                              |

| Name of the Lending Institution  | Nature of facility | Repayment Terms                                                                                                                                                                                                                                                                                                                                                                                                   | Security                                                                                                                                                                                                     | Outstanding Balance as at 31 st March 2025<br>Rs.000 |
|----------------------------------|--------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------|
| <b>Browns Investments PLC</b>    |                    |                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                              |                                                      |
| Sampath bank                     | Term Loan          | 10 Bi-annually instalments.                                                                                                                                                                                                                                                                                                                                                                                       | 1) Lien of 42,024,032 voting shares of Hatton National Bank of PLC.<br>2) Lien of 45,968,883 non voting shares of Hatton National Bank of PLC.                                                               | 2,000,000                                            |
|                                  |                    |                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                              | 2,000,000                                            |
| <b>NPH Investments Pvt Ltd</b>   |                    |                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                              |                                                      |
| Bank of Ceylon PLC               | Term Loan          | 105 monthly instalments with the grace period of 45 months and capital to be repaid over remaining 60 months. The term loan facility were extended by further 12 months from 105 months up to 117 months including 42 months of capital moratorium period and 6 months interest moratorium in addition to the already granted 9 months interest moratorium.                                                       | 1) Mortgage over the lease hold rights of Nasandhura Palace Hotel, Male, Maldives.<br>2) Joint and Several guarantee of Directors of the Company.<br>3) Corporate guarantee obtained from LOLC Holdings PLC. | 2,193,146                                            |
| Barcelo Hotel Group<br>Gulf DMCC |                    | Quarterly Instalments                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                              | 2,963,472                                            |
|                                  |                    |                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                              | 5,156,618                                            |
| <b>B Commodities ME (FZE)</b>    |                    |                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                              |                                                      |
| Peoples Bank                     | Term Loan          | 02 Years from the date of disbursement including 01 year grace period<br>Interest to be serviced monthly including grace period commencing one month after the 1st drawdown date<br>Capital to be settled by 12 monthly instalments after the expiry of the grace period as follows: USD 1,250,000*12= 15,000,000                                                                                                 | Personal guarantee by Directors of the Group                                                                                                                                                                 | 1,897,706                                            |
|                                  |                    |                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                              | 1,897,706                                            |
| <b>PL Resorts Limited</b>        |                    |                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                              |                                                      |
| Mauritius Commercial Bank Ltd    | Term Loan          | 1) 2 bi annual instalments X MUR 7,500,000 + interest<br>2) 2 bi annual instalments X MUR 10,000,000 + interest<br>3) 2 bi annual instalments X MUR 15,000,000 + interest<br>4) 2 bi annual instalments X MUR 20,000,000 + interest<br>5) 4 bi annual instalments X MUR 22,500,000 + interest<br>6) 3 bi annual instalments X MUR 27,500,000 + interest<br>7) 1 bi annual instalments X MUR 32,700,000 + interest | 1) Mortgage over the leasehold rights of lot 18B and 18C at Roches - Noires and lot 1A and 1B at Posta Lafayette                                                                                             | 867,363                                              |
|                                  |                    |                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                              | 867,363                                              |

## Notes to the Financial Statements

| Name of the Lending Institution               | Nature of facility | Repayment Terms                                                 | Security                                                        | Outstanding Balance as at 31 st March 2025<br>Rs.000 |
|-----------------------------------------------|--------------------|-----------------------------------------------------------------|-----------------------------------------------------------------|------------------------------------------------------|
| <b>Tropical Island Commodities [ Pvt] Ltd</b> |                    |                                                                 |                                                                 |                                                      |
| Commercial Bank of Ceylon PLC                 | Term Loan          | In 60 equal monthly instalments of Rs.5,000,000/- plus interest | Lien over saving account for USD 69,748.41                      | 150,000                                              |
|                                               |                    |                                                                 |                                                                 | 150,000                                              |
| <b>Browns Plantations Kenya Ltd</b>           |                    |                                                                 |                                                                 |                                                      |
| Diamond Trust Bank                            | Term Loan          | 36 monthly instalments                                          | Secured by land parcels LR 5469/LR 5470 and LR 7797/4 in Kenya. | 4,612,155                                            |
| Commercial Bank of Ceylon PLC                 | Team Loan          | 28 equal monthly instalments                                    | Corporate guarantee obtained from LOLC Holdings PLC             | 1,537,296                                            |
| James Finlay Limited -UK                      | Term Loan          | against the Finlay Tea Extracts Limited leased assets           | Secured leased assets Finlay Tea Extracts Limited               | 5,872,608                                            |
|                                               |                    |                                                                 |                                                                 | 12,022,059                                           |
| <b>Group Total</b>                            |                    |                                                                 |                                                                 | <b>26,117,330</b>                                    |

### 35 Lease liability

| As at 31st March                                  | Group             |                   | Company        |                |
|---------------------------------------------------|-------------------|-------------------|----------------|----------------|
|                                                   | 2025<br>Rs.000    | 2024<br>Rs.000    | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Balance at the beginning of the year              | 14,368,182        | 17,154,664        | -              | -              |
| Leases obtained during the year                   | 232,135           | 553,448           | -              | -              |
| Amortised interest                                | 1,300,577         | 2,599,744         | -              | -              |
| Lease rentals paid during the year                | (674,059)         | (4,772,063)       | -              | -              |
| Acquisition of subsidiaries                       | 5,157             | -                 | -              | -              |
| Effect of Amalgamation                            | (1,318)           | -                 | -              | -              |
| Disposal of Subsidiaries                          | -                 | (24,798)          | -              | -              |
| Exchange translation difference                   | (39,104)          | (1,142,813)       | -              | -              |
| <b>Balance at the end of the year</b>             | <b>15,191,570</b> | <b>14,368,182</b> | <b>-</b>       | <b>-</b>       |
| <b>Repayable within one year</b>                  |                   |                   |                |                |
| Gross lease rentals payable                       | 1,868,179         | 1,767,977         | -              | -              |
| Less: Unamortised finance cost                    | (1,407,831)       | (1,354,875)       | -              | -              |
| Net lease liability                               | 460,348           | 413,102           | -              | -              |
| <b>Repayable after one year before five years</b> |                   |                   |                |                |
| Gross lease rentals payable                       | 7,142,502         | 8,308,191         | -              | -              |
| Less: Unamortised finance cost                    | (5,169,582)       | (4,337,256)       | -              | -              |
| Net lease liability                               | 1,972,920         | 3,970,935         | -              | -              |
| <b>Repayable after five years</b>                 |                   |                   |                |                |
| Gross lease rentals payable                       | 37,815,507        | 34,763,609        | -              | -              |
| Less: Unamortised finance cost                    | (25,057,205)      | (24,779,464)      | -              | -              |
| Net lease liability                               | 12,758,302        | 9,984,145         | -              | -              |
| <b>Total</b>                                      | <b>15,191,570</b> | <b>14,368,182</b> | <b>-</b>       | <b>-</b>       |

## Notes to the Financial Statements

### 36 Retirement benefit obligations

| As at 31st March | Group  |        | Company |        |
|------------------|--------|--------|---------|--------|
|                  | 2025   | 2024   | 2025    | 2024   |
|                  | Rs.000 | Rs.000 | Rs.000  | Rs.000 |

#### 36.1 Movements of retirement benefit obligations

|                                                   |           |           |         |       |
|---------------------------------------------------|-----------|-----------|---------|-------|
| Balance at the beginning of the Year              | 3,496,124 | 2,313,742 | 5,194   | 4,592 |
| On acquisition of subsidiary                      | 690,170   | 1,173,406 | -       | -     |
| On disposal of subsidiary                         | -         | [46,065]  | -       | -     |
| Payments made during the year                     | [455,936] | [577,543] | [3,405] | [261] |
| Expenditure recognised in the income statement    | 953,697   | 338,384   | 1,743   | 1,412 |
| Expenses recognised to other comprehensive income | 686,775   | 187,584   | 758     | [549] |
| Transfers during the year                         | 235       | [228]     | -       | -     |
| Exchange translation difference                   | 47,215    | 106,844   | -       | -     |
| Balance as at the end of the Year                 | 5,418,280 | 3,496,124 | 4,290   | 5,194 |

#### Expenditure recognised in the statement of comprehensive income

|                      |         |         |       |       |
|----------------------|---------|---------|-------|-------|
| Current service cost | 677,070 | 33,452  | 675   | 643   |
| Interest costs       | 276,627 | 304,932 | 1,068 | 769   |
|                      | 953,697 | 338,384 | 1,743 | 1,412 |

#### Expenditure recognised other comprehensive income.

|                       |         |         |     |       |
|-----------------------|---------|---------|-----|-------|
| Actuarial (gain)/loss | 686,775 | 187,584 | 758 | [549] |
|                       | 686,775 | 187,584 | 758 | [549] |

The provision for retirement benefit obligations for the year is based on the actuarial valuation carried out by professionally qualified Actuaries, Messer. Actuarial & Management Consultants [Pvt] Ltd., as at 31st March 2025. This liability is not externally funded.

The Principal assumptions used by the Group

| As at 31st March        | Group     |           | Company   |           |
|-------------------------|-----------|-----------|-----------|-----------|
|                         | 2025      | 2024      | 2025      | 2024      |
|                         | Rs.000    | Rs.000    | Rs.000    | Rs.000    |
| Discount rate           | 11% - 13% | 12% - 14% | 11% - 13% | 12% - 14% |
| Future salary increment | 8% - 12%  | 8% - 12%  | 8% - 12%  | 8% - 12%  |
| Retirement age (Years)  | 55 - 60   | 55 - 60   | 55 - 60   | 55 - 60   |
| Staff turnover          | 5% - 20%  | 5% - 20%  | 5% - 20%  | 5% - 20%  |

### 36.2 Demographic Assumptions

In addition to the above, demographic assumptions such as mortality, withdrawal and disability, and retirement age were considered for the actuarial valuation. "A 67/07 mortality table" issued by the Institute of Actuaries, London was used to estimate the gratuity liability of the Group.

#### Sensitivity of assumptions employed in actuarial valuation

The sensitivity of the comprehensive income and the financial position to the effect of the assumed changes in discount rate and salary increment rate on the profit or loss and employment benefit obligation for the year.

| As at 31st March               | Discount rate |              | Salary escalation |              |
|--------------------------------|---------------|--------------|-------------------|--------------|
|                                | -1%<br>Rs.000 | 1%<br>Rs.000 | -1%<br>Rs.000     | 1%<br>Rs.000 |
| <b>Financial year 2025</b>     |               |              |                   |              |
| <b>Group</b>                   |               |              |                   |              |
| Impact on comprehensive income | [75,657]      | 78,350       | 87,232            | 81,233       |
| Impact on financial position   | 75,657        | [78,350]     | [87,232]          | [81,233]     |
| <b>Company</b>                 |               |              |                   |              |
| Impact on comprehensive income | [287]         | 322          | 314               | 348          |
| Impact on financial position   | 287           | [322]        | [314]             | [348]        |
| <b>Financial year 2024</b>     |               |              |                   |              |
| <b>Group</b>                   |               |              |                   |              |
| Impact on comprehensive income | [56,082]      | 58,280       | 84,239            | [82,944]     |
| Impact on financial position   | 56,082        | [58,280]     | [84,239]          | 82,944       |
| <b>Company</b>                 |               |              |                   |              |
| Impact on comprehensive income | [250]         | 271          | 289               | 272          |
| Impact on financial position   | 250           | [271]        | [289]             | [272]        |

### 36.3 Maturity analysis of the payments

The following payments are expected on employee benefit liabilities in future years

| As at 31st March               | Group            |                  | Company        |                |
|--------------------------------|------------------|------------------|----------------|----------------|
|                                | 2025<br>Rs.000   | 2024<br>Rs.000   | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Within the next 12 months      | 554,670          | 272,185          | 310            | 725            |
| Between 1 and 2 years          | 759,466          | 450,643          | 561            | 775            |
| Between 2 and 5 years          | 1,100,673        | 597,217          | 873            | 400            |
| Between 5 and 10 years         | 1,220,982        | 1,027,416        | 1,660          | 3,105          |
| Beyond 10 years                | 1,782,489        | 1,148,663        | 886            | 189            |
| <b>Total expected payments</b> | <b>5,418,280</b> | <b>3,496,124</b> | <b>4,290</b>   | <b>5,194</b>   |

## Notes to the Financial Statements

### 37 Deferred tax liabilities

#### 37.1 Recognised deferred tax liabilities

Deferred tax liabilities are attributable to the origination of following temporary differences:

| As at 31st March                                          | Group          |                | Company        |                |
|-----------------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                           | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Accelerated depreciation for tax purposes – Own assets    | 36,948,167     | 26,880,268     | 48,990         | [14,816]       |
| Accelerated depreciation for tax purposes – Leased assets | 35,172,568     | 48,817,754     | -              | -              |
| Revaluation of properties                                 | 65,580,512     | 33,844,848     | 46,000         | 35,000         |
| Investment property                                       | 6,825,157      | 10,971,695     | 1,377,619      | 1,179,134      |
| Lease receivables                                         | [294,860]      | [780,972]      | -              | -              |
| Unutilised tax losses                                     | [4,276,510]    | 10,223,729     | -              | -              |
| Provision for inventories                                 | [244,697]      | [51,885]       | -              | -              |
| Employee benefits                                         | [2,596,599]    | [1,742,947]    | [4,289]        | [5,194]        |
| General Provisions                                        | [573,931]      | [71,417]       | -              | -              |
| Consumable biological assets                              | 13,591,354     | 8,801,012      | -              | -              |
| Bearer biological assets                                  | 3,838,091      | 3,732,630      | -              | -              |
| Unrealised loss on exchange                               | [177,086]      | 2              | -              | -              |
| Other                                                     | 15,160,554     | 1,551,935      | -              | -              |
|                                                           | 168,952,720    | 142,176,652    | 1,468,320      | 1,194,124      |
| Total recognised deferred tax liabilities                 | 50,827,901     | 27,509,864     | 440,497        | 358,239        |

#### 37.2 Movement in recognised deferred tax liabilities

|                                                        |             |            |         |         |
|--------------------------------------------------------|-------------|------------|---------|---------|
| Balance at the beginning of the year                   | 27,509,864  | 12,423,879 | 358,239 | 268,609 |
| Origination / [reversal] to the income statement       | [1,931,267] | 3,820,855  | 64,540  | 89,465  |
| Acquisition of Subsidiaries                            | 21,798,482  | 11,193,410 | -       | -       |
| Disposal of Subsidiaries                               | -           | [861,840]  | -       | -       |
| Origination / [reversal] to other comprehensive income | 3,981,159   | 15,720     | 17,718  | 165     |
| Foreign currency translations                          | [530,337]   | 917,840    | -       | -       |
| Balance at the end of the year                         | 50,827,901  | 27,509,864 | 440,497 | 358,239 |

### 38 Deferred income

| As at 31st March                | Note | Group          |                | Company        |                |
|---------------------------------|------|----------------|----------------|----------------|----------------|
|                                 |      | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Capital grants                  | 38.1 | 300,218        | 311,995        | -              | -              |
| PHDT lease rentals              | 38.2 | 190            | 727            | -              | -              |
| Rain Forest Eco Lodge [Pvt] Ltd | 38.3 | 37,638         | 39,499         | -              | -              |
|                                 |      | 338,046        | 352,221        | -              | -              |

### 38.1 Capital grants

| As at 31st March                     | Group          |                | Company        |                |
|--------------------------------------|----------------|----------------|----------------|----------------|
|                                      | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>Total capital grants received</b> |                |                |                |                |
| Balance at the beginning of the year | 467,846        | 461,209        | -              | -              |
| Additions during the year            | 6,882          | 6,637          | -              | -              |
| Balance at the end of the year       | 474,728        | 467,846        | -              | -              |
| <b>Total Amortisation</b>            |                |                |                |                |
| Balance at the beginning of the year | 155,851        | 137,073        | -              | -              |
| Amortisation                         | 18,659         | 18,778         | -              | -              |
| Balance at the end of the year       | 174,510        | 155,851        | -              | -              |
|                                      | 300,218        | 311,995        | -              | -              |

The above capital grants represent the following:

The funds received from the Plantation Housing and Social Welfare Trust [PHSWT], MTIP, PDP and PHDT for the development of Workers' welfare facilities and improvement to institutional facilities.

The amount spent is capitalised under the relevant classification of property, plant and equipment and corresponding grant component is reflected under capital grants and is being amortised over the useful life span of the related asset.

Grants related to the biological assets which are measured at fair value less point to sell costs are directly charged to the carrying value of such assets in accordance with the applicable financial framework.

### 38.2 PHDT lease rentals

| As at 31st March                     | Group          |                | Company        |                |
|--------------------------------------|----------------|----------------|----------------|----------------|
|                                      | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Balance at the beginning of the year | 727            | 1,264          | -              | -              |
| Amortisation for the year            | (537)          | (537)          | -              | -              |
| Balance at the end of the year       | 190            | 727            | -              | -              |

Premises at St. Andrew's Drive in Nuwara Eliya has been leased out to Plantation Human Development Trust (PHDT) for a period of 20 years commencing from August 2005 at a total lease rental of Rs.10.7 Mn.

Lease rentals received are deferred and amortised over the lease period commencing from August 2005.

## Notes to the Financial Statements

### 38.3 Rain Forest Eco Lodge [Pvt] Ltd (RFELL)

| As at 31st March                     | Group          |                | Company        |                |
|--------------------------------------|----------------|----------------|----------------|----------------|
|                                      | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Balance at the beginning of the year | 39,499         | 41,360         | -              | -              |
| Amortisation for the year            | (1,861)        | (1,861)        | -              | -              |
| Balance at the end of the year       | 37,638         | 39,499         | -              | -              |

This represents the value of 6,399,375 nos. of ordinary shares received by Maturata Plantations Ltd equivalent to 20% of the issued ordinary shares of RFELL at Rs. 10/- each in lieu of releasing the leasehold rights of 488 hectares in Enselwatte Estate, Deniyaya for eco tourism project. The value of ordinary Shares are deferred and amortised over the unexpired balance lease period. However due to the rights issue shareholdings percentage has come down from 20% to 13.44%.

### 38.4 Maturity analysis

| As at 31st March                                   | Group          |                | Company        |                |
|----------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                    | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>PHDT lease rentals</b>                          |                |                |                |                |
| Not later than one year                            | 190            | 537            | -              | -              |
| Later than one year and not latter than five years | -              | 190            | -              | -              |
| Later than five years                              | -              | -              | -              | -              |
|                                                    | 190            | 727            | -              | -              |
| <b>Rain Forest Eco Lodge [Pvt] Ltd (RFELL)</b>     |                |                |                |                |
| Not later than one year                            | 1,861          | 1,861          | -              | -              |
| Later than one year and not latter than five years | 7,445          | 7,445          | -              | -              |
| Later than five years                              | 28,332         | 30,193         | -              | -              |
|                                                    | 37,638         | 39,499         | -              | -              |

### 39 Trade and other payables

| As at 31st March                     | Group          |                | Company        |                |
|--------------------------------------|----------------|----------------|----------------|----------------|
|                                      | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Trade payables                       | 26,353,157     | 15,772,874     | -              | -              |
| Value Added Tax payable              | 2,794,207      | 981,678        | -              | -              |
| Nation Building Tax payable          | 4,816          | 8,121          | -              | -              |
| Other tax payables                   | 1,124,113      | 600,216        | -              | -              |
| Staff payables                       | 1,491,561      | 1,206,995      | -              | -              |
| Interest payable                     | 58,938,267     | 35,254,717     | 51,703,171     | 33,087,230     |
| Accrued expenses                     | 3,934,423      | 2,008,868      | 24,280         | 20,942         |
| Dividend payable                     | 68,783         | 56,797         | -              | -              |
| Payable on a acquisition of property | 24,378,904     | 24,776,612     | -              | -              |
| Purchase consideration payable       | 15,825,836     | -              | -              | -              |
| Other payables                       | 6,348,373      | 9,519,553      | 10,225         | 10,225         |
| Advance received                     | 936,982        | 4,650,124      | -              | -              |
| Security deposits received           | 169,782        | 1,140,790      | -              | -              |
|                                      | 142,369,204    | 95,977,345     | 51,737,676     | 33,118,397     |

#### 40 Loans from related parties

##### 40.1 Due after one year

| As at 31st March                         | Group          |                | Company        |                |
|------------------------------------------|----------------|----------------|----------------|----------------|
|                                          | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| LOLC Holdings PLC                        | 685,541        | 1,224,409      | -              | -              |
| LOLC Asia Holdings [Pvt] Ltd             | -              | 6,431,833      | -              | -              |
| LOLC Financial Sector Holdings [Pvt] Ltd | -              | 3,915          | -              | -              |
|                                          | 685,541        | 7,660,157      | -              | -              |

##### 40.2 Due within one year

| As at 31st March                 | Group          |                | Company        |                |
|----------------------------------|----------------|----------------|----------------|----------------|
|                                  | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Palm Garden Hotels PLC           | -              | -              | -              | 5,000,000      |
| Patronus Holdings [Pvt] Ltd      | 1,329,471      | -              | -              | -              |
| LOLC Global [Pvt] Ltd            | 2,201,443      | 3,041,757      | -              | -              |
| Brown & Company PLC              | 16,066         | 59,917         | -              | -              |
| Green Paradise Resorts [Pvt] Ltd | -              | -              | 12,329         | 12,322         |
| I Pay Global FZC                 | 144,469        | 22,589         | -              | -              |
|                                  | 3,691,449      | 3,124,263      | 12,329         | 5,012,322      |

##### 40.3 Security and repayment terms of related party loans - Due within one year

| As at 31st March                 | Repayment | Security  | 2025            |                   |
|----------------------------------|-----------|-----------|-----------------|-------------------|
|                                  |           |           | Group<br>Rs.000 | Company<br>Rs.000 |
| Patronus Holdings [Pvt] Ltd      | On demand | Unsecured | 1,329,471       | -                 |
| LOLC Global [Pvt] Ltd            | On demand | Unsecured | 2,201,443       | -                 |
| Brown & Company PLC              | On demand | Unsecured | 16,065          | -                 |
| Green Paradise Resorts [Pvt] Ltd | On demand | Unsecured | -               | 12,329            |
| I Pay Global FZC                 | On demand | Unsecured | 144,469         | -                 |

## Notes to the Financial Statements

### 41 Amounts due to related parties

| As at 31st March                              | Group          |                | Company        |                |
|-----------------------------------------------|----------------|----------------|----------------|----------------|
|                                               | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>Amounts due to holding company</b>         |                |                |                |                |
| Brown & Company PLC                           | 876,865        | 113,778        | -              | 44,603         |
| LOLC Holdings PLC                             | 107,073,216    | 110,855,572    | 66,223,617     | 65,857,779     |
| <b>Amounts due to other related companies</b> |                |                |                |                |
| LOLC Technologies (Pvt) Ltd                   | 221,404        | 221,339        | -              | 31,536         |
| LOLC Motors Ltd                               | 2,128          | 1,779          | -              | 33             |
| LOLC Finance PLC                              | 2,332,798      | 1,679,556      | -              | 224            |
| LOLC Corporate Services (Pvt) Ltd             | 1,091          | 2,332          | -              | -              |
| LOLC Property Five (Pvt) Ltd                  | 18             | 6,879          | -              | -              |
| LOLC Finance Sector Holdings Ltd              | 118,600        | 38,841         | -              | 38,842         |
| Taprobane Plantations Ltd                     | 176,503        | 85,246         | 8              | -              |
| Browns Tours (Private) Limited                | 74,948         | 63,358         | -              | -              |
| Ceylon Roots Lanka (Pvt) Ltd                  | -              | -              | 11,673         | 11,771         |
| Hapugatenna Plantations PLC                   | -              | -              | 2,272          | -              |
| Iconic Trust (Pvt) Ltd                        | -              | -              | 1,916,787      | 2,238,050      |
| Browns Plantations Holdings (Pvt) Ltd         | -              | -              | -              | 10             |
| Patronus Holdings (Pvt) Ltd                   | 163,569        | -              | -              | -              |
| LOLC Asia Holdings Pvt Ltd                    | 2,199,135      | -              | -              | -              |
| Agstar PLC                                    | 103,617        | 85,575         | -              | -              |
| Fusion X Global FZC (UAE)                     | 102,152        | 3,406,189      | -              | -              |
| Chain Holdings (Pvt) Ltd                      | 12,084         | -              | -              | -              |
| Browns Leisure (Pvt) Ltd                      | 7,823          | -              | -              | -              |
| LOLC General Insurance Ltd                    | 636            | -              | -              | -              |
| NPH Development Pvt Ltd                       | 6,213          | -              | -              | -              |
| LOLC Finance Sectors Holding (Pvt) Ltd        | 226,661        | -              | 38,841         | -              |
| LOLC Motors (Pvt) Ltd                         | 33             | -              | 33             | -              |
| Serandib Leisure Management (Pvt) Ltd         | -              | -              | 2,662          | -              |
| Galaxy Enterprises Maldives (Pvt) Ltd         | 171,866        | -              | -              | -              |
| Sierra Cables PLC                             | -              | 74,977         | -              | -              |
| LOLC Corporate Services (Pvt) Ltd             | -              | -              | 100            | -              |
|                                               | 113,871,360    | 116,635,421    | 68,195,993     | 68,222,848     |

## 42 Income tax payable

| As at 31st March                                 | Group          |                | Company        |                |
|--------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                  | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Balance at the beginning of the year             | 368,138        | 997,565        | 125,053        | 125,053        |
| Current income tax expense                       | 439,873        | 306,152        | -              | 21,265         |
| Transfer to/from other liabilities               | (50,943)       | (40,379)       | -              | -              |
| Over/under provision in respect of previous year | (125,160)      | 21,265         | (125,053)      | -              |
| WHT Set off                                      | -              | (251)          | -              | -              |
| On acquisition of subsidiary                     | 325,854        | -              | -              | -              |
| On disposal of subsidiary                        | -              | (383,053)      | -              | -              |
| Transfer to income tax receivables               | 8,948          | 6,282          | -              | -              |
|                                                  | 966,710        | 907,581        | -              | 146,318        |
| <b>Payments made during the Year</b>             |                |                |                |                |
| Income tax                                       | (268,459)      | (539,443)      | -              | (21,265)       |
| Balance at the end of the year                   | 698,251        | 368,138        | -              | 125,053        |

## 43 Net assets per ordinary share

Computation of the net assets per ordinary share has been done based on the total equity attributable to equity Holders of the Company divided by the number of ordinary shares in issue as at the reporting date and calculated as follows.

| As at 31st March                                                      | Group       |             | Company     |             |
|-----------------------------------------------------------------------|-------------|-------------|-------------|-------------|
|                                                                       | 2025        | 2024        | 2025        | 2024        |
| Total equity attributable to equity holders of the Company (Rs 000)   | 195,168,518 | 129,601,555 | 195,168,518 | 129,601,555 |
| Number of ordinary shares in issue as at the reporting date (Nos 000) | 14,369,717  | 14,369,717  | 14,369,717  | 14,369,717  |
|                                                                       | 14,369,717  | 14,369,717  | 14,369,717  | 14,369,717  |
| Net assets per ordinary share (Rs.)                                   | 13.58       | 9.02        | 13.58       | 9.02        |

## 44 Related party disclosures

### Transactions with key management personnel

The Company and the Group carries out transactions in the ordinary course of business with the parties who are defined as related parties in Sri Lanka Accounting Standard – LKAS 24 (Related Party Disclosures), the details of which are reported below.

### Terms and conditions of transactions with related parties

The Group and Company carried out transactions in the ordinary course of business with the related entities. The list of Directors at each of the Subsidiary, Associate Companies and parent companies have been disclosed in the Group directory under note 44.2 of the Annual Report.

### Non-recurrent related party transactions

There were no any non-recurrent related party transactions which aggregate value exceeds 10% of the equity or 5% of the total assets whichever is lower of the Company as at 31 March 2025 audited Financial Statements, which required additional disclosures in the 2024/25 Financial Statements under Colombo Stock Exchange listing Rule 9.3.2 and Code of Best Practices on Related Party Transactions under the Security Exchange Commission Directive issued under Section 13 (c) of the Security Exchange Commission Act.

### Recurrent related party transactions

All the transactions which are disclosed under note 44.4 with Related Parties which are recurrent, of revenue or trading nature and which is necessary for day-to-day operations of the Company and Subsidiaries, in the opinion of the Related Party Transactions Review Committee, terms for all these transactions are not favourable to the Related Party than those generally available to the public.

Except note 44.4.3 - 44.4.4, there were no any recurrent related party transactions which in aggregate value exceeds 10% of the consolidated revenue of the Group as per 31 March 2025 audited Financial Statements, which required additional disclosures in the 2024/25 Annual Report under Colombo Stock Exchange listing Rule 9.3.2 and Code of Best Practices on Related Party Transactions under the Security Exchange Commission Directive issued under Section 13 (c) of the Security Exchange Commission Act.

| As at 31st March      | Group   |        | Company |        |
|-----------------------|---------|--------|---------|--------|
|                       | 2025    | 2024   | 2025    | 2024   |
|                       | Rs.000  | Rs.000 | Rs.000  | Rs.000 |
| Director's emoluments | 109,810 | 91,830 | 13,429  | 13,429 |

[illegible]

| Name of the Company                       | Abbreviations | Nature of the Relationship |
|-------------------------------------------|---------------|----------------------------|
| Green Paradise Resorts (Private) Ltd      | GPR           | Subsidiary                 |
| Grey Reach Investments Ltd (GRIL)         | GRIL          | Subsidiary                 |
| Gurind Accor (Pvt) Ltd                    | GURIND        | Subsidiary                 |
| Hapugastenne Plantation PLC               | HPL           | Subsidiary                 |
| Hotel Sigiriya PLC                        | SIGIRIYAPLC   | Subsidiary                 |
| ICONIC Trust (Private) Ltd                | ICONICTRUST   | Subsidiary                 |
| LOLC Investment Holding Four (Pvt) Ltd    | LOLCINV4      | Subsidiary                 |
| Maturata Plantation Ltd                   | MATURATA      | Subsidiary                 |
| Millennium Development Ltd                | MDL           | Subsidiary                 |
| NPH Investments (Pvt) Ltd                 | NPHI          | Subsidiary                 |
| Palm Garden Hotels PLC                    | PGH           | Subsidiary                 |
| PL Resorts Ltd                            | PLRESORTS     | Subsidiary                 |
| Riverina Resort (Private) Ltd             | RRL           | Subsidiary                 |
| Sanctuary Resorts Lanka (Pvt) Ltd         | SANCTUARY     | Subsidiary                 |
| Serendib Hotels PLC                       | SHOTPLC       | Subsidiary                 |
| Serendib Leisure Mgt Ltd                  | LEISUREMGT    | Subsidiary                 |
| Sierra Cables PLC                         | SCABLE        | Subsidiary                 |
| Browns Development Ltd                    | BDEV          | Subsidiary                 |
| Browns Piling (Pvt) Ltd                   | BPILING       | Subsidiary                 |
| Samudra Beach Resorts (Private) Ltd       | SBRL          | Subsidiary                 |
| Sun & Fun Resorts (Private) Ltd           | SUNFUN        | Subsidiary                 |
| Sunbird Bioenergy (SL) Ltd                | SBSLL         | Subsidiary                 |
| Sunsun Boutique Hotels Ltd                | SBHL          | Subsidiary                 |
| Tea Leaf Resort Limited                   | TEALEAF       | Subsidiary                 |
| Tropical Island Commodities (Private) Ltd | TROPICAL      | Subsidiary                 |
| Tropical Villas (Private) Ltd             | TVL           | Subsidiary                 |
| Udapussellawa Plantation PLC              | UPL           | Subsidiary                 |
| Browns East Africa Plantations Ltd        | BEAP          | Subsidiary                 |
| Browns Plantations Rwanda Ltd             | BPRL          | Subsidiary                 |
| Limuru PLC                                | LIMURU        | Subsidiary                 |
| Browns Tea Trading FZCO                   | BTTF          | Subsidiary                 |

#### 44.3 Substantial shareholding and immediate and ultimate parent company

The Company's parent entity is Brown & Company PLC which holds 64.55% of the issued ordinary shares of the Company as at the reporting date. The ultimate controlling party of the Group is LOLC Holdings PLC .

#### 44.4 Transactions with Related Parties

All related party transactions are conducted at management-agreed terms, consistent with transfer pricing protocols. All related party outstanding balances at year-end are unsecured and are to be settled in cash. Interest- bearing borrowings are at pre-determined interest rates and terms, based on the risk profiles of the related entities.

## Notes to the Financial Statements

### Transactions of Browns Investments PLC with related companies

| As at 31st March               | Note   | Company        |                |
|--------------------------------|--------|----------------|----------------|
|                                |        | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>Subsidiaries</b>            |        |                |                |
| Fund transfers in              | 44.4.1 | 6,324,675      | 12,971,121     |
| Fund transfers out             | 44.4.1 | 14,669,979     | 1,882,700      |
| Loans                          |        |                |                |
| Granted                        | 44.4.2 | -              | 483,543        |
| Recovered                      | 44.4.2 | 10,000         | 7,000,069      |
| Obtained                       | 44.4.3 | -              | -              |
| Settled                        | 44.4.3 | -              | -              |
| Interest                       |        |                |                |
| Income                         | 44.4.4 | 9,722,779      | 13,754,916     |
| Expense                        | 44.4.4 | 903,725        | 20,515         |
| Payments made on behalf        | 44.4.5 | 441,426        | 1,920,505      |
| Expenses transferred from      | 44.4.5 | 216,219        | 50,076         |
| Investments in subsidiaries    | 44.4.6 | 136,257        | 880,401        |
| Rental income                  | 44.4.7 | -              | -              |
| <b>Other related companies</b> |        |                |                |
| Fund transfers in              | 44.4.1 | 39,179,901     | 15,489,765     |
| Fund transfers out             | 44.4.1 | 37,524,252     | 29,084,000     |
| Loans                          |        |                |                |
| Obtained                       | 44.4.3 | -              | 456,500        |
| Settled                        | 44.4.3 | -              | 444,000        |
| Interest                       |        |                |                |
| Income                         | 44.4.4 | 13,963         | 72,728         |
| Expense                        | 44.4.4 | 17,739,626     | 26,033,606     |
| Payments made on behalf        | 44.4.5 | 13,963         | 110            |
| Expenses transferred from      | 44.4.5 | 491,512        | 332,871        |
| Rental income                  | 44.4.7 | 531            | 531            |

#### 44.4.1 Following funds transferred received and made by Browns Investments PLC with its subsidiaries and related entities

| As at 31st March                            | 2025               |                     | 2024               |                     |
|---------------------------------------------|--------------------|---------------------|--------------------|---------------------|
|                                             | Funds in<br>Rs.000 | Funds out<br>Rs.000 | Funds in<br>Rs.000 | Funds out<br>Rs.000 |
| <b>Company</b>                              |                    |                     |                    |                     |
| <b>Subsidiaries</b>                         |                    |                     |                    |                     |
| Samudra Beach Resorts (Pvt) Ltd             | 8,000              | 349,700             | 54,000             | 455,000             |
| Browns Hotels & Resorts Ltd                 | -                  | -                   | 723                | -                   |
| BI Commodities and Logistics (Pvt) Ltd      | 5,000              | -                   | 40,000             | -                   |
| B G Air Services (Pvt) Ltd                  | 98,500             | 219,000             | 181,500            | 318,500             |
| Browns Engineering & Construction (Pvt) Ltd | 4,441,315          | 6,217,908           | 5,509,000          | 443,000             |
| Palm Garden Hotels PLC                      | -                  | 5,000,000           | 5,432,383          | -                   |
| Udupusellawa Plantations PLC                | -                  | -                   | 56,411             | 27,000              |
| Hapugastenna Plantations PLC                | -                  | -                   | 297,104            | 293,000             |
| Tropical Island Commodities (Pvt) Ltd       | -                  | -                   | 1,400,000          | 340,000             |
| Browns Metal and Sands (Pvt) Ltd            | -                  | -                   | -                  | 6,200               |
| Browns Properties (Pvt) Ltd                 | -                  | 23,600              | -                  | -                   |
| Excel Global Holdings (Pvt) Ltd             | 1,920              | -                   | -                  | -                   |
| Brown & Co, PLC                             | -                  | 120,456             | -                  | -                   |
| Maturata Plantations Ltd                    | 10,000             | -                   | -                  | -                   |
| Gurined Accor (Pvt) Ltd                     | -                  | 60,000              | -                  | -                   |
| B commodities ME FZE                        | -                  | 6,263               | -                  | -                   |

| As at 31st March<br>Company            | 2025               |                     | 2024               |                     |
|----------------------------------------|--------------------|---------------------|--------------------|---------------------|
|                                        | Funds in<br>Rs.000 | Funds out<br>Rs.000 | Funds in<br>Rs.000 | Funds out<br>Rs.000 |
| Browns Power Holdings [ Pvt] Ltd       | 29,000             | 500,000             | -                  | -                   |
| Ajax Engineers [ Pvt] Ltd              | -                  | 33,118              | -                  | -                   |
| Serandib Leisure Management [ Pvt] Ltd | 4,886              | -                   | -                  | -                   |
| Iconic Trust [ Pvt] Ltd                | 191,380            | 708,154             | -                  | -                   |
| Udapuswellawa Plantations Ltd          | 5,748              | 35,400              | -                  | -                   |
| Hapugastana Plantations Ltd            | 281,926            | -                   | -                  | -                   |
| LOLC Holding Four [ Pvt] Ltd           | -                  | -                   | -                  | -                   |
| Tropical Commodities [ Pvt] Ltd        | 1,244,000          | 1,354,000           | -                  | -                   |
| Browns Piling [ Pvt] Ltd               | -                  | 8,380               | -                  | -                   |
| Browns Global Farm [Pvt] Ltd           | 3,000              | -                   | -                  | -                   |
| Dolphin Hotels PLC                     | -                  | 17,000              | -                  | -                   |
| Hotel Sigiriya PLC                     | -                  | 17,000              | -                  | -                   |
|                                        | 6,324,675          | 14,669,979          | 12,971,121         | 1,882,700           |
| <b>Other related companies</b>         |                    |                     |                    |                     |
| LOLC Holdings PLC                      | 39,179,901         | 37,522,952          | 15,489,765         | 29,084,000          |
| LOLC Corporate Services [ Pvt] Ltd     | -                  | 1,300               | -                  | -                   |
|                                        | 39,179,901         | 37,524,252          | 15,489,765         | 29,084,000          |

#### 44.4.2 Loans granted to Related Companies

The Company has granted and recovered the following Loan balances during the year

| As at 31st March<br>Company | 2025                       |                             | 2024                       |                             |
|-----------------------------|----------------------------|-----------------------------|----------------------------|-----------------------------|
|                             | Loans<br>granted<br>Rs.000 | Loan<br>recovered<br>Rs.000 | Loans<br>granted<br>Rs.000 | Loan<br>recovered<br>Rs.000 |
| <b>Subsidiaries</b>         |                            |                             |                            |                             |
| Ajax Engineers [Pvt] Ltd    | -                          | -                           | 483,543                    | 220,743                     |
| Maturata Plantation Ltd     | -                          | 10,000                      | -                          | 1,000,000                   |
| Eden Hotel Lanka PLC        | -                          | -                           | -                          | 5,779,326                   |
|                             | -                          | 10,000                      | 483,543                    | 7,000,069                   |

#### 44.4.3 Loans received/ settled from related companies

The Company has obtained and settled the following loan balances during the year

| As at 31st March<br>Company    | 2025                        |                           | 2024                        |                           |
|--------------------------------|-----------------------------|---------------------------|-----------------------------|---------------------------|
|                                | Loans<br>obtained<br>Rs.000 | Loan<br>settled<br>Rs.000 | Loans<br>obtained<br>Rs.000 | Loan<br>settled<br>Rs.000 |
| <b>Other related companies</b> |                             |                           |                             |                           |
| Brown & Company PLC            | -                           | -                         | 456,500                     | 394,000                   |
| Ishara Traders [Pvt] Ltd       | -                           | -                         | -                           | 50,000                    |
|                                | -                           | -                         | 456,500                     | 444,000                   |

## Notes to the Financial Statements

### 44.4.4 The Company has earned interest income and incurred interest expenses from following related parties during the year

| As at 31st March                            | 2025                      |                             | 2024                      |                             |
|---------------------------------------------|---------------------------|-----------------------------|---------------------------|-----------------------------|
|                                             | Interest income<br>Rs.000 | Interest expenses<br>Rs.000 | Interest income<br>Rs.000 | Interest expenses<br>Rs.000 |
| Company                                     |                           |                             |                           |                             |
| <b>Subsidiaries</b>                         |                           |                             |                           |                             |
| Ajax Engineers (Pvt) Ltd                    | 707,181                   | -                           | 883,230                   | -                           |
| Riverina Resort (Pvt) Ltd                   | 167,157                   | -                           | 220,680                   | -                           |
| Sun & Fun Resorts (Pvt) Ltd                 | 235,398                   | -                           | 310,735                   | -                           |
| Maturata Plantation Ltd                     | 955,137                   | -                           | 1,495,034                 | -                           |
| Browns Hotels and Resorts Ltd               | 201,669                   | -                           | 99,690                    | -                           |
| Palm Garden Hotels PLC                      | -                         | 894,160                     | 265,520                   | 11,897                      |
| Millennium Development Ltd                  | 136,552                   | -                           | 180,276                   | -                           |
| Creations Wooden Fabricators (Pvt) Ltd      | -                         | -                           | 56,220                    | -                           |
| Gurind Accor (Private) Limited              | 24,991                    | -                           | 24,296                    | -                           |
| B Commodities ME FZE                        | 43,090                    | -                           | 33,185                    | -                           |
| Browns Properties (Pvt) Ltd                 | 12,747                    | -                           | -                         | 5,575                       |
| Samudra Beach Resorts (Pvt) Ltd             | 1,835,284                 | -                           | 2,342,861                 | -                           |
| BI Commodities and Logistics (Pvt) Ltd      | 288,664                   | 7,677                       | 388,303                   | -                           |
| B G Air Services (Pvt) Ltd                  | 247,665                   | -                           | 301,425                   | -                           |
| Eden Hotel Lanka PLC                        | 337,617                   | -                           | 1,376,110                 | -                           |
| Browns Engineering & Construction (Pvt) Ltd | 2,999,494                 | -                           | 3,804,114                 | -                           |
| Browns Tours (Pvt) Ltd                      | 18,048                    | -                           | 23,827                    | -                           |
| Tropical Island Commodities (Pvt) Ltd       | 101,392                   | -                           | 291,593                   | -                           |
| Green Paradise Resorts (Pvt) Ltd            | -                         | 1,888                       | -                         | 3,043                       |
| Sierra Piling (Pvt) Ltd                     | 152,236                   | -                           | 186,037                   | -                           |
| Browns Power Holdings (Pvt) Ltd             | 377,442                   | -                           | 517,578                   | -                           |
| Hapugatenna Plantation PLC                  | 15,143                    | -                           | 83,260                    | -                           |
| Iconic Trust (Pvt) Ltd                      | -                         | -                           | 23,461                    | -                           |
| Browns Metal and Sands (Pvt) Ltd            | 143,262                   | -                           | 181,591                   | -                           |
| NPH Investments (Pvt) Ltd                   | 122,241                   | -                           | 169,117                   | -                           |
| LOLC Investments Holdings 4 (Pvt) Ltd       | 447,631                   | -                           | 493,482                   | -                           |
| Bodufaru Beach Resorts (Pvt) Ltd            | -                         | -                           | 2,844                     | -                           |
| Browns Ari Resorts (Pvt) Ltd                | 2,491                     | -                           | 447                       | -                           |
| Browns Raa Resorts (Pvt) Ltd                | 77,019                    | -                           | -                         | -                           |
| Sierra Cable PLC                            | 73,228                    | -                           | -                         | -                           |
|                                             | 9,722,779                 | 903,725                     | 13,754,916                | 20,515                      |
| <b>Other related companies</b>              |                           |                             |                           |                             |
| LOLC Holdings PLC                           | -                         | 17,700,966                  | -                         | 26,033,606                  |
| Brown & Company PLC                         | 4,686                     | 38,660                      | -                         | -                           |
| Sierra Cables PLC                           | -                         | -                           | 72,728                    | -                           |
| Ishara Traders (Pvt) Ltd                    | 9,277                     | -                           | -                         | -                           |
|                                             | 13,963                    | 17,739,626                  | 72,728                    | 26,033,606                  |

| Name of the Company | Relationship             | Nature of the transactions | Aggregate value | As a % of gross revenue | Terms and conditions                            |
|---------------------|--------------------------|----------------------------|-----------------|-------------------------|-------------------------------------------------|
| LOLC Holdings PLC   | Ultimate holding company | Interest expenses          | 17,700,966      | 27%                     | Unsecured loan at interest rate of AWPLR + 7.5% |

44.4.5 Following companies have incurred expenses on behalf of the Company has incurred Group Expenses on behalf of the other related companies during the year basis as follows;

| As at 31st March                                 | 2025                              |                                     | 2024                              |                                     |
|--------------------------------------------------|-----------------------------------|-------------------------------------|-----------------------------------|-------------------------------------|
|                                                  | Expenses transferred to<br>Rs.000 | Expenses transferred from<br>Rs.000 | Expenses transferred to<br>Rs.000 | Expenses transferred from<br>Rs.000 |
| <b>Subsidiaries</b>                              |                                   |                                     |                                   |                                     |
| BI Commodities and Logistics (Pvt) Ltd           | 7,677                             | -                                   | 420                               | -                                   |
| B G Air Services (Pvt) Ltd                       | -                                 | -                                   | -                                 | -                                   |
| Bodufaru Beach Resort (Pvt) Ltd                  | -                                 | -                                   | 1,924                             | -                                   |
| Browns Ari Resort (Pvt) Ltd                      | -                                 | -                                   | 19,296                            | -                                   |
| NPH Investments (Pvt) Ltd                        | -                                 | -                                   | 324,294                           | -                                   |
| Browns Metal & Sands (Pvt) Ltd                   | 29,172                            | -                                   | -                                 | -                                   |
| Browns Power Holding Ltd                         | 14,523                            | -                                   | -                                 | -                                   |
| Sunbird Bioenergy (SL) Ltd                       | 272,051                           | -                                   | 253,537                           | -                                   |
| Millennium Development (Pvt) Ltd                 | -                                 | -                                   | -                                 | -                                   |
| Maturata Plantation Ltd                          | 11,036                            | -                                   | 229                               | -                                   |
| B Commodities ME FZE                             | -                                 | -                                   | 89,120                            | -                                   |
| Browns Global Farm (Pvt) Ltd                     | 107                               | -                                   | -                                 | -                                   |
| Browns Engineering & Construction (Pvt) Ltd      | -                                 | 14,523                              | -                                 | 4,400                               |
| Excel Global Holding (Pvt) Ltd                   | 153                               | -                                   | 133                               | -                                   |
| BI Zhongtian Holdings (Pvt) Ltd                  | -                                 | -                                   | -                                 | -                                   |
| Browns Teas (Pvt) Ltd                            | 107                               | -                                   | 98                                | -                                   |
| Ceylon Roots Lanka (Pvt) Ltd                     | -                                 | -                                   | 63                                | -                                   |
| Browns Metal & Sands (Pvt) Ltd                   | -                                 | -                                   | 25,389                            | -                                   |
| Creations Construction and Engineering (Pvt) Ltd | -                                 | -                                   | 115                               | -                                   |
| Browns Plantations Holdings (Pvt) Ltd            | 78                                | -                                   | 224                               | -                                   |
| Samudra Beach Resorts (Pvt) Ltd                  | -                                 | -                                   | 8                                 | -                                   |
| Ceylon Real Estate (Pvt) Ltd                     | -                                 | -                                   | 1,242                             | -                                   |
| Marina Hotel Holdings (Pvt) Ltd                  | -                                 | -                                   | 63,694                            | -                                   |
| Colombo Marina Development (Pvt) Ltd             | -                                 | -                                   | 315,128                           | -                                   |
| Serendib Leisure Management Ltd                  | 2,660                             | -                                   | 27,509                            | -                                   |
| Hapugastenne Plantations PLC                     | 3,742                             | 5,533                               | 4,237                             | -                                   |
| Udapussellawa Plantations PLC                    | -                                 | -                                   | 395,220                           | -                                   |
| Iconic Trust (Pvt) Ltd                           | -                                 | 195,512                             | -                                 | 45,676                              |
| Sierra Piling (Pvt) Ltd                          | 24                                | -                                   | 10                                | -                                   |
| Tropical Island Commodities (Pvt) Ltd            | -                                 | 651                                 | 1,277                             | -                                   |
| BI Leisure Holdings ME FZE                       | -                                 | -                                   | 2,118                             | -                                   |
| LOLC investment Holdings Four (Pvt) Ltd          | 75,440                            | -                                   | 395,220                           | -                                   |
| Sierra Cable PLC                                 | 24,500                            | -                                   | -                                 | -                                   |
| Dolphin Hotels PLC                               | 78                                | -                                   | -                                 | -                                   |
| Hotel Sigiriya PLC                               | 78                                | -                                   | -                                 | -                                   |
|                                                  | 441,426                           | 216,219                             | 1,920,505                         | 50,076                              |
| <b>Other related companies</b>                   |                                   |                                     |                                   |                                     |
| LOLC Advanced Technologies (Pvt) Ltd             | -                                 | 15,788                              | -                                 | 12,785                              |
| Brown & Company PLC                              | -                                 | 38,660                              | -                                 | -                                   |
| Sierra Cables PLC                                | -                                 | -                                   | 110                               | -                                   |
| LOLC Holdings PLC                                | -                                 | 437,064                             | -                                 | 320,086                             |
|                                                  | -                                 | 491,512                             | 110                               | 332,871                             |

## Notes to the Financial Statements

44.4.6 The Company has made the following new investments during the year.

| As at 31st March                     | Company        |                |
|--------------------------------------|----------------|----------------|
|                                      | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>Subsidiaries</b>                  |                |                |
| Ceylon Real Estate (Pvt) Ltd         | 446            | -              |
| Marina Hotel Holdings (Pvt) Ltd      | 2,740          | 318,749        |
| Colombo Marina Development (Pvt) Ltd | 133,071        | 103,992        |
| Browns Plantation Holdings (Pvt) Ltd | -              | 457,660        |
|                                      | 136,257        | 880,401        |

44.4.7 Company earned rental income from following companies during the year;

| As at 31st March               | Company        |                |
|--------------------------------|----------------|----------------|
|                                | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>Other related companies</b> |                |                |
| LOLC Holdings PLC              | 531            | 531            |
|                                | 531            | 531            |

### 45 Contingent liabilities and assets

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefits is not probable or cannot be readily measured as defined in the Sri Lanka Accounting Standard – LKAS 37 [Provisions, Contingent Liabilities and Contingent Assets].

In the normal course of business, the Group makes various commitments and incurs certain contingent liabilities with legal recourse to its customers. No material losses are anticipated as a result of these transactions.

To meet the financial needs of customers and subsidiaries, the Company/ Group enters into various irrevocable commitments and contingent liabilities. These consist of financial guarantees, letter of credit and other undrawn commitments to lend. Letter of credit, guarantees and acceptance commit the group to make payments on behalf of customers or subsidiaries in the event of a specific act, generally related to the import or export of goods. Guarantees and standby letters of credit carry a similar credit risk to loans.

Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless its occurrence is remote.

Operating lease commitments of the Group (as a lessor and as a lessee) form part of commitments and pending legal claims against the Group form part of contingencies.

In the normal course of business, the group makes various irrevocable commitments and incurs certain contingent liabilities with legal recourse to its customers. Even though these obligations may not be recognised on the date of the Statement of Financial Position, they do contain credit risk and are therefore form part of the overall risk profile of the group.

#### 45.1 Contingent liabilities

| As at 31st March                                                   | Group          |                | Company        |                |
|--------------------------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                                    | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Guarantees issued to banks and other institutions                  | -              | 200,000        | -              | -              |
| Corporate guarantees given to subsidiary companies to obtain loans | 4,939,863      | 11,380,000     | 4,859,600      | 11,380,000     |
| Performance bonds                                                  | 1,741,269      | 1,116,886      | -              | -              |
|                                                                    | 6,681,132      | 12,696,886     | 4,859,600      | 11,380,000     |

#### 45.2 Commitments

|                             |            |            |   |   |
|-----------------------------|------------|------------|---|---|
| Letter of credits opened    | 874,116    | -          | - | - |
| Operating lease commitments | 39,834,699 | 37,184,011 | - | - |
|                             | 40,708,815 | 37,184,011 | - | - |

#### 45.3 Contingent assets

There are no contingent assets which require adjustment to or disclosure in financial statement as at the reporting date.

#### 46 Capital Commitment

| As at 31st March                                                  | Group          |                | Company        |                |
|-------------------------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                                   | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| <b>Commitments in relation to property, plant &amp; equipment</b> |                |                |                |                |
| Approved and contacted for                                        | 14,382,098     | 3,904,873      | -              | -              |
| Approved but not contacted for                                    | 34,765,414     | 38,559,127     | -              | -              |
|                                                                   | 49,147,512     | 42,464,000     | -              | -              |

#### 46.1 Company

There have been no capital commitments contracted but not provided for, or authorised by the board but not contracted for, outstanding as at the reporting date.

#### 46.2 Group

##### Bodufaru Beach Resort Private Limited

The Board of Directors of Bodufaru Beach Resort Private Limited has approved US\$ 102 Mn budget for the construction of a tourist resort in Republic of Maldives.

##### Colombo Marina Developments [ Pvt] Ltd

The Board of Directors of Colombo Marina Developments Private Limited has approved US\$ 47.5 Mn budget for the construction of a luxury retail mall and a world-class events hall at the Port City Colombo.

##### Riverina Resort (Private) Limited

Capital Commitments of Riverina Resort (Private) Limited as at 31st March amounted to Rs. 4,538 Mn.

##### Sierra Cables PLC

The Board of Directors of Sierra Cables PLC has approved a budget allocation of LKR 211 Mn for the construction of the main stores building and LKR 116 Mn for the construction of a factory building.

## Notes to the Financial Statements

### 46.3 Operating lease commitments

| As at 31st March           | Group          |                | Company        |                |
|----------------------------|----------------|----------------|----------------|----------------|
|                            | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Within one year            | 1,543,952      | 1,381,317      | -              | -              |
| Between one and five years | 5,996,015      | 7,176,795      | -              | -              |
| More than five years       | 32,294,732     | 28,625,900     | -              | -              |
|                            | 39,834,699     | 37,184,012     | -              | -              |

### 47 Assets pledged as collaterals

Assets pledged as collaterals by the Group

| Name of financial institution                  | Nature of the facility | Security                                                                                                                                                                                                                                                                                                                                                                                                         | Outstanding Balance as at 31 st March 2025<br>Rs.'000 |
|------------------------------------------------|------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|
| <b>Maturata Plantation Limited</b>             |                        |                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                       |
| Sampath Bank PLC                               | Term Loan              | Floating Primary registered mortgage bond totalling to Rs. 1,500,000,000 over Land & Building owned by Browns Properties Ltd                                                                                                                                                                                                                                                                                     | 799,600                                               |
|                                                |                        |                                                                                                                                                                                                                                                                                                                                                                                                                  | 799,600                                               |
| <b>Browns Ari Resort (Pvt) Ltd - Maldives</b>  |                        |                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                       |
| People's Bank PLC                              | Term Loan              | The facility was secured by a mortgage over head lease right of Browns Ari Resort Private Limited, situated in Bodufinolhu Island, South Ari Atoll, Republic of Maldives.                                                                                                                                                                                                                                        | 1,378,014                                             |
| Bank of Maldives                               | Term Loan              | Mortgage over head lease rights of Browns Ari Resort Pvt Ltd, situated in Bodufinolhu island , South Ari Atoll, Republic of Maldives                                                                                                                                                                                                                                                                             | 1,293,625                                             |
|                                                |                        |                                                                                                                                                                                                                                                                                                                                                                                                                  | 2,671,640                                             |
| <b>Samudra Beach Resorts (Private) Limited</b> |                        |                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                       |
| Bank of Ceylon PLC                             | Term Loan              | Primary mortgage over property and project assets at Hiddaruwa, Kosgoda                                                                                                                                                                                                                                                                                                                                          | 127,430                                               |
|                                                |                        |                                                                                                                                                                                                                                                                                                                                                                                                                  | 127,430                                               |
| <b>Sierra Development Ltd</b>                  |                        |                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                       |
| National Development Bank PLC                  | Term Loan              | In year 2019 the company has fully settled Commercial Bank loan and obtained a Finance facility from National Development Bank. The amount of the loan facility is Rs. 1,200 Mn. The agreement to mortgage for Rs. 1,200 Mn to be executed over the land at No. 112, Havelock Road, Colombo 05, owned by the subsidiary. Repayment terms of the loan facility is in 26 tranches after grace period of 11 months. | 362,500                                               |
|                                                |                        |                                                                                                                                                                                                                                                                                                                                                                                                                  | 362,500                                               |
| <b>Browns Investments PLC</b>                  |                        |                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                       |
| Sampath bank                                   | Term Loan              | 1) Lien of 42,024,032 voting shares of Hatton National Bank of PLC.<br>2) Lien of 45,968,883 non voting shares of Hatton National Bank of PLC.                                                                                                                                                                                                                                                                   | 2,000,000                                             |
|                                                |                        |                                                                                                                                                                                                                                                                                                                                                                                                                  | 2,000,000                                             |
| <b>NPH Investments Pvt Ltd</b>                 |                        |                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                       |
| Bank of Ceylon PLC                             | Term Loan              | 1) Mortgage over the lease hold rights of Nasandhura Palace Hotel, Male, Maldives.<br>2) Joint and Several guarantee of Directors of the Company.<br>3) Corporate guarantee obtained from LOLC Holdings PLC.                                                                                                                                                                                                     | 2,193,146                                             |
| Barcelo Hotel Group Gulf DMCC                  |                        |                                                                                                                                                                                                                                                                                                                                                                                                                  | 2,963,472                                             |
|                                                |                        |                                                                                                                                                                                                                                                                                                                                                                                                                  | 5,156,618                                             |

| Name of financial institution                 | Nature of the facility | Security                                                                                                                     | Outstanding Balance as at 31 st March 2025<br>Rs.'000 |
|-----------------------------------------------|------------------------|------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|
| <b>B Commodities ME (FZE)</b>                 |                        |                                                                                                                              |                                                       |
| Peoples Bank                                  | Term Loan              | Personal guarantee by Directors of the Group                                                                                 | 1,897,706                                             |
|                                               |                        |                                                                                                                              | 1,897,706                                             |
| <b>PL Resorts Limited</b>                     |                        |                                                                                                                              |                                                       |
| Mauritius Commercial Bank Ltd                 | Term Loan              | 1) Mortgage over the leasehold rights of Lot 18B and 18C at Roches - Noires and lot 1A and 1B at Posta Lafayette             | 867,363                                               |
|                                               |                        |                                                                                                                              | 867,363                                               |
| <b>Tropical Island Commodities ( Pvt) Ltd</b> |                        |                                                                                                                              |                                                       |
| Commercial Bank of Ceylon PLC                 | Term Loan              | Lien over savings account for USD 69,748.41                                                                                  | 150,000                                               |
|                                               |                        |                                                                                                                              | 150,000                                               |
| <b>Sierra Cable PLC</b>                       |                        |                                                                                                                              |                                                       |
| Pan Asia Banking Corporation PLC              | Short Term loan        | Series of Loan Agreements                                                                                                    | 9,287                                                 |
| DFCC Bank                                     | Term Loan              | A primary mortgage over Movable Assets                                                                                       | 36,842                                                |
| Hatton National Bank                          | Short Term Loan        | Mortgage Bond for Rs.400 Mn over Book                                                                                        | 332,416                                               |
|                                               |                        | Debts and Stocks                                                                                                             |                                                       |
| Sampath Bank PLC                              | Short Term Loan        | Short Term Import Loan agreement for Rs. 450Mn                                                                               | 172,315                                               |
|                                               | Short Term Loan        | Primary Mortgage bond for Rs.85 Mn and additional mortgage bond for Rs.83.6 Mn over property situated at Korathota, Kaduwela | 4,400                                                 |
|                                               |                        |                                                                                                                              | 555,260                                               |
| <b>Browns Plantations Kenya Ltd</b>           |                        |                                                                                                                              |                                                       |
| Diamond Trust Bank                            | Term Loan              | 36 monthly instalments<br>Secured by land parcels LR 5469/LR 5470 and LR 7797/4 in Kenya.                                    | 4,612,155                                             |
| Commercial Bank of Ceylon PLC                 | Term Loan              | 28 equal monthly instalments<br>Corporate guarantee obtained from LOLC Holdings PLC                                          | 1,537,296                                             |
| James Finlay Limited -UK                      | Term Loan              | against the Finlay Tea Extracts Limited leased asset<br>Secured leased assets of Finlay Tea Extracts Limited                 | 5,872,608                                             |
|                                               |                        |                                                                                                                              | 12,022,059                                            |

## 48 Subsequent events

There has been no material events occurring after the reporting date that require adjustment to or disclosure in these Financial Statements, except the following.

### Acquisition of Tea Smallholder Factories PLC

Udapussellawa Plantations PLC, a subsidiary of the Group, acquired a 75.27% equity stake in Tea Smallholder Factories PLC for Rs. 793.27 Mn.

### Acquisition of FLMC Plantations (Pvt) Ltd

On 5th May 2025, Browns Power Holdings (Pvt) Ltd (BPH), a subsidiary of the Group, acquired a 100% equity stake in FLMC Plantations (Pvt) Ltd for a total consideration of Rs. 4.8 billion.

FLMC Plantations (Pvt) Ltd is the holding company and management agent of Pussellawa Plantations Ltd ( PPL) and Melfort Green Teas (Pvt) Ltd managing over 11,500 hectares of agricultural land across 24 estates. This includes approximately 5,400 hectares of tea, 5,900 hectares of rubber, and 200 hectares dedicated to minor crops.

### Divestment of Hatton National Bank PLC (HNB)

The Company's investment in Hatton National Bank PLC (HNB), which was classified as a non-current asset held for sale as at the reporting date in accordance with SLFRS 5 Non-current Assets Held for Sale and Discontinued Operations, was disposed of subsequent to the reporting period. The entire holding of voting shares amounting to 9.99% was sold in the price range of Rs. 305 to Rs. 313 per share. In addition, the non-voting shares, representing 44% of HNB's non-voting shares, were also disposed of at prices ranging from Rs. 280 to Rs. 318 per share after the end of the financial year.

## Notes to the Financial Statements

### 49 Segment Information

#### Primary Segments (Business Segments)

#### Company

|                                                                   | Investments        |                    | Leisure and travel |                | Construction/ Trading & Manufacturing |                |  |
|-------------------------------------------------------------------|--------------------|--------------------|--------------------|----------------|---------------------------------------|----------------|--|
|                                                                   | 2025<br>Rs.000     | 2024<br>Rs.000     | 2025<br>Rs.000     | 2024<br>Rs.000 | 2025<br>Rs.000                        | 2024<br>Rs.000 |  |
| Revenue/Income                                                    | 114,298            | 66,289             | -                  | -              | -                                     | -              |  |
| Cost of sales                                                     | -                  | -                  | -                  | -              | -                                     | -              |  |
| Gross profit/[loss]                                               | 114,298            | 66,289             | -                  | -              | -                                     | -              |  |
| Other income                                                      | 2,518,161          | 38,649             | -                  | -              | -                                     | -              |  |
| Net change in fair value of investment properties                 | -                  | 306,293            | -                  | -              | -                                     | -              |  |
| Interest income                                                   | 9,772,921          | 13,969,340         | -                  | -              | -                                     | -              |  |
| Finance expenses                                                  | (20,271,440)       | (28,250,219)       | -                  | -              | -                                     | -              |  |
| Share of profit/[loss] of equity accounted investees (Net of tax) | 77,720,825         | 24,285,666         | -                  | -              | -                                     | -              |  |
| Results on acquisition and disposal of group investments          | -                  | 544,460            | -                  | -              | -                                     | -              |  |
| Expenses                                                          | (2,868,853)        | (812,360)          | -                  | -              | -                                     | -              |  |
| Profit before taxation                                            | 66,985,912         | 10,148,118         | -                  | -              | -                                     | -              |  |
| Less : Taxation                                                   | 60,512             | (110,730)          | -                  | -              | -                                     | -              |  |
| <b>Net profit/[loss] for the year</b>                             | <b>67,046,424</b>  | <b>10,037,388</b>  | <b>-</b>           | <b>-</b>       | <b>-</b>                              | <b>-</b>       |  |
| <b>Segment Assets</b>                                             |                    |                    |                    |                |                                       |                |  |
| Non-current assets                                                | 232,200,498        | 182,622,510        | -                  | -              | -                                     | -              |  |
| Current assets                                                    | 96,849,844         | 63,626,075         | -                  | -              | -                                     | -              |  |
|                                                                   | <b>329,050,342</b> | <b>246,248,585</b> | <b>-</b>           | <b>-</b>       | <b>-</b>                              | <b>-</b>       |  |
| <b>Segment Liabilities</b>                                        |                    |                    |                    |                |                                       |                |  |
| Non-current liabilities                                           | 1,444,787          | 2,363,433          | -                  | -              | -                                     | -              |  |
| Current liabilities                                               | 132,437,037        | 114,283,597        | -                  | -              | -                                     | -              |  |
|                                                                   | <b>133,881,824</b> | <b>116,647,030</b> | <b>-</b>           | <b>-</b>       | <b>-</b>                              | <b>-</b>       |  |

|  | Plantation and Agriculture |                | Power          |                | Real estate    |                | Adjustments    |                | Total          |                |
|--|----------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
|  | 2025<br>Rs.000             | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 114,298        | 66,289         |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | -              | -              |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 114,298        | 66,289         |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | -              | -              |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 2,518,161      | 38,649         |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | -              | 306,293        |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 9,772,921      | 13,969,340     |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | [20,271,440]   | [28,250,219]   |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 77,720,825     | 24,285,666     |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | -              | 544,460        |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | [2,868,853]    | [812,360]      |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 66,985,912     | 10,148,118     |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 60,512         | [110,730]      |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 67,046,424     | 10,037,388     |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | -              | -              |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 232,200,498    | 182,622,510    |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 96,849,844     | 63,626,075     |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 329,050,342    | 246,248,585    |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | -              | -              |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 1,444,787      | 2,363,433      |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 132,437,037    | 114,283,597    |
|  | -                          | -              | -              | -              | -              | -              | -              | -              | 133,881,824    | 116,647,030    |

## Notes to the Financial Statements

### Primary Segments (Business Segments)

#### Group

|                                                         | Investments        |                    | Leisure and travel |                     | Construction/ Trading & Manufacturing |                    |  |
|---------------------------------------------------------|--------------------|--------------------|--------------------|---------------------|---------------------------------------|--------------------|--|
|                                                         | 2025<br>Rs.000     | 2024<br>Rs.000     | 2025<br>Rs.000     | 2024<br>Rs.000      | 2025<br>Rs.000                        | 2024<br>Rs.000     |  |
| <b>Segment Results</b>                                  |                    |                    |                    |                     |                                       |                    |  |
| Revenue                                                 | 114,298            | 7,555              | 13,659,722         | 11,128,396          | 9,674,170                             | 10,939,099         |  |
| Cost of sales                                           | -                  | -                  | (5,074,980)        | (3,789,497)         | (8,331,121)                           | (9,540,877)        |  |
| <b>Gross profit/(loss)</b>                              | <b>114,298</b>     | <b>7,555</b>       | <b>8,584,742</b>   | <b>7,338,899</b>    | <b>1,343,049</b>                      | <b>1,398,222</b>   |  |
| Other income                                            | 4,347,492          | 920,853            | 1,478,729          | 833,448             | (14,576)                              | 275,512            |  |
| Net change in fair value of investment properties       | 222,985            | 322,293            | 1,041,000          | (5,551)             | -                                     | -                  |  |
| Net change in fair value of biological assets           | -                  | -                  | -                  | -                   | -                                     | -                  |  |
| Share of profit from equity accounted investees         | -                  | -                  | -                  | -                   | -                                     | -                  |  |
| Results on acquisition and disposal of group investment | 98,719,455         | 33,843,434         | -                  | -                   | -                                     | -                  |  |
| Expenses                                                | (24,280,711)       | (20,144,521)       | (16,604,073)       | (19,617,860)        | (5,291,078)                           | (4,492,482)        |  |
| Profit/(loss) before taxation                           | 79,123,519         | 14,949,614         | (5,499,602)        | (11,451,064)        | (3,962,605)                           | (2,818,748)        |  |
| <b>Taxation</b>                                         | <b>260,026</b>     | <b>(646,934)</b>   | <b>1,295,396</b>   | <b>(1,898,304)</b>  | <b>51,244</b>                         | <b>49,685</b>      |  |
| <b>Net profit/(loss) for the year</b>                   | <b>79,383,545</b>  | <b>14,302,680</b>  | <b>(4,204,206)</b> | <b>(13,349,368)</b> | <b>(3,911,361)</b>                    | <b>(2,769,063)</b> |  |
| <b>Segment Assets</b>                                   |                    |                    |                    |                     |                                       |                    |  |
| Non-current assets                                      | 155,879,922        | 178,822,295        | 252,159,910        | 105,326,757         | 14,688,883                            | 11,079,650         |  |
| Current assets                                          | 116,504,196        | 80,481,104         | 39,373,617         | 19,441,954          | 39,383,420                            | 37,844,340         |  |
|                                                         | <b>272,384,118</b> | <b>259,303,399</b> | <b>291,533,527</b> | <b>124,768,711</b>  | <b>54,072,303</b>                     | <b>48,923,990</b>  |  |
| <b>Segment Liabilities</b>                              |                    |                    |                    |                     |                                       |                    |  |
| Non-current liabilities                                 | 2,484,350          | 23,045,430         | 31,120,583         | 24,212,247          | 5,849,625                             | 9,184,523          |  |
| Current liabilities                                     | 219,631,484        | 184,250,294        | 115,840,849        | 50,978,509          | 37,667,910                            | 31,448,800         |  |
|                                                         | <b>222,115,834</b> | <b>207,295,724</b> | <b>146,961,442</b> | <b>75,190,756</b>   | <b>43,517,535</b>                     | <b>40,633,323</b>  |  |

|  | Plantation and Agriculture |                | Real estate    |                | Adjustments    |                | Total          |                |
|--|----------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
|  | 2025<br>Rs.000             | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
|  | 41,140,168                 | 24,840,890     | 563,246        | 513,474        | (361,104)      | (81)           | 64,790,500     | 47,429,333     |
|  | (37,748,810)               | (20,704,763)   | (52,676)       | (134,052)      | 275,755        | -              | (50,931,832)   | (34,169,189)   |
|  | 3,391,358                  | 4,136,127      | 510,570        | 379,422        | (85,349)       | (81)           | 13,858,668     | 13,260,144     |
|  | 3,417,606                  | 2,295,364      | 2,797          | 1,480,139      | (2,793,785)    | (1,330,579)    | 6,438,263      | 4,474,737      |
|  | -                          | -              | 263,959        | 11,611,551     | -              | -              | 1,527,944      | 11,928,293     |
|  | 911,276                    | 1,092,574      | -              | -              | -              | -              | 911,276        | 1,092,574      |
|  | -                          | -              | -              | -              | 249,266        | 4,065,888      | 8,366,421      | 4,065,888      |
|  | -                          | (36,000)       | -              | -              | -              | (2,348,289)    | 98,719,455     | 31,459,145     |
|  | (15,882,458)               | (11,395,235)   | (952,750)      | (1,130,578)    | 2,166,012      | 538,897        | (60,860,314)   | (56,241,778)   |
|  | (8,162,218)                | (3,907,170)    | (174,924)      | 12,340,534     | (463,856)      | 925,836        | 60,860,313     | 10,039,003     |
|  | 302,295                    | (1,445,003)    | (53,035)       | (315,082)      | -              | -              | 1,855,927      | (4,255,638)    |
|  | (7,859,923)                | (5,352,173)    | (227,959)      | 12,025,452     | (463,856)      | 925,836        | 62,716,240     | 5,783,365      |
|  | 301,871,465                | 162,557,637    | 13,902,540     | 99,208,600     | (182,757,557)  | (133,710,410)  | 555,745,164    | 423,284,529    |
|  | 46,872,861                 | 17,926,124     | 1,826,451      | 14,512,306     | (129,568,176)  | (96,157,245)   | 114,392,371    | 74,048,583     |
|  | 348,744,326                | 180,483,761    | 122,858,834    | 113,720,906    | (312,325,733)  | (229,867,655)  | 670,137,535    | 497,333,112    |
|  | 59,945,665                 | 26,566,153     | 2,635,198      | 2,840,061      | (5,446,316)    | (5,959,518)    | 96,589,103     | 79,888,896     |
|  | 52,265,024                 | 34,846,659     | 3,773,581      | 27,545,984     | (127,132,961)  | (95,305,063)   | 302,046,895    | 233,765,183    |
|  | 112,210,689                | 61,412,812     | 6,409,779      | 30,386,045     | (132,579,277)  | (101,264,581)  | 398,635,998    | 313,654,079    |

## Notes to the Financial Statements

### 50 Assets and Liabilities Measured at Fair Value and Fair Value Hierarchy

#### 50.1 Fair value hierarchy

The Group's accounting policy on fair value measurements is discussed in accounting policy note No 3.13

The Group measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements.

- 1 Level 1: Quoted market price [unadjusted] in an active market for an identical instrument.  
  
When available, the Group measures the fair value of an instrument using active quoted prices or dealer price quotations (assets and long positions are measured at a bid price; liabilities and short positions are measured at an ask price), without any deduction for transaction costs. A market is regarded as active if transactions for asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.
- 2 Level 2: Valuation techniques based on observable inputs, either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using:
  - a) quoted market prices in active markets for similar instruments;
  - b) quoted prices for identical or similar instruments in markets that are considered less than active; or
  - c) other valuation techniques where all significant inputs are directly or indirectly observable from market data.
- 3 Level 3: Valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

Valuation techniques include net present value and discounted cash flow models comparison with similar instruments for which observable market prices exist, option pricing models and other valuation models.

Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, risk premiums in estimating discount rates, bond and equity prices, foreign exchange rates, expected price volatilities and corrections.

Observable prices or model inputs such as market interest rates are usually available in the market for listed equity securities and government securities such as treasury bills and bonds. Availability of observable prices and model inputs reduces the need for management judgement and estimation while reducing uncertainty associated in determining the fair values.

Models are adjusted to reflect the spread for bid and ask prices to re-elect costs to close out positions, credit and debit valuation adjustments, liquidity spread and limitations in the models. Also, profit or loss calculated when such financial instruments are first recorded ('Day 1' profit or loss) is deferred and recognised only when the inputs become observable or on derecognition of the instrument.

The following table provides an analysis of assets and liabilities measured at fair value as at the reporting date, by the level in the fair value hierarchy into which the fair value measurement is categorised. These amounts were based on the values recognised in the Statement of Financial Position.

There were no material transfers between levels of fair value hierarchy during 2025 and 2024.

The independent Valuers provide the fair value of land and buildings once in three years according to the Group's policy. Therefore the fair value existing in the recent valuation which was carried out by professionally qualified independent Valuers in compliance with Sri Lanka Accounting Standards - SLFRS 13 (Fair Value Measurement) less subsequent accumulated depreciation and impairment losses is considered as the fair value exist as at the reporting date (31st March 2024).

In determining the fair value, highest and best use of the property has been considered including the current condition of the properties, future usability and associated redevelopment requirements have been considered. Also, the Valuers have made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are rounded within the range of values.

| Group                                                                  | Note | As at 31st March 2025           |                               |                                 |             |
|------------------------------------------------------------------------|------|---------------------------------|-------------------------------|---------------------------------|-------------|
|                                                                        |      | Level 1                         | Level 2                       | Level 3                         | Total       |
|                                                                        |      | Quoted prices in active markets | Significant observable inputs | Significant unobservable inputs |             |
|                                                                        |      | Rs.000                          | Rs.000                        | Rs.000                          | Rs.000      |
| Financial Assets                                                       |      |                                 |                               |                                 |             |
| Other financial assets - fair value through profit or loss             |      |                                 |                               |                                 |             |
| Equity securities                                                      | 29   | 637,133                         | -                             | -                               | 637,133     |
|                                                                        |      | 637,133                         | -                             | -                               | 637,133     |
| Investment securities                                                  |      |                                 |                               |                                 |             |
| Other financial assets - fair value through other comprehensive income |      |                                 |                               |                                 |             |
| Government securities                                                  | 22   | 88,210                          | -                             | -                               | 88,210      |
| Designated FVOCI investment securities                                 | 22   | 445                             | -                             | -                               | 445         |
| Equity securities with readily determinable fair values                | 22   | -                               | 407,860                       | -                               | 407,860     |
|                                                                        |      | 88,655                          | 407,860                       | -                               | 496,515     |
| Total financial assets at fair value                                   |      | 725,788                         | 407,860                       | -                               | 1,133,648   |
| Non-Financial Assets                                                   |      |                                 |                               |                                 |             |
| Investment Properties                                                  | 15   | -                               | -                             | 103,948,645                     | 103,948,645 |
| Consumable biological assets                                           | 19   | -                               | -                             | 16,128,681                      | 16,128,681  |
| Property, plant & equipment                                            |      |                                 |                               |                                 |             |
| - Land                                                                 | 14   | -                               | -                             | 25,331,417                      | 25,331,417  |
| - Buildings                                                            | 14   | -                               | -                             | 82,865,038                      | 82,865,038  |
| Total non-financial assets at fair value                               |      | -                               | -                             | 228,273,781                     | 228,273,781 |
| Total assets at fair value                                             |      | 725,788                         | 407,860                       | 228,273,781                     | 229,407,429 |

## Notes to the Financial Statements

| Group                                                                  | Note | As at 31st March 2024                           |                                               |                                                 |             |
|------------------------------------------------------------------------|------|-------------------------------------------------|-----------------------------------------------|-------------------------------------------------|-------------|
|                                                                        |      | Level 1                                         | Level 2                                       | Level 3                                         | Total       |
|                                                                        |      | Quoted<br>prices in<br>active markets<br>Rs.000 | Significant<br>observable<br>inputs<br>Rs.000 | Significant<br>unobservable<br>inputs<br>Rs.000 |             |
|                                                                        |      |                                                 |                                               |                                                 |             |
| Financial Assets                                                       |      |                                                 |                                               |                                                 |             |
| Other financial assets - fair value through profit or loss             |      |                                                 |                                               |                                                 |             |
| Equity securities                                                      | 29   | 963,240                                         | -                                             | -                                               | 963,240     |
|                                                                        |      | 963,240                                         | -                                             | -                                               | 963,240     |
| Investment securities                                                  |      |                                                 |                                               |                                                 |             |
| Other financial assets - fair value through other comprehensive income |      |                                                 |                                               |                                                 |             |
| Government securities                                                  | 22   | 54,975                                          | -                                             | -                                               | 54,975      |
| Designated FVOCI investment securities                                 | 22   | 346                                             | -                                             | -                                               | 346         |
| Equity securities with readily determinable fair values                | 22   | -                                               | 173,751                                       | -                                               | 173,751     |
|                                                                        |      | 55,321                                          | 173,751                                       | -                                               | 229,072     |
| Total financial assets at fair value                                   |      | 1,018,561                                       | 173,751                                       | -                                               | 1,192,312   |
|                                                                        |      |                                                 |                                               |                                                 |             |
| Non-Financial Assets                                                   |      |                                                 |                                               |                                                 |             |
| Investment Properties                                                  | 15   | -                                               | -                                             | 102,311,438                                     | 102,311,438 |
| Consumable biological assets                                           | 19   | -                                               | -                                             | 10,599,662                                      | 10,599,662  |
| Property, plant & equipment                                            |      |                                                 |                                               |                                                 |             |
| - Land                                                                 | 14   | -                                               | -                                             | 14,702,303                                      | 14,702,303  |
| - Buildings (Leasehold & Freehold)                                     | 14   | -                                               | -                                             | 56,133,334                                      | 56,133,334  |
| Total non-financial assets at fair value                               |      | -                                               | -                                             | 183,746,737                                     | 183,746,737 |
|                                                                        |      |                                                 |                                               |                                                 |             |
| Total assets at fair value                                             |      | 1,018,561                                       | 173,751                                       | 183,746,737                                     | 184,939,049 |

|                                                                            |      | As at 31st March 2025                                      |                                                          |                                                            |                     |
|----------------------------------------------------------------------------|------|------------------------------------------------------------|----------------------------------------------------------|------------------------------------------------------------|---------------------|
|                                                                            |      | Level 1<br>Quoted<br>prices in<br>active markets<br>Rs.000 | Level 2<br>Significant<br>observable<br>inputs<br>Rs.000 | Level 3<br>Significant<br>unobservable<br>inputs<br>Rs.000 | Total<br><br>Rs.000 |
| Company                                                                    | Note |                                                            |                                                          |                                                            |                     |
| Financial Assets                                                           |      |                                                            |                                                          |                                                            |                     |
| Other financial assets - fair value through profit or loss                 |      |                                                            |                                                          |                                                            |                     |
| Corporate securities                                                       | 29   | 2,997,350                                                  | -                                                        | -                                                          | 2,997,350           |
| Equity securities                                                          | 29   | 73,403                                                     | -                                                        | -                                                          | 73,403              |
|                                                                            |      | 3,070,753                                                  | -                                                        | -                                                          | 3,070,753           |
| Investment securities                                                      |      |                                                            |                                                          |                                                            |                     |
| Financial assets measured at fair value through other comprehensive income |      |                                                            |                                                          |                                                            |                     |
| Designated FVOCI investment securities                                     | 22   | 445                                                        | -                                                        | -                                                          | 445                 |
|                                                                            |      | 445                                                        | -                                                        | -                                                          | 445                 |
| Total financial assets at fair value                                       |      | 3,071,198                                                  | -                                                        | -                                                          | 3,071,198           |
| Non-Financial Assets                                                       |      |                                                            |                                                          |                                                            |                     |
| Investment Properties                                                      | 15   | -                                                          | -                                                        | 2,836,200                                                  | 2,836,200           |
| Property, plant & equipment                                                |      |                                                            |                                                          |                                                            |                     |
| - Land                                                                     | 14   | -                                                          | -                                                        | 61,000                                                     | 61,000              |
| Total non-financial assets at fair value                                   |      | -                                                          | -                                                        | 2,897,200                                                  | 2,897,200           |
| Total assets at fair value                                                 |      | 3,071,198                                                  | -                                                        | 2,897,200                                                  | 5,968,398           |

## Notes to the Financial Statements

| Company                                                                    | Note | As at 31st March 2024                           |                                               |                                                 |           |
|----------------------------------------------------------------------------|------|-------------------------------------------------|-----------------------------------------------|-------------------------------------------------|-----------|
|                                                                            |      | Level 1                                         | Level 2                                       | Level 3                                         | Total     |
|                                                                            |      | Quoted<br>prices in<br>active markets<br>Rs.000 | Significant<br>observable<br>inputs<br>Rs.000 | Significant<br>unobservable<br>inputs<br>Rs.000 |           |
|                                                                            |      |                                                 |                                               |                                                 |           |
| Financial Assets                                                           |      |                                                 |                                               |                                                 |           |
| Other financial assets - fair value through profit or loss                 |      |                                                 |                                               |                                                 |           |
| Corporate securities                                                       | 29   | 818,796                                         | -                                             | -                                               | 818,796   |
| Equity securities                                                          | 29   | 324,009                                         | -                                             | -                                               | 324,009   |
|                                                                            |      | 1,142,805                                       | -                                             | -                                               | 1,142,805 |
| Investment securities                                                      |      |                                                 |                                               |                                                 |           |
| Financial assets measured at fair value through other comprehensive income |      |                                                 |                                               |                                                 |           |
| Designated FVOCI investment securities                                     | 22   | 346                                             | -                                             | -                                               | 346       |
|                                                                            |      | 346                                             | -                                             | -                                               | 346       |
| Total financial assets at fair value                                       |      | 1,143,151                                       | -                                             | -                                               | 1,143,151 |
|                                                                            |      |                                                 |                                               |                                                 |           |
| Non-Financial Assets                                                       |      |                                                 |                                               |                                                 |           |
| Investment Properties                                                      | 15   | -                                               | -                                             | 2,637,715                                       | 2,637,715 |
| Property, plant & equipment                                                |      |                                                 |                                               |                                                 |           |
| - Land                                                                     | 14   | -                                               | -                                             | 50,000                                          | 50,000    |
| Total non-financial assets at fair value                                   |      | -                                               | -                                             | 2,687,715                                       | 2,687,715 |
|                                                                            |      |                                                 |                                               |                                                 |           |
| Total assets at fair value                                                 |      | 1,143,151                                       | -                                             | 2,687,715                                       | 3,830,866 |

## 50.2 Financial instruments not measured at fair value

The following table sets out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorised.

| As at 31st March                        | Note | 2025            |             | 2024            |             |
|-----------------------------------------|------|-----------------|-------------|-----------------|-------------|
|                                         |      | Carrying amount | Fair Value  | Carrying amount | Fair Value  |
|                                         |      | Rs.000          | Rs.000      | Rs.000          | Rs.000      |
| Group                                   |      |                 |             |                 |             |
| Financial Assets                        |      |                 |             |                 |             |
| Financial assets at amortised cost      |      |                 |             |                 |             |
| Trade and other receivables             | 25   | 39,022,155      | 39,022,155  | 42,629,390      | 40,497,921  |
| Loans to related parties                | 26   | 2,836,542       | 2,836,542   | 507,959         | 507,959     |
| Amounts due from related parties        | 27   | 1,476,237       | 1,476,237   | 866,132         | 866,132     |
|                                         |      | 43,334,934      | 43,334,934  | 44,003,481      | 41,872,012  |
| Financial Liabilities                   |      |                 |             |                 |             |
| Financial liabilities at amortised cost |      |                 |             |                 |             |
| Interest bearing loans and borrowings   | 34   | 31,575,194      | 32,364,574  | 29,835,490      | 29,835,490  |
| Lease liability                         | 35   | 15,191,570      | 15,191,570  | 14,368,182      | 14,368,182  |
| Trade and other payables                |      | 134,629,994     | 134,629,994 | 88,271,757      | 88,271,757  |
| Amounts due to related parties          | 41   | 113,871,360     | 113,871,360 | 116,635,421     | 116,635,421 |
| Loan from related parties               | 40   | 4,376,990       | 4,376,990   | 10,784,420      | 10,784,420  |
| Short term borrowings                   |      | 29,287,336      | 29,287,336  | 13,907,173      | 13,907,173  |
|                                         |      | 328,932,444     | 329,721,824 | 273,802,444     | 273,802,444 |
| Company                                 |      |                 |             |                 |             |
| Financial Assets                        |      |                 |             |                 |             |
| Financial assets at amortised cost      |      |                 |             |                 |             |
| Trade and other receivables             | 25   | 27,362,250      | 27,362,250  | 17,805,469      | 17,805,469  |
| Loans to related parties                | 26   | 8,338,914       | 8,338,914   | 8,125,761       | 8,125,761   |
| Amounts due from related parties        | 27   | 26,449,300      | 26,449,300  | 31,067,810      | 31,067,810  |
|                                         |      | 62,150,464      | 62,150,464  | 56,999,040      | 56,999,040  |
| Financial Liabilities                   |      |                 |             |                 |             |
| Financial liabilities at amortised cost |      |                 |             |                 |             |
| Interest bearing loans and borrowings   | 34   | 2,000,000       | 2,000,000   | 3,000,000       | 3,000,000   |
| Trade and other payables                |      | 51,713,396      | 51,713,396  | 33,097,455      | 33,097,455  |
| Amounts due to related parties          | 41   | 68,195,993      | 68,195,993  | 68,222,848      | 68,222,848  |
| Loan from related parties               | 40   | 12,329          | 12,329      | 5,012,322       | 5,012,322   |
| Short term borrowings                   |      | 11,441,933      | 11,441,933  | 6,804,311       | 6,804,311   |
|                                         |      | 133,363,651     | 133,363,651 | 116,136,936     | 116,136,936 |

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

There are various limitations inherent in this fair value disclosure particularly where prices may not represent the underlying value due to dislocation in the market. Not all the Group's financial instruments can be exchanged in an active market. The Group obtains the fair values for investment securities from quoted market prices where available. Where securities are unlisted and quoted prices are not available, the Group obtains the fair values, by means of discounted cash flows and other valuation techniques that are commonly used by market participants. These techniques address factors such as interest rates, credit risk and liquidity.

## Notes to the Financial Statements

The following table sets out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy in to which each fair value measurement is categorised.

|                                                | Group                                                      |                                                          |                                                            |                 |
|------------------------------------------------|------------------------------------------------------------|----------------------------------------------------------|------------------------------------------------------------|-----------------|
|                                                | Level 1<br>Quoted prices<br>in active<br>markets<br>Rs.000 | Level 2<br>Significant<br>observable<br>inputs<br>Rs.000 | Level 3<br>Significant<br>unobservable<br>inputs<br>Rs.000 | Total<br>Rs.000 |
| As at 31st March 2025                          |                                                            |                                                          |                                                            |                 |
| <b>Financial assets</b>                        |                                                            |                                                          |                                                            |                 |
| <b>Financial assets at amortised cost</b>      |                                                            |                                                          |                                                            |                 |
| Trade and other receivables                    | -                                                          | -                                                        | 39,022,155                                                 | 39,022,155      |
| Loans to related parties                       | -                                                          | -                                                        | 2,836,542                                                  | 2,836,542       |
| Amounts due from related parties               | -                                                          | -                                                        | 1,476,237                                                  | 1,476,237       |
|                                                | -                                                          | -                                                        | 43,334,935                                                 | 43,334,935      |
| <b>Financial liabilities</b>                   |                                                            |                                                          |                                                            |                 |
| <b>Financial liabilities at amortised cost</b> |                                                            |                                                          |                                                            |                 |
| Interest bearing loans and borrowings          | -                                                          | -                                                        | 31,575,194                                                 | 31,575,194      |
| Lease liability                                | -                                                          | -                                                        | 15,191,570                                                 | 15,191,570      |
| Trade and other payables                       | -                                                          | -                                                        | 134,629,994                                                | 134,629,994     |
| Amounts due to related parties                 | -                                                          | -                                                        | 113,871,360                                                | 113,871,360     |
| Loan from related parties                      | -                                                          | -                                                        | 4,376,990                                                  | 4,376,990       |
| Short term borrowings                          | -                                                          | -                                                        | 29,287,336                                                 | 29,287,336      |
|                                                | -                                                          | -                                                        | 328,932,444                                                | 328,932,444     |
| As at 31st March 2024                          |                                                            |                                                          |                                                            |                 |
| <b>Financial assets</b>                        |                                                            |                                                          |                                                            |                 |
| <b>Financial assets at amortised cost</b>      |                                                            |                                                          |                                                            |                 |
| Trade and other receivables                    | -                                                          | -                                                        | 42,629,390                                                 | 42,629,390      |
| Loans to related parties                       | -                                                          | -                                                        | 507,959                                                    | 507,959         |
| Amounts due from related parties               | -                                                          | -                                                        | 866,132                                                    | 866,132         |
|                                                | -                                                          | -                                                        | 44,003,481                                                 | 44,003,481      |
| <b>Financial liabilities</b>                   |                                                            |                                                          |                                                            |                 |
| <b>Financial liabilities at amortised cost</b> |                                                            |                                                          |                                                            |                 |
| Interest bearing loans and borrowings          | -                                                          | -                                                        | 29,835,490                                                 | 29,835,490      |
| Lease liability                                | -                                                          | -                                                        | 14,368,182                                                 | 14,368,182      |
| Trade and other payables                       | -                                                          | -                                                        | 88,271,757                                                 | 88,271,757      |
| Amounts due to related parties                 | -                                                          | -                                                        | 116,635,421                                                | 116,635,421     |
| Loan from related parties                      | -                                                          | -                                                        | 10,784,420                                                 | 10,784,420      |
| Short term borrowings                          | -                                                          | -                                                        | 13,907,174                                                 | 13,907,174      |
|                                                | -                                                          | -                                                        | 273,802,444                                                | 273,802,444     |

|                                                | Company                                                    |                                                          |                                                            |                 |
|------------------------------------------------|------------------------------------------------------------|----------------------------------------------------------|------------------------------------------------------------|-----------------|
|                                                | Level 1<br>Quoted prices<br>in active<br>markets<br>Rs.000 | Level 2<br>Significant<br>observable<br>inputs<br>Rs.000 | Level 3<br>Significant<br>unobservable<br>inputs<br>Rs.000 | Total<br>Rs.000 |
| As at 31st March 2025                          |                                                            |                                                          |                                                            |                 |
| <b>Financial assets</b>                        |                                                            |                                                          |                                                            |                 |
| <b>Financial assets at amortised cost</b>      |                                                            |                                                          |                                                            |                 |
| Trade and other receivables                    | -                                                          | -                                                        | 27,362,250                                                 | 27,362,250      |
| Loans to related parties                       | -                                                          | -                                                        | 8,338,914                                                  | 8,338,914       |
| Amounts due from related parties               | -                                                          | -                                                        | 26,449,300                                                 | 26,449,300      |
|                                                | -                                                          | -                                                        | 62,150,464                                                 | 62,150,464      |
| <b>Financial liabilities</b>                   |                                                            |                                                          |                                                            |                 |
| <b>Financial liabilities at amortised cost</b> |                                                            |                                                          |                                                            |                 |
| Interest bearing loans and borrowings          | -                                                          | -                                                        | 2,000,000                                                  | 2,000,000       |
| Trade and other payables                       | -                                                          | -                                                        | 51,713,396                                                 | 51,713,396      |
| Amounts due to related parties                 | -                                                          | -                                                        | 68,195,993                                                 | 68,195,993      |
| Loan from related parties                      | -                                                          | -                                                        | 12,329                                                     | 12,329          |
| Short term borrowings                          | -                                                          | -                                                        | 11,441,933                                                 | 11,441,933      |
|                                                | -                                                          | -                                                        | 133,363,651                                                | 133,363,651     |
| As at 31st March 2024                          |                                                            |                                                          |                                                            |                 |
| <b>Financial assets</b>                        |                                                            |                                                          |                                                            |                 |
| <b>Financial assets at amortised cost</b>      |                                                            |                                                          |                                                            |                 |
| Trade and other receivables                    | -                                                          | -                                                        | 17,805,469                                                 | 17,805,469      |
| Loans to related parties                       | -                                                          | -                                                        | 8,125,761                                                  | 8,125,761       |
| Amounts due from related parties               | -                                                          | -                                                        | 31,067,810                                                 | 31,067,810      |
|                                                | -                                                          | -                                                        | 56,999,040                                                 | 56,999,040      |
| <b>Financial liabilities</b>                   |                                                            |                                                          |                                                            |                 |
| <b>Financial liabilities at amortised cost</b> |                                                            |                                                          |                                                            |                 |
| Interest bearing loans and borrowings          | -                                                          | -                                                        | 3,000,000                                                  | 3,000,000       |
| Trade and other payables                       | -                                                          | -                                                        | 33,097,455                                                 | 33,097,455      |
| Amounts due to related parties                 | -                                                          | -                                                        | 68,222,848                                                 | 68,222,848      |
| Loan from related parties                      | -                                                          | -                                                        | 5,012,322                                                  | 5,012,322       |
| Short term borrowings                          | -                                                          | -                                                        | 6,804,311                                                  | 6,804,311       |
|                                                | -                                                          | -                                                        | 116,136,936                                                | 116,136,936     |

## Notes to the Financial Statements

### 50.3 Assets measured at level 3

The following table shows a reconciliation from the beginning balances to the ending balances of fair value measurements in Level 3 of the fair value hierarchy.

Note 14 & 15 provides information on significant unobservable inputs used as at March 31, 2025 in measuring fair value of land and buildings categorised as Level 3 in the fair value hierarchy.

Note 14 & 15 provides details of valuation techniques used and sensitivity of fair value measurement to changes in significant unobservable inputs.

| As at 31st March               | Investment Property |                   | Freehold Land and Buildings |                   |
|--------------------------------|---------------------|-------------------|-----------------------------|-------------------|
|                                | Group<br>Rs.000     | Company<br>Rs.000 | Group<br>Rs.000             | Company<br>Rs.000 |
| Balance as at 31st March 2023  | 89,066,742          | 2,329,000         | 66,536,117                  | 50,000            |
| Additions                      | 15,421              | 2,422             | 357,149                     | -                 |
| Revaluations                   | 11,928,293          | 306,293           | 809,352                     | -                 |
| Disposals / deductions         | -                   | -                 | [8,128]                     | -                 |
| Transfers                      | 233,200             | -                 | 11,414,761                  | -                 |
| On acquisition of subsidiaries | 1,366,618           | -                 | 13,302,436                  | -                 |
| Exchange differences           | 145,295             | -                 | [981,663]                   | -                 |
| Disposal of Subsidiaries       | [444,131]           | -                 | [3,123,989]                 | -                 |
| Depreciation of buildings      | -                   | -                 | [348,543]                   | -                 |
| Balance as at 31st March 2024  | 102,311,438         | 2,637,715         | 86,957,492                  | 50,000            |
| Additions                      | 56,054              | -                 | 411,906                     | -                 |
| Revaluations                   | 1,527,944           | 198,485           | 13,298,164                  | -                 |
| Disposals / deductions         | -                   | -                 | 63,838                      | -                 |
| Transfers                      | -                   | -                 | 207,189                     | -                 |
| On acquisition of subsidiaries | -                   | -                 | 26,374,877                  | -                 |
| Exchange differences           | 53,209              | -                 | [347,725]                   | -                 |
| Disposal of Subsidiaries       | -                   | -                 | -                           | -                 |
| Depreciation of buildings      | -                   | -                 | [1,914,631]                 | -                 |
| Balance as at 31st March 2025  | 103,948,645         | 2,836,200         | 124,923,434                 | 61,000            |

### 51 Analysis of financial instruments by measurement basis

Financial instruments are measured on an on-going basis either at fair value or at amortised cost. The Accounting Policies describe how each category of financial instrument is measured and how income and expenses, including fair value gain and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in Sri Lanka Accounting Standards – SLFRS 9 Financial Instruments: Recognition & Measurement] under headings of the Statement of Financial Position.

|                                           | Group                             |                        |                    |                                    |                       | Fair value         |
|-------------------------------------------|-----------------------------------|------------------------|--------------------|------------------------------------|-----------------------|--------------------|
|                                           | Fair value through profit or loss | Fair value through OCI | Amortised cost     | Other financial assets/liabilities | Total carrying amount |                    |
| As at 31st March 2025                     | Rs.000                            | Rs.000                 | Rs.000             | Rs.000                             | Rs.000                | Rs.000             |
| <b>Financial assets</b>                   |                                   |                        |                    |                                    |                       |                    |
| Cash in hand and favourable bank balances | -                                 | -                      | 6,615,501          | -                                  | 6,615,501             | 6,615,501          |
| Other financial assets-Current            | 637,133                           | -                      | 3,965,893          | -                                  | 4,603,026             | 4,603,026          |
| Other financial assets-Non- current       | -                                 | 445                    | 496,070            | -                                  | 496,515               | 496,515            |
| Loans to related parties                  | -                                 | -                      | 2,836,542          | -                                  | 2,836,542             | 2,836,542          |
| Amounts due from related parties          | -                                 | -                      | 1,476,237          | -                                  | 1,476,237             | 1,476,237          |
| Trade and other current assets            | -                                 | -                      | 39,022,155         | 8,863,394                          | 47,885,549            | 47,885,549         |
| <b>Total financial assets</b>             | <b>637,133</b>                    | <b>445</b>             | <b>54,412,398</b>  | <b>8,863,394</b>                   | <b>63,913,370</b>     | <b>63,913,370</b>  |
| <b>Financial liabilities</b>              |                                   |                        |                    |                                    |                       |                    |
| Bank overdrafts                           | -                                 | -                      | 4,681,866          | -                                  | 4,681,866             | 4,681,866          |
| Trade and other payables                  | -                                 | -                      | 134,629,994        | 7,739,210                          | 142,369,204           | 142,369,204        |
| Amounts due to related parties            | -                                 | -                      | 113,871,360        | -                                  | 113,871,360           | 113,871,360        |
| Loan from related parties                 | -                                 | -                      | 4,376,990          | -                                  | 4,376,990             | 4,376,990          |
| Lease liability                           | -                                 | -                      | 15,191,570         | -                                  | 15,191,570            | 15,191,570         |
| Short term borrowings                     | -                                 | -                      | 29,287,336         | -                                  | 29,287,336            | 29,287,336         |
| Interest bearing loans and borrowings     | -                                 | -                      | 31,575,194         | -                                  | 31,575,194            | 31,575,194         |
| <b>Total financial liabilities</b>        | <b>-</b>                          | <b>-</b>               | <b>333,614,310</b> | <b>7,739,210</b>                   | <b>341,353,520</b>    | <b>341,353,520</b> |

|                                           | Group                             |                        |                   |                                    |                       | Fair value        |
|-------------------------------------------|-----------------------------------|------------------------|-------------------|------------------------------------|-----------------------|-------------------|
|                                           | Fair value through profit or loss | Fair value through OCI | Amortised cost    | Other financial assets/liabilities | Total carrying amount |                   |
| As at 31st March 2024                     | Rs.000                            | Rs.000                 | Rs.000            | Rs.000                             | Rs.000                | Rs.000            |
| <b>Financial assets</b>                   |                                   |                        |                   |                                    |                       |                   |
| Cash in hand and favourable bank balances | -                                 | -                      | 5,585,870         | -                                  | 5,585,870             | 5,585,870         |
| Other financial assets-Current            | 963,240                           | -                      | 1,832,202         | -                                  | 2,795,441             | 2,795,441         |
| Other financial assets-Non- current       | -                                 | 346                    | 228,726           | -                                  | 229,072               | 229,072           |
| Loans to related parties                  | -                                 | -                      | 507,959           | -                                  | 507,959               | 355,571           |
| Amounts due from related parties          | -                                 | -                      | 866,132           | -                                  | 866,132               | 606,292           |
| Trade and other current assets            | -                                 | -                      | 42,629,390        | 8,196,542                          | 50,825,932            | 43,202,042        |
| <b>Total financial assets</b>             | <b>963,240</b>                    | <b>346</b>             | <b>51,650,279</b> | <b>8,196,542</b>                   | <b>60,810,406</b>     | <b>52,774,288</b> |
| <b>Financial liabilities</b>              |                                   |                        |                   |                                    |                       |                   |
| Bank overdrafts                           | -                                 | -                      | 419,364           | -                                  | 419,364               | 419,364           |
| Trade and other payables                  | -                                 | -                      | 88,271,757        | 7,705,588                          | 95,977,345            | 95,977,345        |
| Amounts due to related parties            | -                                 | -                      | 116,635,421       | -                                  | 116,635,421           | 116,635,421       |
| Loan from related parties                 | -                                 | -                      | 10,784,420        | -                                  | 10,784,420            | 10,784,420        |
| Lease liability                           | -                                 | -                      | 14,368,182        | -                                  | 14,368,182            | 14,368,182        |
| Short term borrowings                     | -                                 | -                      | 13,907,173        | -                                  | 13,907,173            | 13,907,173        |
| Interest bearing loans and borrowings     | -                                 | -                      | 29,835,490        | -                                  | 29,835,490            | 29,835,490        |
|                                           | -                                 | -                      | 274,221,807       | 7,705,588                          | 281,927,395           | 281,927,395       |

## Notes to the Financial Statements

### Analysis of Financial Instruments by Measurement Basis

|                                           | Company                                     |                                  |                          |                                              |                                 |                      |
|-------------------------------------------|---------------------------------------------|----------------------------------|--------------------------|----------------------------------------------|---------------------------------|----------------------|
|                                           | Fair value through profit or loss<br>Rs.000 | Fair value through OCI<br>Rs.000 | Amortised cost<br>Rs.000 | Other financial assets/liabilities<br>Rs.000 | Total carrying amount<br>Rs.000 | Fair value<br>Rs.000 |
| As at 31st March 2025                     |                                             |                                  |                          |                                              |                                 |                      |
| <b>Financial assets</b>                   |                                             |                                  |                          |                                              |                                 |                      |
| Cash in hand and favourable bank balances | -                                           | -                                | 32,368                   | -                                            | 32,368                          | 32,368               |
| Other financial assets-Current            | 73,403                                      | -                                | 2,997,350                | -                                            | 3,070,753                       | 3,070,753            |
| Other financial assets-Non- current       | -                                           | 445                              | -                        | -                                            | 445                             | 445                  |
| Loans to related parties                  | -                                           | -                                | 8,338,914                | -                                            | 8,338,914                       | 8,338,914            |
| Amounts due from related parties          | -                                           | -                                | 26,449,300               | -                                            | 26,449,300                      | 26,449,300           |
| Trade and other current assets            | -                                           | -                                | 27,362,250               | 4,145,509                                    | 31,507,759                      | 31,507,759           |
| <b>Total financial assets</b>             | <b>73,403</b>                               | <b>445</b>                       | <b>65,180,182</b>        | <b>4,145,509</b>                             | <b>69,399,539</b>               | <b>69,399,539</b>    |
| <b>Financial liabilities</b>              |                                             |                                  |                          |                                              |                                 |                      |
| Bank overdrafts                           | -                                           | -                                | 49,106                   | -                                            | 49,106                          | 49,106               |
| Trade and other payables                  | -                                           | -                                | 51,713,396               | 24,280                                       | 51,737,676                      | 51,737,676           |
| Amounts due to related parties            | -                                           | -                                | 68,195,993               | -                                            | 68,195,993                      | 68,195,993           |
| Loan from related parties                 | -                                           | -                                | 12,329                   | -                                            | 12,329                          | 12,329               |
| Short term borrowings                     | -                                           | -                                | 11,441,933               | -                                            | 11,441,933                      | 11,441,933           |
| <b>Total financial liabilities</b>        | <b>-</b>                                    | <b>-</b>                         | <b>131,412,757</b>       | <b>24,280</b>                                | <b>131,437,037</b>              | <b>131,437,037</b>   |

|                                           | Company                                     |                                  |                          |                                              |                                 |                      |
|-------------------------------------------|---------------------------------------------|----------------------------------|--------------------------|----------------------------------------------|---------------------------------|----------------------|
|                                           | Fair value through profit or loss<br>Rs.000 | Fair value through OCI<br>Rs.000 | Amortised cost<br>Rs.000 | Other financial assets/liabilities<br>Rs.000 | Total carrying amount<br>Rs.000 | Fair value<br>Rs.000 |
| As at 31st March 2024                     |                                             |                                  |                          |                                              |                                 |                      |
| <b>Financial assets</b>                   |                                             |                                  |                          |                                              |                                 |                      |
| Cash in hand and favourable bank balances | -                                           | -                                | 211,655                  | -                                            | 211,655                         | 211,655              |
| Other financial assets-Current            | 324,009                                     | -                                | 818,796                  | -                                            | 1,142,805                       | 1,142,805            |
| Other financial assets-Non- current       | -                                           | 346                              | -                        | -                                            | 346                             | 346                  |
| Loans to related parties                  | -                                           | -                                | 8,125,761                | -                                            | 8,125,761                       | 8,125,761            |
| Amounts due from related parties          | -                                           | -                                | 31,067,810               | -                                            | 31,067,810                      | 31,067,810           |
| Trade and other current assets            | -                                           | -                                | 17,805,469               | 5,272,575                                    | 23,078,044                      | 23,078,044           |
| <b>Total financial assets</b>             | <b>324,009</b>                              | <b>346</b>                       | <b>58,029,491</b>        | <b>5,272,575</b>                             | <b>63,626,421</b>               | <b>63,626,421</b>    |
| <b>Financial liabilities</b>              |                                             |                                  |                          |                                              |                                 |                      |
| Bank overdrafts                           | -                                           | -                                | 666                      | -                                            | 666                             | 666                  |
| Trade and other payables                  | -                                           | -                                | 33,097,455               | 20,942                                       | 33,118,397                      | 33,118,397           |
| Amounts due to related parties            | -                                           | -                                | 68,222,848               | -                                            | 68,222,848                      | 68,222,848           |
| Loan from related parties                 | -                                           | -                                | 5,012,322                | -                                            | 5,012,322                       | 5,012,322            |
| Short term borrowings                     | -                                           | -                                | 6,804,311                | -                                            | 6,804,311                       | 6,804,311            |
| <b>Total financial liabilities</b>        | <b>-</b>                                    | <b>-</b>                         | <b>113,137,602</b>       | <b>20,942</b>                                | <b>113,158,544</b>              | <b>113,158,544</b>   |

## 51.1 Valuation Methodologies and Assumptions

### Fair value of financial assets and liabilities not carried at fair value

Relief granted by the CBSL has not being considered for the fair value.

The valuation techniques used to establish the Group's fair values are consistent with those used to calculate the fair values of financial instruments carried at fair value. The fair values calculated are for disclosure purposes only and do not have any impact on the Group's reported financial performance or position. The fair values calculated by the Group may be different from the actual amount that will be received/paid on the settlement or maturity of the financial instrument. As certain categories of financial instruments are not traded there is a significant level of management judgment involved in calculating the fair values.

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

#### Balances with banks and financial institutions

For financial assets and financial liabilities that have a short-term maturity [less than three months] it is assumed that the carrying amounts approximate their fair value. This assumption is also applied to demand deposits, and savings accounts without a specific maturity

#### Loans and receivables

The fair value of loans and advances to customers with a maturity of less than one year generally approximates the carrying value, subject to any significant movement in credit spreads. The estimated fair value of loans and advances with maturity of more than one year represents the discounted amount of future cash flows expected to be received. Expected cash flows are discounted at current market rates to determine fair value.

#### Due to customers

The estimated fair value of deposits with no maturity period [savings deposits] is the amount repayable on demand. The estimated fair value of fixed interest-bearing deposits [fixed deposits] without quoted market prices is based on discounting cash flows using the prevailing market rates for debts with a similar risk and remaining maturity.

#### Due to banks and debt securities issued

Variable rate is a fair measure which reflects market movements. Hence the carrying value represents the fair value of the variable rate instruments.

The fair value of fixed rate borrowings with a maturity of less than one year generally approximates the carrying value, subject to any significant movement in credit spreads. The estimated fair value of fixed rates borrowing with maturity of more than one year represents the discounted amount of future cash flows expected to be paid. Expected cash flows are discounted at current market rates to determine fair value.

#### Other financial liabilities

Since all the liabilities which are under other financial liabilities have short-term maturities, it is assumed that the carrying amount of those liabilities approximate their fair value. under other financial liabilities have short-term maturities, it is assumed that the carrying amount of those liabilities approximate their fair value.

## 52 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group has loans and other receivables, trade and other receivables, and cash and short-term deposits that arise directly from its operations. The Group also holds available-for-sale investments and may enter into derivative transactions. The Group's principal financial liabilities, comprise of loans and borrowings, trade and other payables, and financial guarantee contracts. The main purpose of these financial liabilities is to finance the Group's operations and to provide guarantees to support its operations.

The Group has exposure to the following risk from financial instruments:

01. Credit risk
02. Liquidity risk
03. Market risk

#### Risk management framework

The Board of Directors of each Company has overall responsibility for the establishment and oversight of Group's risk management framework for the companies within the group. The Board has established Integrated Risk Management Committees [IRMC] for each financial sector company, which are responsible for developing and monitoring financial services risk management policies in their specified areas. All Board committees have both executive and non-executive members and report regularly to the Board of Directors on their activities.

## Notes to the Financial Statements

The Group's risk management policies are established to identify and analyse the risks faced by Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Company, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees understand their roles and obligations.

The Audit Committee of each Company is responsible for monitoring compliance with the risk management policies and procedures, and for reviewing the adequacy of the risk management framework in relation to the risks faced by the each Group of Company. Each financial sector Company's Audit Committee is assisted in these functions by Enterprise Risk Management division [ERM]. ERM undertakes both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to each financial sector Company's Audit Committee.

### 52.1 Credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily trade receivables) and from its financing activities, including deposits with banks and financial institutions, foreign exchange transactions and other financial instruments.

The Group trades only with recognised, creditworthy third parties. It is the Group's policy that all clients who wish to trade on credit terms are subject to credit verification procedures. In addition, receivable balances are monitored on an ongoing basis with the result that the Group's exposure to bad debts is not significant.

With respect to the credit risk arising from the other financial assets of the Group, such as cash and cash equivalents, financial investments, short term investments, and certain derivative instruments, the Group's exposure to credit risk arises from default of the counterparty. The Group manages its operations to avoid any excessive concentration of counterparty risk and the Group takes all reasonable steps to ensure the counterparties fulfil their obligations.

#### Management of credit risk

The Board of Directors of each financial sector Company has delegated responsibility for the oversight of credit risk to its Credit Committee. A separate Credit department, reporting to each Credit Committees, is responsible for management of the financial sector Companies' credit risk, including:

01. Formulating credit policies in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.
02. Establishing the authorisation structure for the approval and renewal of credit facilities. Authorisation limits are allocated to business unit Credit Officers. Larger facilities require approval by Group Credit, Head of Group Credit Committee or the board of directors as appropriate.
03. Reviewing and assessing credit risk. Group Credit assesses all credit exposures in excess of designated limits, prior to facilities being committed to customers by the business unit concerned. Renewals and reviews of facilities are subjected to the same review process.
04. Reviewing compliance of business units with agreed exposure limits, including those for selected industries, country risk and product types. Regular reports on the credit quality of local portfolios are provided to Group Credit who may require appropriate corrective action to be taken
05. Providing advice, guidance and specialist skills to business units to promote best practice throughout the financial sector in the management of credit risk.

#### Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows.

| As at 31st March                  | Group          |                | Company        |                |
|-----------------------------------|----------------|----------------|----------------|----------------|
|                                   | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Trade and other receivable        | 47,885,549     | 50,825,932     | 31,507,759     | 23,078,044     |
| Loans to related companies        | 2,836,542      | 507,959        | 8,338,914      | 8,125,761      |
| Amount due from related companies | 797,982        | 866,132        | 26,449,300     | 31,067,810     |
| Cash at Bank                      | 6,615,501      | 5,585,870      | 32,368         | 211,655        |
|                                   | 58,139,574     | 57,785,893     | 66,328,341     | 62,483,270     |

## Trade and other receivable

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers the default risk of the industry in which customers operate, as this factor may have an influence on credit risk.

Each new customer is analysed individually for creditworthiness before the Group's Standard payment and delivery terms and conditions are offered. The Group's review includes external ratings, when available and in some cases bank references. Sales limits are established for each customer, which represents the maximum open amount without requiring approval from the management. These limits are reviewed periodically. The Group has obtained customer deposits as collateral from major customers by reviewing their past performance and credit worthiness. In addition, receivable balances are monitored on an ongoing basis with the result that Group's exposure to bad debts is not significant.

## Loans Given to Related Parties

The Group's amount due from related parties consist of the balances from affiliate companies.

## 52.2 Liquidity risk

Liquidity risk is the risk that Group will encounter difficulty in meeting the Obligations associated with its financial liabilities that are settled by delivering cash or another financial assets. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group's policy is to hold cash and undrawn committed facilities at a level sufficient to ensure that the Group has available funds to meet its short and medium term capital and funding obligations, including organic growth and acquisition activities, and to meet any unforeseen obligations and opportunities. The Group holds cash and undrawn committed facilities to enable the Group to manage its liquidity risk.

The Group monitors its risk to a shortage of funds using a daily cash management process. This process considers the maturity of both the Group's financial investments and financial assets [e.g. accounts receivable, other financial assets] and projected cash flows from operations.

The Group's objective is to maintain a balance between the continuity of funding and flexibility through the use of multiple sources of funding including debentures, bank loans, loan notes, overdrafts and finance leases over a broad spread of maturities.

## Maturity analysis of financial assets and liabilities

Maturity analysis for the financial liabilities is shown below with their contractual cash flows over the future periods

### Financial year 2025

|                                           | On demand<br>Rs.000 | Less than 3<br>months<br>Rs.000 | 3 to 12<br>months<br>Rs.000 | 1 to 5<br>years<br>Rs.000 | More than 5<br>years<br>Rs.000 | Total<br>Rs.000 |
|-------------------------------------------|---------------------|---------------------------------|-----------------------------|---------------------------|--------------------------------|-----------------|
| <b>Group</b>                              |                     |                                 |                             |                           |                                |                 |
| Interest bearing borrowings               | -                   | 1,746,770                       | 5,240,311                   | 24,588,113                | -                              | 31,575,194      |
| Short term borrowings and Bank overdrafts | -                   | 4,681,866                       | 29,287,336                  | -                         | -                              | 33,969,202      |
| Trade and other payables                  | -                   | 83,430,937                      | 58,938,267                  | -                         | -                              | 142,369,204     |
| Amounts due to related parties            | 113,871,360         | -                               | -                           | -                         | -                              | 113,871,360     |
| Loans from related parties                | 3,691,449           | -                               | -                           | 685,541                   | -                              | 4,376,990       |
|                                           | 117,562,809         | 89,859,573                      | 93,465,914                  | 25,273,654                | -                              | 326,161,950     |
| <b>Company</b>                            |                     |                                 |                             |                           |                                |                 |
| Interest bearing borrowings               | -                   | 1,000,000                       | 1,000,000                   | -                         | -                              | 2,000,000       |
| Short term borrowings and Bank overdrafts | -                   | 49,106                          | 11,441,933                  | -                         | -                              | 11,491,039      |
| Trade and other payables                  | -                   | 34,505                          | 51,703,171                  | -                         | -                              | 51,737,676      |
| Amounts due to related parties            | 68,195,993          | -                               | -                           | -                         | -                              | 68,195,993      |
| Loans from related parties                | 12,329              | -                               | -                           | -                         | -                              | 12,329          |
|                                           | 68,208,322          | 1,083,611                       | 64,145,104                  | -                         | -                              | 133,437,037     |

## Notes to the Financial Statements

### Financial year 2024

|                                           | On demand<br>Rs.000 | Less than 3<br>months<br>Rs.000 | 3 to 12<br>months<br>Rs.000 | 1 to 5<br>years<br>Rs.000 | More than 5<br>years<br>Rs.000 | Total<br>Rs.000 |
|-------------------------------------------|---------------------|---------------------------------|-----------------------------|---------------------------|--------------------------------|-----------------|
| <b>Group</b>                              |                     |                                 |                             |                           |                                |                 |
| Interest bearing borrowings               | -                   | 2,356,180                       | 5,080,090                   | 12,983,096                | 9,416,124                      | 29,835,490      |
| Short term borrowings and Bank overdrafts | -                   | 419,364                         | 13,907,173                  | -                         | -                              | 14,326,537      |
| Trade and other payables                  | -                   | 60,722,628                      | 35,254,717                  | -                         | -                              | 95,977,345      |
| Amounts due to related parties            | 116,635,421         | -                               | -                           | -                         | -                              | 116,635,421     |
| Loans from related parties                | 3,124,263           | -                               | -                           | 7,660,157                 | -                              | 10,784,420      |
|                                           | 119,759,684         | 63,498,172                      | 54,241,980                  | 34,550,426                | 9,416,124                      | 267,559,213     |
| <b>Company</b>                            |                     |                                 |                             |                           |                                |                 |
| Interest bearing borrowings               | -                   | 1,000,000                       | 1,000,000                   | 1,000,000                 | -                              | 3,000,000       |
| Short term borrowings and Bank overdrafts | -                   | 500,666                         | 6,304,311                   | -                         | -                              | 6,804,977       |
| Trade payables                            | -                   | 31,167                          | 33,087,230                  | -                         | -                              | 33,118,397      |
| Amounts due to related parties            | 68,222,848          | -                               | -                           | -                         | -                              | 68,222,848      |
| Loans from related parties                | 5,012,322           | -                               | -                           | -                         | -                              | 5,012,322       |
|                                           | 73,235,170          | 1,531,833                       | 40,391,541                  | 1,000,000                 | -                              | 116,158,544     |

Maturity analysis for the financial liabilities is shown below with their undiscounted contractual cash flows over the future periods

### Financial year 2025

|                                           | On demand<br>Rs.000 | Less than 3<br>months<br>Rs.000 | 3 to 12<br>months<br>Rs.000 | 1 to 5<br>years<br>Rs.000 | More than 5<br>years<br>Rs.000 | Total<br>Rs.000 |
|-------------------------------------------|---------------------|---------------------------------|-----------------------------|---------------------------|--------------------------------|-----------------|
| <b>Group</b>                              |                     |                                 |                             |                           |                                |                 |
| Interest bearing borrowings               | -                   | 1,746,770                       | 5,240,311                   | 24,588,113                | -                              | 31,575,194      |
| Short term borrowings and Bank overdrafts | -                   | 4,681,866                       | 29,287,336                  | -                         | -                              | 33,969,202      |
| Trade and other payables                  | -                   | 83,430,937                      | 58,938,267                  | -                         | -                              | 142,369,204     |
| Amounts due to related parties            | 113,871,360         | -                               | -                           | -                         | -                              | 113,871,360     |
| Loans from related parties                | 3,691,449           | -                               | -                           | 685,541                   | -                              | 4,376,990       |
|                                           | 117,562,809         | 89,859,573                      | 93,465,914                  | 25,273,654                | -                              | 326,161,950     |
| <b>Company</b>                            |                     |                                 |                             |                           |                                |                 |
| Interest bearing borrowings               | -                   | 1,000,000                       | 1,000,000                   | -                         | -                              | 2,000,000       |
| Short term borrowings and Bank overdrafts | -                   | 549,106                         | 10,941,933                  | -                         | -                              | 11,491,039      |
| Trade and other payables                  | -                   | 34,505                          | 51,703,171                  | -                         | -                              | 51,737,676      |
| Amounts due to related parties            | 68,195,993          | -                               | -                           | -                         | -                              | 68,195,993      |
| Loans from related parties                | 12,329              | -                               | -                           | -                         | -                              | 12,329          |
|                                           | 68,208,322          | 1,583,611                       | 63,645,104                  | -                         | -                              | 133,437,037     |

## Financial year 2024

|                                           | On demand<br>Rs.000 | Less than 3<br>months<br>Rs.000 | 3 to 12<br>months<br>Rs.000 | 1 to 5<br>years<br>Rs.000 | More than 5<br>years<br>Rs.000 | Total<br>Rs.000 |
|-------------------------------------------|---------------------|---------------------------------|-----------------------------|---------------------------|--------------------------------|-----------------|
| <b>Group</b>                              |                     |                                 |                             |                           |                                |                 |
| Interest bearing borrowings               | -                   | 2,356,180                       | 5,080,090                   | 12,983,096                | 9,616,124                      | 30,035,490      |
| Short term borrowings and Bank overdrafts | -                   | 419,364                         | 13,907,173                  | -                         | -                              | 14,326,537      |
| Trade and other payables                  | 116,635,421         | 60,722,628                      | 35,254,717                  | -                         | -                              | 212,612,766     |
| Amounts due to related parties            | 3,124,263           | -                               | -                           | -                         | -                              | 3,124,263       |
| Loans from related parties                | 12,218,925          | -                               | -                           | 7,660,157                 | -                              | 19,879,082      |
|                                           | 131,978,609         | 63,498,172                      | 54,241,980                  | 20,643,253                | 9,616,124                      | 279,978,138     |
| <b>Company</b>                            |                     |                                 |                             |                           |                                |                 |
| Interest bearing borrowings               | -                   | 1,000,000                       | 1,000,000                   | 1,000,000                 | -                              | 3,000,000       |
| Short term borrowings and Bank overdrafts | -                   | 500,666                         | 6,304,311                   | -                         | -                              | 6,804,977       |
| Trade payables                            | -                   | 31,167                          | 33,087,230                  | -                         | -                              | 33,118,397      |
| Amounts due to related parties            | 68,222,848          | -                               | -                           | -                         | -                              | 68,222,848      |
| Loans from related parties                | 5,012,322           | -                               | -                           | -                         | -                              | 5,012,322       |
|                                           | 73,235,170          | 1,531,833                       | 40,391,541                  | 1,000,000                 | -                              | 116,158,544     |

### 52.2.1 Net Debt

| As at 31st March                  | Group          |                | Company        |                |
|-----------------------------------|----------------|----------------|----------------|----------------|
|                                   | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Other current financial assets    | 4,603,026      | 2,795,441      | 3,070,753      | 1,142,805      |
| Cash in hand and at bank          | 6,615,501      | 5,585,870      | 32,368         | 211,655        |
| Total liquid assets               | 11,218,527     | 8,381,311      | 3,103,121      | 1,354,460      |
| Non current portion of borrowings | 24,588,113     | 22,399,220     | 1,000,000      | 2,000,000      |
| Short term borrowings             | 29,287,336     | 13,907,173     | 11,441,933     | 6,804,311      |
| Current portion of borrowings     | 6,987,081      | 7,436,270      | 1,000,000      | 1,000,000      |
| Bank overdrafts                   | 4,681,866      | 419,364        | 49,106         | 666            |
| Loans from related parties        | 4,376,990      | 10,784,420     | 12,329         | 5,012,322      |
| Total liabilities                 | 69,921,386     | 54,946,447     | 13,503,368     | 14,817,299     |
| Net debt                          | (58,702,859)   | (46,565,136)   | (10,400,247)   | (13,462,839)   |

#### Liquidity risk management

The mixed approach combines elements of the cash flow matching approach and the liquid assets approach. The business units attempt to match cash outflows in each time bucket against a combination of contractual cash inflows plus other inflows that can be generated through the sale of assets, repurchase agreements or other secured borrowings.

## Notes to the Financial Statements

### 52.3 Market Risk

Market risk is the risk that changes in market prices, such as interest rates, equity prices, foreign exchange rates and credit spreads will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

Market risk comprise of the following types of risk:

- Interest Rate Risk
- Currency Risk
- Commodity price risk
- Equity Price Risk

The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return. The group's risk management is controlled by group treasury under policies approved by the board of directors. Group treasury identifies, evaluates and hedges financial risks in close co-operation with the group's operating units. The board provides written principles for overall risk management, as well as policies covering specific areas, such as foreign exchange risk, interest rate risk, credit risk, use of derivative financial instruments and non-derivative financial instruments, and investment of excess liquidity.

The analysis excludes the impact of movements in market variables on the carrying values of other post-retirement obligations, provisions, and the non-financial assets and liabilities.

#### 52.3.1 Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long-term debt obligations with floating interest rates.

The Group treasury continuously monitors the interest rate environment to advice to group on the most suitable strategy with regard to borrowings.

| As at 31st March         | Group          |                | Company        |                |
|--------------------------|----------------|----------------|----------------|----------------|
|                          | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000 |
| Variable rate borrowings | 29,287,336     | 13,907,173     | 11,441,933     | 6,804,311      |
| Fixed rate borrowings    | 31,575,194     | 29,835,490     | 2,000,000      | 3,000,000      |
|                          | 60,862,530     | 43,742,663     | 13,441,933     | 9,804,311      |

An analysis of the Groups' sensitivity to an increase or decrease in market interest rates, assuming no asymmetrical movement in yield curves and a constant financial position, is as follows;

| Sensitivity of projected         | Net interest                      |                                   | Reported equity                   |                                   |
|----------------------------------|-----------------------------------|-----------------------------------|-----------------------------------|-----------------------------------|
|                                  | 1% parallel<br>increase<br>Rs.000 | 1% parallel<br>decrease<br>Rs.000 | 1% parallel<br>increase<br>Rs.000 | 1% parallel<br>decrease<br>Rs.000 |
| Group                            |                                   |                                   |                                   |                                   |
| For the year ended 31 March 2025 | 608,625                           | (608,625)                         | 194,559,893                       | 195,777,143                       |

| Sensitivity of projected         | Net interest                      |                                   | Reported equity                   |                                   |
|----------------------------------|-----------------------------------|-----------------------------------|-----------------------------------|-----------------------------------|
|                                  | 1% parallel<br>increase<br>Rs.000 | 1% parallel<br>decrease<br>Rs.000 | 1% parallel<br>increase<br>Rs.000 | 1% parallel<br>decrease<br>Rs.000 |
| Company                          |                                   |                                   |                                   |                                   |
| For the year ended 31 March 2024 | 437,427                           | (437,427)                         | 129,164,128                       | 130,038,982                       |

### 52.3.2 Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group has exposure to foreign currency risk where it has cash flows in overseas operations and foreign currency transactions which are affected by foreign exchange movements. Group treasury analysis the market condition of foreign exchange and provides market updates to the board, with the use of external consultants' advice. Based on the suggestions made by Group treasury, the board takes decisions on whether to hold, sell, or make forward bookings of foreign currency.

The Group has exposure to the currency fluctuations through its foreign assets and liabilities held by following main foreign subsidiaries

| Subsidiary                                 | Country of incorporation | Functional currency                                    |
|--------------------------------------------|--------------------------|--------------------------------------------------------|
| B Commodities ME(FZE)                      | UAE                      | United State Dollar - USD                              |
| BI Leisure Holdings ME(FZE)                | UAE                      | United State Dollar - USD                              |
| Bodufaru Beach Resorts (Private) Limited   | Maldives                 | United State Dollar - USD                              |
| Browns Ari Resort (Pvt) Ltd                | Maldives                 | United State Dollar - USD                              |
| Browns Kaafu N Resort (Pvt) Ltd            | Maldives                 | United State Dollar - USD                              |
| Browns Raa Resort (Pvt) Ltd                | Maldives                 | United State Dollar - USD                              |
| Grey Reach Investments Ltd                 | British Virgin Island    | United State Dollar - USD                              |
| Sunbird Bioenergy (SL) Ltd                 | Sierra Leone             | Euro                                                   |
| PL Resorts Ltd                             | Mauritius                | Mauritian rupee (MUR)                                  |
| Browns Plantations Kenya Ltd               | Scotland and Kenya       | British Pound Sterling ( GBP) and Kenyan Shilling (Ks) |
| Browns Plantations East Africa Ltd         | Kenya                    | Kenyan shilling                                        |
| Browns Plantation Tanzania Ltd             | Tanzania                 | Tanzanian shilling                                     |
| Browns Plantation Rwanda Ltd               | Rwanda                   | Rwanda Franc                                           |
| Browns Plantations (Guizhou) Tea Co., Ltd. | China                    | Chinese Yuan                                           |
| Browns Tea Trading FZCO                    | UAE                      | United State Dollar -USD                               |

A reasonably possible strengthening (weakening) of USD, EURO, GBP, MUR, KES, RWF, TZS and CNY against all other currencies as at 31 March 2025, would have affected the measurement of individual assets and liabilities denominated in a foreign currency and affected equity by the amounts shown below. This analysis assumes that all other variables, in particular interest rates remain constant and any change in assets and liability positions.

| As at 31 March 2024 | 100 basis points movement in |                     |
|---------------------|------------------------------|---------------------|
|                     | strengthening<br>Rs.000      | Weakening<br>Rs.000 |
| USD                 | 340,674                      | (340,674)           |
| EURO                | 488,527                      | (488,527)           |
| MUR                 | 16,287                       | (16,287)            |
| GBP                 | 578,238                      | (578,238)           |
| RWF                 | 69,486                       | (69,486)            |
| CNY                 | 10,063                       | (10,063)            |
| KES                 | 992,144                      | (992,144)           |

### 52.3.3 Equity price risk

The group's exposure to equity securities price risk arises from investments held by the group and classified in the balance sheet either as at fair value through other comprehensive income (FVOCI)

To manage its price risk arising from investments in equity securities, the group diversifies its portfolio. Diversification of the portfolio is done in accordance with the limits set by the group.

Below table summarises the impact of a shock of 10% on equity price on profit, other comprehensive income (OCI) and equity.

|                                   | Group                                                        |                                                                          | Company                                                      |                                                                          |
|-----------------------------------|--------------------------------------------------------------|--------------------------------------------------------------------------|--------------------------------------------------------------|--------------------------------------------------------------------------|
|                                   | Financial assets recognised through profit or loss<br>Rs.000 | Financial assets fair value through other comprehensive income<br>Rs.000 | Financial assets recognised through profit or loss<br>Rs.000 | Financial assets fair value through other comprehensive income<br>Rs.000 |
| Market value of Equity Securities | 637,133                                                      | 445                                                                      | 73,403                                                       | 445                                                                      |

## Notes to the Financial Statements

| Stress Level                            | Group                                |                         | Company                              |                         |
|-----------------------------------------|--------------------------------------|-------------------------|--------------------------------------|-------------------------|
|                                         | Impact on Income Statement<br>Rs.000 | Impact on OCI<br>Rs.000 | Impact on Income Statement<br>Rs.000 | Impact on OCI<br>Rs.000 |
| Shock of 10% on equity price (upward)   | 63,713                               | 45                      | 7,340                                | 45                      |
| Shock of 10% on equity price (downward) | [63,713]                             | [45]                    | [7,340]                              | [45]                    |

### 52.4 Capital Management

For the purpose of the Group's capital management, capital includes issued capital, convertible preference shares, share premium and all other equity reserves attributable to the equity holders of the parent. The primary objective of the Group's capital management is to maximise the shareholder value.

The Group manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Group monitors capital using a gearing ratio, which is 'net debt' divided by total capital plus net debt.

| As at 31st March                      | Group          |                | Company        |                            |
|---------------------------------------|----------------|----------------|----------------|----------------------------|
|                                       | 2025<br>Rs.000 | 2024<br>Rs.000 | 2025<br>Rs.000 | 2024<br>Rs.000<br>Restated |
| Non current portion of borrowings     | 24,588,113     | 22,399,220     | 1,000,000      | 2,000,000                  |
| Short term borrowings                 | 29,287,336     | 13,907,173     | 11,441,933     | 6,804,311                  |
| Current portion of borrowings         | 6,987,081      | 7,436,270      | 1,000,000      | 1,000,000                  |
| Bank overdrafts                       | 4,681,866      | 419,364        | 49,106         | 666                        |
| Loans from related parties            | 4,376,990      | 10,784,420     | 12,329         | 5,012,322                  |
| Less: cash and short-term deposits    | [11,218,527]   | [8,381,311]    | [3,103,121]    | [1,354,460]                |
| Net debt                              | 58,702,859     | 46,565,136     | 10,400,247     | 13,462,839                 |
| Equity attributable to equity holders | 195,168,518    | 129,601,555    | 195,168,518    | 129,601,555                |
| Capital and Net Debt                  | 253,871,377    | 176,166,691    | 205,568,765    | 143,064,394                |
| Gearing ratio                         | 23.12%         | 26.43%         | 5.06%          | 9.41%                      |

In order to achieve this overall objective, the Group's capital management, among other things, aims to ensure that it meets financial covenants attached to the interest-bearing loans and borrowings that define capital structure requirements. Breaches in meeting the financial covenants would permit the bank to immediately call loans and borrowings. There have been no breaches of the financial covenants of any interest-bearing loans and borrowing in the current period.

No changes were made in the objectives, policies or processes for managing capital during the years ended 31 March 2025 and 2024.

## 53 Non Controlling Interests

The following table summarises the information relating to each of the Group's subsidiaries that has material NCI, before any intra-group eliminations.

| As at 31st March 2025<br>NCI%                        | SHOTPLC<br>49.40%<br>Rs.000 | DOLPHINPLC<br>64.92%<br>Rs.000 | SIGIRIAPLC<br>67.47%<br>Rs.000 | PALM<br>10.62%<br>Rs.000 | EDEN<br>13.11%<br>Rs.000 | DRS<br>13.11%<br>Rs.000 | FRONTIER<br>49.40%<br>Rs.000 | MPL<br>31.36%<br>Rs.000 | Sun & Fun<br>55.69%<br>Rs.000 | NPHI<br>49.00%<br>Rs.000 | Total<br>Rs.000 |
|------------------------------------------------------|-----------------------------|--------------------------------|--------------------------------|--------------------------|--------------------------|-------------------------|------------------------------|-------------------------|-------------------------------|--------------------------|-----------------|
| Summarised Balance Sheet                             |                             |                                |                                |                          |                          |                         |                              |                         |                               |                          |                 |
| Total assets                                         | 4,182,263                   | 6,010,230                      | 1,628,800                      | 23,363,957               | 15,225,073               | 5,281,963               | 1,533,773                    | 11,874,920              | 2,478,585                     | 44,268,392               | 115,847,955     |
| Total liabilities                                    | 1,345,603                   | 1,576,399                      | 485,993                        | 3,916,177                | 3,722,879                | 5,199,421               | 605,285                      | 11,884,184              | 3,278,803                     | 36,689,113               | 68,703,858      |
| Net assets                                           | 2,836,659                   | 4,433,831                      | 1,142,807                      | 19,447,779               | 11,502,195               | 82,541                  | 928,488                      | [9,264]                 | [800,219]                     | 7,579,280                | 47,144,097      |
| carrying value of NCI                                | 1,401,439                   | 2,878,433                      | 771,060                        | 2,065,354                | 1,507,938                | 10,821                  | 458,673                      | [2,905]                 | [445,642]                     | 3,713,847                | 12,359,018      |
| Summarised statement of comprehensive income         |                             |                                |                                |                          |                          |                         |                              |                         |                               |                          |                 |
| Revenue                                              | 859,399                     | 1,446,897                      | 624,872                        | -                        | 1,324,303                | 652,491                 | 362,054                      | 5,045,665               | 427,625                       | -                        | 9,883,907       |
| Profit/(loss) after tax                              | 204,179                     | 167,434                        | 48,493                         | 1,924,132                | 239,248                  | [401,467]               | 51,167                       | [501,756]               | [283,109]                     | 503,530                  | 1,951,851       |
| Other comprehensive income                           | 236,883                     | 862,122                        | 166,395                        | [80]                     | 867,953                  | 761,677                 | 172,476                      | 165,059                 | 533,446                       | -                        | 3,765,930       |
| Profit/ (loss) allocated to NCI                      | 100,874                     | 108,698                        | 32,718                         | 204,343                  | 31,365                   | [52,632]                | 25,276                       | [157,351]               | [157,663]                     | 246,730                  | 382,358         |
| OCI allocated to NCI                                 | 117,031                     | 559,688                        | 112,268                        | [9]                      | 113,789                  | 99,856                  | 85,203                       | 51,763                  | 297,076                       | 2,486,287                | 3,922,952       |
| Summarised cash flows                                |                             |                                |                                |                          |                          |                         |                              |                         |                               |                          |                 |
| Cash flows from operating activities                 | 84,053                      | 54,879                         | [56,611]                       | 4,588,187                | 112,951                  | 101,721                 | 77,235                       | 1,759,690               | 106,934                       | 6,578,099                | 13,407,138      |
| Cash flows from investing activities                 | 2,334                       | [56,761]                       | [20,957]                       | [5,366,152]              | [118,616]                | [28,374]                | [14,598]                     | [77,366]                | [37,700]                      | [10,568,522]             | [16,286,712]    |
| Cash flows from financing activities                 | [66,175]                    | [593,545]                      | [3,818]                        | -                        | [61,130]                 | -                       | [36,126]                     | [237,714]               | [60,573]                      | 3,422,728                | 2,363,647       |
| Net increase/(decrease) in cash and cash equivalents | 20,213                      | [595,426]                      | [81,386]                       | [777,965]                | [66,795]                 | 73,347                  | 26,511                       | 1,444,610               | 8,661                         | [567,696]                | [515,927]       |
| As at 31st March 2024                                |                             |                                |                                |                          |                          |                         |                              |                         |                               |                          |                 |
| NCI%                                                 | SHOTPLC<br>49.40%<br>Rs.000 | DOLPHINPLC<br>64.92%<br>Rs.000 | SIGIRIAPLC<br>67.47%<br>Rs.000 | PALM<br>10.62%<br>Rs.000 | EDEN<br>13.11%<br>Rs.000 | DRS<br>13.11%<br>Rs.000 | FRONTIER<br>49.40%<br>Rs.000 | MPL<br>31.36%<br>Rs.000 | SUNFUN<br>55.69%<br>Rs.000    | NPHI<br>49.00%<br>Rs.000 | Total<br>Rs.000 |
| Summarised Balance Sheet                             |                             |                                |                                |                          |                          |                         |                              |                         |                               |                          |                 |
| Total assets                                         | 3,869,116                   | 5,328,160                      | 1,239,749                      | 20,030,131               | 14,779,815               | 3,793,693               | 1,290,780                    | 11,401,449              | 1,654,162                     | 29,718,854               | 93,105,910      |
| Total liabilities                                    | 1,473,520                   | 1,923,885                      | 311,830                        | 2,929,239                | 4,234,824                | 4,071,354               | 585,935                      | 11,078,876              | 2,704,718                     | 24,787,434               | 54,101,616      |
| Net assets                                           | 2,395,597                   | 3,404,275                      | 927,918                        | 17,100,892               | 10,544,991               | [277,661]               | 704,845                      | 322,573                 | [1,050,556]                   | 4,931,420                | 39,004,294      |
| carrying value of NCI                                | 1,183,534                   | 2,210,048                      | 626,073                        | 1,816,115                | 1,382,448                | [36,401]                | 348,194                      | 101,159                 | [585,055]                     | 2,416,396                | 9,462,510       |
| Summarised statement of comprehensive income         |                             |                                |                                |                          |                          |                         |                              |                         |                               |                          |                 |
| Revenue                                              | 746,297                     | 1,311,439                      | 491,955                        | -                        | 1,138,329                | 605,161                 | 319,723                      | 4,581,387               | 335,228                       | -                        | 8,783,222       |
| Profit/(loss) after tax                              | 55,731                      | 320,017                        | 101,309                        | [1,423,739]              | [2,037,990]              | [574,160]               | 1,660                        | [1,652,915]             | [484,940]                     | [341,380]                | [6,036,406]     |
| Other comprehensive income                           | 1,726                       | [4,658]                        | 718                            | -                        | [265]                    | [35,780]                | 82                           | 3,852                   | [411]                         | -                        | [34,736]        |
| Profit/ (loss) allocated to NCI                      | 27,534                      | [253,567]                      | [51,375]                       | [151,201]                | [267,180]                | [75,272]                | 820                          | [518,354]               | [270,063]                     | [167,276]                | [1,725,935]     |
| OCI allocated to NCI                                 | 853                         | [3,024]                        | 485                            | -                        | [35]                     | [4,691]                 | 41                           | 1,208                   | [229]                         | -                        | [5,393]         |
| Summarised cash flows                                |                             |                                |                                |                          |                          |                         |                              |                         |                               |                          |                 |
| Cash flows from operating activities                 | 193,576                     | [201,426]                      | [20,687]                       | [6,193,870]              | [5,685,422]              | 281,921                 | [28,353]                     | 426,024                 | 88,117                        | 1,893,913                | [9,246,207]     |
| Cash flows from investing activities                 | [93,415]                    | 154,591                        | [22,571]                       | [5,730,340]              | [211,629]                | [116,081]               | [11,655]                     | [237,614]               | [29,885]                      | [504,527]                | [6,803,126]     |
| Cash flows from financing activities                 | [60,120]                    | [286,139]                      | [6,588]                        | 1,701,4220               | 6,052,498                | [116,236]               | [79,745]                     | [248,520]               | [466]                         | [6,877]                  | 22,262,027      |
| Net increase/(decrease) in cash and cash equivalents | 40,041                      | [332,974]                      | [49,846]                       | 5,090,010                | 155,447                  | 49,604                  | [119,753]                    | [60,110]                | 57,766                        | 1,382,509                | 6,212,694       |

## Ten Year Summary

|                                                       | 2025<br>Rs.000 | 2024<br>Rs.000 | 2023<br>Rs.000 |  |
|-------------------------------------------------------|----------------|----------------|----------------|--|
| <b>OPERATING RESULTS</b>                              |                |                |                |  |
| Group revenue                                         | 64,790,500     | 47,429,333     | 42,015,935     |  |
| EBIT                                                  | 95,238,933     | 54,454,239     | 26,027,862     |  |
| Finance expenses                                      | [34,423,620]   | [44,415,236]   | [38,021,609]   |  |
| Profit/(loss) before tax                              | 60,860,313     | 10,039,003     | [11,993,747]   |  |
| Tax expense                                           | 1,855,927      | [4,255,639]    | [240,546]      |  |
| Profit from continuous operations                     | 62,716,240     | 5,783,364      | [12,234,293]   |  |
| Profit/(loss) from discontinuous operations           | [9,382,322]    | -              | -              |  |
| Profit/(loss) for the year                            | 53,333,918     | -              | -              |  |
| <b>Attributable to:</b>                               |                |                |                |  |
| Equity holders of the company                         | 57,664,102     | 10,037,388     | [9,228,112]    |  |
| Non-controlling interests                             | [4,330,184]    | [4,254,024]    | [3,006,181]    |  |
|                                                       | 53,333,918     | 5,783,364      | [12,234,293]   |  |
| <b>CAPITAL EMPLOYED</b>                               |                |                |                |  |
| Stated capital                                        | 31,004,439     | 31,004,439     | 31,004,439     |  |
| Capital reserves                                      | 60,277,313     | 50,454,862     | 46,213,827     |  |
| Revenue reserves                                      | 103,886,766    | 48,142,254     | 36,394,949     |  |
| Share holders fund                                    | 195,168,518    | 129,601,555    | 113,613,215    |  |
| Non-controlling interests                             | 76,333,019     | 54,077,127     | 58,297,498     |  |
| Total equity                                          | 271,501,537    | 183,678,682    | 171,910,713    |  |
| Total debt                                            | 69,921,386     | 54,946,448     | 48,731,478     |  |
|                                                       | 341,422,923    | 238,625,130    | 220,642,191    |  |
| <b>ASSETS EMPLOYED</b>                                |                |                |                |  |
| Property, plant and equipment (PP&E)                  | 249,015,461    | 188,636,512    | 170,044,607    |  |
| Non-current assets other than PP&E                    | 306,729,703    | 233,969,647    | 174,508,186    |  |
| Current assets                                        | 114,392,371    | 74,726,265     | 70,256,583     |  |
| Liabilities net of debt                               | [328,714,611]  | [258,707,294]  | [194,167,185]  |  |
|                                                       | 341,422,923    | 238,625,130    | 220,642,191    |  |
| <b>CASH FLOW</b>                                      |                |                |                |  |
| Net cash flows from/(used in) operating activities    | 11,393,736     | 11,906,826     | 26,042,870     |  |
| Net cash flows from/ (used in) investing activities   | [19,209,627]   | [6,056,859]    | [8,966,880]    |  |
| Net cash flows from / (used in) financing activities  | 4,583,020      | [4,207,614]    | [15,438,556]   |  |
| Net increase/ (decrease) in cash and cash equivalents | [3,232,871]    | 1,642,353      | 1,637,434      |  |
| <b>KEY INDICATORS</b>                                 |                |                |                |  |
| Earnings per share (Rs.)*                             | 4.01           | 0.70           | 0.64           |  |
| Net Assets per share (Rs.)**                          | 13.58          | 9.02           | 7.91           |  |
| Market capitalisation [ Rs'000']                      | 104,898,941    | 77,596,477     | 86,218,308     |  |
| Market price per share (Rs.)                          | 7.30           | 5.40           | 6.00           |  |
| Price earning ratio [times]                           | 1.82           | 7.73           | -              |  |
| Dividend per share [Rs.]                              | -              | -              | -              |  |
| Return on shareholders' funds (%)                     | 29.55          | 7.74           | 8.12           |  |
| Return on capital employed (%)                        | 27.91          | 22.82          | 11.80          |  |
| Interest cover [times covered]                        | 2.60           | 1.23           | 0.68           |  |
| Current ratio [times]                                 | 0.38           | 0.31           | 0.37           |  |
| Debt to equity Ratio (%)                              | 35.83          | 42.40          | 42.89          |  |
| Number of shares ['000]                               | 14,369,718     | 14,369,718     | 14,369,718     |  |
| Pending share allotment                               | -              | -              | -              |  |

|  | 2022<br>Rs.000 | 2021<br>Rs.000 | 2020<br>Rs.000 | 2019<br>Rs.000 | 2018<br>Rs.000 | 2017<br>Rs.000 | 2016<br>Rs.000 |
|--|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
|  |                |                |                |                |                |                | Restated       |
|  | 22,329,590     | 8,359,852      | 5,556,739      | 5,123,307      | 5,147,888      | 8,910,227      | 7,904,353      |
|  | 41,174,013     | [412,491]      | 12,051,308     | 1,252,172      | 3,991,826      | 5,048,598      | [349,472]      |
|  | [9,419,414]    | [4,156,995]    | [4,542,520]    | [2,912,420]    | [2,100,319]    | [2,200,622]    | [1,107,534]    |
|  | 31,754,599     | [4,569,486]    | 7,508,788      | [1,660,248]    | 1,891,507      | 2,847,976      | [1,457,006]    |
|  | [156,207]      | [216,325]      | [323,346]      | [363,441]      | [431,371]      | [379,799]      | [19,673]       |
|  | 31,598,392     | [4,785,811]    | 7,185,442      | [2,023,689]    | 1,460,136      | 2,468,177      | [1,476,679]    |
|  | -              | -              | -              | -              | -              | -              | -              |
|  | -              | -              | -              | -              | -              | -              | -              |
|  |                |                |                |                |                |                |                |
|  | 31,458,203     | [3,396,642]    | 9,029,410      | [1,905,285]    | 847,288        | 1,016,927      | [943,271]      |
|  | 140,186        | [1,389,169]    | [1,843,968]    | [118,405]      | 612,848        | 1,451,250      | [533,408]      |
|  | 31,598,389     | [4,785,811]    | 7,185,442      | [2,023,689]    | 1,460,136      | 2,468,177      | [1,476,679]    |
|  |                |                |                |                |                |                |                |
|  | 31,004,439     | 31,004,439     | 11,844,816     | 11,844,816     | 7,705,000      | 7,705,000      | 7,705,000      |
|  | 46,086,825     | 24,047,826     | 4,878,168      | 3,098,926      | 2,518,542      | 1,728,558      | 1,552,698      |
|  | 46,039,453     | 12,746,865     | 15,896,208     | 6,495,389      | 7,143,611      | 6,392,183      | 4,733,546      |
|  | 123,130,717    | 67,799,130     | 32,619,192     | 21,439,131     | 17,367,153     | 15,825,741     | 13,991,244     |
|  | 59,455,216     | 31,236,486     | 21,440,273     | 2,903,860      | 7,339,483      | 6,106,454      | 10,344,771     |
|  | 182,585,933    | 99,035,616     | 54,059,465     | 24,342,991     | 24,706,636     | 21,932,195     | 24,336,015     |
|  | 58,671,553     | 24,433,209     | 25,824,505     | 15,855,384     | 8,823,130      | 8,502,611      | 9,566,838      |
|  | 241,257,486    | 123,468,825    | 79,883,970     | 40,198,375     | 33,529,766     | 30,434,806     | 33,902,853     |
|  |                |                |                |                |                |                |                |
|  | 157,296,253    | 102,734,455    | 77,714,110     | 31,724,124     | 26,456,648     | 20,724,926     | 18,231,324     |
|  | 152,140,501    | 40,167,889     | 26,054,692     | 21,892,475     | 18,700,466     | 15,879,814     | 20,573,789     |
|  | 63,344,513     | 20,489,483     | 12,377,065     | 6,065,711      | 5,671,816      | 8,629,424      | 5,111,969      |
|  | [131,523,781]  | [39,923,001]   | [36,261,896]   | [19,483,935]   | [17,299,164]   | [14,799,358]   | [10,014,229]   |
|  | 241,257,486    | 123,468,826    | 79,883,971     | 40,198,375     | 33,529,766     | 30,434,806     | 33,902,853     |
|  |                |                |                |                |                |                |                |
|  | 30,864,314     | [12,239,344]   | 3,824,917      | [1,795,239]    | [3,720,925]    | 406,092        | [1,100,384]    |
|  | [67,596,135]   | [5,409,655]    | [11,062,588]   | [6,883,341]    | [2,092,665]    | [5,351,248]    | [2,250,909]    |
|  | 36,065,739     | 18,952,216     | 7,991,364      | 8,773,354      | 1,459,804      | 8,312,887      | 4,264,771      |
|  | [666,078]      | 1,303,217      | 753,693        | 94,774         | [4,353,786]    | 3,367,731      | 913,478        |
|  |                |                |                |                |                |                |                |
|  | 2.19           | [0.24]         | 1.89           | [0.51]         | 0.23           | 0.27           | [0.25]         |
|  | 8.57           | 4.72           | 4.48           | 4.48           | 4.72           | 4.25           | 3.76           |
|  | 107,772,885    | 79,033,449     | 9,100,822      | 5,580,000      | 10,044,000     | 5,208,000      | 4,836,000      |
|  | 7.50           | 5.50           | 1.90           | 1.50           | 2.70           | 1.40           | 1.30           |
|  | 3.43           | -              | 1.01           | -              | 11.74          | 5.19           | -              |
|  | -              | -              | -              | -              | -              | -              | -              |
|  | 25.55          | [5.01]         | 27.68          | [8.89]         | 4.88           | 6.43           | [6.74]         |
|  | 17.07          | [0.33]         | 15.09          | 3.11           | 11.90          | 16.59          | [1.03]         |
|  | 4.37           | [0.10]         | 2.65           | 0.43           | 1.90           | 2.29           | [0.32]         |
|  | 0.45           | 0.53           | 0.31           | 0.25           | 0.30           | 0.49           | 0.47           |
|  | 47.67          | 36.04          | 47.77          | 65.13          | 35.71          | 38.77          | 39.31          |
|  | 14,369,718     | 14,369,718     | 4,789,906      | 3,720,000      | 3,720,000      | 3,720,000      | 3,720,000      |
|  | -              | -              | -              | 1,069,906      | -              | -              | -              |

## Share Analysis as at 31st March 2025

|                             | RESIDENT               |                       |              | NON RESIDENT           |                   |             | TOTAL                  |                       |               |
|-----------------------------|------------------------|-----------------------|--------------|------------------------|-------------------|-------------|------------------------|-----------------------|---------------|
|                             | No. of<br>shareholders | No. of<br>shares      | [%]          | No. of<br>shareholders | No. of<br>shares  | [%]         | No. of<br>shareholders | No. of<br>shares      | [%]           |
| 1 to 1,000 shares           | 9,264                  | 4,064,203             | 0.03         | 12                     | 7,424             | 0.00        | 9,276                  | 4,071,627             | 0.03          |
| 1,001 to 10,000 shares      | 15,440                 | 69,944,905            | 0.49         | 18                     | 88,220            | 0.00        | 15,458                 | 70,033,125            | 0.49          |
| 10,001 to 100,000 shares    | 8,619                  | 297,444,952           | 2.07         | 47                     | 1,993,039         | 0.01        | 8,666                  | 299,437,991           | 2.08          |
| 100,001 to 1,000,000 shares | 2,429                  | 746,562,563           | 5.20         | 6                      | 1,342,503         | 0.01        | 2,435                  | 747,905,066           | 5.21          |
| Over 1,000,000 shares       | 384                    | 13,202,090,020        | 91.87        | 13                     | 46,179,631        | 0.32        | 397                    | 13,248,269,651        | 92.19         |
| <b>TOTAL</b>                | <b>36,136</b>          | <b>14,320,106,643</b> | <b>99.66</b> | <b>96</b>              | <b>49,610,817</b> | <b>0.34</b> | <b>36,232</b>          | <b>14,369,717,460</b> | <b>100.00</b> |

### Categories of Shareholders

|               | No of<br>shareholders | No of<br>shares       | [%]           |
|---------------|-----------------------|-----------------------|---------------|
| Individual    | 35,241                | 2,582,532,597         | 17.97         |
| Institutional | 991                   | 11,787,184,863        | 82.03         |
| <b>Total</b>  | <b>36,232</b>         | <b>14,369,717,460</b> | <b>100.00</b> |

Public Holding 2,826,306,857

Public Holding as a percentage  
of the Issued Share Capital 19.668%

No. of shareholders representing  
the public holding 36,221

Float Adjusted Market Capitalisation 20,569,826,536

The Company complies with the Minimum Public Holding Requirement under option one as set out listing rules 7.13.1.(i) b. as at reporting date.

### Share Price Information

|       | As at<br>31/3/2025<br>[Rs.] | As at<br>31/03/2024<br>[Rs.] |
|-------|-----------------------------|------------------------------|
| High  | 9.40                        | 6.00                         |
| Low   | 7.10                        | 4.00                         |
| Close | 7.30                        | 5.40                         |

## 20 Major Shareholders

| 31.03.2025          |                                                                         |                       |              | 31.03.2024          |                                                                         |                       |              |
|---------------------|-------------------------------------------------------------------------|-----------------------|--------------|---------------------|-------------------------------------------------------------------------|-----------------------|--------------|
| Name of shareholder |                                                                         | No. of shares         | %            | Name of shareholder |                                                                         | No. of shares         | %            |
| 1                   | Hatton National Bank PLC/ Brown & Company PLC                           | 4,608,280,773         | 32.1         | 1                   | Hatton National Bank PLC/ Brown & Company PLC                           | 4,608,280,773         | 32.1         |
|                     | Brown & Company PLC A/C No: 01                                          | 1,210,000,000         | 8.42         |                     | Brown & Company PLC A/C No: 01                                          | 1,210,000,000         | 8.42         |
|                     | Commercial Bank of Ceylon PLC/ Brown & Company PLC                      | 800,000,000           | 5.57         |                     | Commercial Bank of Ceylon PLC/ Brown & Company PLC                      | 800,000,000           | 5.57         |
| 2                   | BI Holdings (Pvt) Ltd                                                   | 2,657,300,594         | 18.5         | 2                   | BI Holdings (Pvt) Ltd                                                   | 2,657,300,594         | 18.5         |
| 3                   | LOLC Finance PLC / Don and Don Holdings (Pvt) Ltd                       | 500,000,000           | 3.48         | 3                   | LOLC Finance PLC / Don and Don Holdings (Pvt) Ltd                       | 800,000,000           | 5.57         |
|                     | People's Leasing & Finance PLC / Don and Don Holdings (Private) Limited | 400,000,000           | 2.78         |                     | People's Leasing & Finance PLC / Don and Don Holdings (Private) Limited | 400,000,000           | 2.78         |
|                     | Don and Don Holdings (Private) Limited                                  | 327,750,536           | 2.28         |                     | Don and Don Holdings (Private) Limited                                  | 27,750,536            | 0.19         |
| 4                   | Mr. D.S.K. Amarasekera                                                  | 722,000,000           | 5.02         | 4                   | Mr. D.S.K. Amarasekera                                                  | 730,000,000           | 5.08         |
| 5                   | Mrs. P.S.W. Rupasinghe                                                  | 277,722,000           | 1.93         | 5                   | Mrs. P.S.W. Rupasinghe                                                  | 277,722,000           | 1.93         |
| 6                   | Commercial Bank of Ceylon Ltd / Phantom Investments (Pvt) Ltd           | 155,782,610           | 1.08         | 6                   | Phantom Investments (Pvt) Ltd                                           | 148,926,066           | 1.04         |
| 7                   | Sri Lanka Insurance Corporation Ltd - Life Fund                         | 125,835,986           | 0.88         | 7                   | Sri Lanka Insurance Corporation Ltd - Life Fund                         | 125,835,986           | 0.88         |
| 8                   | People's Leasing & Finance PLC/Capital Trust Holdings Limited           | 52,659,230            | 0.37         | 8                   | Sampath Bank PLC/Mr. S.M. Dissanayake                                   | 69,000,000            | 0.48         |
| 9                   | Nuwara Eliya Property Developers (Pvt) Ltd                              | 48,140,625            | 0.34         | 9                   | Sri Lanka Insurance Corporation Ltd- General Fund                       | 44,429,795            | 0.31         |
| 10                  | Sampath Bank PLC/ Ishara Chinthaka Nanayakkara                          | 40,000,000            | 0.28         | 10                  | Sampath Bank PLC/ Ishara Chinthaka Nanayakkara                          | 40,000,000            | 0.28         |
| 11                  | Simonas Trust Service (Pvt) Ltd                                         | 40,000,000            | 0.28         |                     | Simonas Trust Service (Pvt) Ltd                                         | 40,000,000            | 0.28         |
| 12                  | Sri Lanka Insurance Corporation Ltd- General Fund                       | 38,166,514            | 0.27         | 11                  | Mr. G. Ramanan                                                          | 23,914,567            | 0.17         |
| 13                  | G.B.D. Thilakaratne                                                     | 31,731,436            | 0.22         | 12                  | Hatton National Bank PLC/ Dinesh Nagendra Sellamuttu                    | 22,398,949            | 0.16         |
| 14                  | Synamon Global Pvt Ltd                                                  | 29,135,781            | 0.2          | 13                  | Metrocorp (Pvt) Ltd                                                     | 16,926,108            | 0.12         |
| 15                  | Sisil Investment Holdings (Private) limited                             | 25,072,432            | 0.17         | 14                  | Merchant Bank of Sri Lanka & Finance Plc/A.C. Senanka                   | 15,413,279            | 0.11         |
| 16                  | Assetline Finance Limited/Ceylon Capital Management (Pvt)Ltd            | 23,000,000            | 0.16         | 15                  | Mackenzie Capital Ltd                                                   | 15,000,000            | 0.1          |
| 17                  | Hatton National Bank PLC/Dinesh Nagendra Sellamuttu                     | 22,398,949            | 0.16         | 16                  | Senthilvel Holdings (Pvt) Ltd                                           | 13,760,000            | 0.09         |
| 18                  | Sampath Bank PLC/Mr. S.M. Dissanayake                                   | 20,000,000            | 0.14         | 17                  | Sampath Bank PLC/ Dr.T.Senthilvel                                       | 13,577,285            | 0.09         |
| 19                  | Hatton National Bank PLC/ Ruwan Prasanna Sugathadasa                    | 18,031,529            | 0.13         | 18                  | Dialog Finance PLC/S.A.De Silva And D.R.De Silva                        | 12,353,681            | 0.09         |
| 20                  | Metrocorp (Pvt) Ltd                                                     | 16,926,108            | 0.12         | 19                  | Industrial Asphalts (Ceylon) PLC                                        | 12,214,244            | 0.08         |
|                     |                                                                         |                       |              | 20                  | Mr. D.R. Ponnampereuma                                                  | 11,781,000            | 0.08         |
| <b>TOTAL</b>        |                                                                         | <b>12,189,935,103</b> | <b>84.85</b> | <b>Total</b>        |                                                                         | <b>12,136,584,863</b> | <b>84.46</b> |

## Parent, Subsidiaries, Sub-Subsidiaries and Associate companies of Browns Investments PLC

|                                               |           |                           |                                       |              |                            |
|-----------------------------------------------|-----------|---------------------------|---------------------------------------|--------------|----------------------------|
| Ajax Engineers (Pvt) Ltd                      | PV 1556   | D S K Amarasekera         | P L Resort Ltd                        | 96705        | J P S Kurumbalapitiya      |
|                                               |           | T Sanakan                 |                                       |              | D S K Amarasekera          |
|                                               |           | V Gunarathne              |                                       |              | Mrs. K U Amarasinghe       |
|                                               |           | C S Jayasinghe            |                                       |              | A M Y Abdullatiff          |
| Browns Global Farm (Pvt) Ltd                  | PV 92172  | D S K Amarasekera         | Gurind Accor (Pvt) Ltd                | PV 8622      | G Singh                    |
|                                               |           | P D G Jayasena            |                                       |              | D S K Amarasekera          |
| B I Commodities and Logistics (Pvt) Ltd       | PV 105139 | D S K Amarasekera         | Grey Reach Investment Limited         | 1856468      | I C Nanayakkara            |
|                                               |           | P D G Jayasena            |                                       |              | D S K Amarasekera          |
|                                               |           | W K D T Abeyrathne        |                                       |              | K A Kithsiri P Gunawardena |
|                                               |           | M S Gunawardena           |                                       |              | W K D T Abeyrathne         |
| BI Zhongtian Holdings (Pvt) Ltd               | PV 106789 | D S K Amarasekera         | Sunbird Bioenergy Limited             | C/F/576/2008 | D Kohli                    |
|                                               |           | P D G Jayasena            |                                       |              | R Bennet                   |
| B.G.Air Services (Pvt) Ltd                    | PV 1807   | D S K Amarasekera         |                                       |              | L D Nguyen                 |
|                                               |           | T Sanakan                 |                                       |              | D S K Amarasekera          |
|                                               |           | W K D T Abeyrathne        |                                       |              | W K D T Abeyrathne         |
|                                               |           | P Weerasinghe             |                                       |              | D Kohli                    |
| Excel Global Holdings (Pvt) Ltd               | PV 1625   | D S K Amarasekera         | Ceylon Real Estate Holdings (Pvt) Ltd | PV 00239413  | R Bennet                   |
|                                               |           | T Sanakan                 |                                       |              | L D Nguyen                 |
| Excel Restaurants (Pvt) Ltd                   | PV 9123   | D S K Amarasekera         |                                       |              | D S K Amarasekera          |
|                                               |           | T Sanakan                 | Colombo Marina Development (Pvt) Ltd  | PV00239868   | K A K P Gunawardena        |
|                                               |           | R L E C Wijeratne         |                                       |              | D S K Amarasekera          |
| Millennium Development (Pvt) Ltd              | PV 1792   | D S K Amarasekera         |                                       |              | K A K P Gunawardena        |
|                                               |           | T Sanakan                 | Marina Hotel Holdings (Pvt) Ltd       | PV00239969   | M I I Ibrahim              |
|                                               |           | R L E C Wijeratne         |                                       |              | D S K Amarasekera          |
| Samudra Beach Resorts (Pvt) Ltd               | PV 78179  | D S K Amarasekera         |                                       |              | K A K P Gunawardena        |
|                                               |           | R L E C Wijeratne         | Bodufaru Beach Resort (Pvt) Ltd       | C-0890/2014  | D S K Amarasekera          |
|                                               |           | P D G Jayasena            |                                       |              | M Niham                    |
| Ceylon Roots Lanka (Pvt) Ltd                  | PV 121788 | P D G Jayasena            |                                       |              | K A Kithsiri P Gunawardena |
|                                               |           | D S K Amarasekera         | Browns Ari Resort (Pvt) Ltd           | C-1006/2015  | D S K Amarasekera          |
|                                               |           | P A D F Perera            |                                       |              | M Niham                    |
| Browns Teas (Pvt) Ltd                         | PV 121691 | D S K Amarasekera         |                                       |              | S Mohmed                   |
|                                               |           | P Weerasinghe             |                                       |              | Dr. P S H Uluwaduge        |
|                                               |           | P D G Jayasena            | Browns Kaafu N Resort (Pvt) Ltd       | C-1015/2015  | D S K Amarasekera          |
| Browns Metal & Sands (Private) Ltd            | PV 121690 | D S K Amarasekera         |                                       |              | O A Razzak                 |
|                                               |           | W K D T Abeyrathne        | Browns Raa Resort (Pvt) Ltd           | C-1014/2015  | D S K Amarasekera          |
|                                               |           | Mrs. V G S S Kotakadeniya |                                       |              | M Niham                    |
|                                               |           | P Weerasinghe             |                                       |              | Dr. P S H Uluwaduge        |
| Browns Engineering and Construction (Pvt) Ltd | PV 129313 | D S K Amarasekera         | Dikwella Resort (Private) Limited     | PV 11742     | J B W Kelegama             |
|                                               |           | D N N Lokuge              |                                       |              | P D G Jayasena             |
|                                               |           | K A K P Gunawardena       | Eden Hotels Lanka PLC                 | PQ 199       | W D K Jayawardena          |
|                                               |           | J K Pathirena             |                                       |              | Mrs. K U Amarasinghe       |
| B Commodities ME (FZE)                        | 17125     | M Imraz Iqbal             |                                       |              | D S K Amarasekera          |
|                                               |           | P D G Jayasena            |                                       |              | J Selvaratnam              |
| B.I. Leisure Holdings FZE                     | 7897      | M I I Ibrahim             |                                       |              | T Dharmarajah              |
|                                               |           | D S K Amarasekera         |                                       |              | S Furkhan                  |
|                                               |           |                           |                                       |              | Dr. J M Swaminathan        |

|                                   |             |                                                                                                                                                                   |
|-----------------------------------|-------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Browns Hotels and Resorts Limited | PB3805      | D S K Amarasekera<br>J B W Kelegama                                                                                                                               |
| Riverina Resort (Private) Limited | PV 87378    | R L E C Wijeratne<br>D S K Amarasekera                                                                                                                            |
| Palm Garden Hotels PLC            | PQ 132      | W D K Jayawardena<br>Mrs. K U Amarasinghe<br>D S K Amarasekera<br>R L E C Wijeratne<br>J Selvaratnam<br>T Dharmarajah<br>Dr. J M Swaminathan                      |
| Tropical Villas (Private) Limited | PV 4043     | D S K Amarasekera<br>P D G Jayasena<br>J B W Kelegama                                                                                                             |
| NPH Investment (Pvt) Ltd          | C-0660/2010 | M Manik<br>A Niman<br>I Mohamed<br>D S K Amarasekera<br>K A Kithsiri P Gunawardena<br>Mrs. V G S S Kotakadeniya<br>T S Selviah                                    |
| Green Paradise (Pvt) Ltd          | PV 60519    | D S K Amarasekera<br>R L E C Wijeratne<br>Mrs. K U Amarasinghe<br>P D G Jayasena                                                                                  |
| Sun & Fun Resorts Ltd             | PB 3870     | V K Vemuru<br>D S K Amarasekera<br>T Selviah<br>R L E C Wijeratne<br>P D G Jayasena                                                                               |
| Serendib Hotels PLC               | PQ 223      | W D K Jayawardena<br>Mrs. K U Amarasinghe<br>D S K Amarasekera<br>Dr. J M Swaminathan<br>E J D Rajakarier<br>T Dharmarajah<br>W A T M Wijesinghe<br>S A Chojnacki |
| Dolphin Hotels PLC                | PQ 224      | W D K Jayawardena<br>D S K Amarasekera<br>Dr. J M Swaminathan<br>S Furkhan<br>T Dharmarajah<br>R L E C Wijeratne                                                  |

|                                                                |          |                                                                                                                                                                                     |
|----------------------------------------------------------------|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Hotel Sigiriya PLC                                             | PQ 81    | W D K Jayawardena<br>Mrs. K U Amarasinghe<br>D S K Amarasekera<br>Dr. J M Swaminathan<br>S Furkhan<br>T Dharmarajah                                                                 |
| Frontier Capital Lanka (Pvt) Ltd                               | PV 74570 | D S K Amarasekera<br>Dr. J M Swaminathan                                                                                                                                            |
| Serendib Leisure Management Ltd                                | PB1075   | Mrs. K U Amarasinghe<br>D S K Amarasekera<br>Dr. J M Swaminathan<br>E J D Rajakarier                                                                                                |
| Sanctuary Resorts Lanka (Pvt) Ltd                              | PV 75715 | D S K Amarasekera<br>Dr. J M Swaminathan                                                                                                                                            |
| Browns Properties (Pvt) Ltd                                    | PV 75864 | D S K Amarasekera<br>P D G Jayasena<br>P Weerasinghe<br>D W Batagoda                                                                                                                |
| F L P C Management (Pvt) Ltd.                                  | PV 18888 | D S K Amarasekera<br>P D G Jayasena<br>P Weerasinghe                                                                                                                                |
| Browns Power Holdings (Pvt) Ltd                                | PV 70021 | D S K Amarasekera                                                                                                                                                                   |
| Maturata Plantations Ltd                                       | PB 214   | Dr. P S H Uluwaduge<br>D S K Amarasekera<br>K A K P Gunawardena<br>Mrs. V G S S Kotakadeniya<br>M Gunawardena<br>D Perera<br>Ms. N Dharmaratne                                      |
| The Tea Leaf Resort Holding (Pvt) Ltd (Winding up in progress) | PV72507  | W A P Perera<br>D S Panditha<br>D S K Amarasekera<br>G A Aloysius                                                                                                                   |
| Hapugastenne Plantations PLC                                   | PQ 62    | Dr. P S H Uluwaduge<br>D J Ratwatte<br>T Dharmarajah<br>D S K Amarasekera<br>Mrs. V G S S Kotakadeniya<br>A S Perera<br>U H E Silva<br>G D V Perera<br>K M Mohotti<br>M Gunawardena |

## Parent, Subsidiaries, Sub-Subsidiaries and Associate companies of Browns Investments PLC

|                                                 |             |                                                         |                                |             |                                        |
|-------------------------------------------------|-------------|---------------------------------------------------------|--------------------------------|-------------|----------------------------------------|
| Udapussellawa Plantations PLC                   | PQ 63       | Dr. P S H Uluwaduge                                     | Sri Spice (Private) Limited    | PV 104388   | W K D T Abeyrathne                     |
|                                                 |             | D J Ratwatte                                            |                                |             | M S Gunawardena                        |
|                                                 |             | T Dharmarajah                                           |                                |             | N J Wickramasinghe                     |
|                                                 |             | D S K Amarasekera                                       |                                |             |                                        |
|                                                 |             | Mrs. V G S S Kotakadeniya                               |                                |             | Colombo Marina International (Pvt) Ltd |
|                                                 |             | A S Perera                                              |                                |             | PV 00260078                            |
|                                                 |             | U H E Silva                                             |                                |             | D R Samaraweera                        |
|                                                 |             | G D V Perera                                            |                                |             | S A Bartholomeuz                       |
|                                                 |             | K M Mohotti                                             | Marina Hotel (Private) Limited | PV 00260099 | M I I Ibrahim                          |
|                                                 |             | M Gunawardena                                           |                                |             | D R Samaraweera                        |
|                                                 |             | C B De Silva                                            |                                |             | S A Bartholomeuz                       |
|                                                 |             | D J Ratwatte                                            |                                |             | M I I Ibrahim                          |
|                                                 |             | A Gurusinghe                                            |                                |             | Browns Plantation Holdings (Pvt) Ltd   |
|                                                 |             | J P Karunaratne                                         |                                |             | PV 00297365                            |
|                                                 |             | A A N M Amarasinghe                                     |                                |             | M I I Ibrahim                          |
|                                                 |             | W P S J Pushpakumara                                    |                                |             | N W K M S Chanrasekara                 |
| Newburgh Green Teas (Private) Limited           | PV 72507    | Dr. P S H Uluwaduge                                     | Sierra Cables PLC              | PQ 166      | I C Nanayakkara                        |
|                                                 |             | A S Perera                                              |                                |             | W D C H Jayathunga                     |
|                                                 |             | A R Dayananda                                           |                                |             | D S Panditha                           |
|                                                 |             | A Fernando (Alternate Director to C B De Silva)         |                                |             | P E A B Perera                         |
|                                                 |             | H H Samaranayake (Alternate Director to C B De Silva)   |                                |             | Mrs. V G S S Kotakadeniya              |
|                                                 |             | J P Karunaratne (Alternate Director to J P Karunaratne) |                                |             | P Weerasingha                          |
|                                                 |             | D S K Amarasekera                                       |                                |             | D S K Amarasekera                      |
|                                                 |             | P D G Jayasena                                          |                                |             | P D G Jayasena                         |
|                                                 |             | W K D T Abeyrathne                                      |                                |             | S M S C Jayasuriya                     |
|                                                 |             | K A K P Gunawardena                                     |                                |             | G I U S Perera                         |
|                                                 |             | P Weerasinghe                                           |                                |             |                                        |
|                                                 |             | L R W S Rajasekara                                      |                                |             |                                        |
| LOLC Investment Holdings Four (Private) Limited | PV 00245502 | D S K Amarasekera                                       | FLMC Plantations               | PV4027      | D S K Amarasekera                      |
|                                                 |             | P D G Jayasena                                          |                                |             | Dr. P S H Uluwaduge                    |
|                                                 |             | W K D T Abeyrathne                                      |                                |             | M S Gunawardana                        |
|                                                 |             |                                                         |                                |             | A S Perera                             |
| Iconic Trust (Pvt) Ltd                          | PV 00232531 | D S K Amarasekera                                       | Melfort Green Teas             | PV8588      | R P D Ramanayake                       |
|                                                 |             | K A K P Gunawardena                                     |                                |             | G P N A G Gunathilake                  |
|                                                 |             | P Weerasinghe                                           |                                |             | W A A Asanga                           |
| Browns Pilling (Private) Limited                | PV 2158     | D S K Amarasekera                                       | Millenium Tempered Glass       | PV00324423  | L R W S Rajasekara                     |
|                                                 |             | P Weerasingha                                           |                                |             | C S Jayasinghe                         |
|                                                 |             | J K Pathirana                                           |                                |             | T Sankan                               |
|                                                 |             | N N Lokuge                                              |                                |             | D S K Amarasekera                      |
| Sansun Boutique Hotels Limited                  | PB 299      | P Weerasingha                                           | Pussellawa Plantations         | PB951       | K P G U Kariyawasam                    |
|                                                 |             | R L E C Wijeratne                                       |                                |             | D S K Amarasekera                      |
|                                                 |             | P D G Jayasena                                          |                                |             | Dr. P S H Uluwaduge                    |
|                                                 |             | D S K Amarasekera                                       |                                |             | M Gunawardana                          |
| Browns Developments Limited                     | PB 673      | D W Batagoda                                            | Browns Tours (Pvt) Ltd         | PV 1242     | A S Perera                             |
|                                                 |             | D S K Amarasekera                                       |                                |             | N R Nanayakkara                        |
|                                                 |             | P Weerasingha                                           |                                |             | Dr. (Mrs.) R N A Nanayakkara           |
| Tropical Island Commodoties (Private) Limited   | PV 662      | W K D T Abeyrathne                                      |                                |             | D S K Amarasekera                      |
|                                                 |             | M S Gunawardena                                         |                                |             | P A D F Perera                         |
|                                                 |             | M D D N Mallawarachchi                                  |                                |             |                                        |
|                                                 |             | N J Wickramasinghe                                      |                                |             |                                        |

|                                        |                    |                              |
|----------------------------------------|--------------------|------------------------------|
| Tea Smallholder Factories PLC          | PQ 32              | Dr. P S H Uluwaduge          |
|                                        |                    | Ms. A Goonetilleke           |
|                                        |                    | P P Edirisinghe              |
|                                        |                    | D S K Amarasekera            |
|                                        |                    | G D V Perera                 |
|                                        |                    | A S Perera                   |
|                                        |                    | T Dharmarajah                |
| Browns Plantations Rwanda Limited      | 103454179          | U H E Silva                  |
|                                        |                    | Dr. P S H Uluwaduge          |
|                                        |                    | M R Razik                    |
|                                        |                    | F K Mutai                    |
|                                        |                    | E Iyakaremye                 |
| Browns Plantations Tanzania Ltd        | 452                | D S K Amarasekera            |
|                                        |                    | N A Kamnyungu                |
|                                        |                    | Dr. P S H Uluwaduge          |
| Browns Plantations Kenya Limited       | 13800              | M R Razik                    |
|                                        |                    | D S K Amarasekera            |
|                                        |                    | D J Edwards                  |
|                                        |                    | S D A Hutchinson             |
|                                        |                    | D K Kirui                    |
|                                        |                    | Dr. P S H Uluwaduge          |
| James Finlay (Guizhou) Tea Co. Limited | 91520600MA6GTKNW3K | J Kipkoech, Ambassador Terer |
|                                        |                    | Dr. P S H Uluwaduge          |
|                                        |                    | D S K Amarasekera            |
| Browns East Africa Plantations PLC     | C.12/72            | D J Ratwatte                 |
|                                        |                    | S K Korir                    |
|                                        |                    | M R Razik                    |
|                                        |                    | D S K Amarasekera            |
|                                        |                    | Dr. P S H Uluwaduge          |
|                                        |                    | K O Odire                    |
|                                        |                    | E J Darren                   |

# Glossary of Financial Terms

## ACCRUAL BASIS

Recording revenues and expenses in the period in which they are earned or incurred regardless of whether cash is received or disbursed in that period.

## CAPITAL EMPLOYED

Shareholders' funds plus non-controlling interests and debt.

## CONTINGENT LIABILITIES

A condition or situation existing at the balance sheet date due to past events, where the obligation is crystallised by the occurrence or non-occurrence of one or more future events.

## CURRENT RATIO

Current assets divided by current liabilities.

## DEBT/EQUITY RATIO

Debt as a percentage of shareholders' funds and non-controlling interests.

## DIVIDEND PAYOUT RATIO

Dividend as a percentage of company profits.

## EARNINGS PER SHARE

Profit attributable to equity holders of the parent divided by the weighted average number of ordinary shares in issue during the period.

## EBIT

Earnings Before Interest and Tax (includes other income).

## INTEREST COVER

Consolidated profit before interest and tax over finance expenses.

## MARKET CAPITALISATION

Number of shares in issue at the end of period multiplied by the market price at the end of the period.

## NET ASSETS

Total assets minus current liabilities minus long term liabilities minus non-controlling interests.

## NET ASSETS PER SHARE

Net assets as at a particular financial year end divided by the number of shares in issue as at the current financial year end.

## PRICE EARNINGS RATIO

Market price per share over earnings per share. PUBLIC HOLDING  
Percentage of shares held by the public calculated as per the Colombo Stock Exchange Listing Rules as of the date of the Report.

## RETURN ON CAPITAL EMPLOYED (ROCE)

Consolidated profit before interest and tax as a percentage of capital employed.

## RETURN ON SHAREHOLDERS' FUND

Profit attributable to shareholders as a percentage of shareholders' funds. SHAREHOLDERS' FUNDS Total of stated capital, capital reserves and revenue reserves.

## TOTAL DEBT

Long term loans plus short term loans plus overdrafts.

## TOTAL EQUITY

Shareholders' funds plus non-controlling interest.

## Director's Declarations

| Name of the Director | Number of Board Seats held in Listed and Unlisted Companies in Sri Lanka | Designation                 |
|----------------------|--------------------------------------------------------------------------|-----------------------------|
| Mr.I.C.Nanayakkara   | LOLC Holdings PLC                                                        | Executive Chairman          |
|                      | Brown & Company PLC                                                      | Executive Chairman          |
|                      | Browns Investments PLC                                                   | Executive Chairman          |
|                      | Agstar PLC                                                               | Non - Executive Chairman    |
|                      | Sierra Cables PLC [AWEF 28.05.2025]                                      | Non - Executive Chairman    |
|                      | LOLC Capital (Private) Limited                                           | Non - Executive Director    |
|                      | Ceylon Graphene Technologies (Pvt) Ltd                                   | Non - Executive Chairman    |
|                      | LOLC Advanced Technologies (Pvt) Ltd                                     | Non - Executive Director    |
| Mr.W.D.K.Jayawardena | LOLC Holdings PLC                                                        | Group Managing Director/CEO |
|                      | Eden Hotel Lanka PLC                                                     | Non - Executive Chairman    |
|                      | Palm Garden Hotels PLC                                                   | Non - Executive Chairman    |
|                      | Serendib Hotels PLC                                                      | Non - Executive Chairman    |
|                      | Dolphin Hotels PLC                                                       | Non - Executive Chairman    |
|                      | Hotel Sigiriya PLC                                                       | Non - Executive Chairman    |
|                      | Brown & Company PLC                                                      | Non - Executive Director    |
|                      | Browns Investments PLC                                                   | Non - Executive Director    |
|                      | LOLC Securities Limited                                                  | Non - Executive Chairman    |
|                      | LOLC Life Assurance Limited                                              | Non - Executive Director    |
|                      | LOLC Advanced Technologies (Pvt) Ltd                                     | Non - Executive Chairman    |
|                      | Ceylon Graphene Technologies (Pvt) Ltd                                   | Non - Executive Director    |
|                      |                                                                          |                             |
| Mrs.K.U.Amarasingh   | LOLC Holdings PLC                                                        | Executive Director          |
|                      | Palm Garden Hotels PLC                                                   | Non - Executive Director    |
|                      | Eden Hotel Lanka PLC                                                     | Non - Executive Director    |
|                      | Brown & Company PLC                                                      | Non - Executive Director    |
|                      | Browns Investments PLC                                                   | Non - Executive Director    |
|                      | Serendib Hotels PLC                                                      | Non - Executive Director    |
|                      | Hotel Sigiriya PLC                                                       | Non - Executive Director    |
|                      | LOLC General Insurance PLC                                               | Non - Executive Director    |
|                      | Browns Holdings Limited                                                  | Non - Executive Director    |
|                      | Green Paradise (Pvt) Ltd                                                 | Non - Executive Director    |
|                      | Danya Capital (Pvt) Ltd                                                  | Non - Executive Director    |
|                      | Ultimate Sports (Pvt) Ltd                                                | Non - Executive Director    |
|                      | Melana Capital (Pvt) Ltd                                                 | Non - Executive Director    |
|                      | Three Tips Ella (Pvt) Ltd                                                | Non - Executive Director    |

## Director's Declarations

| Name of the Director                        | Number of Board Seats held in Listed and Unlisted Companies in Sri Lanka | Designation                 |
|---------------------------------------------|--------------------------------------------------------------------------|-----------------------------|
| Mr.D.S.K.Amarasekera                        | Browns Investments PLC                                                   | Non-Executive Director      |
|                                             | Eden Hotel Lanka PLC                                                     | Non Executive Director      |
|                                             | Palm Garden Hotels PLC                                                   | Non Executive Director      |
|                                             | Hapugastenna Plantations PLC                                             | Non-Executive Director      |
|                                             | Udapussellawa Plantations PLC                                            | Non-Executive Director      |
|                                             | Tea Small Holders Factories PLC                                          | Non-Executive Director      |
|                                             | Serendib Hotels PLC                                                      | Non-Executive Director      |
|                                             | Dolphin Hotels PLC                                                       | Non-Executive Director      |
|                                             | Hotel Sigiriya PLC                                                       | Non-Executive Director      |
|                                             | Sierra Cables PLC                                                        | Non Executive Direct        |
| Mr.J.M.Swaminathan<br>(retired on 01.01.25) | Eden Hotel Lanka PLC                                                     | Non Executive Director      |
|                                             | Palm Garden Hotels PLC                                                   | Non Executive Director      |
|                                             | Renuka Holdings PLC                                                      | Non-Executive Director      |
|                                             | Serendib Land PLC                                                        | Non Executive Director      |
|                                             | Serendib Hotels PLC                                                      | Non Executive Director      |
|                                             | Dolphin Hotels PLC                                                       | Non Executive Director      |
|                                             | Hotel Sigiriya PLC                                                       | Non Executive Director      |
| Mr. S.Furkhan<br>(retired on 01.01.25)      | Eden Hotel Lanka PLC                                                     | Non-Executive Director      |
|                                             | Brown Investments PLC                                                    | Non-Executive Director      |
|                                             | Hotel Sigiriya PLC                                                       | Independent Director        |
|                                             | Dolphin Hotels PLC                                                       | Independent Director        |
| Mr.K.Sivanesan                              | LOLC Holdings PLC                                                        | Independent Director        |
|                                             | Browns Investments PLC                                                   | Senior Independent Director |
|                                             | Agstar PLC [AWEF 01.07.2025]                                             | Independent Director        |
|                                             | LOLC Life Assurance Limited                                              | Independent Director        |
|                                             | Waharaka Energy (Private) Limited                                        | Non - Executive Director    |
| Mr.C.N.Wijesinha                            | Browns Investments PLC                                                   | Independent Director        |
|                                             | Brown & Company PLC                                                      | Independent Director        |

# Corporate Governance Policies Adopted By The Company

The Company revised its existing policies to align with Section 9.2.1 of the Listing Rules. The detailed policy of the following can be downloaded from the Company's website.

## Policy on Matters Relating to the Board of Directors

The Board of Directors at Browns Investments PLC is responsible for providing strategic governance, overseeing financial performance, managing risks including sustainability related risks and ensuring compliance with laws and ethical standards. The Board integrates sustainability into its strategy, approves related policies and oversees transparent reporting and stakeholder engagement on environmental, social and governance (ESG) matters. Committees may be established to support these functions with clear roles and accountability. The Board's composition balances skills, experience, diversity, and independence with regular meetings and performance evaluations to ensure effective governance and sustainability outcomes. Comprehensive records are maintained and progress is reported regularly to stakeholders ensuring transparency and adherence to regulations and best practices.

## Policy on Board Committees

Board of Directors of Browns Investments PLC may form Board and Management Committees to support its duties, delegate powers, and ensure effective governance. The Company is required to establish key Board Committees including Nominations & Governance Committee, Talent Development & Remuneration Committee, Audit Committee, Related Party Transactions Review Committee, Integrated Risk Management Committee and Sustainability Committee, in line with Colombo Stock Exchange rules and relevant standards. Each committee must have clear terms of reference, at least three directors (including two Independent Directors) and be chaired by an Independent Director who is not the Chairperson of the Board. Committees should consist of members with relevant expertise, have a designated Secretary, rotate members to encourage diverse perspectives and report on their activities at the Annual General Meeting.

## Policy on Corporate Governance, Nominations and Re-Election

The Policy on Corporate Governance, Nominations, and Re-Election of Browns Investments PLC outlines a transparent and structured process for appointing and re-electing board members to support strong

governance and strategic alignment. It applies to all board and committee appointments with a Nominations and Governance Committee comprised mainly of Independent, Non-Executive Directors responsible for identifying, evaluating and recommending candidates based on relevant skills, experience, independence, diversity and alignment with corporate goals. Re-election is based on periodic performance reviews and adherence to governance standards with recommendations made to the Board and ultimately approved by shareholders. The policy ensures full disclosure of nominee information and potential conflicts of interest and requires periodic review and Board approval for any amendments.

## Policy on Remuneration

The Remuneration Policy of Browns Investments PLC expects to attract, retain and motivate talent by offering competitive compensation aligned with market standards and Company performance. Executive Directors receive a base salary, perquisites and performance-based bonuses, with remuneration levels reviewed annually and benchmarked against similar companies. Non-Executive Directors are paid a monthly retainer and meeting fees, including additional fees for participation in Board Sub Committees. Alternate Directors are compensated per meeting in place of the Director they represent. The CEO's remuneration is performance-based and aligned with market standards. Bonuses for Executive Directors include both fixed and variable components, with the variable portion tied to performance.

## Policy on Internal Code on Business Conduct and Ethics

The Internal Code on Business Conduct and Ethics of Browns Investments PLC outlines the expected ethical standards for directors and officers, emphasizing integrity, loyalty, legal compliance and accountability. It guides proper handling of conflicts of interest, protection of confidential information, accurate financial reporting, fair use of Company assets and responsible trading of Company securities. Directors and officers must declare personal interests, avoid personal gain from Company opportunities and report unethical or illegal behaviour without fear of retaliation. Compliance with laws is mandatory and any violations may lead to disciplinary action. Annual declarations of compliance are required, and waivers of the Code, if any must be approved by the Board of Directors.

## Policy on Risk Management and Internal Controls

Browns Investments PLC, as the parent company of a diversified conglomerate with an investment portfolio is committed to safeguarding its assets and investments through a robust risk management and internal control framework. This policy applies to all employees, departments and encourages stakeholders to support its provisions. The Company regularly identifies and assesses various risks including strategic, market, operational, regulatory, reputational and sector-specific risks and employs strategies like risk avoidance, reduction, sharing and acceptance to mitigate them. Browns Investments promotes a controlled culture with well-established processes, segregation of duties, authorization controls and physical security measures to protect assets and ensure operational continuity. Compliance with laws and industry standards is maintained, with risk ownership assigned to business unit heads who regularly review controls. Internal audits provide independent evaluations, and all employees are responsible for reporting any control weaknesses. The policy supports sustainable operations, informed decision-making, and continuous improvement and is reviewed periodically to remain effective.

## Policy on Relations with Shareholders and Investors

Browns Investments PLC is committed to transparent, accurate and timely communication with its shareholders, investors and other stakeholders ensuring they receive all material information about the Company's governance, operations, financial performance and future prospects. Communication is managed through designated spokespersons and official channels such as the Company website, social media, press releases and annual general meetings with proper attention to confidentiality and regulatory compliance. The Company proactively addresses market rumours, provides access to analysts and the media and encourages shareholder engagement and feedback. Material information is disclosed promptly following a clear approval process while insiders are strictly regulated to prevent misuse of confidential data. Major developments and crisis situations are handled with special care, ensuring all stakeholders remain well-informed. The Company regularly updates its policies and provides multiple channels for stakeholders to connect and stay informed.

## CORPORATE GOVERNANCE POLICIES ADOPTED BY THE COMPANY

### Policy on Environmental, Social and Governance Sustainability

The Environmental, Social, and Governance (ESG) Sustainability Policy of Browns Investments PLC outlines the Company's commitment to responsible, inclusive and forward-thinking business practices that balance economic growth, social responsibility and environmental protection. Guided by a clear vision and mission, the Company integrates sustainability into all aspects of its operations through initiatives that support employee well-being, community development, environmental conservation and sound corporate governance. The policy sets ambitious targets for 2030 across economic, environmental and social dimensions, including reducing emissions, promoting ethical sourcing, fostering innovation and enhancing board diversity. Progress is tracked through defined key performance indicators and reported annually through a Sustainability Report, along with internal updates and stakeholder engagement to ensure transparency, accountability and continuous improvement.

### Policy on Control and Management of Company Assets and Shareholder Investments

The Policy on Control and Management of Company Assets and Shareholder Investments of Browns Investments PLC outlines the commitment to efficiently managing, protecting and utilizing its assets and shareholder funds. It applies to all employees, management and board members and covers the categorization, acquisition, use, verification, transfer, depreciation and disposal of assets including physical, intangible and investment properties. All assets are recorded in a centralized register, tagged with unique identification and managed under strict approval and documentation processes. The policy ensures shareholder investments are used strategically with clear reporting, risk management and governance oversight. Regular audits, employee training and annual policy reviews are conducted to maintain compliance, transparency and effectiveness.

### Policy on Stakeholder Communication and Corporate Disclosures

The Stakeholder Communication & Corporate Disclosure Policy of Browns Investments PLC ensures timely, accurate and transparent communication with all stakeholders including regulators, shareholders, customers, employees, suppliers, creditors and the community while complying with applicable laws and Colombo Stock Exchange (CSE) rules. The policy mandates that material information be disclosed fairly, prohibits selective disclosure or insider trading, and requires confidentiality of undisclosed material information. Communication channels include financial reports, press releases, websites, social media and direct communication with only authorized personnel permitted to speak on behalf of the Company. The policy also regulates interactions during blackout periods, ensures language accessibility for customers and upholds the Company's brand image across all platforms.

### Policy on Anti-bribery and Corruption

The Anti-Bribery and Corruption Policy of Browns Investments PLC outlines the Group's strong commitment to ethical conduct, transparency and accountability, ensuring all operations are free from fraud and corruption. The policy is applicable to all employees (excluding interns) which defines fraud and corruption broadly including bribery, extortion, facilitation payments, conflicts of interest and misuse of resources and sets out procedures for prevention, detection, reporting and response. It emphasizes strong leadership, internal controls, third-party due diligence, mandatory training and whistleblower protection. Roles and responsibilities are clearly assigned across executive management, supervisors, ERM, IT, auditors and all employees ensuring compliance with national and international regulations. The policy includes clear mechanisms for confidential reporting and investigation with disciplinary actions for violations or retaliation. Regular reviews, monitoring by the Compliance Department and authority for justified exceptions (by Chief Human Resources Officer / Group Managing Director) ensure its effectiveness and alignment with evolving risks and legal requirements.

### Policy on Whistleblowing

Browns Investments PLC is committed to promoting honesty, integrity and transparency by encouraging employees and stakeholders to report any unethical or illegal conduct without fear of retaliation. This whistleblowing policy covers all forms of fraud, misconduct, harassment, safety violations and breaches of laws or company policies. Reports can be made to immediate supervisors, the Head of Enterprise Risk Management and will be treated with strict confidentiality. The Company protects whistle-blowers from any retaliation and will take disciplinary action against anyone who retaliates. Upon receiving a report, a fair and impartial investigation will be promptly conducted and appropriate actions taken. This policy applies to all employees and stakeholders and is reviewed periodically to ensure its effectiveness.

### Terms of Reference for Board Members

The Terms of Reference for Board Members of Browns Investments PLC define the general roles, responsibilities and appointment criteria for Executive, Non-Executive, Independent, Alternate Directors, the Chairman, the Managing Director/CEO, the Senior Independent Director (SID) and Senior Advisors in line with the Colombo Stock Exchange rules and the Companies Act. Executive Directors manage day-to-day operations and strategic direction while Non-Executive and Independent Directors contribute to oversight, governance and policy. The Chairman leads the Board, ensuring balance, effectiveness and stakeholder communication and the SID acts as an intermediary and shareholder liaison especially when the Chairman lacks independence. Alternate Directors may serve in exceptional cases and must meet independence criteria if substituting for an Independent Director. Senior Advisors offer non-binding, strategic counsel without voting rights to support Board deliberations. All roles are subject to formal appointment procedures, annual evaluations and ongoing compliance with governance standards.

## Board & Sub-Committee Compositions

| Name of Director                            | Executive/ Non<br>- executive | Independent/ Non<br>- independent | Board & Sub-Committee Composition |    |       |      |       | Tenure on the<br>Board [Years] | Age |
|---------------------------------------------|-------------------------------|-----------------------------------|-----------------------------------|----|-------|------|-------|--------------------------------|-----|
|                                             |                               |                                   | Board                             | AC | RPTRC | N&GC | TD&RC |                                |     |
| Mr.I.C.Nanayakkara                          | ED                            | NID                               | ✓*                                |    |       |      |       | 16                             | 52  |
| Mr.W.D.K.Jayawardena                        | NED                           | NID                               | ✓                                 |    |       | ✓    |       | 12                             | 66  |
| Mrs.K.U.Amarasinghe                         | NED                           | NID                               | ✓                                 |    |       |      | ✓     | 12                             | 55  |
| Mr.D.S.K.Amarasekera                        | NED                           | NID                               | ✓                                 | ✓  | ✓     |      |       | 16                             | 54  |
| Mr.J.M.Swaminathan<br>[retired on 01.01.25] | NED                           | ID                                |                                   |    |       |      |       | 10                             | 84  |
| Mr. S.Furkhan [retired on 01.01.25]         | NED                           | ID                                |                                   |    |       |      |       | 14                             | 60  |
| Mr.K.Sivanesan [appointed on 01.10.24]      | NED                           | ID                                | ✓                                 | ✓* | ✓     | ✓    | ✓*    | 10 MONTHS                      | 55  |
| Mr.C.N.Wijesinha [appointed on 01.01.25]    | NED                           | ID                                | ✓                                 | ✓  | ✓*    | ✓*   | ✓     | 8 MONTHS                       | 54  |

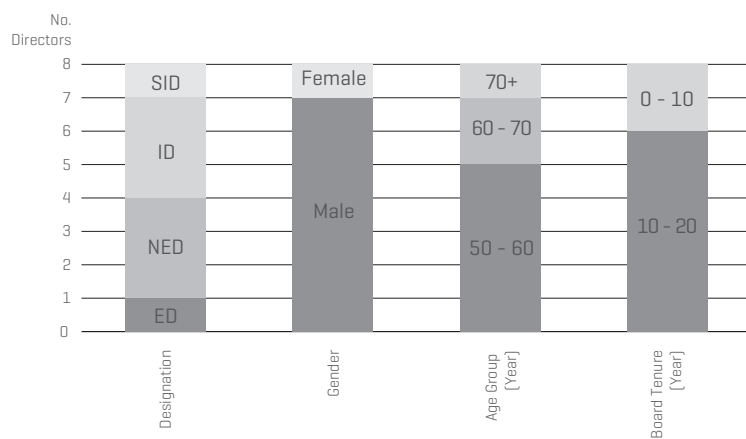
\* Committee Chairman

AC - Audit Committee

TD&RC - Talent Development and Remuneration Committee

RPTRC - Related Party Transaction Review Committee

N&GC - Nominations & Governance Committee



## Notes



## Notes

# Stakeholder Feedback Form

Browns Investments PLC values your opinions and feedback. We invite you to share your thoughts to help us enhance our governance, operations, financial condition, and future prospects. Please take a moment to fill out this form with your comments and suggestions. Your feedback will be treated confidentially and used solely for the purpose of improving our stakeholder communication and overall performance.

### Contact Information

Name : .....

Email : .....

Phone : .....

Company/Organisation : .....

### WHICH STAKEHOLDER GROUP/S DO YOU BELONG TO? (You may tick more than one)

|                                           |                                          |                                                 |
|-------------------------------------------|------------------------------------------|-------------------------------------------------|
| <input type="checkbox"/> Shareholder      | <input type="checkbox"/> Employee        | <input type="checkbox"/> Service Provider       |
| <input type="checkbox"/> Customer         | <input type="checkbox"/> Student         | <input type="checkbox"/> Supplier               |
| <input type="checkbox"/> Community        | <input type="checkbox"/> Regulatory Body | <input type="checkbox"/> Special Interest Group |
| <input type="checkbox"/> Public Authority | <input type="checkbox"/> Journalist      |                                                 |

### GENERAL FEEDBACK

1. How would you rate your overall satisfaction with the Company's communication practices?

☐ Very Satisfied

☐ Satisfied

☐ Neutral

☐ Dissatisfied

☐ Very Dissatisfied

2. How often do you feel the Company provides timely and accurate information?

☐ Always

☐ Often

☐ Sometimes

☐ Rarely

☐ Never

3. How effective do you find the Company's use of its website and social media for communication?

☐ Very Effective

☐ Effective

☐ Neutral

☐ Ineffective

☐ Very Ineffective

### SPECIFIC FEEDBACK

1. What specific aspects of the Company's communication do you find most useful?

☐ Financial Reports

☐ Annual Reports

☐ Press Releases

☐ Investor Briefings

☐ Social Media Updates

☐ Website Content

☐ Other (please specify): .....

2. How would you rate the accessibility of the Company's spokespersons for providing information and responding to queries?

☐ Very Accessible

☐ Accessible

☐ Neutral

☐ Inaccessible

☐ Difficult to Access

3. How effectively does the Company address your concerns and queries?

☐ Very Effective

☐ Effective

☐ Neutral

☐ Ineffective

☐ Very Ineffective

# Stakeholder Feedback Form

## Forward-Looking Information & Major Developments

1. How useful do you find the Company’s forward-looking comments and information on future prospects?

- ☐ Very Useful
- ☐ Useful
- ☐ Neutral
- ☐ Not Useful
- ☐ Not Useful at All

2. How effectively does the Company handle the communication of major corporate developments [e.g., mergers, acquisitions, new products]?

- ☐ Very Effectively
- ☐ Effectively
- ☐ Neutral
- ☐ Ineffectively
- ☐ Very Ineffectively

## Crisis Communication & Confidentiality

1. How confident are you in the Company’s ability to manage crisis communications?

- ☐ Very Confident
- ☐ Confident
- ☐ Neutral
- ☐ Not Confident
- ☐ Not Confident at All

2. How well does the Company maintain the confidentiality of sensitive information?

- ☐ Very Effectively
- ☐ Effectively
- ☐ Neutral
- ☐ Ineffectively
- ☐ Very Ineffectively

## Additional Comments

Please provide any additional comments or suggestions you have for improving the Company’s communication practices.

## Submission

Please return the completed form to:

Investor Relations/ Communications

Browns Investments PLC  
No.100/1, Sri Jayewardenepura Mawatha Rajagiriya  
Email: DulipS@lclc.com and SusaanB@lclc.com

# Notice of the Annual General Meeting

BROWNS INVESTMENTS PLC - REG. NO. PV 66136 PB/PQ

NOTICE IS HEREBY GIVEN that the 17th ANNUAL GENERAL MEETING of the Company will be held on Friday, 26th September 2025, at 10:30 a.m. as a virtual meeting with arrangements for the on-line meeting platform made at LOLC Holdings PLC, No.100/1, Sri Jayawardenapura Mawatha, Rajagiriya.

The business to be brought before the meeting will be :

## Routine Business

1. To receive and consider the Report of the Directors and Statement of Accounts of the Company for the Financial Year ended 31st March 2025 with the Auditors' Report thereon.
2. To re-elect as a Director Mrs. K. U. Amarasinghe who retires by rotation in accordance with Article 23[6] of the Articles of Association of the Company.
3. To re-elect as a Director Mr. K. Sivanesan who retires in accordance with Article 23[2] of the Articles of Association of the Company.
4. To re-elect as a Director Mr. C. N. Wijesinha who retires in accordance with Article 23[2] of the Articles of Association of the Company.
5. To re-appoint M/s Deloitte Partners, Chartered Accountants, as the External Auditors of the Company for the ensuing financial year at a remuneration to be fixed by the Directors.
6. To approve in terms of the Companies (Donations) Act No. 26 of 1951, the making of donations by the Directors as determined by them for the current Financial Year and until the next Annual General Meeting of the Company.

## Special Business

7. To approve by Special Resolution the following amendments to the Company's Articles of Association in line with the revised Listing Rules of the Colombo Stock Exchange:

*"Resolved that the existing Article 23[1] on Number of Directors and Article 34[7] on Alternate Directors of the Articles of Association of the Company be deleted in its entirety, and be substituted with the new Articles 23[1] and 34[7] reflecting requirements mandated under Section 9 of the Listing Rules as set out below:*

23 [1] *The Board of Directors of the Company shall comprise of not less than five no more than twelve directors.*

34 [7]

- An Alternate Director shall only be appointed in exceptional circumstances by any Director giving notice in writing left at the Office of the Company and approved by the Board to be an Alternate Director of the Company to act in their place during their absence, subject to applicable laws, rules and regulations. Any such appointment shall not exceed a period of one year from the date of appointment and the following provisions of this Article shall apply to any person so appointed.*
- A person appointed to be an Alternate Director shall not in respect of such appointment be entitled to receive any remuneration from the Company nor be required to hold any share qualification but the Board may repay the Alternate Director such reasonable expenses as they may incur in attending and returning from meetings of the Board which they are entitled to attend or as they may otherwise properly incur in or about the business of the Company or may pay such allowances as they may think proper in respect of these expenses.*
- An alternate Director shall [on them giving an address for such notices to be served] be entitled to receive notices of all meetings of the Board and to attend and vote as Director at any such meeting at which the Director appointing them is not personally present and generally to perform all the functions of their appointor as a Director in the absence of such appointor.*
- An Alternate Director may be appointed for a specified period or until the happening of a specified event subject to Clause 34[7](i) but they shall ipso facto cease to be an Alternate Director in any of the following events, that is to say:*
  - a. upon the return of their appointor including a return to Sri Lanka;*
  - b. if their appointor ceases for any reason to be a Director; provided that if any Director retires by rotation but is re-elected at the meeting at which such retirement took effect, any appointment made by them pursuant to this Article which was in force immediately prior to their retirement shall continue to operate after their re-election as if they had not so retired;*

## Notice of the Annual General Meeting

BROWNS INVESTMENTS PLC – REG. NO. PV 66136 PB/PQ

- c. if the appointment of the Alternate Director is revoked by their appointor, by notice in writing left at the office;*
- d. if the Board resolves that the appointment of the Alternate Director be terminated.*
- e. If they become prohibited by law from acting as alternate Director including*
  - i. being convicted of any offense punishable by imprisonment; or*
  - ii. convicted of any offense involving dishonest or fraudulent acts whether in Sri Lanka or elsewhere.*
- f. If they resign by writing under their hand left at the Office.*
- g. If they cease to hold office in terms of Section 207 of the Act.*
- h. If they become disqualified from being a Director in terms of Section 202 of the Act.*
- v. A Director shall not vote on the question of the approval of an Alternate Director to act for them or on the question of the termination of the appointment of such an Alternate Director under sub-paragraph (iv) of the foregoing sub-clause of this Article, and if they do so their vote shall not be counted; nor for the purpose of any resolution for either of these purposes shall they be counted in the quorum present at the meeting.*
- vi. If an Alternate Director is appointed for a non-executive director, such alternate should not be an executive of the Company. Similarly, if an Alternate Director is appointed for an independent director, the person so appointed shall meet the criteria for independence under applicable laws, rules and regulations.*
- vii. The attendance of any Alternate Director at any meeting subject to article 34(7)(v) above, including Board committee meetings shall be counted for the purpose of quorum."*

By order of the Board of Directors

Browns Investments PLC



L O L C Corporate Services (Private) Limited  
Secretaries

28th August 2025

# Form of Proxy

**BROWNS INVESTMENTS PLC - REG. NO. PV 66136 PB/PQ**

I/We.....holder of NIC/Reg  
No..... of .....  
being a member/members of Browns Investments PLC hereby appoint .....  
.....of .....whom failing

|                          |                |
|--------------------------|----------------|
| Mr. I. C. Nanayakkara    | or failing him |
| Mr. W. D. K. Jayawardena | or failing him |
| Mrs. K. U. Amarasinghe   | or failing her |
| Mr. D. S. K. Amarasekera | or failing him |
| Mr. K. Sivanesan         | or failing him |
| Mr. C. N. Wijesinha      |                |

as my/our proxy to represent me/us and vote on my/our behalf at the Annual General Meeting of the Company to be held as a virtual meeting on 26th September 2025 at 10:30 a.m. and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid meeting.

Please indicate your preference by placing an 'X' against the Resolution.

|                                                                                                                                                                                                                               | For                      | Against                  | Abstained                |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|--------------------------|--------------------------|
| • To re-elect Mrs. K. U. Amarasinghe as a Director in accordance with Article 23[6] of the Articles of Association of the Company                                                                                             | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |
| • To re-elect Mr. K. Sivanesan as a Director in accordance with Article 23[2] of the Articles of Association of the Company.                                                                                                  | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |
| • To re-elect Mr. C. N. Wijesinha as a Director in accordance with Article 23[2] of the Articles of Association of the Company                                                                                                | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |
| • To re-appoint Deloitte Partners Chartered Accountants, as the Auditors of the Company for the ensuing financial year at a remuneration to be fixed by the Directors                                                         | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |
| • To approve in terms of the Companies (Donations) Act No. 26 of 1951, the making of donations by the Directors as determined by them for the current Financial Year and until the next Annual General Meeting of the Company | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |
| • To approve by Special Resolution the amendments to the Company's Articles of Association as set out in the Notice of Meeting.                                                                                               | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |

Dated this.....day of .....Two Thousand Twenty Five

.....  
Signature of Shareholder/s

[Please delete inappropriate words and refer overleaf for instructions]

**Notes:**

- 1 Please return the completed Form of Proxy after filling in legibly your full name and address, signing on the space provided and filling in the date of signature.
- 2 The Proxy shall:
  - a) In the case of an individual, be under the hand of the shareholder or his or her attorney, and if signed by an attorney, a notarially certified copy of the Power of Attorney should be attached to the completed Proxy if it has not already been registered with the Company.
  - b) If the shareholder is a company or a corporation, be either under its common seal or under the hand of an officer or attorney authorised by such organisation in that behalf in accordance with its Articles of Association or constitution.
- 3 Please indicate with an 'X' how the proxy should vote on each Resolution. If no indication is given, the proxy shall exercise his/her discretion and vote as he/she thinks fit.
- 4 The completed Form of Proxy should be deposited at LOLC Corporate Services (Pvt) Ltd Secretaries for Browns Investments PLC, 4th Floor, No.34, Sir Mohamed Macan Markar Mawatha, Colombo 3 or scanned to corporateservices@lolc.com with the email subject "BIPLC AGM PROXY" not less than 48 hours before the time appointed for the holding of the meeting.

# Corporate Information

## NAME OF THE COMPANY

BROWNS INVESTMENTS PLC

## COUNTRY OF INCORPORATION

Sri Lanka

## DATE OF INCORPORATION

10th November 2008

## LEGAL FORM

A quoted public company with limited liability

## COMPANY REGISTRATION NO.

PV 66136 PB/PQ

## PRINCIPAL ACTIVITIES

Managing strategic investments across high-growth sectors while providing support services across the Group.

## STOCK EXCHANGE LISTING

The ordinary shares of the Company are listed on the Colombo Stock Exchange of Sri Lanka.

## REGISTERED OFFICE

No. 481, T. B. Jayah Mawatha [Darley Road]  
P. O. Box 200, Colombo 10

## BUSINESS OFFICE

No.100/1, Sri Jayawardenepura Mawatha  
Rajagiriya  
Tel: 011 7248248  
Fax: 011 2865602  
Website: [www.brownsinvestments.com](http://www.brownsinvestments.com)

## DIRECTORS

**Ishara Chinthaka Nanayakkara**  
Executive Chairman

**Waduthantri Dharshan Kapila Jayawardena**  
Non-Executive Director

**Kalsha Upeka Amarasinghe**  
Non-Executive Director

**Don Soshan Kamantha Kamantha Amarasekara**  
Non-Executive Director

**Stefan Furkhan**  
Independent Non-Executive Director  
[Retired on 01.01.2025]

**Dr. Jayanta Swaminathan**  
Senior Independent Non-Executive Director  
[Retired on 01.01.2025]

**Kanthimany Sivanesan**  
Senior Independent Non-Executive Director  
[Appointed on 01.10.2024]

**Chitral Nalin Wijesinha**  
Independent Non-Executive Director  
[Appointed on 01.01.2025]

## BOARD SUB COMMITTEES

**Audit Committee**  
K.Sivanesan - Committee Chairman  
D.S.K.Amarasekera  
C.N.Wijesinha

**Talent Development and Remuneration Committee**  
K.Sivanesan - Committee Chairman  
K.U.Amarasinghe  
C.N.Wijesinha

## Related Party Transactions Review Committee

C.N.Wijesinha - Committee Chairman  
D.S.K.Amarasekera  
K Sivanesan

## Nominations & Governance Committee

C.N.Wijesinha - Committee Chairman  
W.D.K.Jayawardena  
K Sivanesan

## COMPANY SECRETARIES

M/s L O L C Corporate Services  
(Private) Limited  
No. 100/1, Sri Jayawardenepura  
Mawatha, Rajagiriya, Sri Lanka  
Telephone: 011-7248248  
Fax: 011 2865602

## AUDITORS

Deloitte Partners,  
Chartered Accountants

## REGISTRARS

S S P Corporate Services (Pvt) Ltd  
101, Inner Flower Road, Colombo 03  
Tel: 011 2573894  
Fax: 011 2573609

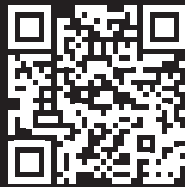
## BANKERS

Bank of Ceylon  
Commercial Bank of Ceylon PLC  
Hatton National Bank PLC  
National Development Bank PLC  
Sampath Bank PLC  
Seylan Bank PLC  
Union Bank of Colombo PLC  
Bank of China  
Nations Trust Bank PLC  
Standard Chartered Bank  
Pan Asia Banking Corporation PLC

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**BROWNS INVESTMENTS PLC**

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Tel: 011 5063000, Fax: 011 2865602

Website: [www.brownsinvestments.com](http://www.brownsinvestments.com)